

Making tomorrow a better place

Annual Report and Accounts 2014



About us

Carillion is one of the UK's leading integrated support services companies, with a substantial portfolio of Public Private Partnership projects, extensive construction capabilities and a sector-leading ability to deliver sustainable solutions.

This page: In 2014, Carillion acquired a 60 per cent interest in the Rokstad Power Corporation, based in British Columbia, Canada, which has a major investment programme in power transmission and distribution.

Front cover: Carillion is the largest supplier of infrastructure services to Network Rail. In 2014, Network Rail awarded Carillion contracts worth some £600 million, plus framework agreements with an estimated revenue value to Carillion of up to £500 million.



For more information visit: carillionplc.com

2014 Highlights

Revenue

£4.1bn

2013: £4.1bn

Underlying profit from operations⁽¹⁾

£216.9m

2013: £214.3m

Underlying operating margin⁽²⁾

5.6%

2013: 5.6%

Basic earnings per share

28.0p

2013: 23.3p

Net borrowing

£177.3m

2013: £215.2m

Underlying profit before taxation⁽³⁾

£172.9m

2013: £174.7m

Underlying earnings per share⁽⁴⁾

33.7p

2013: 34.7p

Profit before taxation

£142.6m

2013: £110.6m

Proposed full-year dividend per share

17.75p

2013: 17.50p

Committed funding

£1.3bn+

2013: £1.1bn+

Financial performance reflects selective approach to choosing contracts in challenging markets

- Revenue similar to that in 2013, notwithstanding foreign exchange headwinds
- Underlying profit from operations⁽¹⁾ increased slightly after improved margin performances in support services and Middle East construction services, with overall Group margin maintained at 5.6 per cent
- Underlying profit before taxation⁽³⁾ and underlying earnings per share⁽⁴⁾ marginally reduced, reflecting the planned reduction in the sale of equity investments in Public Private Partnership projects
- Reported profit before taxation and basic earnings per share both increased substantially, due to lower non-recurring operating items

Net borrowing reduced in line with expectations

- Net borrowing reduced to £177.3 million (2013: £215.2 million), despite investing £38.5 million in business acquisitions
- Strong cash performance with underlying cash flow from operations⁽⁵⁾ representing 119 per cent of underlying profit from operations⁽¹⁾ (2013: 75 per cent)
- £1.3 billion of committed funding and a strong balance sheet to support strategy for growth over the medium term

Strong work-winning performance

- £5.1 billion of new orders and probable orders in the year (2013: £4.9 billion)
- High-quality order book plus probable orders totalling £18.6 billion (2013: £18.0 billion)
- Record revenue visibility⁽⁶⁾ of 85 per cent for 2015 (2013: 81 per cent for 2014)
- Framework contracts worth up to £2.0 billion, which are not included in the order book or probable orders
- Pipeline of contract opportunities increased to £39.2 billion (2013: £37.5 billion)

Proposed full-year dividend increased by one per cent to 17.75p (2013: 17.50p)

(1) After Joint Ventures net financial expense of £6.4 million (2013: £10.1 million) and Joint Ventures taxation charge of £2.7 million (2013: £4.4 million) and before intangible amortisation, non-recurring operating items and non-operating items (see note 4 on page 89).

(2) Before Joint Ventures net financial expense and taxation charge, intangible amortisation and non-recurring operating items (see note 4 on page 89).

(3) After Joint Ventures taxation charge of £2.7 million (2013: £4.4 million) and before intangible amortisation, non-recurring operating items, non-operating items and fair value movements in derivative financial instruments (see note 4 on page 89 and note 5 on page 90).

(4) Before intangible amortisation, non-recurring operating items, non-operating items and fair value movements in derivative financial instruments (see note 4 on page 89 and note 5 on page 90).

(5) Before pension deficit recovery payments and rationalisation costs and after proceeds from the disposal of equity investments in Public Private Partnership projects and dividends received from Joint Ventures.

(6) Based on expected revenue and secure and probable orders, which exclude variable work, frameworks and re-bids.

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How it works

Tried

We have a track record of delivering sustainable, cost-effective solutions for our customers safely, and of seeking to create positive legacies wherever we work. Whether it's providing facilities management services for over 100,000 buildings, the management and maintenance of transport and utility networks or delivering award-winning cultural, residential, commercial or community developments – we strive to deliver high-quality services that make a positive difference to people and communities.

Tested

We have continued to respond decisively to challenging market conditions to create a leaner, stronger business, capable of delivering growth over the medium term. As well as rescaling some of our existing businesses to ensure they are aligned in size to their markets, we have strengthened our positions in markets that offer opportunities for growth. Strong corporate governance, together with rigorous risk management processes and our efficient central operating platform, help us to deliver the most complex projects successfully.

Support services

In this segment we report the results of our facilities management, facilities services, energy services, rail services, utility services, road maintenance and consultancy businesses in the UK, Canada and the Middle East.

Underlying operating profit

£135.9m

2013: £118.0m

Order book plus probable orders

£14.1bn

2013: £13.6bn

Public Private Partnership projects

In this segment we report the financial returns generated by the investments we make in Public Private Partnership (PPP) projects in the UK and Canada, including those from the sale of equity investments.

Underlying operating profit

£34.5m

2013: £58.4m

Order book plus probable orders

£1.2bn

2013: £1.2bn



Trusted

We are a trusted partner when trust matters most, from providing mission-critical facilities management services to public and private sector customers, notably in the health, defence, secure accommodation, financial services and energy sectors, to keeping transport and utility networks operating 24/7 and to delivering new hospitals, schools, roads, railways and other landmark buildings and structures. We build long-term partnerships based on delivering value for money services that our customers know they can rely on.

Middle East construction services

In this segment we report the results of our building and civil engineering activities in the Middle East and North Africa.

Underlying operating profit

£25.1m

2013: £19.2m

Order book plus probable orders

£0.9bn

2013: £0.9bn



Construction services (excluding the Middle East)

In this segment we report the results of our UK building, civil engineering and developments businesses and of our construction activities in Canada.

Underlying operating profit

£41.5m

2013: £44.4m

Order book plus probable orders

£2.4bn

2013: £2.3bn



Chairman's statement

In 2014, our markets remained challenging and we continued to be very selective in choosing the contracts for which we bid in order to maintain margin discipline, which continues to be a key element of our strategy.

The steady improvement in our markets that began in 2014 is expected to continue in 2015, subject to a sustained macro-economic recovery. We have also continued to develop and strengthen our positions in new and existing markets, notably through a further bolt-on acquisition in support services.

Strong corporate governance remains a cornerstone of our business, underpinning our operations to ensure we deliver reliable, value-for-money and sustainable services for our customers and create value for our shareholders.

Philip Green
Chairman



Total revenue remained unchanged at £4.1 billion, after foreign exchange headwinds amounting to approximately £95 million, with revenue growth in Middle East construction services and in UK construction services, offset by a reduction in revenue in Public Private Partnership projects due to our policy of recycling equity investments in mature projects. Revenue in support services marginally increased, albeit that this represents underlying growth of some six per cent, because we replaced revenue lost in 2013 due to a number of energy services contracts coming to an end as a result of changes in UK Government policy and we offset a significant foreign exchange headwind.

By maintaining our selective approach to the contracts for which we bid, notably by focusing on larger, complex contracts and long-term customers, where we can use the breadth and scale of our skills and resources to differentiate our offering, we have maintained our underlying operating margin⁽¹⁾ at 5.6 per cent (2013: 5.6 per cent). We achieved this despite the fact that most of the work we delivered in 2014 was won during the economic downturn and that our markets in 2014 continued to be challenging. At business segment level, underlying operating margins increased in support services and in Middle East construction services, while the margin in construction services (excluding the Middle East) continued to trend down towards a more normal level, in line with our longstanding guidance.

Underlying profit from operations⁽¹⁾ increased by one per cent to £216.9 million (2013: £214.3 million), supported by the improved margin performances in support services and Middle East construction services, together with a reduction in the net financial expense and taxation charge relating to Joint Ventures. At business segment level, increased contributions to operating profit from support services and from Middle East construction services, were offset by reduced contributions from Public Private Partnership projects, due to our policy of recycling equity investments in mature projects, and from construction services (excluding the Middle East) as the operating margin continued to trend back towards a more normal level.

Underlying profit before taxation⁽¹⁾ reduced by one per cent to £172.9 million (2013: £174.7 million), which reflected the planned reduction in the sale of equity investments in Public Private Partnership projects, together with an increase in the Group's underlying net financial expense⁽²⁾ to £44.0 million (2013: £39.6 million), due mainly to an increase in the non-cash interest charge relating to pensions and to a reduction in interest income from subordinated loans to Public Private Partnership projects.

After an underlying taxation charge⁽³⁾ of £21.0 million (2013: £19.4 million), underlying earnings per share⁽¹⁾ were 33.7 pence (2013: 34.7 pence). Reported profit before taxation increased by 29 per cent to £142.6 million (2013: £110.6 million) and basic earnings per share increased by 20 per cent to 28.0 pence (2013: 23.3 pence), as there were no non-recurring operating charges in 2014 (2013: £44.2 million).

Cash flow was strong with underlying cash flow from operations⁽¹⁾ representing 119 per cent of underlying profit from operations⁽¹⁾. Net borrowing therefore continued to reduce and at 31 December 2014 it was £177.3 million (2013: £215.2 million), which was better than our expectations given the £38.5 million impact on net borrowing of two bolt-on acquisitions in Canada to enhance our support services offering in key growth markets. In December 2014, the Group issued a convertible bond, which raised an additional £170 million of funding. This, together with existing bank facilities and private placement funding, increased the Group's total available funding to approximately £1.3 billion, which supports our strategy for growth.

Work winning in 2014 was strong, with new orders plus probable orders worth £5.1 billion, which was well in excess of the Group's revenue for 2014 and increased the total value of orders and probable orders to £18.6 billion at 31 December 2014 (2013: £18.0 billion). Revenue visibility⁽⁴⁾ also increased to a record level and at the year end was 85 per cent of anticipated revenue in 2015 (2013: 81 per cent for 2014). Furthermore, at 31 December 2014, the value of our pipeline of contract opportunities had also increased to £39.2 billion (2013: £37.5 billion).

The Board is recommending a final dividend of 12.15 pence per share (2013: 12.00 pence per share), making the total dividend for 2014 17.75 pence, an increase of one per cent on the 17.50 pence paid in respect of 2013.

Looking forward, we expect the steady improvement in our markets that began in 2014 to continue in 2015, subject to a sustained macro-economic recovery. We have also continued to strengthen the Group's position in growth markets, notably in support services through a further bolt-on acquisition in Canada. Therefore, with strong cash flow, a high-quality order book, record revenue visibility and a growing pipeline of contract opportunities, the Board continues to believe the Group is well-positioned to make progress over the medium term.



Phillip Green
Chairman
4 March 2015

Dividend

4%

Five-year compound annual growth rate

2014	17.75p
2013	17.50p
2012	17.25p
2011	16.90p
2010	15.50p

(1) The underlying results stated above are defined in the footnotes to the financial highlights on page 1.

(2) Before fair value movements in derivative financial instruments (see note 5 on page 90).

(3) Before intangible amortisation, non-recurring operating items, non-operating items and fair value movements in derivative financial instruments (see note 4 on page 89 and note 5 on page 90).

(4) Based on expected revenue and secure and probable orders which exclude variable work, frameworks and re-bids.

Chief Executive's strategic overview

Having completed the rescaling and reshaping of our business in 2013, to create a platform from which we could take the Group forward following the effects of the economic downturn, at the beginning of 2014 we refreshed our vision, values and strategy for growth.

Richard Howson
Chief Executive



This has made a significant contribution to our performance in the face of challenging market conditions and helped us to continue winning new work, consistent with our selective approach.

New orders plus probable orders

£5.1bn

of new orders plus probable orders won in 2014
(2013: £4.9bn)

Total order book plus probable orders

£18.6bn

of total orders plus probable orders at 31 December 2014
(31 December 2013: £18.0bn)

Record revenue visibility⁽¹⁾

85%

revenue visibility for 2015
(2013: 81% for 2014)

(1) Based on expected revenue and secure and probable orders, which exclude variable work, frameworks and re-bids.

Our vision

To be the trusted partner for providing services, delivering infrastructure and creating places that bring lasting benefits to our customers and the communities in which we live and work.

Our values**We care.**

We respect each other and we do things safely and sustainably. It's good for our people, our business and our local communities.

We achieve together.

We value the contribution of each individual and we work together to build strong, open and trusting partnerships.

We improve.

We listen, learn and adapt our ideas and experience into better solutions and services for our customers.

We deliver.

We set ourselves stretching goals, taking pride in doing a great job and helping our customers and partners to succeed.

Our strategy

Our strategy is to achieve sustainable profitable growth by

- › investing in our people and capabilities
- › building long-term, trusted partnerships
- › transferring knowledge and skills to new and existing markets so we can expand our services and infrastructure activities and
- › providing a selective, high-quality construction capability

To support the delivery of our strategy we set a number of Key Performance Indicators (KPIs) for 2014, as set out in our 2013 Annual Report and Accounts. Our performance against each of these KPIs is described below.

To develop and attract excellent people to create a vibrant, diverse and flexible workforce.**Progress towards greater diversity**

Within our refreshed strategy, investing in our people and capabilities remains our top priority as developing and attracting excellent people to create a vibrant, diverse and flexible workforce has the greatest impact on the success of our business.

In 2014, we continued our drive towards greater diversity in our business and at 31 December 2014 the Group had a total of 42,367 employees (31 December 2013: 41,304) of whom some 16,947 (31 December 2013: 15,964) were female and 25,420 were male (31 December 2014: 25,340). At 31 December 2014, the Group had 469 senior managers (31 December 2013: 493) of which 58 were female (31 December 2013: 57) and 411 were male (31 December 2013: 436). Of the 96 most senior managers in the Group, which comprises the Chief Executive's Leadership Team and their direct reports, 18 were female (31 December 2013: 14) and 78 were male (31 December 2013: 69). The Carillion plc Board comprises five male and two female Directors.

We believe that engaging with our employees to give them the opportunity to contribute to our performance is fundamental to the success of our business. To do this we use a wide range of engagement tools, including direct employee engagement, which I lead, through personal visits to our contracts, monthly newsletters to all employees, and regular conference calls with up to 2,500 employees in leadership roles to review the performance of our business. We also engage through structured People Forums across our businesses, through regular monthly team talks and through our employee survey, The Great Debate. Following our 2014 survey, particular focus has been placed on the visibility of our business leaders, employee recognition and clearer communication of business direction to everyone.

In 2014, we also increased the emphasis we place on the development of leadership capability, with a number of programmes running across the Group. We have also remained focused on improving the development of our people through our successful Leadership and Futures Programmes, backed by our job-family career framework that encourages people to improve their skills and competencies and develop their careers within Carillion. In terms of culture, we promote an environment where people feel welcome, included and able to contribute to what we do and how we do it, whoever they are. We encourage flexible working underpinned by family-friendly policies and believe that giving our people the opportunity to engage in voluntary work within the communities in which we operate to support charities and other good causes, helps to make Carillion an attractive employer as well as enabling us to deliver more sustainable solutions for our customers. All our people have the opportunity to do voluntary work for up to six days a year on full pay.

Framework contracts

£2.0bn

of framework contracts were won in 2014
(not included in the order book or probable orders)

Contract opportunities

£39.2bn

pipeline of contract opportunities at 31 December 2014
(31 December 2013: £37.5bn)

Chief Executive's strategic overview

continued

To be the recognised leader in Health & Safety and Sustainability

Health & Safety

17% reduction in Lost Time Incident Frequency Rate to 0.241

Our objective of reducing accidents to zero remains central to our Health & Safety agenda. If an accident does occur, we ensure that we learn from it and apply what we learn to reduce the risk of reoccurrence as part of our journey towards zero accidents. At the same time, we continue to invest in a wide range of programmes to engage, educate and train our people, backed by strong leadership, which comes from our Board. We believe leadership also needs to be visible, which is why we have Directors' safety tours of our work sites as well as Safety Action Groups and safety audits. Our hazard reporting programme, 'Don't Walk By', which empowers everyone in Carillion to identify and report for immediate action anything they believe to be unsafe, continues to be highly effective. In 2014, some 1.8 million Don't Walk By reports were raised by our employees and our sub-contractors.

Our main Key Performance Indicator is the Lost Time Incident Frequency Rate (LTIFR), which is an internationally recognised measure of safety performance. In 2014, our LTIFR per 200,000 hours worked was 0.241, which represented a 17 per cent reduction on 2013, when our LTIFR was 0.293 per 200,000 hours worked, itself a 44 per cent reduction on our LTIFR in 2012 of 0.529.

It is with deep regret that we report two fatal accidents in 2014 to an employee and a sub-contractor while working on our projects. In Oman an employee died after falling approximately three metres when he stood on an unfixed panel that he had just placed into position. In Qatar, a sub-contractor's employee died when he was struck by a vehicle while crossing a highway as part of a maintenance activity. In addition, to these work-site related accidents, Carillion suffered a terrible tragedy when a vehicle carrying five of our employees collided with a broken-down vehicle on the M4 motorway in England, resulting in the deaths of three employees and serious injury to a fourth. Our thoughts are with the relatives and friends of all the people affected by these tragic incidents. There were no prosecutions by the relevant UK enforcement authorities in 2014.

During 2014, we launched a new health strategy called "Health Like Safety". Our vision is to achieve zero ill health caused by, or made worse by, work. Under this strategy we are seeking to manage health like safety with clear arrangements in place on each contract or project. In addition, we use the workplace as a venue for promoting healthy lifestyles, while recognising that this remains a matter of personal choice.

The key objectives of our Health Like Safety strategy are to

- › develop our culture to improve the status of 'health' within the management of Health & Safety through prioritisation, leadership and the involvement of our workforce
- › clearly define and implement fitness-for-work criteria for safety critical workers
- › act on a range of long-term, high-risk areas to prevent work-related cancers
- › improve management knowledge, competence and actions in relation to occupational health priorities
- › use the workplace as a venue to raise individual awareness of personal health issues and promote healthy behaviour
- › implement a risk-based policy on the provision of Automated External Defibrillators (AED's) to improve survival chances from cardiac arrest while at work.

During 2014, we took part in the Global Corporate Challenge, an initiative to encourage teams of employees to increase physical activity by competing against other teams around the world to see who can walk the most steps. In Carillion, 88 teams (616 people) took part and they averaged 13,536 per person steps every day. Between them they completed 752,074,198 steps, which is equivalent to walking round the world 12 times. They reported massive health benefits from the exercise with an average weight loss of 9.4lb per person and substantial improvements in health and lifestyle scores. 38 per cent of the participants reported being more productive as a result.

Sustainability

£27.2m contribution from sustainability to profit in 2014

Carillion continues to be a recognised leader in sustainability, both within and beyond our market sectors. We regard our leadership as central to our strategy and a fundamental resource that helps to differentiate Carillion from its competitors. One of the key measures we use to assess our sustainability performance is Business in the Community's (BITC) Corporate Index. We aim to maintain our position among the companies with the highest ranking in this Index when BITC publishes the Index in April 2015. In 2014, we also improved our ranking among the top companies in tackling climate change through our Carbon Disclosure Project (CDP) score of 99A (2013: 92A), which put Carillion at the top of both the CDP Disclosure and Performance Leadership Indices.

Carillion has been a leader in sustainability since it was launched as an independent company and listed on the London Stock Exchange in 1999. We consistently strive to integrate sustainability into everything we do and into every service we provide for our customers. We do this because we believe it makes us a more efficient, effective and attractive business to our customers. We estimate that our sustainability strategy has contributed around £27 million of profit to the Group in 2014.

An overview of how we are becoming a more successful business by putting sustainability at the heart of everything we do, is set out on pages 16 to 19 of this strategic overview. In addition, we publish an extensive annual sustainability report in April of each year. In 2014, our Annual Sustainability Report won the FTSE 250 Sustainability Reporting category in the PwC 'Building Public Trust Awards' for the second year running, which is the first time that this has been achieved in the history of the awards and confirmed Carillion as a recognised leader in sustainability. In addition, Carillion continues to be a member of the FTSE4Good Index, which measures the performance of companies that meet globally recognised standards of corporate responsibility.

To improve customer satisfaction

12% improvement in Net Promoter Score to +37

Providing a great customer experience is essential to gaining new customers and retaining existing customers. To help drive our strategy in this area, in 2014 we joined the national council of the Institute of Customer Service (ICS), a forum that gives our businesses access to a wide range of ideas and initiatives to help us improve customer experience and also helps us to shape the customer service agenda in the UK. For example, we supported the ICS in establishing an all-party Parliamentary group on customer service and attended the inaugural meeting of this group in the Houses of Parliament in October 2014.

Since 2013, Carillion has measured customer satisfaction using the Net Promoter Score (NPS), an international standard that allows us to measure customer satisfaction and benchmark ourselves against other organisations and the wider business world. Customers are asked in face-to-face interviews to indicate how likely they are to recommend Carillion's services to others. NPS ranges from -100 to +100 and our score in 2014 was +37, up from +33 in 2013 and ahead of target. Our NPS score compares very favourably with those of other companies in our market sectors. Importantly, the surveys we carry out give us first-hand feedback and information to help us continue improving the services we provide for our customers.

To reduce costs and improve efficiency to support margins

5.6% Group underlying operation margin⁽¹⁾

Through our ongoing cost reduction and efficiency programmes, which operate across all our business units and central functions, we have a relentless focus on cost management and on improving efficiency. This is fundamental to our ability to provide customers with offerings that are attractive in terms of price, as well as quality. This was evident in our ability to continue winning contracts in line with our selective approach, despite challenging market conditions.

It also enabled us to deliver a strong underlying Group operating margin of 5.6 per cent, despite the fact that most of the work we delivered in 2014 was won during the economic downturn. At business segment level, improved margins in support services and Middle East construction services offset the expected reductions in margins in Public Private Partnership projects, which reflected the planned reduction in the sale of equity investments in these projects, and in construction services (excluding the Middle East), as the margin in this segment trends back towards a more normal level, in line with our previous expectations and guidance.

To deliver cash-backed profit

119% profit to cash conversion

Strong cash management has always been central to our strategy and a key measure of our performance. When we announced in 2010 that we planned to rescale our UK construction business, in order to ensure that it remained aligned in size to its chosen market sectors, we said that this rescaling would result in a significant outflow of working capital, but that when rescaling had been completed the Group would return to its normal working capital profile and to positive cash generation. Having completed the rescaling of UK construction by the end of 2013, cash flow was once again strong in 2014, with full-year underlying cash flow from operations⁽¹⁾ representing 119 per cent of full-year underlying profit from operations⁽¹⁾ (2013: 75 per cent).

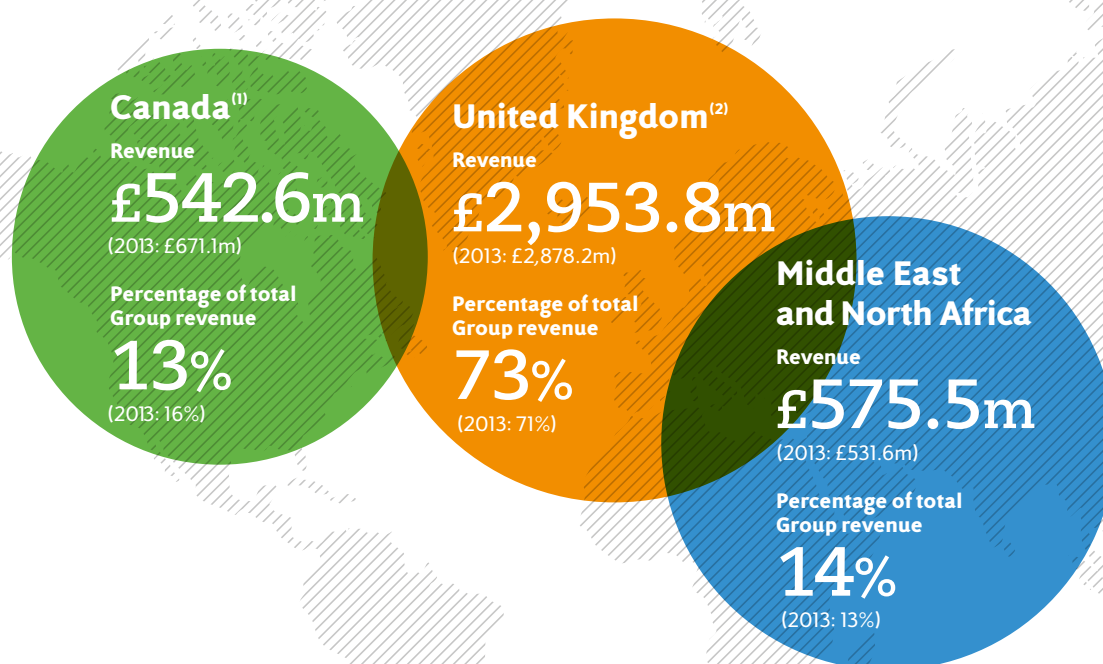
(1) The underlying results are defined in the footnotes to the financial highlights on page 1.

Market review

Three core capabilities
We use our three core capabilities – support services, construction services and project finance – either individually or in combinations, to design and deliver services to meet the specific needs of our customers.

Having this wide range of capabilities, together with the scale and resources to deliver large, complex projects and nationwide support services solutions, helps to differentiate Carillion from its competitors.

Our business model is illustrated on pages 14 and 15.



Support services

We are a leading international support services company with all the skills and capabilities needed to manage, maintain and operate buildings and infrastructure, notably for large property estates and for transport and utility networks. We also provide services to public and private sector customers to support the delivery of public services and business objectives.

Public Private Partnership (PPP) projects

We are one of the world's leading companies in delivering PPP projects, for which we use our sector-leading expertise in arranging project finance, combined with our construction and support services capabilities, to deliver a wide range of asset-based services for public sector customers.

Construction services

We have sector-leading construction capabilities in the UK, Middle East and Canada, selectively focused on large, higher added-value contracts for customers with whom we have, or can build, long-term relationships.

Three geographies

We operate in Canada, the UK and the Middle East and North Africa, in which we target a number of market sectors, as described on the following pages.

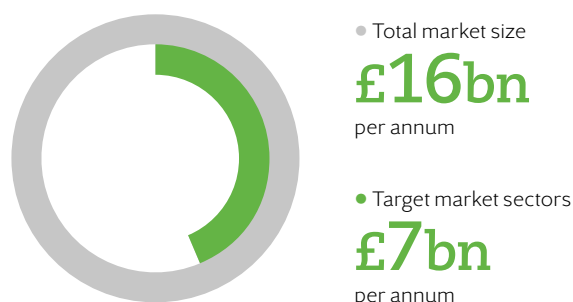
We have a resilient UK and international business mix, well positioned in markets offering good medium-term prospects for growth.

(1) Includes £5.2 million (2013: £10.7 million) of revenue generated in the Caribbean.
(2) Includes £12.7 million (2013: £33.3 million) of revenue generated outside of the UK, Middle East and North Africa and Canada.

Canada

Support services

Property and facilities management



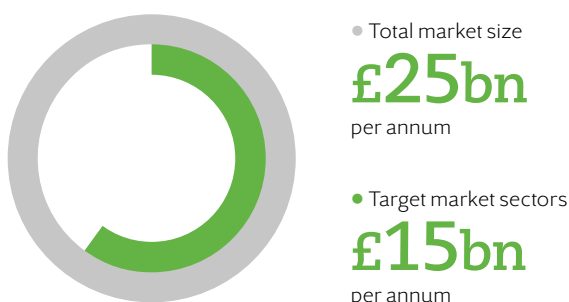
Target market sectors

- › PPP healthcare
- › Non-PPP healthcare
- › Education
- › Aviation

Drivers of growth

- › An increasing focus on public sector cost savings through outsourcing to the private sector
- › The range of outsourced services coming to market continues to broaden
- › The provision of facilities management services for PPP projects, which is a growth market

Infrastructure services



Target market sectors

- › Natural resources site services
- › Highways maintenance
- › Power transmission and distribution
- › Utility companies

Drivers of growth

- › Growth in demand for services by natural resource-based industries, which should continue to expand as lower oil prices reduce their cost base
- › Highways maintenance services continues to be a major growth opportunity through expanding our offering into new Provinces
- › Over £20 billion of investment in the period to 2020 in transmission networks to increase capacity and improve network resilience

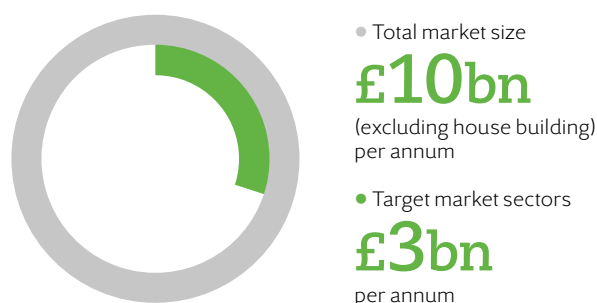
Public Private Partnership (PPP) projects

Canada continues to have a major PPP investment programme, which has a capital value estimated to be worth in the region of CA\$60 billion over the next 10 to 15 years. Carillion's target markets, which are estimated to be worth in the region of CA\$20 billion over this period, are in Ontario and British Columbia and increasingly Alberta, where there is a growing pipeline of opportunities, and potentially in Saskatchewan where a project pipeline is starting to emerge. A substantial proportion of the PPP opportunities we have in Canada are in the health sector, where Carillion has a strong track record.

Given the number of project opportunities coming to market in Canada, together with those we have in the UK as described on page 12, over the medium term we expect to have sufficient opportunities to at least maintain the value of our portfolio of equity investments at a broadly stable level, while we continue to sell equity investments in mature projects and reinvest the proceeds in new projects.

Construction services

Building



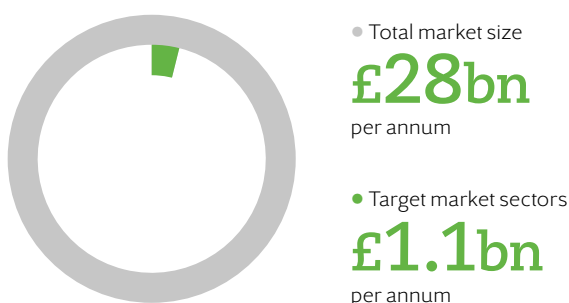
Target market sectors

- › Commercial and public building in Ontario and British Columbia
- › Health and Education PPP contracts

Drivers of growth

- › Healthy economic growth prospects, especially for Ontario and British Columbia, are expected to drive greater demand for commercial and social infrastructure

Infrastructure



Target market sectors

- › Roads
- › Rail
- › Electricity transmission

Drivers of growth

- › Under the New Building Canada plan, the Government of Canada will invest over CA\$53 billion in infrastructure across the country between 2014 and 2024. This funding will be available to support Provinces, Territories and Municipalities for infrastructure projects

Market review

continued

UK Support services

Property and facilities management



• Total market size

£44bn

per annum

• Target market sectors

£15bn

per annum

Target market sectors

- › Defence
- › Health
- › Civil Government Departments
- › Local Government
- › Corporate services

Drivers of growth

- › The continuing need for Local Authorities to make cost savings is expected to lead to increased outsourcing of more services
- › Increasing demand from both private and public sector customers for innovation and added value in facilities management solutions
- › UK Government is expanding the range of services being outsourced, presenting opportunities to grow and diversify our services business

Infrastructure services



• Total market size

£22bn

per annum

• Target market sectors

£7bn

per annum

Target market sectors

- › Highways maintenance
- › Rail
- › Telecommunications
- › Electricity transmission and distribution

Drivers of growth

- › Demand to extend and upgrade utility networks, eg
 - £2 billion of investment in broadband services over next three years

- £25 billion of investment in electricity power transmission and distribution over next eight years
- › Investment in highways renewal and upgrades to make more intelligent use of highways maintenance and Smart Motorways
- › Major programme of investment in rail renewal and upgrades with Network Rail investing some £25 billion between 2014 and 2019, plus new opportunities arising from HS2 and Crossrail2

Public Private Partnership (PPP) projects

In the UK, the PPP market continues to offer a steady flow of new project opportunities, which is expected to remain at a similar level to recent years. Future projects are expected to be focused in the health, transport and education sectors, where Carillion has strong track records, and the capital value of these projects is estimated to be worth in the region of £6 billion over the next five years.

Given these project opportunities in the UK, together with those coming to market in Canada, over the medium term we expect to have sufficient opportunities to at least maintain the value of our portfolio of equity investments at a broadly stable level, while we continue to sell equity investments in mature projects and reinvest the proceeds in new projects.

Construction services

Building



• Total market size

£37bn

(excluding house building)
per annum

• Target market sectors

£15bn

per annum

Target market sectors

- › Defence
- › Offices
- › Mixed use developments
- › High-rise residential
- › Education
- › Health

Drivers of growth

- › Demand for new high-specification developments in the commercial property market
- › Commercial property market demand spreading from London to other regions
- › Sustainable low interest rates supporting institutional investment
- › Selective public sector expenditure on key projects in our target market sectors

Infrastructure



• Total market size

£15bn

per annum

• Target market sectors

£7bn

per annum

Target market sectors

- › Roads
- › Rail
- › Airports
- › Electricity transmission and distribution

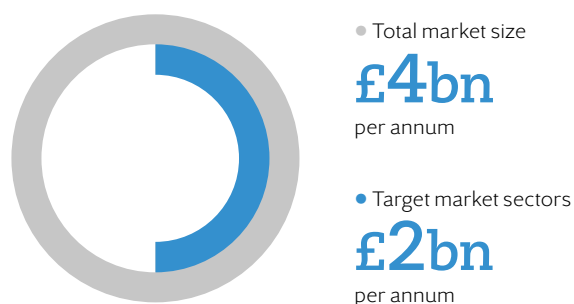
Drivers of growth

- › The National Infrastructure Plan which currently covers
 - the Roads Investment Strategy, with expenditure of £15 billion on 100 major projects through to 2020

- growth in rail renewal and enhancement with Network Rail investing some £25 billion between 2014 and 2019 plus new opportunities arising from HS2 and Crossrail2
- the need to maintain security of electricity supply, with an estimated £110 billion of investment expected over the next 10 years, including the connections required for renewable energy sources

Middle East and North Africa Support services

Property and facilities management



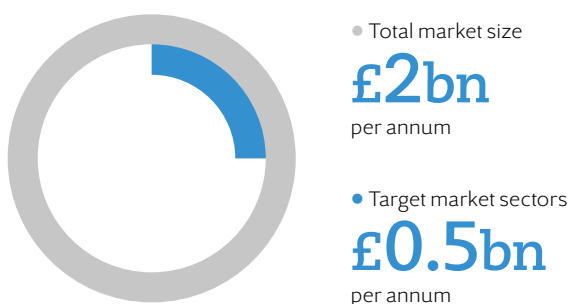
Target market sectors

- › Healthcare
- › Corporate facilities management
- › UAE: property services
- › Oman: oil and gas services
- › Qatar: oil and gas services

Drivers of growth

- › The market is still in the early stages of development, especially outside UAE, with growth for Carillion being driven by increasing market penetration
- › The continuing increase in the number, size and complexity of buildings as Gulf countries invest in their development and which now need support services

Infrastructure services



Target market sectors

- › Highways maintenance
- › Oman: oil and gas services
- › Qatar: oil and gas services

Drivers of growth

- › Increasing opportunities to penetrate markets providing services to the oil and gas sector
- › Growing opportunities as Gulf states become increasingly aware of the need for, and benefits of, planned maintenance programmes for highways following the success of pathfinder projects

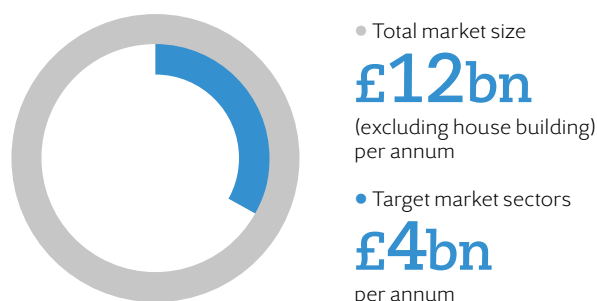
Public Private Partnership (PPP) projects

As yet we have no PPP projects in the Middle East and North Africa, although a number of Gulf States continue to explore opportunities for using private finance models to deliver building and infrastructure

projects. We therefore continue to believe that there will be a PPP market in this region in the medium term. In addition, we continue to explore opportunities for PPP projects in adjacent geographies, notably in Turkey.

Construction services

Building



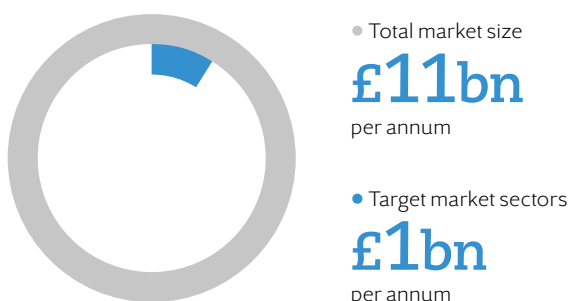
Target market sectors

- › UAE: mixed use, high-rise residential, leisure, health, education, defence
- › Oman: defence, leisure, high-rise residential, health, education
- › Qatar: education, leisure, mixed-use
- › Saudi Arabia: health

Drivers of growth

- › Increasing in tourism driving demand for hotels and other leisure facilities
- › Expo 2020, which is being hosted by Dubai, is driving major investment in this Emirate
- › World Cup 2022 in Qatar is expected to drive increasing levels of investment in the facilities and infrastructure needed to stage this event
- › Increasing investment in social infrastructure to support economic growth

Infrastructure



Target market sectors

- › UAE: roads, oil and gas
- › Oman: oil and gas, ports, aviation
- › Qatar: aviation, rail

Drivers of growth

- › Increasing investment in the maintenance of roads and other infrastructure that is supporting the development of these countries
- › Large-scale rail construction plans across the region
- › Demand for airport capacity driven by growing visitor numbers and also the increasing use of the region's airports as global transfer hubs

Business model

Resources

Our business model begins with our three core capabilities – support services, project finance and construction – and our ability to use these capabilities, either individually or in combinations, to deliver high-quality, sustainable, cost-effective solutions for our customers. Our ability to offer customers such solutions for asset creation and whole-life management helps to differentiate us from our competitors and is a key reason why we have been able to continue winning substantial new orders and probable orders in 2014 worth £5.1 billion.

The success of our business model depends on having excellent people, with the skills and commitment to deliver a first-class customer experience. This is why we continue to invest in developing and attracting excellent people to create a vibrant, diverse and flexible workforce. Consequently, operational excellence is one of our key strengths that is based on strong management teams and skilled and committed people who listen to our customers to understand their needs and work with customers to help shape the contracts they bring to market. We then use our skills and resources to design value-for-money solutions to meet the specific needs of each customer.

Creating sustainable solutions for our customers is also a fundamental part of our business strategy and we apply our sector-leading expertise in this area to every contract. We also apply the same high standards of sustainability to how we operate within Carillion, because we believe this is an essential part of creating a sustainable culture that contributes directly to the success of our business. How we integrate sustainability into everything we do is described in more detail on pages 16 to 19. We also believe that being a sustainable business, together with high standards of corporate governance, are key factors in helping us to recruit and retain excellent people. In our experience, the best people want to work for a company that seeks to operate to the highest standards of corporate and social responsibility.

With external expenditure with suppliers in excess of £2 billion a year, we have focused on developing a best-in-class supply chain as this is vital to managing our costs and delivering right-first-time services for our customers. Supply chain management in Carillion is based on a category management system, which involves having teams of supply chain professionals who focus solely on buying individual goods and services to meet the Group's needs world-wide, from suppliers who are carefully selected and vetted against a wide range of criteria. Instead of creating a supply chain for a specific contract, we can 'plug' each new contract into the supply chains we have permanently in place. By buying each commodity or service centrally for all our contracts worldwide, we can offer our suppliers greater volumes and longer-term visibility of demand, which enables Carillion to get better value and creates a basis upon which we can build long-term relationships with high-quality suppliers.

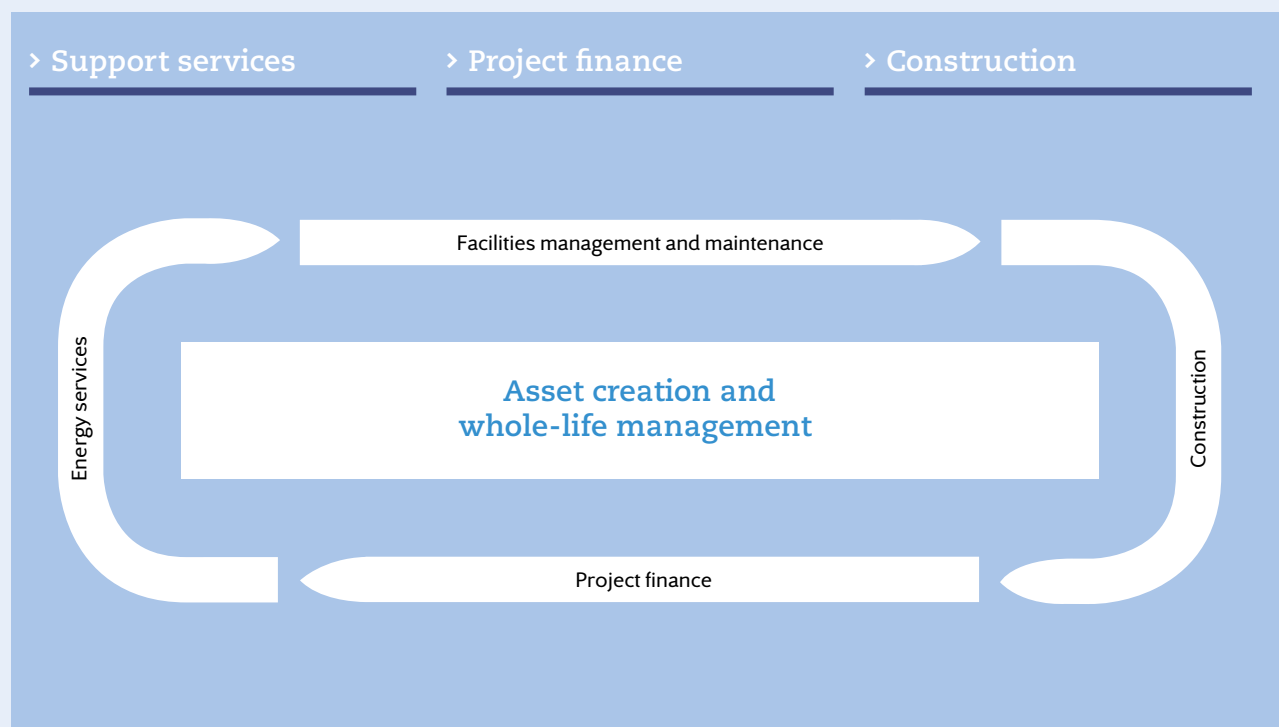
Processes

Having high standards of corporate governance remains a cornerstone of our business and you can read more about our policies and procedures and the ways in which we seek to create a responsible business culture throughout the Group in the Governance section on pages 37 to 51.

We have a strong and consistent focus on cost management and operational efficiency, which led us to introduce a centralised operating platform around 10 years ago. Since then, we have developed and refined this to support our business model by creating an operating platform that helps us to reduce costs, improve efficiency and provide management with visibility and control over the Group's performance. Having this operating model underpins the delivery of our annual cost reduction and efficiency programmes and makes a major contribution to operational excellence, which supports our ability to win contracts on profitable terms.

Building a leaner and stronger business, well positioned for the medium term

Integrated solutions based on three core capabilities



Rigorous operational risk management policies and processes sit alongside our centralised operating model. These policies and processes identify, mitigate and manage strategic Group-wide risks and risks specific to our individual business units and contracts, including economic, social, environmental and ethical risks.

Carillion has a Group Head of Risk who is responsible for

- advising on strategic risks affecting the Group
- conducting independent risk appraisals of all projects prior to them being submitted to the Major Projects Committee, which is a Committee of the Board with delegated authority to sanction major commitments and transactions, including capital expenditure, major contracts and business acquisitions and disposals, up to specified levels of risk, beyond which they are referred to the Board
- overseeing risk training across the Group.

Our risk management processes are applied to every aspect of our operations, from choosing the geographies in which we operate, our market sectors and the contracts for which we bid, to the selection of our customers, partners and suppliers. We also apply them to every stage of a contract, from its inception to completion, in order to deliver value-for-money services for our customers and the cash-backed profit we expect. The structure for managing operational risks is illustrated on page 20, and we describe the Group's principal risks and uncertainties on page 21.

Relationships

We have long-term contracts, some of which will last for 20 to 30 years. Therefore, building successful long-term relationships with our customers, suppliers and delivery partners is a key element of our business model that is closely interlinked with all the other elements

of our model. Successful long-term relationships are built on trust, trust that Carillion will provide an excellent customer experience for which we need excellent people, with the right skills and capabilities, backed by the systems and processes needed to ensure we deliver what we have promised. As described on page 9, in 2013 we began using Net Promoter Score, an international standard that measures customer satisfaction, to enable us to benchmark ourselves against other organisations and the wider business world and gain feedback and information to help us continue improving the services we provide. Customers are asked in face-to-face interviews to indicate how likely they are to recommend Carillion's services to others. NPS scores can range from -100 to +100 and our score in 2014 rose by 12 per cent to +37, which compares very favourably with the scores of other companies in our market sectors.

As indicated above, our category management supply chain system is also helping us to create long-term partnerships with our suppliers, as this system means we buy in greater volumes from our chosen suppliers who also get good visibility of our future requirements for the goods and services that they sell to Carillion. The introduction of Carillion's Early Payment Facility (EPF) at the beginning of 2013 has also proved to be extremely popular with suppliers and is also helping us to build long-term relationships with our suppliers. Under the EPF, we are paying all suppliers on at least the same terms as they were on prior to joining the EPF and in many cases we are paying suppliers up to 20 days earlier, at no cost to suppliers. Also, suppliers can choose when they take payments in respect of approved invoices and if they wish to take them even earlier, they can do so at minimal cost, which is far less than their typical cost of borrowing. A full explanation of Carillion's EPF can be found on our website at <http://www.carillionplc.com/suppliers/carillion-payment-terms.aspx>

Relationships

Long-term partnerships with customers and suppliers

Customer satisfaction measured by Net Promoter Score

Resources

Integrated solutions

Excellent people with long-term Carillion experience

Sustainability

First-class supply chain based on category management

Processes

High standards of corporate governance

Centralised operating platform – supports efficiency, visibility and control

Strong risk management

**Value for
customers and
shareholders**

Sustainability – A key resource

We view sustainability as business critical. It helps us to win and deliver profitable work responsibly and encourages collaboration around innovation, safety, the efficient use of resources and social value. Increasingly, this is what our customers and society expect, which is why we choose to operate to standards that go beyond our legal requirements.

Our 2020 sustainability strategy

We continue to build an increasingly sustainable and successful business by focusing on our six positive outcomes, which support profitable, responsible growth and form the basis of our strategy. Our 2014 Sustainability Report, which will be available on our corporate website in April 2015, will give details of the sustainability issues relevant to our business, together with the progress we have made against our targets and initiatives.



Building a successful business

Through our sector leadership and focus on the contributions to profit from sustainable efficiencies, value creation and waste elimination, we will increase shareholder value.



Enabling low-carbon economies

Our services will help Carillion's customers work towards carbon neutrality, so together we become the lowest-carbon producers in our respective sectors.



Supporting sustainable communities

Our leadership in creating employment and skills opportunities, coupled with our understanding of the needs of our communities, will help us to make a net positive contribution everywhere we work.



Leading the way in our sector

We will be the benchmark in sustainability and innovation, in turn driving demand as the service provider of choice for customers.



Protecting the environment

We will work with our customers and suppliers to be best-in-class in reducing waste, managing use of water and raw materials, and protecting biodiversity wherever we operate.



Providing better prospects for our people

We will maximise the prospects of our people by offering opportunities for learning and development and create safe, healthy places to work.

This section summarises our Sustainability 2020 strategy, our performance in 2014 and the benefits this has for our business and for the communities in which we live and work.

Having a sustainable and responsible approach to business is central to our strategy for growth in the UK and internationally. Carillion's Sustainability 2020 strategy aims to create positive legacies for communities, for environments and build public trust in Carillion as a leading sustainable business. Now, more than ever, integrated and effective sustainability is all about making tomorrow a better place.

Sustainability management and materiality review

Our sustainability governance ensures our operations, targets and plans are managed and delivered in a consistent, responsible and transparent way. Richard Howson, Carillion's Chief Executive, is responsible to the Board for sustainability, while Chief Sustainability Officer, David Picton, is accountable for sustainability across the Group. A Board Sustainability Committee has been created, chaired by Dr Ceri Powell, a Carillion Non-Executive Director, and will operate from the beginning of 2015. This will provide oversight on behalf of the Board for priorities, targets and challenges material to corporate reputation and sustainability management across the Group.

Our Board and Executive leadership teams are also advised by a Sustainability Advisory Committee, which includes directors from our business units as well as two independent external advisers – Dame Julia Cleverdon DCVO, CBE (Vice President of Business in the Community and Special Advisor to The Prince's Charities) and Jonathon Porritt (Founder Director of Forum for the Future).

The work of these committees is underpinned by a rigorous set of policies, procedures and operational tracking processes to deliver business unit plans. We also carried out a materiality review involving nearly 400 internal and external stakeholders, which will help us to continue shaping the focus of Carillion's sustainability strategy over the second half of this decade.

Building a successful business

Through our sector leadership and focus on the contribution to profit from sustainable efficiencies, value creation and waste elimination, we are increasing shareholder value.

Highlights

- ▶ £27.2 million net contribution to profit through our sustainability strategy
- ▶ PwC Building Public Trust Award – first FTSE company to retain the FTSE 250 Sustainability Reporting Award for a second consecutive year



In 2014, Carillion received the FTSE 250 Sustainability Reporting Award in the PwC Building Public Trust Awards for a second consecutive year.

The contribution of sustainability to Group profit is tracked by our businesses through a monthly reporting process, approved by each business unit finance director. Contributions to profit are created through cost reductions derived from resource and process efficiencies, carbon reductions and operational innovations – examples of which would include fuel, travel and waste management, lean operational excellence, contract efficiencies and material reuse. We estimate these measures have delivered a net contribution to profit of £27.2 million in 2014, and we are on track to achieve our target of £40 million per annum by 2020. This target is a personal performance measure, linked to remuneration, for our Chief Executive and for the Board.

Clear evidence emerged from analyst commentators in 2014 specifically linking sustainability with profitability and citing the importance of our sustainability credentials in customer relationships, with Cantor Fitzgerald and Liberum issuing 'Buy' recommendations after attending the launch of our 2013 Sustainability Report at Battersea Power Station in May 2014.

Leading the way in our sector

We will be recognised as the benchmark in sustainability and innovation, in turn driving demand as the service provider of choice for customers.

Highlights

- 6,783 global suppliers accredited to sustainability standards, with 10 per cent performing at the highest A-grade level
- Funding Partner for the Supply Chain Sustainability School
- Double winner of Business in the Community's (BITC) Big Tick Awards for our Ready for Work initiative and our apprenticeships programme
- BITC's Sieff Award Winner was Carillion employee, Elena Gonzalez, recognising her contribution to 'next generation' of sustainability leadership
- Carillion continues to be a member of the FTSE4Good index, which measures the performance of companies that meet globally recognised corporate responsibility

Effective collaboration and innovation are key to our relationships with customers, joint venture partners and supply chain partners. This helps us to retain customers by managing risk, creating operational efficiencies together and helping to shape ground-breaking sustainability initiatives, such as the Supply Chain Sustainability School.

In 2014, Carillion was the proud recipient of the 'FM Service Provider of the Year' award at the British Institute of Facilities Management Awards, for our long-term contract with Centrica/British Gas. Carillion received this award in recognition of excellence in a number of areas, especially employee training, customer service and the achievement of sustainability targets. Our ability to deliver an excellent customer service begins with our Customer Experience Centre, which is located in Sheffield and deals with all customer enquiries 24 hours a day, 365 days a year.

Carillion was also awarded the Investing in Integrity (IiI) Charter Mark in 2014, following a rigorous accreditation process by the Institute of Business Ethics. The Charter Mark confirms that its recipients are committed to acting with integrity at all times.

In 2015, we aim to increase the percentage of our expenditure with UK suppliers that goes to local businesses to 60 per cent (2014: 51 per cent). Working with smaller local businesses generates employment, boosts local economies and helps us to engage with the communities in which we work. In 2014, we exceeded the UK Government's target for its major suppliers to place 25 per cent of their external expenditure on Government contracts with Small and Medium-sized Enterprises (SMEs).

Our Small Business Charter was launched in 2014, underlining our commitment to working with our 3,172 accredited SMEs suppliers. A key feature of this is our Early Payment Facility (EPF), which is now used by 396 suppliers and through which we have made payments totalling £977.6 million in 2014.



Carillion Training Services continues to be a leading provider of apprenticeships in the UK and in the academic year from August 2013 to July 2014, Carillion had a total of 1,630 apprenticeships and traineeships.

Al Futtaim Carillion (AFC) has recently been accredited with the Dubai Chamber CSR Label, which recognises AFC's commitment to operating responsibly. Accreditation followed an evaluation process focusing on workplace impacts, marketplace impacts, community impacts and environmental impacts.

Providing better prospects for our people

We will maximise the prospects of our people by offering opportunities for continual learning and development, and create safe, healthy places to work.

Highlights

- 17 per cent reduction in our Lost Time Incident Frequency Rate in 2014
- 14 per cent of employees utilise the Carillion special leave policy, which enables them to engage in community and charity activities for up to six days a year on full pay

We work hard to create safe places to work, we encourage diversity across our employee and leadership populations and we strive to provide excellent prospects for our people. Carillion aims to foster a working environment in which all employees are treated with courtesy, dignity and respect. We strive continually to eliminate all bias and unlawful discrimination in relation to job applicants, employees, business partners and members of the public. Employees who become disabled are, wherever possible, retrained or provided with equipment that enables them to continue their employment.

Our target is zero accidents and zero ill-health caused, or made worse, by work. In 2014, we also emphasised the importance of health as well as safety through launching our new Occupational Health strategy (Health Like Safety), which aims to improve workplace wellbeing, reduce risk and respond better to serious health incidents.

Carillion Training Services won the Education & Training Services Sector award at the Royal Society for the Prevention of Accidents' Occupational Health & Safety Awards in 2014.

Our Chief Executive's Leadership Team (CELT) has adopted a Gender Pathways Strategy to attract, develop and retain more women in our business, as part of our gender diversity strategy. Currently, 19 per cent of our 96 most senior managers are female and 29 per cent of Directors on the Carillion plc Board are female. Our objective is for 30 per cent of all senior management positions to be occupied by females by 2020 and the Gender Pathways Strategy has set detailed and grade-specific targets, including making an additional 50 female leadership appointments, increasing female graduate intake to 50 per cent and increasing our female apprenticeships by five per cent, over the next five years.

Sustainability – A key resource

continued

In 2014, Carillion Canada became a Patron Member of the Canadian Council of Aboriginal Businesses (CCAB). The CCAB is dedicated to promoting Aboriginal communities within the Canadian economy. We have also become a signatory to the Progressive Aboriginal Relations (PAR) programme and we are major sponsors of a First Nations employment training camp.

In 2014 we launched a website to encourage our people to volunteer to work with their local communities and engage in charitable work, as part of our ongoing drive towards having 50 per cent of our people using our six-day special leave programme by 2020.

Supporting sustainable communities

Our leadership in creating employment and skills opportunities, coupled with our understanding of the needs of our communities, will ensure we have a significant and net positive contribution everywhere we work.

Highlights

- 96 per cent of our contracts have community needs plans in place
- 87 per cent of our apprentices found employment or pursued further education
- One per cent of our pre-tax profits were contributed to community activities in cash or through employee time

We believe we have a responsibility to create lasting social value and positive legacies for the communities in which we live and work. We seek to use our commitment and leadership to support community regeneration and social value through creating opportunities for local suppliers as well as generating direct employment opportunities with Carillion.

This is especially evident in Liverpool, where we began construction of the Royal Liverpool Hospital in 2014. Through this contract we are committed to creating benefits for the local economy over the life of the contract, including seeking to fill 60 per cent of the jobs arising from the contract with local people and with up to 15 per cent of the workforce coming from priority council wards. We will also create 100 apprenticeships, work placements for local young people, deliver bespoke construction training for the unemployed and support Young Offenders in becoming skilled through the Construction Skills Certificate Scheme (CSCS). We have also undertaken to make direct grant awards through the Liverpool Community Fund – a regeneration fund set up by Carillion to allocate £100,000 of funding to local community groups over the next three years. In the first year of construction, we have so far allocated over £31,000 to 20 local community groups.

Carillion Training Services has been given a prestigious Big Tick award by Business in the Community for our apprenticeship programme, which included employing 61 apprentices. In 2014, Carillion completed over 1,000 NVQs and apprenticeships, with more than 87 per cent of apprentices going on to find employment or pursue further education. Our target is to have 100 per cent of our apprentices, who complete their training, moving on into employment or further education.

We continue to contribute one per cent of our pre-tax profit, in terms of direct monetary donations and employee time, to support charities and other good causes, which include a strategic partnership with Barnardo's. In 2014, we raised more than £95,000 for Barnardo's alone, including £31,000 raised from a sponsored coast-to-coast cycle ride led by our Chief Executive, Richard Howson. Through our Employee Nomination Fund, Carillion donated £80,000 to 160 charities – each charity being nominated by our employees and receiving the equivalent of £500. In Canada, since 2007 we have raised close to CA\$1 million for the William Osler Foundation Fund, a charity associated with one of our health sector Public Private Partnership projects.

Encouraging our people to volunteer for community engagement enables them to experience the benefits of making a social contribution, with many forming lifelong commitments to specific charities or community groups. Business in the Community's (BITC) Give and Gain Day, a campaign led by the Community Impact Leadership team that Richard Howson chairs on behalf of BITC, became a worldwide focus for volunteering. Over 1,150 Carillion volunteers – the largest ever Carillion contribution – committed over 3,000 hours of their time and skills to local charities and projects, across the UK, Canada and the Middle East.

In Cairo, Al Futtaim Carillion (AFC) supplied materials and power tools to build a classroom extension for the African Hope Learning Centre that will provide more school places for African refugees. In Dubai, AFC provided the scaffolding for a temporary shelter for 4,000 visitors to the Jebel Ali Primary School when it held a school fete.

Our partnership with BITC remains very strong, with active support for the Business Connectors programme in Burnley, Battersea and Wythenshawe. We are also one of the UK's leading supporters of BITC's Ready for Work programme, supporting some of society's most disadvantaged people to enter employment, and BITC's Women Into Work and Business Class programmes. In 2014, 118 Ready for Work clients were offered a work placement with 82 per cent completing their placements and 64 clients gaining employment following a work placement with Carillion. Furthermore, 105 people from across Carillion's businesses, a record for the Group, volunteered their time and skills to support Ready for Work clients.

Throughout 2014, the team on our support services contract for Oxfordshire County Council has undertaken a series of activities, which have made significant improvements to social sustainability within Oxfordshire. This includes the appointment of over 40 long-term unemployed people to help deliver the Universal Free School Meals Programme, organising a supplier's conference, with individual coaching sessions for local Small and Medium-Sized Enterprises, and mentoring members of the Armed Forces to help them understand how their skills can be of value in gaining employment when they leave the Armed Forces.

Enabling low-carbon economies

Our services will help Carillion's customers work towards carbon neutrality, so together we become the lowest carbon producers in our respective sectors.

Highlights

- In the 2014 Climate Disclosure Leadership Index we achieved a score of 99A, confirming Carillion's place in the Global Climate A-List
- 17 per cent reduction in our carbon footprint against our 2011 baseline

Carillion is committed to a long-term carbon policy and strategy, which measures direct carbon emissions and takes targeted action to reduce them, not only in respect of our own carbon footprint, but across the lifecycle of the built environment that we create and maintain.

Carillion was awarded a climate performance A-grade in the Carbon Disclosure Project (CDP) global ranking, achieving a near-perfect score of 99A in the Climate Disclosure and Performance Leadership Index, which recognised our commitment to reducing carbon emissions and to open, transparent carbon reporting. We were one of only 187 companies that were awarded a climate performance A-grade in the Carbon Disclosure Project's global ranking of 2,000 publicly-listed companies. This Index provides a tool for nearly 800 institutional investors and stakeholders to evaluate and track corporate efforts to mitigate climate change.



Carillion achieved a near perfect score in the Carbon Disclosure Project global ranking, confirming our place in the Global Climate List and demonstrating our commitment to reducing carbon emissions and to open and transparent reporting.



Carillion has a strategic partnership with Barnardo's for which we raised more than £95,000 in 2014, including £31,000 from a sponsored coast-to-coast cycle ride led by Carillion Chief Executive, Richard Howson.

Carillion is preparing for the introduction of Business Information Modelling (BIM) across Public Service Procurement in 2016. This process is designed to create better, safer and more efficient ways of delivering buildings and will be a focus of activity for Carillion in 2015.

In the UK, modular building design based on accommodation blocks has been estimated to save 30 per cent of carbon produced during manufacture and construction and our EcoPod technology is reducing energy bills and cutting carbon emissions in more than 40 high-rise buildings.

Innovation is a key part of delivering low-carbon economies. In Abu Dhabi, on the Four Seasons Hotel project, our team used an innovative concrete mix to reduce carbon by 12,500 tonnes, saving £140,000 with no compromise on strength. In Canada, our Energy Conservation Assistance Programme has so far saved £219,000 by providing advice for low income families across 8,000 residences.

In the table below, we report our Greenhouse Gas emissions (GHG) in tonnes of carbon dioxide equivalent (CO₂e) from the sources required under the Companies Act 2006 (Strategic Report and Directors' Report Regulations 2013). We have used the Greenhouse Gas (GHG) reporting protocol to calculate our GHG emissions for 2014, based on data gathered to fulfil our requirements under the CRC Energy Efficiency scheme and on emission factors from the UK Government's GHG Conversion Factors for Company Reporting 2014. We have quoted figures for all sources whose costs are included in our consolidated financial statements. We do not record 'fugitive emissions' as these are not part of our core operations.

The non-financial figures reported in the below table have been reviewed by independent external assurance provider Bureau Veritas. For details of the scope of work and opinion on the accuracy of our stated performance, please see the full assurance statement in our 2014 Annual Sustainability Report, which will be published on our corporate website in April 2015.

Emissions from	2014 ⁽¹⁾ (CO ₂ e tonnes)	2013 (CO ₂ e tonnes)
Combustion of fuel and operation of facilities (Scope 1)	134,656	157,459
Electricity, heat, steam and cooling purchased for own use (Scope 2)	25,116	27,059
Transport, paper and others including electricity, gas (WTT) and electricity (WTT) (Scope 3)	15,936	16,688
Chosen intensity metric: Emissions (tonnes) per million (£) of revenue	43.1	49.3

(1) The 2014 CO₂e numbers are subject to an adjustment as some of the actuals for Quarter 4 2014 were not available at the time of publication and have been estimated based on 2013 data. The 2013 CO₂e numbers shown in this table are actuals. Further information will be published in our 2014 Annual Sustainability Report in April 2015.

Protecting the environment

We will work with our customers and suppliers to be best-in-class in reducing waste, managing the use of water and raw materials, and protecting biodiversity wherever we operate.

Highlights

- > 95 per cent of waste diverted from landfill
- > 35 per cent of our global suppliers has responded positively to sourcing materials and products from responsible and ethical sources

We actively manage and seek to reduce our impacts and costs arising in respect of waste, water usage and biodiversity through policies, action plans and monitoring and measuring our performance. Our action plans apply to our own offices and to contracts across all our business, with our Environment Policy driving business unit plans and targets. All our operations in the UK, Middle East and North Africa are certified to ISO 14001 international environmental standard, and Carillion Canada's Roads Maintenance business in Ontario is also certified to ISO 14001.

In 2014, Carillion became one of the first British businesses to sign up to WWF-UK's new forest campaign. As a signatory to the campaign, we are committed to responsible forest trade and to sourcing 100 per cent of our timber and wood products from sustainable sources by 2020, having achieved 97 per cent to date.

In 2014, we paid special attention to diverting waste from landfill and thereby extending its lifecycle. The new Police Headquarters in Niagara, Canada, produced excavated material that was re-used on site and generated a saving of £500,000. In Qatar we have saved thousands of plastic bottles and transport miles by swapping the use of transported bottled water for safety-tested mains water in Ras Laffan Industrial City, north of Doha. In the UK, 22.4 tonnes of food waste was sent for anaerobic digestion to produce energy and the re-use of site cabins on the Royal Liverpool Hospital project have saved around £1 million.

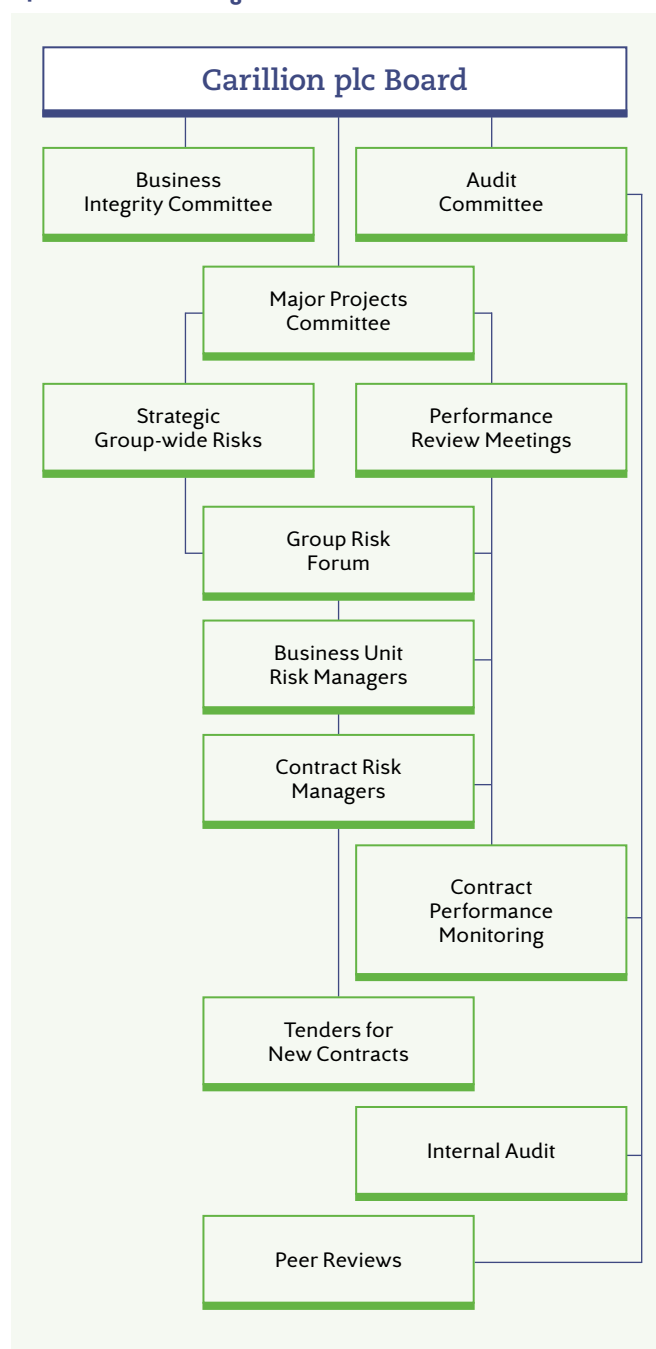
On a Carillion Rail contract based in Brighton, we achieved a waste-to-landfill diversion rate of 99.7 per cent, with exemplary performance in respect of used timber that also made a significant contribution to the local community. Used timber was sent to the Community Wood Recycling Project, a local not-for-profit enterprise providing employment and training to long-term unemployed and socially disadvantaged people. On our contracts that form part of the Kings Cross regeneration project for Argent, we saved 20 tonnes of used timber from going to landfill, again through a Community Wood Recycling Project. The King's Cross project also created seven work placements for homeless people under the Business Action on Homelessness programme, three of whom are now working full time.

Carillion has continued its strategic partnership with the UK's Wildlife Trust organisations through our Natural Habitats Fund, which supports a variety of biodiversity projects with financial support and employee volunteering. To date, the Fund has helped 72 essential habitat and conservation work ventures, with over £435,000 of grants from Carillion. In 2014, we also became the first ever corporate partner of the Freshwater Habitats Trust, which focuses on promoting biodiversity, the creation of ponds and innovative eDNA testing for protected species in freshwater.

Operational risk management – A key process

Rigorous risk management is a key element of our business model as explained on page 15. The comprehensive processes we have in place to manage operational risks are illustrated in the diagram opposite.

Operational risk management



Principal risks and uncertainties

The Group's principal risks and uncertainties are set out in the table below together with their potential impact on our business and the measures we take to manage and mitigate them.

The Group's principal risks	Potential impact	Mitigation
Continuing to win and retain contracts on satisfactory terms and conditions in our existing and new target markets and geographies if customer requirements change, competition increases or demand reduces due to the impacts of a low oil price or more general adverse economic conditions.	Failure to achieve targets for revenue, cash-backed profit and earnings	- Continually analysing our existing and new target markets to ensure we understand the opportunities they offer - Applying our rigorous and well-defined selectivity criteria that are designed to ensure we take on contracts only where we understand and can manage the risks involved - Listening to our customers to ensure we understand their needs and that we meet or exceed them - Continually seeking to differentiate our offering through service quality, value for money and innovation - Implementing annual efficiency and cost reduction programmes to help us remain competitive - Behaving in accordance with our values to support our objective of being a trusted partner by our customers
Managing contracts to ensure that they are delivered effectively, on time and to budget	Failure to achieve the margins, profits and cash flows we expect from contracts, with consequent damage to our brand reputation	- Applying our rigorous policies and processes to monitor and manage contract performance - Ensuring we have high-quality people delivering projects
Managing our pension schemes to ensure that scheme liabilities remain within a range appropriate to our capital base	An increase in liabilities would reduce Carillion's net assets and adversely affect the market's valuation of Carillion and its share price	- The Group's main defined benefit pension schemes have been closed to new members and to future accruals for existing members - A single Trustee has been created for the Group's main defined benefit schemes to facilitate a consistent approach to investment strategy and management - The Group's main pension schemes have entered into a longevity swap which hedges the financial risks of future increases in the longevity of 9,000 pensioners in these schemes (see page 34) - Regularly reviewing our pensions management and investment policies to ensure that employee and company contributions, together with scheme benefits, remain appropriate - Rigorously assessing the pensions implications of all new contract bids and all business acquisitions and disposals to ensure they are manageable
Developing and attracting excellent people to create a vibrant, diverse and flexible workforce	Failure to maintain satisfactory performance in respect of our current contracts and failure to deliver our strategy and business targets for growth	- Continuing to develop and implement leadership, personal development and employee engagement programmes that encourage and support all our people to achieve their full potential - Regularly reviewing employee remuneration in the context of market conditions
Maintaining high standards of ethics and compliance in respect of managing contracts and meeting regulatory requirements	Losing the trust of our customers, partners and suppliers with consequent adverse effects on our ability to retain contracts and be shortlisted to bid for new contracts and therefore our ability to deliver our strategy and business objectives	- Having clear policies and procedures in respect of ethics, integrity, regulatory requirements and contract management - Maintaining mandatory training programmes to ensure our people fully understand these policies and requirements - Achieving the standards required to be awarded the Charter Mark for Investing in Integrity by the Chartered Institute of Business Ethics in 2014 - Having a steering group and compliance manager to ensure compliance and the updating of risk assessments - Carrying out "peer reviews" of contracts under which contracts are reviewed by teams drawn from within the Group who do not have any management responsibilities for the contracts they review - Operating and encouraging the use of a 'whistle-blowing' facility
Maintaining high standards of cyber security	Security breaches that damage our IT and management systems with consequent impacts on our ability to meet regulatory requirements, manage confidential information and deliver contracts that meet the needs of customers and deliver the profit and cash performances we expect	- Having a dedicated information security manager - Commissioning a specific information security assessment and seeking ISO 27001 certifications in 2015 for our data centres - Implementing an international standard information security framework - Deploying encryption software on all laptops and removable media, prioritising staff working on sensitive contracts - Continuously reviewing our systems and upgrading our hardware and software technology and processes
Maintaining high standards of Health & Safety and security	Damage to employee morale leading to an increase in employee turnover rates, with consequent loss of customer, supplier and partner confidence and damage to our brand reputation in an area that we regard as our top priority	- A Board led commitment to achieve zero accidents - Directors and senior managers lead by example and are trained to NEBOSH Certificate standards - Visible management commitment with Directors' Safety Tours, Safety Audits and Safety Action Groups - Implementing management systems that conform to Occupational Health & Safety Assessment System 18001 - Extensive mandatory employee training programmes - Employee empowerment through our hazard reporting programme, 'Don't Walk By', that enables everyone in Carillion to report for immediate action anything they believe to be unsafe - Applying rigorous risk assessments and management processes supported by robust business continuity plans
Changes in UK Government policies and priorities following the General Election in 2015	A reduction in the opportunities we have to win Government contracts and an increased risk in respect of retaining existing contracts on current terms	- Continuous monitoring of political party policies - Continuously reviewing our business plans in order to minimise our exposure to potential changes in policy and priorities - Maintaining diverse offerings and a resilient business mix

Tried, tested, trusted – Case studies

Next Generation Estates Contracts, UK Ministry of Defence

In 2014, a Carillion joint venture won all five of the Next Generation Estates Contracts for which we bid to provide a wide range of hard facilities and asset management services to the Defence Infrastructure Organisation. These contracts are initially for five years, but can be extended to 10 years, and are worth up to £4.5 billion to the joint venture and up to £2.5 billion to Carillion over 10 years. We previously had two Prime contracts under which we provided hard facilities management services to the Defence Infrastructure Organisation. Going forward, our joint venture will provide these services to around 85 per cent of the Ministry of Defence estate.

The new contracts include the National Prime Housing contract, which involves the provision of services for more than 49,000 military homes throughout the UK, and four Regional Prime contracts, namely Scotland and Northern Ireland, Central, South East and South West, which involve the provision of services to around 23,000 buildings across the UK. In addition, as part of the South West contract, the joint venture will also provide a total facilities management service at the Defence Equipment and Support Procurement Organisation at Abbey Wood and the UK Hydrographic Office, including catering, cleaning and other soft facilities management services, in addition to hard services.

The service delivery model has been designed to support the UK Government's objective of encouraging the use of Small and Medium-sized Enterprises and our joint venture will use these contracts to create further opportunities to demonstrate their commitment to the Armed Forces Corporate Covenant, which helps ex-service personnel find employment and supports the provision of Reservists.

The Defence Infrastructure Organisation set industry the challenge of providing added value to the military estate and the offers submitted by our joint venture have been recognised as generating considerable benefits, including the use of market-leading customer feedback systems.



Royal Liverpool University Hospital, Public Private Partnership project

At the beginning of 2014, Carillion began construction of the £335 million Royal Liverpool University Hospital project for the Royal Liverpool and Broadgreen University Hospitals NHS Trust, with construction due for completion by 2017. Carillion will also invest £15.5 million of equity in the project, from which we expect to generate around £200 million of revenue over the 30-year life of the concession contract, and we will provide non-clinical support services that are expected to generate around £100 million of revenue over the same period.

The new hospital will provide a world-class facility designed to provide a whole new approach to healthcare and help the Trust tackle some of the region's biggest health issues and improve the health and wealth of the City. It is being built next to the existing hospital, which will be demolished once services have been transferred. The new hospital will be the largest all single-bed hospital in the country with 646 beds, including a 40-bed Critical Care Unit, 18 operating theatres and one of the largest emergency departments in the North West. It will also have an underground car park

for patients and visitors, and buses will come onto the site, providing better and easier access to the hospital. There will be a dedicated cycle centre and ten electric car charging points. The hospital will be one of the 'greenest' in the country, with renewable energy systems, low carbon technology, water meters and leak detection systems. The project will also pave the way for a world-class Liverpool BioCampus on the site of the current hospital, which will play a key part in transforming the area and regenerating the Knowledge Quarter of the City.

Construction of the new hospital is expected to contribute around £240 million to the local economy, creating the equivalent of some 750 full-time jobs during the construction period, with 60 per cent of these jobs going to local people. Carillion has also committed to source at least 60 per cent of materials locally. 15 per cent of the workforce will come from priority Council Wards in the City and 100 apprenticeships are being created.



Tried, tested, trusted – Case studies continued

Dubai World Trade Centre

In October, the UK Chancellor of the Exchequer, George Osborne, announced that Carillion will be the first company to benefit from UK Export Finance's (UKEF) new Direct Lending Facility (DLF). Carillion worked closely with UKEF in order to use the new DLF to secure a £75 million contract to deliver Phase 1 of the Dubai World Trade Centre District development for the Dubai World Trade Centre.

Carillion had already developed a strong relationship with UKEF, which is helping us to use our sector-leading expertise and reputation for quality, reliability and safety to win major contracts, having already secured four such contracts in the Middle East and North Africa with the support of UKEF's Standard Buyer Credit Facility. Under the Direct Lending Facility, HM Treasury has made £3 billion available to support export finance that enables UKEF to provide funding at the Commercial Interest Reference Rate with partner banks arranging loans, which has further enhanced our ability to use our world-class skills to compete and win contracts in our international markets.

Phase 1 of the Dubai World Trade Centre Development involves the construction of a 146,000 square metre development between the current Dubai International Convention and Exhibition Centre and Emirates Towers in the heart of the city's Central Business District. This includes an eight-storey office building and a 588-room business and tourism hotel. The development will be designed to best-in-class quality standards and will include international Grade A quality offices, which have achieved LEED® Gold pre-certification from the US Green Building Council – the industry benchmark for green building performance covering design, construction, operations and maintenance. The technology solutions and infrastructure being planned align with the Dubai Government's Smart City strategic agenda.

The Chancellor of the Exchequer commented: "It's great to see successful companies like Carillion winning contracts around the world. This deal, the first in a pipeline of many, will help us reverse the age old trend of not exporting enough, boosting growth and creating jobs".



Phase 1 Battersea Power Station Development

Carillion is now well advanced with Phase 1 of the £400 million redevelopment of Battersea Power Station, which it began in the second half of 2013. The Battersea Power Station development site is owned by a Malaysian consortium of S P Setia, Sime Darby Property and Employees' Provident Fund, with the development being managed by the Battersea Power Station Development Company.

The Phase 1 project, which forms part of a strategy to create a high-density, mixed-use development around the restored former Grade II* listed power station, is a mixed-use development comprising 866 apartments, together with retail facilities, theatre space, business studios and two levels of basement parking. It is located within the area bounded by the old power station to the East, the main railway serving Victoria Station to the West and the River Thames to the North. Extensive hard and soft landscaping is included in the Phase 1 works.

Being selected for Phase 1 of this prestigious project, which is one of the largest construction contracts to be awarded in recent history and which is scheduled for completion in 2016, reflects Carillion's reputation for delivering high-quality, value for money projects. Carillion's sector-leading sustainability credentials, including our ability to create new apprenticeships and jobs for local people, were key elements of our offering that helped to differentiate Carillion from its competitors. Battersea Power Station is the last central London regeneration project of its sort and over the course of the redevelopment it will generate 15,000 new jobs, 3,500 new homes as well as restoration of the historic power station itself.

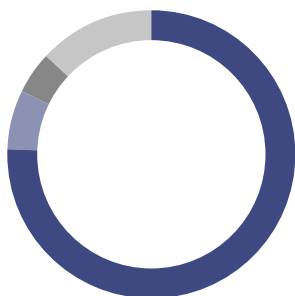


Outlook

Order book plus probable orders

£18.6bn

at 31 December 2014 (2013: £18.0bn)



- Support services 2014: £14.1bn (2013: £13.6bn)
- Public Private Partnership projects 2014: £1.2bn (2013: £1.2bn)
- Middle East construction services 2014: £0.9bn (2013: £0.9bn)
- Construction services (excluding the Middle East) 2014: £2.4bn (2013: £2.3bn)

Revenue visibility

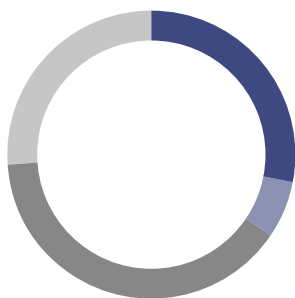
85%

record revenue visibility⁽¹⁾ for 2015 (2013 for 2014: 81%)

Pipeline of contract opportunities

£39.2bn

at 31 December 2014 (2013: £37.5bn)



- Support services 2014: £11.1bn (2013: £10.4bn)
- Public Private Partnership projects 2014: £2.5bn (2013: £3.0bn)
- Middle East construction services 2014: £15.4bn (2013: £13.1bn)
- Construction services (excluding the Middle East) 2014: £10.2bn (2013: £11.0bn)

Key Performance Indicators for 2015

To support our strategy and the delivery of our targets for growth, we have set the following Key Performance Indicators for 2015:

- › To develop and attract excellent people to create a vibrant, diverse and flexible workforce
- › To be a recognised leader in Health & Safety and Sustainability
- › To improve customer satisfaction
- › To reduce costs and improve efficiency to support margins
- › To deliver cash-backed profit.

Outlook

Despite the fact that market conditions remained challenging in 2014, we continued to win substantial new orders and probable orders, consistent with our selective approach, worth some £5.1 billion (2013: £4.9 billion), which is well in excess of the Group's revenue of £4.1 billion. At 31 December 2014, the Group had orders and probable orders worth £18.6 billion (31 December 2013: £18.0 billion), of which £17.1 billion related to signed contracts and £1.5 billion to probable orders, which are contracts that we have a greater than 90 per cent probability of signing, for example, where we have been selected as the preferred bidder for a contract.

This represented a strong work-winning performance, which resulted in record revenue visibility⁽¹⁾, which is currently around 85 per cent of anticipated revenue for 2015 (2013: 81 per cent for 2014).

We were also selected for a number of large framework agreements during 2014, for both support services and construction. These frameworks are expected to generate up to £2.0 billion of revenue for Carillion. However, the revenue we expect from framework agreements has not been included in our order book or in probable orders, in line with our strict order book policy, because this revenue is not guaranteed until specific contracts have been awarded under these agreements.

The value of our pipeline of contract opportunities at the year end increased to £39.2 billion (2013: £37.5 billion), which includes only specific contracts that have passed our initial selectivity criteria, and have either come to market or are expected to come to market.

Although there is still some way to go before our markets have fully recovered from the effects of the global economic downturn, we expect the steady improvement in our markets that began in 2014 to continue in 2015, subject to a sustained economic recovery. Therefore, in 2015 we will target revenue growth for the Group, particularly in support services given the strength of our work winning performance in this segment in 2014. We will also target winning further Public Private Partnership projects in which we can make equity investments that generate good financial returns, consistent with our objective of achieving an internal rate of return of 15 per cent.

Across all our markets, we will continue to be very selective in choosing the contracts for which we bid in order to maintain margin discipline and we will also target cash-backed profit in 2015.

Approved by order of the Board.

Richard Howson
Group Chief Executive
4 March 2015

(1) Based on expected revenue and secure and probable orders, which exclude variable work, frameworks and re-bids.

Performance and financial review

The Group's financial performance reflects the selective approach we take to choosing the contracts for which we bid in order to maintain margin discipline in challenging market conditions.

Richard Adam
Group Finance Director



Financial reporting segments and analysis Operating profit by financial reporting segment

	2014 £m	2013 £m	Change from 2013 %
Support services	135.9	118.0	+15
Public Private Partnership projects	34.5	58.4	-41
Middle East construction services	25.1	19.2	+31
Construction services (excluding the Middle East)	41.5	44.4	-7
	237.0	240.0	-1
Group eliminations and unallocated items	(11.0)	(11.2)	+2
Profit from operations before Joint Ventures net financial expense and taxation	226.0	228.8	-1
Share of Joint Ventures net financial expense	(6.4)	(10.1)	+37
Share of Joint Ventures taxation	(2.7)	(4.4)	+39
Underlying profit from operations⁽¹⁾	216.9	214.3	+1
Intangible amortisation	(16.8)	(19.2)	+13
Non-recurring operating items	-	(44.2)	+100
Reported profit from operations	200.1	150.9	+33

(1) The underlying results are defined in the footnotes to the financial highlights on page 1.

Performance and financial review

continued

Group overview

Carillion is an integrated support services company with a substantial portfolio of Public Private Partnership projects and extensive construction capabilities. Having this wide range of skills and resources enables the Group to deliver fully integrated solutions for buildings and infrastructure, from project finance through design and construction to lifetime asset management, together with business support services that add value for our customers and the communities in which we operate. The group has operations in the UK, Canada and the Middle East and North Africa, as described on pages 10 to 13.

Total revenue was unchanged at £4.1 billion. This included revenue from Joint Ventures of £578.0 million (2013: £748.3 million) and was achieved after absorbing foreign exchange headwinds in 2014 that amounted to some £95 million. Growth in Middle East construction services and in UK construction services was offset by lower revenue in Public Private Partnership projects which resulted from our policy of recycling equity investments in mature projects. The Group's total underlying operating margin⁽¹⁾ remained stable at 5.6 per cent (2013: 5.6 per cent), reflecting a lower contribution to profit from Public Private Partnership projects, because we sold fewer equity investments in 2014 than in 2013, as planned, being offset by improved margins in support services and Middle East construction services. Total underlying profit from operations⁽²⁾ increased by one per cent to £216.9 million (2013: £214.3 million), including profit from Joint Ventures of £25.1 million (2013: £26.5 million), benefiting from the improved margin performances in Support Services and Middle East construction services together with a reduction in the net financial expense and taxation charge relating to Joint Ventures.

After an increase in the underlying net financial expense⁽²⁾ to £44.0 million (2013: £39.6 million), underlying profit before taxation⁽³⁾ was one per cent lower at £172.9 million (2013: £174.7 million).

Intangible amortisation was £16.8 million (2013: £19.2 million). In addition the Group recognised a charge of £3.6 million in relation to movements in the fair value of derivative instruments and these together with non-recurring operating items and non-operating items of £9.9 million (2013: £44.9 million), resulted in profit before taxation increasing by 29 per cent to £142.6 million (2013: £110.6 million).

The underlying Group taxation charge⁽³⁾ of £21.0 million (2013: £19.4 million), when combined with a taxation charge on Joint Ventures of £2.7 million (2013: £4.4 million), represented an underlying effective tax rate⁽³⁾ of 13.5 per cent (2013: 13.3 per cent). Profit after tax increased by 20 per cent to £127.5 million (2013: £106.3 million). After non-controlling interests of £6.8 million (2013: £6.1 million), profit attributable to Carillion shareholders was £120.7 million (2013: £100.2 million) leading to a 20 per cent increase in basic earnings per share to 28.0 pence (2013: 23.3 pence).

Underlying cash flow from operations⁽¹⁾ was £258.6 million and represented 119 per cent of underlying profit from operations⁽¹⁾ (2013: 75 per cent). This strong cash performance continues to be in line with our long-standing guidance, namely that once we had completed the rescaling of our UK construction business, we would return to positive net cash generation. At 31 December 2014, net borrowing reduced to £177.3 million (2013: £215.2 million), after investing £38.5 million in two bolt-on acquisitions in Canada.



In 2014, Carillion was awarded a £200 million, five-year contract to provide facilities management services for over 50 public sector prisons operated by the Ministry of Justice in the UK.



In 2014, Carillion began a five-year contract to provide property facilities management services to the Royal Bank of Scotland for the whole of its estate.

(1) The underlying results are defined in the footnotes to the financial highlights on page 1.
 (2) Before fair value movements in derivative financial instruments (see note 5 on page 90).
 (3) Before intangible amortisation, non-recurring operating items, non-operating items and fair value movements in derivative financial instruments (see note 4 on page 89 and note 5 on page 90).

In 2014, Carillion was awarded a £200 million, five-year contract to provide facilities management services to the Nottingham University Hospitals NHS Trust.

Support services

	2014 £m	2013 £m	Change from 2013 %
Revenue			
- Group	2,099.7	2,029.4	
- Share of Joint Ventures	224.2	271.5	
	2,323.9	2,300.9	+1
Underlying operating profit⁽¹⁾			
- Group	113.5	92.8	
- Share of Joint Ventures	22.4	25.2	
	135.9	118.0	+15

In this segment we report the results of our facilities management, facilities services, energy services, rail services, road maintenance, utility services and consultancy businesses in the UK, Canada and the Middle East.

Although reported revenue increased by one per cent, this nevertheless represented underlying growth of around six per cent, because we replaced the £70 million or so of revenue that was lost in the first quarter of 2013 due to a number of energy services contracts coming to an end and not being replaced as a result of changes in Government policy and there was a £39 million headwind due to adverse movements in US and Canadian dollar exchange rates. The increase in operating margin to 5.8 per cent (2013: 5.1 per cent) reflects the benefit of maintaining a selective approach to the contracts for which we bid and cost savings, notably those we achieved from restructuring in 2013.

Work winning in support services was particularly strong in 2014 with new orders and probable orders worth £2.9 billion (2013: £1.9 billion). This included a number of major successes for public sector customers in the UK, notably winning all five of the Next Generation Estates Contracts for which we bid, to provide hard facilities management services for the Defence Infrastructure Organisation, that are worth up to £2.5 billion over ten years. We also won a £200 million, five-year contract (extendable to seven years) to provide a total facilities management service to some 50 per cent of the public sector prisons operated by the Ministry of Justice in the UK, and a £200 million, five-year contract to provide facilities management services to the Nottingham University Hospitals NHS Trust. In addition, we won contracts to provide a range of support services for private sector customers, including the Royal Bank of Scotland, Arqiva, Heathrow Airport Limited and Canadian Natural Resources Limited that together are worth over £400 million over five years. We were also selected for a number of framework contracts by Network Rail that we estimate to be worth up to £500 million to Carillion, which has not been included in our order book or probable orders, in line with our order book policy.

In December 2014, we acquired a 60 per cent interest in the Rokstad Power Corporation (Rokstad), which is based in British Columbia, Canada. Rokstad is one of Canada's leading providers of transmission and distribution power line services, including specialist live-line operations. The total cash consideration for this acquisition of up to £31 million will be paid in annual instalments over the period to July 2017 and we have consolidated Rokstad's net borrowing of £19 million at the end of 2014. We will acquire the remaining 40 per cent interest in Rokstad after five years at a multiple of 4.5 times Rokstad's 2019 earnings before interest, tax, depreciation and amortisation, capped at a maximum additional consideration of £42 million. This acquisition will significantly enhance our skills and prospects for growth in servicing the rapidly expanding electric power transmission and distribution market in Canada.

At 31 December 2014, the value of our support services order book plus probable orders increased to £14.1 billion (2013: £13.6 billion). We also continue to have good revenue visibility of 80 per cent⁽²⁾ for 2015 (2013: 78 per cent for 2014). Our pipeline of contract opportunities has increased at the year end to £11.1 billion (2013: £10.4 billion), notwithstanding our success in converting pipeline opportunities to contracts or probable contracts. Consequently, our pipeline remains strong, which together with our substantial order book means we are well placed to deliver revenue growth in support services in 2015.

(1) Before intangible amortisation and non-recurring operating items.

(2) Based on expected revenue and secure and probable orders, which exclude variable work, frameworks and re-bids.

MEDICAL CENTRE
UNIVERSITY HOSPITAL



Performance and financial review

continued

Public Private Partnership projects

	2014 £m	2013 £m	Change from 2013 %
Revenue			
- Group	1.5	2.3	
- Share of Joint Ventures	161.0	234.6	
	162.5	236.9	-31
Underlying operating profit⁽¹⁾			
- Group	24.1	46.0	
- Share of Joint Ventures	10.4	12.4	
	34.5	58.4	-41

In this segment we report the financial returns generated by the investments we make in Public Private Partnership (PPP) projects in the UK and Canada, including those from the sale of equity investments.

Our integrated business model enables us to combine our three core capabilities of project finance, construction and support services, to win and deliver PPP projects in which we make equity investments and for which we also secure long-term support services contracts and good-quality construction contracts.

Carillion has led the market in recycling equity investments in PPP projects, namely selling investments in mature projects (those that have passed from construction into the operational phase) and reinvesting the proceeds in new projects. In 2014, we sold equity investments in four projects for cash proceeds of approximately £37 million, which represented an average discount rate of some seven per cent and generated a pre-tax profit of £13.9 million.

In 2014, our portfolio of investments in PPP projects continued to perform in line with expectations and our objective of achieving an overall post-tax internal rate of return of 15 per cent. Revenue in 2014 reduced due to the effects of selling seven equity investments in 2013, as previously reported, and of selling further investments in 2014, as noted above. Operating profit reduced in line with expectations, primarily because we sold less equity in mature projects in 2014 than in 2013.

At 31 December 2014, we had 17 PPP projects in which we had invested £42 million of equity and into which we are committed to make further planned investments of £112 million. The Directors' valuation of our portfolio of equity investments at 31 December 2014, using a nine per cent discount rate, was £48 million (2013: £68 million), which reduced due to the effect of selling investments during the year.

During 2014, a Carillion Joint Venture achieved financial close on the Aberdeen Western Peripheral Route in which we expect to invest some £20 million of equity and a Carillion Joint Venture was also selected as the preferred bidder for the Midlands Priority Schools Programme, in which we expect to invest up to £5 million of equity. At 31 December 2014, the value of our order book plus probable orders was some £1.2 billion (2013: £1.2 billion), with the revenues associated with new financially closed and preferred bidder projects offsetting equity sold in mature projects during 2014.

The outlook for adding more investments to our portfolio remains positive as we continue to have a good pipeline of contract opportunities. In the UK, Carillion is shortlisted for the Midlands Metropolitan Hospital in which we could invest up to £40 million of equity. In Turkey, we continue to be shortlisted for a hospital project in which we could invest up to £35 million of equity. In Canada, we are shortlisted for three projects – MacKenzie Vaughan Hospital, North Battlefield Hospital and Stanton Territorial Hospital – in which we could invest over £17 million of equity. In the Republic of Ireland, we are shortlisted for two projects – one for schools and one for courts – in which we could invest up to £13 million of equity. Beyond this we expect further opportunities to come to market in 2015, notably in Canada in the healthcare sector.

(1) Before intangible amortisation and non-recurring operating items.



An artist impression of the new Royal Liverpool Hospital, one of Carillion's Public Private Partnership projects on which we began the £335 million construction phase at the beginning of 2014.

Middle East construction services

	2014 £m	2013 £m	Change from 2013 %
Revenue			
- Group	323.4	250.3	
- Share of Joint Ventures	177.3	233.2	
	500.7	483.5	+4
Underlying operating profit⁽¹⁾			
- Group	24.3	15.4	
- Share of Joint Ventures	0.8	3.8	
	25.1	19.2	+31

In this segment we report the results of our building and civil engineering activities in the Middle East and North Africa.

The four per cent increase in revenue reflected our strong work-winning performance over the past 18 months and was achieved notwithstanding a £25 million headwind due to adverse movements in US dollar exchange rates. The improvement in operating profit reflected the increase in revenue and an increase in operating margin to 5.0 per cent (2013: 4.0 per cent), as we have continued to see improvements in trading conditions in some Middle East markets. Trading conditions in the UAE, where our main Joint Venture business operates, have remained very competitive, although we have begun to see some signs that our markets are improving, notably in Dubai, where we are seeing a significant number of new contract opportunities coming to market.

In 2014, we continued to win substantial new contracts. For example, in Dubai, Al Futtai Carillion (AFC) won contracts for two luxury hotels – the W Hotel and Phase IV of the Madinat Jumeirah Resort project that involves the construction of a luxury 435-room hotel – which together are worth some £300 million – and a £75 million contract for Phase 1 of the Dubai World Trade Centre development. In the Kingdom of Saudi Arabia Carillion won a £70 million contract to build the Aldara Hospital and Medical Centre in Riyadh. AFC also converted preferred bidder positions into signed contracts for the £150 million Phase 2 Avenue City Walk development in Dubai and the £110 million Hard Rock Hotel in Abu Dhabi.

The value of our order book plus probable orders for Middle East construction services remained at £0.9 billion at the year end (2013: £0.9 billion) giving revenue visibility for 2015 of 85 per cent⁽²⁾ (2013: 85 per cent for 2014). Our pipeline of contract opportunities increased to £15.4 billion at the year end (2013: £13.1 billion), as significant new contracts are expected to come to market, notably in Oman, Dubai and Qatar. There have been no immediate signs of a reduction in contract opportunities as a result of the worldwide drop in oil prices, therefore given the strength of our order book and pipeline, we believe we have the opportunity to grow revenue again in 2015 and to deliver growth over the medium term, with margins moving up towards our medium-term target of six per cent.

(1) Before intangible amortisation and non-recurring operating items.

(2) Based on expected revenue and secure and probable orders, which exclude variable work, frameworks and re-bids.



Al Futtai Carillion, our joint venture business in the United Arab Emirates, is nearing completion of the £112 million Al Jalila Speciality Children's Hospital for the Dubai Health Authority.



In 2014, Al Futtai Carillion completed the £570 million New York University in Abu Dhabi, which provides state-of-the-art facilities for around 2,500 students.

In 2014, a Carillion joint venture secured a 33-year Public Private Partnership contract to finance, build and operate the Aberdeen Western Peripheral Route.

Performance and financial review

continued

Construction services (excluding the Middle East)

	2014 £m	2013 £m	Change from 2013 %
Revenue			
- Group	1,069.3	1,050.6	
- Share of Joint Ventures	15.5	9.0	
	1,084.8	1,059.6	+2
Underlying operating profit⁽¹⁾			
- Group	40.9	44.8	
- Share of Joint Ventures	0.6	(0.4)	
	41.5	44.4	-7

In this segment we report the results of our UK building, civil engineering and developments businesses, together with those of our construction activities in Canada.

As previously reported, the planned rescaling of our UK construction business, which we achieved by being very selective in terms of the contracts for which we bid, was completed by the end of 2013, having aligned our UK business to the size of its target markets. In 2013 and 2014, we won considerable new work in the UK, consistent with our selective approach of focusing on large, higher added-value contracts that can be delivered only by contractors with the necessary scale and capabilities. We have also focused on contracts for customers with whom we have, or can build, strong long-term relationships, especially customers for whom we provide integrated solutions.

Consequently, UK construction revenue increased in 2014 to £0.9 billion (2013: £0.8 billion). However, this increase was partially offset by a reduction in revenue in Canada to leave overall revenue in this business two per cent higher than the level achieved in 2013. The reduction in Canada was due partly to a movement in the exchange rate that reduced revenue by some £23 million on a like-for-like basis, coupled with the effect of tightening our selective approach in order to focus increasingly on construction work secured through winning Public Private Partnership projects, as these projects also offer valuable equity investments and long-term support services contracts.

When we announced the planned rescaling of our UK construction business in 2010, we explained that the operating margin would initially increase, due to the temporary benefits of rescaling, before trending back over the medium term to a more normal level. This trend continued in 2014, with the margin reducing to 3.8 per cent (2013: 4.2 per cent) and with a consequent reduction in operating profit. Going forward we continue to expect the temporary factors that have contributed to higher margins in this segment, namely lower bid costs, the action we took to reduce overheads and favourable outturns on contracts being completed, to decline. However, we also continue to expect our normal margin to settle at a level above the industry average at between 2.5 per cent and 3.0 per cent, depending on market conditions, by around 2016.

In 2014, we won a number of significant new contracts and framework contracts. These included construction contracts for two new Public Private Partnership projects - the Aberdeen Western Peripheral Route and the Midlands Priority Schools Programme - which have a total construction value of approximately £315 million. In addition, we achieved financial close on the Sunderland Regeneration Programme, potentially worth up to £800 million to Carillion over 20 years. We also won a £90 million contract for HUB to deliver the Hoola residential development in London and a £75 million contract for Liverpool Football Club to extend the main stand at its Anfield Stadium. We were selected as the preferred bidder by Argent for contracts at King's Cross in London and Paradise Circus in Birmingham, worth £215 million, and by Helical Bar to build the £93 million Barts Square Phase 1 development in London. In addition, Carillion was one of five contractors selected by the Highways Agency to deliver contracts worth between £100 million and £450 million that form part of the Agency's £5 billion Collaborative Delivery Framework and a Carillion Joint Venture was selected as one of five contractors for the Midlands Highways Alliance framework. We estimate that these frameworks could generate up to £550 million of revenue for Carillion over five years and this has not been included in our order book or in probable orders, in line with our order book policy.

The value of orders plus probable orders at 31 December 2014 increased to £2.4 billion (2013: £2.3 billion), giving revenue visibility for 2015 of 92 per cent⁽²⁾ (2013: 80 per cent for 2014). Our pipeline of contract opportunities at the year end was worth £10.2 billion (2013: £11.0 billion), which remains healthy and offers the prospect of overall revenue growth in this segment in 2015.

(1) Before intangible amortisation and non-recurring operating items.

(2) Based on expected revenue and secure and probable orders, which exclude variable work, frameworks and re-bids.

In 2014, Carillion was awarded a £75 million contract by Liverpool Football Club to extend the main stand at its famous Anfield Stadium.

Group income statement, cash flow and balance sheet items

Intangible amortisation

Intangible amortisation of £16.8 million (2013: £19.2 million) related to the amortisation of intangible assets, largely arising from the acquisitions of John Laing Integrated Services Limited in 2013, Eaga plc in 2011, Alfred McAlpine plc in 2008 and Mowlem plc in 2006.

Non-operating items

The non-operating charge of £9.9 million (2013: £0.7 million) related to costs associated with the aborted merger discussion with Balfour Beatty plc and the acquisition of a 60 per cent interest in the Rokstad Power Corporation.

Underlying net financial expense

The Group's underlying net financial expense⁽¹⁾ of £44.0 million (2013: £39.6 million) comprised the following items: a net expense of £28.4 million (2013: £26.9 million) in respect of borrowings and other liabilities, a net interest charge in respect of defined benefit pension schemes of £15.8 million (2013: £15.1 million) and interest received in respect of loans to Public Private Partnership Joint Venture projects of £0.2 million (2013: £2.4 million).

Fair value movements in derivative financial instruments

A charge of £3.6 million (2013: £nil) was recognised in relation to the movement in fair value of derivative financial instruments reflecting the changes in the fair value of the option component associated with the Group's £170 million of convertible bonds issued in December 2014.

Taxation

The overall Group taxation charge for the year amounted to £15.1 million (2013: £4.3 million) and comprised a Group underlying taxation charge⁽²⁾ of £21.0 million (2013: £19.4 million), offset by a Group taxation credit of £3.4 million (2013: £5.9 million) in relation to the amortisation of intangible assets arising from business combinations, a Group taxation credit of £1.8 million (2013: £9.2 million) in relation to non-operating items and a Group taxation credit of £0.7 million (2013: £nil) in relation to the movement in fair value of derivative financial instruments.

The underlying Group taxation charge⁽²⁾ of £21.0 million (2013: £19.4 million), when combined with a taxation charge on Joint Ventures of £2.7 million (2013: £4.4 million), represented an underlying effective tax rate⁽²⁾ of 13.5 per cent (2013: 13.3 per cent). This is below the UK standard rate of corporation tax of 21.5 per cent for 2014, because our profits in the Middle East and from the disposal of equity investments in Public Private Partnership projects are subject to zero or low rates of tax and we can utilise tax losses in the UK that were largely inherited with the acquisitions of Mowlem plc, Alfred McAlpine plc and Eaga plc. At 31 December 2014, the Group had £247 million of corporate tax losses (2013: £275 million) that are available to reduce future tax payments.

Underlying earnings per share

Underlying earnings per share⁽³⁾ reduced by three per cent to 33.7 pence (2013: 34.7 pence). The weighted average number of shares in issue in 2014 was 430.2 million (2013: 430.1 million).

Dividend

Carillion has a progressive dividend policy that aims to increase the dividend per share broadly in line with growth in underlying earnings per share⁽³⁾, subject to the investment needs of the business. The Board has recommended a final dividend of 12.15 pence per share for 2014, making the proposed full-year dividend 17.75 pence per share (2013: 17.50 pence per share), an increase of one per cent on the total paid in respect of 2013. The Board's decision to recommend an increase in the dividend, despite the reduction in underlying earnings per share⁽³⁾, reflects its confidence in the Group's resilience and ability to achieve its medium-term growth targets. Dividend cover, based on the proposed full-year dividend of 17.75 pence per share and underlying earnings per share⁽³⁾, is 1.9 times (2013: 2.0 times).

(1) Before fair value movements in derivative financial instruments (see note 5 on page 90).

(2) Before intangible amortisation, non-recurring operating items, non-operating items and fair value movements in derivative financial instruments (see note 4 on page 89 and note 5 on page 90).

(3) The underlying results are based on the definitions included in the key financial highlights on page 1.

Cash flow

Summary of the Group's cash flow

	2014 £m	2013 £m
Underlying Group operating profit	191.8	187.8
Depreciation and other non-cash items	26.6	21.3
Working capital	31.1	(66.4)
Dividends received from Joint Ventures	9.1	18.2
Underlying cash inflow from operations	258.6	160.9
Deficit pension contributions	(46.0)	(39.2)
Rationalisation costs	(11.5)	(22.0)
Interest, tax and dividends	(107.7)	(90.9)
Net capital expenditure	(22.4)	(27.2)
Acquisitions and disposals	(34.5)	(28.6)
Other	1.4	(12.4)
Change in net borrowing	37.9	(59.4)
Net borrowing at 1 January	(215.2)	(155.8)
Net borrowing at 31 December	(177.3)	(215.2)

As anticipated, following the completion of the rescoring of UK construction, the Group's cash flow has returned to a more normal profile, with an inflow of working capital and full-year underlying cash flow from operations⁽³⁾ representing 119 per cent of full-year underlying profit from operations⁽³⁾ (2013: 75 per cent).

Deficit recovery payments to the Group's pension funds of £46.0 million were in line with expectations and the agreement reached in 2014 with the Trustee of the Group's main defined benefit schemes for the three-year period to 2016. The £11.5 million of rationalisation costs primarily relate to the restructuring of Carillion Energy Services announced in 2013. Interest, tax and dividend payments of £107.7 million included increases in taxation and dividends payable. Net capital expenditure of £22.4 million mainly related to investments in upgrading the Group's IT systems. The £34.5 million payment in respect of acquisitions and disposals comprised net equity reductions in Joint Ventures of £5.2 million, the net cost of acquiring the Rokstad Power Corporation of £29.9 million, transaction costs associated with merger and acquisition activity of £1.2 million and an £8.6 million payment in respect of the final instalment for the acquisition of a 49 per cent interest in the Bouchier Group, which we completed in December 2012.

The above items, together with other changes of £1.4 million, resulted in a reduction in net borrowing to £177.3 million at 31 December 2014 (2013: £215.2 million).

Performance and financial review

continued

Balance sheet

Summary of the Group's balance sheet

	2014 £m	2013 £m
Property, plant and equipment	140.9	128.2
Intangible assets	1,610.8	1,552.8
Investments	139.9	159.3
	1,891.6	1,840.3
Inventories, receivables and payables	(351.6)	(327.6)
Net retirement benefit liability (net of tax)	(406.2)	(295.1)
Other	(62.0)	(18.8)
Net operating assets	1,071.8	1,198.8
Net borrowing	(177.3)	(215.2)
Net assets	894.5	983.6
Average net borrowing	(450.7)	(490.6)

There are five notable movements in the summary balance sheet above. First, the increase in intangible assets, which reflects the acquisition of the Rokstad Power Corporation. Second, the movement in investments, which reflects the sale of equity investments in Public Private Partnership projects. Third, the movement in inventories, receivables and payables, which reflects the change in working capital described in the commentary on the summary cash flow statement on page 33. Fourth, the increase in the Group's net retirement benefit liability, which is due to the positive effect of improved investment returns being more than offset by an increase in liabilities arising from a reduction in the discount rate. Fifth, the reduction in average net borrowing, which is largely due to the improved working capital performance described above.

Retirement benefits

Detailed information on the Group's pension arrangements can be found in note 31 on pages 111 to 114 of the consolidated financial statements. The Group operates pension arrangements for the benefit of eligible employees and has a number of defined benefit schemes and other post-retirement benefit arrangements, which have a total pension obligation amounting to £2,830.1 million (the 'liabilities'). Total pension assets relating to these liabilities are £2,320.4 million, giving a deficit of £509.7 million before deferred tax and £406.2 million after deferred tax.

The Board devotes significant time and resources to managing the Group's pension schemes and their inherent risks, through the following committees

- › a Board sub-committee, which is specifically tasked with monitoring and managing defined benefit pension arrangements and
- › an executive committee, which reports to the Board Committee, and comprises the Group Finance Director, Group Financial Controller and Group Head of Reward. The executive committee meets monthly to consider pension issues and to oversee the implementation of the Group's policies in respect of defined benefit pension arrangements.

The Group operates the following policies in respect of defined benefit pension arrangements

- › defined benefit pensions should not be offered to employees except where required under legislation or to meet the requirements of work-winning
- › where defined benefit pensions need to be offered to meet legislative or work-winning requirements, business protocols are in place to manage the risk involved and to ensure that the risk and costs are fully factored into pricing
- › investment risks should be monitored and gradually reduced commensurate with a balanced approach to risk and cost.

In line with these policies, the majority of the Group's principal schemes are closed to new entrants and members no longer accrue benefits for future service.

In 2013, the Trustees of the Group's main defined benefit pension schemes also took a further significant step towards reducing the risks and potential liabilities arising from these arrangements by entering into a longevity swap that hedges the financial risks of future increases in longevity. The swap covers 9,000 pensioners with a combined longevity liability of around £1 billion, or some 40 per cent of the total liabilities in respect of these defined benefit schemes.

As noted above the total deficit included in the Group's balance sheet at 31 December 2014 in relation to defined benefit schemes amounted to £406.2 million after deferred tax (2013: £295.1 million). The increase in the net deficit since the end of 2013 is primarily due to the negative impact of a reduction in the discount rate due to movements in the AA bond yield that amounted to approximately £430 million, partially offset by an increase in the market value of scheme assets of £184 million and the impact of reduced inflation expectations of approximately £140 million.

During 2014, we reached agreement with the Trustee in respect of valuations and revised deficit recovery payments for the Group's principal defined benefit schemes that was in line with our expectations. This results in committed funding payments for all the Group's defined benefit schemes together with other payments that arise in 2014, 2015 and 2016 of around £50 million per annum. Each scheme has its own specific funding arrangement and these funding arrangements will be reviewed following subsequent valuations.

The key assumptions used in the International Accounting Standard (IAS) 19 revised 'Employee benefits' deficit position are summarised in the table below.

	2014 %	2013 %
Discount rate	3.70	4.60
Inflation		
RPI	3.05	3.40
CPI	2.00	2.35
Salary increase	3.55	3.90
Average allocation of assets		
Equities/property	50	52
Gilts	22	18
Corporate bonds	26	28
Cash	2	2

The discount rate of 3.70 per cent is based on AA bond yields appropriate to the liability duration.

The RPI inflation rate of 3.05 per cent is based on the duration derived market-implied RPI.

The pension liabilities of the Group are subject to fluctuations arising from changes in the key assumptions above that are determined by general market conditions, which are outside the control of the Group. In particular, a 0.1 per cent reduction in the discount rate would increase the overall pre-tax deficit by around £48 million, whilst a 0.1 per cent increase in the inflation rate would increase the overall pre-tax deficit by around £41 million.

The Group's ongoing total pensions charge against profit in 2014, amounted to £29.7 million (2013: £34.4 million).

Acquisition of Rokstad Power Corporation

In December 2014, the Group acquired 60 per cent of the issued share capital of Rokstad Power Corporation (Rokstad). Rokstad, which is based in British Columbia, Canada, provides a full range of transmission and distribution power-line services that will significantly enhance the Group's skills and prospects for growth in the rapidly expanding electric power transmission and distribution market. The gross consideration of around £31 million will depend upon the financial performance of Rokstad and will be paid in instalments over the period to July 2017, with £11 million paid in 2014 and £7.5 million in 2015. Payments in 2016 and 2017 will depend on the financial performance of Rokstad and will be capped at a combined total of £12 million. We will also acquire the remaining 40 per cent interest in Rokstad after five years at a multiple of 4.5 times Rokstad's 2019 earnings before interest, taxation, depreciation and amortisation, capped at a maximum additional consideration of £42 million.

Share price

Carillion's share price was 335.8 pence at the close of business on 31 December 2014, an increase of 1.6 per cent on the closing price of 330.5 pence on 31 December 2013. Carillion delivered total shareholder return in 2014 of 6.9 per cent, compared with the return for the FTSE 350 of 1.2 per cent.

Committed bank facilities, private placements and convertible bonds

The Group's total available funding of £1.3 billion comprises committed bank facilities of £850 million, of which £785 million matures in 2018, private placement funding of £314.5 million, expiring between 2017 and 2024, and £170 million of convertible bonds maturing by 2019.

In the first half of 2014, the Group increased its borrowing capacity with the addition of two separate £15 million bi-lateral facilities with Barclays and the National Bank of Abu Dhabi, respectively. In December 2014, the Group issued £170 million of senior unsecured convertible bonds, which provided long-term finance and further diversified the Group's borrowing sources. The bonds, which were issued at par, carry a coupon of 2.50 per cent per annum payable semi-annually in equal instalments in arrears. Subject to certain conditions, the bonds will be convertible into fully paid ordinary shares. The initial conversion price has been set at £3.9856, which represents a premium of 25 per cent above the volume weighted average price (VWAP) of the Company's ordinary shares on the London Stock Exchange between the launch and pricing of the bonds. The ordinary shares underlying the bonds represent approximately 9.9 per cent of the Company's issued share capital immediately prior to the offering based on the initial conversion price. Upon conversion of the bonds, the Company may elect to settle its obligations by way of delivering ordinary shares, the payment of a cash alternative amount (calculated by reference to the VWAP of an ordinary share over a specified period) or a combination of the two. Unless previously redeemed, converted or purchased and cancelled, the bonds will be redeemed at par on or around 19 December 2019.

Funding and liquidity

In addition to Carillion plc's principal funding arrangements described above, money market and short-term overdraft facilities are available to Carillion plc and certain subsidiaries. Operating and finance leases are also used to fund longer-term assets. The quantum of committed borrowing facilities available to the Group is regularly reviewed by the Board and is designed to provide adequate headroom over and above the requirements of the Group's business plan. At 31 December 2014, the Group had undrawn committed facilities amounting to £722.0 million (2013: £550.5 million).

Operational and financial risk management

Carillion has rigorous policies and processes in place to identify, mitigate and manage strategic risks and those specific to individual businesses and contracts, including economic, social, environmental and ethical risks. The Group's risk management policies and processes, together with the principal risks and uncertainties to our UK and overseas operations and the measures being taken to mitigate and manage them, are described in detail on pages 20 and 21. The Board regularly reviews the risks facing the Group to ensure they are up to date and the appropriate measures are in place to mitigate and manage them.

Treasury policy and financial risk management

The Group has a centralised Treasury function whose primary role is to manage funding, liquidity and financial risks. In addition, Treasury sources and administers contract bond and guarantee facilities for the Group. Treasury is not a profit centre and does not enter into speculative transactions. The Board sets policies within which Treasury operates that ensure the most effective financing of the Group's operations and limit exposure to financial risk. The areas of significant financial risk facing the Group relate to funding and liquidity, counterparty risk, country risk, foreign exchange and interest rates.

Counterparty risk

The Group undertakes significant financial transactions only with counterparties that have strong credit ratings. Credit exposures to counterparties are monitored regularly so that exposure to any one counterparty is managed against Board approved limits, or approved directly by the Board.

Country risk

The Group has overseas activities in Canada and the Middle East, where our operations are based in Abu Dhabi, Dubai, Oman, Qatar, Egypt (in which we have one project that accounted for less than 0.5 per cent of the Group's total revenue in 2014) and Saudi Arabia (in which we have two projects that account for less than 0.3 per cent of the Group's total revenue in 2014).

Through our strategy of creating a well-balanced and geographically diversified business, we seek to minimise the political and socio-economic risks to our business. We also seek to mitigate the risks attendant on our overseas activities by ensuring that we operate only where we can apply high standards of corporate governance and corporate social responsibility and by regularly repatriating profits and cash to the UK.

The risk of political instability in Canada is judged to be minimal, as Canada has a stable parliamentary democracy. In the Middle East, we have deliberately based our activities in countries with a history of social stability and we have been unaffected by the unrest seen elsewhere in the Middle East. The one project we have in Egypt was undertaken because the customer is our joint venture partner in the UAE, the Al Futtaim Group, which significantly reduced the risks associated with operating in Egypt. While the potential for political unrest and conflict in the Middle East and North Africa to recur or to spread to countries so far unaffected remains a possibility, we believe our policy of focusing on countries with a history of stability, together with our rigorous corporate governance and financial management policies and processes, provides adequate mitigation against these risks. Furthermore, our strategy in the Middle East and North Africa of focusing on a small number of financially robust customers has enabled our businesses in the region to maintain healthy operating cash flows and remain financially independent.

Performance and financial review

continued

Foreign exchange

The Group's policy is to hedge all significant currency transaction exposures using foreign exchange risk management techniques. In order to protect the Group's balance sheet from the impact of exchange rate volatility, the Group's policy is to hedge foreign currency net assets using matching currency loans equivalent to at least 60 per cent of the net asset value, where these assets exceed the equivalent of £10 million. Profits arising within overseas subsidiaries are not hedged unless it is planned to make a distribution. Such distributions are then treated as currency transactions and hedged accordingly. The Group's US dollar denominated private placement financing is hedged using cross-currency derivatives.

The average and year-end exchange rates used to translate the Group's overseas operations are set out in the table below.

Sterling	Average		Year End	
	2014	2013	2014	2013
Middle East (US dollar)	1.65	1.57	1.56	1.66
Oman (rial)	0.63	0.60	0.60	0.64
UAE (dirham)	6.05	5.77	5.73	6.08
Canada (dollar)	1.82	1.62	1.81	1.76

The value of sterling strengthened during 2014 relative to the US dollar and Canadian dollar, which adversely impacted reported revenues in Canada and the Middle East. The reduction in revenues in 2014 compared to 2013 at constant exchange rates amounted to £67 million in Canada and £28 million in the Middle East.

Interest rates

The Group's £770 million five-year syndicated borrowing facility and £80 million bilateral borrowing facilities are at floating rates of interest linked to the London Interbank Offered Rate, the Canadian Dealer Offered Rate or the Emirates Interbank Offered Rate. The Group's £314.5 million of private placement funding is at various fixed interest rates as disclosed in note 20 on page 100. The Group's £170 million of convertible bonds is at a fixed interest rate of 2.5 per cent.

The Group has entered into cross-currency swaps and a fixed and floating swap to fix or hedge interest rate risk. In addition to the Group's private placement funding and convertible bonds, certain longer-term assets have been financed at fixed interest rates.

Carillion has invested equity in a number of Joint Venture Special Purpose Companies (SPC) to deliver Public Private Partnership projects. SPCs obtain funding for these projects in the form of long-term bank loans or corporate bonds without recourse to the Joint Venture partners and secured on the assets of the SPC. A number of SPCs have entered into interest rate derivatives as a means of hedging interest rate risk. These derivatives are interest rate swaps that effectively fix the rate of interest payable.

Credit risk

An analysis of the Group's credit risk is provided in note 27 on pages 106 and 107.

Going concern

The Group's business activities, together with the factors likely to affect its future development, performance and position, the financial position of the Group, its cash flows, liquidity position and borrowing facilities are described on pages 6 to 35. In addition, note 27 on pages 104 to 108 of the financial statements includes the Group's objectives, policies and processes for managing its capital, its financial risk management objectives, details of its financial instruments and hedging activities and its exposures to credit and liquidity risk.

The Group has considerable financial resources together with long-term contracts with a number of customers and suppliers across different geographic areas and industries. As a consequence, the Directors believe that the Group is well placed to manage its business risks successfully despite the current uncertain economic outlook.

In assessing the Company's ability to continue as a going concern, the Board reviews 18-month forecasts of the Group's borrowing requirements compared to available bank facilities. The forecasts are based on the latest available Budgets and Business plans that have been approved by the Board and adjusted where appropriate to reflect known variations. The Board applies sensitivity analysis to these forecasts to assess the impact of potential risks and opportunities in order to provide additional comfort on the level of headroom against available bank facilities. The Board's review also includes a forecast of the covenants associated with the Group's bank facilities, private placement and convertible bond funding in order to provide comfort that funding covenants will continue to be met.

The Directors confirm that, after due consideration, they have a reasonable expectation that the Company and the Group have adequate resources to continue in operational existence for the foreseeable future and that there are no material uncertainties in relation to going concern of which they are aware. For this reason, they continue to adopt the going concern basis in preparing the financial statements.



Richard Adam FCA
Group Finance Director
4 March 2015

Chairman's introduction to Corporate Governance

Your Board remains strongly committed to ensuring that Carillion maintains and continuously improves the structures and processes required to underpin the effective delivery of its growth strategy. We believe that good governance is an essential part of the way we undertake our business on a day-to-day basis, while maintaining effective risk management, control and accountability.

In my first governance report as Chairman, I am pleased to report that our commitment to business integrity, safety, strong governance and sustainability remains a key strength of our business. In this section of the Annual Report we provide details of our governance policies and practices, highlights of our governance activities and the status of our compliance with the principles of the UK Corporate Governance Code (September 2012).

Your Company continues to be led by a strong and balanced Board, which is well qualified to challenge, motivate and support the business. The Board as a whole is responsible for the Group's overall strategy and has in place clearly defined structures for the allocation of responsibilities relating to the various elements of the Group's strategy. Please see page 40 for an overview of the governance and management structure for the Group.

As we identified in our 2013 governance report, managing rotation of the Chairman and Non-Executive Directors was one of the key priorities for the Board in 2014. Our Chairman since May 2005, Philip Rogerson, stood down in 2014 and Vanda Murray, who chaired our Remuneration Committee, also retired from the Board in 2014 after serving for almost nine years on the Board. We thank both Phillip and Vanda for their significant contributions to the Group during a period of considerable change and growth for our business.

Following my appointment as Chairman, Steve Mogford was appointed Senior Independent Non-Executive Director and Alison Horner, who was appointed to the Board in 2013, assumed, in May, the chairmanship of the Remuneration Committee in succession to Vanda Murray. In addition, in April 2014, Ceri Powell joined the Board and became a member of all five committees of the Board. These changes have all been implemented seamlessly. Alison, Ceri and Steve will be available at the 2015 AGM to answer any questions about their new roles. Biographical details of all of the Directors are provided on pages 38 and 39.

The 2014 report from the Nominations Committee is set out on page 46. The Nominations Committee will continue to review the composition of the Board to ensure that we have the right balance of skills, experience, diversity and independence in place to support the future development of the Group.

The annual review of Board effectiveness is an important process for helping to identify key areas for future improvement or focus. The 2014 review was led by myself and facilitated by Linstock Limited, an independent corporate advisory firm. The results from our 2014 evaluation are detailed on page 44, but the following areas were, inter alia, identified as being key future priorities for the Board:

- › Senior management development and succession
- › The potential effects of a changing political environment in the UK
- › Opportunities for growth
- › Management of the Group's pension liabilities.

More details of our compliance with the leadership and effectiveness provisions of the Code can be found on pages 41 to 45.

The Board understands the importance of presenting a fair, balanced and understandable assessment of the Company's position and prospects and of the importance of effective reporting, risk management and internal control procedures. Further details on the Group's reporting, internal control and risk management processes are provided in the Audit Committee report on pages 48 to 51.

We also remain committed to regular and active dialogue with our shareholders. Steve Mogford and I continue to make ourselves available to facilitate such dialogue and in addition we also consult with our shareholders on any significant changes to remuneration for the Executive Directors and other matters of a strategic nature. Further details on our 2014 interaction with our shareholders are set out on page 45.

Recognising the importance of right behaviours to long-term performance and our reputation, the Board continues to remain committed to maintaining high standards of ethics and business integrity throughout the Group. The 2014 report from the Business Integrity Committee is set out on page 47. The Group also continues to put sustainability at the heart of all operational activity. In order to improve further the Board's focus on this important area, we have established a separate Sustainability Committee which will commence work in 2015.

Compliance with the 2012 code

During the year to 31 December 2014, as detailed in our Corporate Governance report on page 45 and in the Remuneration report on page 52, the Company complied fully with the requirements of the UK Corporate Governance Code (September 2012). Full details of this Code can be obtained from the Financial Reporting Council's website at www.frc.org.uk.



Philip Green
Chairman

4 March 2015

Board of Directors

Your Company continues to be led by a strong and balanced Board, which is well qualified to challenge, motivate and support the business.



01. Philip Green, CBE
Chairman
Age 61

Date appointed to Board:
1 June 2011

Tenure on Board:
3 years 9 months

Committee memberships:

- › Chairman of Nominations Committee
- › Chairman of Business Integrity Committee
- › Sustainability Committee

Independent: Yes

Relevant skills and experience:

- › Significant level of listed company board experience gained in executive and non-executive roles
- › Chief Executive Officer experience gained with large UK and international businesses
- › Operational leadership experience from a variety of business sectors
- › Strong track record in corporate responsibility
- › Experienced in M&A and strategy development

External appointments:

- › Non-Executive Chairman, BakerCorp
- › Senior Independent Director, Saga plc
- › Chairman Designate, Williams & Glyn Bank Limited
- › Chairman, Sentebale, a charity focused on Lesotho established by Prince Harry

Past roles:

- › Chief Executive of United Utilities Group PLC
- › Chief Executive of Royal P&O Nedlloyd
- › Director and Chief Operating Officer, Reuters Group PLC
- › Chief Operating Officer, DHL Europe and Africa
- › Chairman of Clarkson plc



02. Richard Howson
Group Chief Executive
Age 46

Date appointed to Board:
10 December 2009

Tenure on Board:
5 years 3 months

Committee memberships:

- › Nominations Committee
- › Sustainability Committee

Independent: No

Relevant skills and experience:

- › Fellow of the Institution of Civil Engineers
- › 19 years of service with Carillion in a variety of roles
- › Operational leadership experience gained through previous role of Chief Operating Officer
- › Detailed knowledge of key business units gained through previous roles
- › Significant experience in operational delivery, management of commercial positions and performance improvement
- › Strong track record on Health & Safety and sustainability

External appointments:
None

Past roles:

- › Chief Operating Officer, Carillion plc
- › Executive Director responsible for UK Construction and Middle East and North Africa, Carillion plc
- › Managing Director, Middle East and North Africa, Carillion plc



03. Richard Adam
Group Finance Director
Age 57

Date appointed to Board:
2 April 2007

Tenure on Board:
7 years 11 months

Committee memberships:

None

Independent: No

Relevant skills and experience:

- › A chartered accountant qualifying with KPMG in 1982
- › Nearly 30 years of experience as Finance Director of private and listed businesses
- › Significant experience of M&A activity with Carillion and in prior roles
- › Well-developed investor relations skills
- › Well versed in financing and capital structures, Carillion's funding sources have been significantly diversified over the past seven years
- › Strong track record in cost control, cash-flow and pension scheme risk management

External appointments:

- › Non-Executive Director of Countrywide PLC where he is Chairman of the Audit and Risk Committee

Past roles:

- › Group Finance Director, Associated British Ports Holdings plc.
- › Group Finance Director, Hodder Headline Plc
- › Group Finance Director, TVS Entertainment plc
- › Non-Executive Director and Chairman of Audit Committee of SSL International plc



04. Steve Mogford
Senior Independent Non-Executive Director
Age 58

Date appointed to Board:
5 September 2006

Tenure on Board:
8 years 6 months

Committee memberships:

- › Audit Committee
- › Remuneration Committee
- › Nominations Committee
- › Business Integrity Committee
- › Sustainability Committee

Independent: Yes

Relevant skills and experience:

- › Chief Executive Officer experience from listed and unlisted businesses
- › Significant board and operational leadership experience gained with a leading international defence contractor
- › Experienced in management and delivery of large and complex projects to international customers
- › Experienced in dealing with regulators and government
- › Track record of customer service and operational performance improvement

External appointments:

- › Chief Executive of United Utilities Group PLC, which he joined in March 2011.

Past roles:

- › Chief Executive, Selex Galileo (part of Finmeccanica, Italy)
- › Chief Operating Officer and Director, BAE Systems plc



05. Andrew Dougal
Non-Executive Director
Age 63

Date appointed to Board:
3 October 2011

Tenure on Board:
3 years 6 months

Committee memberships:

- › Chairman of Audit Committee
- › Remuneration Committee
- › Nominations Committee
- › Business Integrity Committee
- › Sustainability Committee

Independent: Yes

Relevant skills and experience:

- › Chief Executive Officer and Finance Director experience with FTSE 100 international business
- › Extensive experience of M&A and strategic initiatives
- › Experienced non-executive director, has chaired two FTSE 350 audit committees in addition to Carillion
- › Has detailed knowledge of best practice in risk management and internal control

External appointments:

- › Senior Independent Non-Executive Director and Audit Committee Chair of Creston plc
- › Non-Executive Director of Premier Farnell plc.
- › Non-Executive Director, Victrex plc with effect from 1 March 2015.
- › Member of the Council and the Oversight Board of The Institute of Chartered Accountants of Scotland

Past roles:

- › Group Finance Director, Hanson plc (Anglo-American diversified industrial company)
- › Chief Executive, Hanson plc (international building materials company)
- › Non-Executive Director and Chairman of Audit Committees, Taylor Wimpey plc and Taylor Woodrow plc
- › Non-Executive Director and Audit Committee member, BPB Plc



06. Alison Horner
Non-Executive Director
Age 48

Date appointed to Board:
1 December 2013

Tenure on Board:
1 year 3 months

Committee memberships:

- › Audit Committee
- › Chairman of Remuneration Committee
- › Nominations Committee
- › Business Integrity Committee
- › Sustainability Committee

Independent: Yes

Relevant skills and experience:

- › Operational leadership experience
- › Significant experience in managing human resources, currently manages international workforce of 525,000 employees
- › Detailed knowledge in design and implementation of employee and executive remuneration
- › Experienced in managing provision of pension arrangements to employees and risk associated with pension schemes
- › Strong track record of building capability and driving Group-wide development and change programmes

External appointments:

- › Group Personnel Director and member of Executive Committee, Tesco Plc
- › Trustee, Tesco Pension Scheme

Past roles:

- › Operations Director, Tesco.
- › Non-Executive Director, Tesco Bank



07. Ceri Powell
Non-Executive Director
Age 51

Date appointed to Board:
2 April 2014

Tenure on Board:
11 months

Committee memberships:

- › Audit Committee
- › Remuneration Committee
- › Nominations Committee
- › Business Integrity Committee
- › Chairman of Sustainability Committee

Independent: Yes

Relevant skills and experience:

- › International operational leadership experience
- › Strong track record in business and market development focused on emerging markets
- › Significant experience in development and implementation of strategic initiatives
- › Well-developed skills in delivery of large capital projects and management of risks associated with these
- › Detailed knowledge of key issues and best practice in sustainability

External appointments:

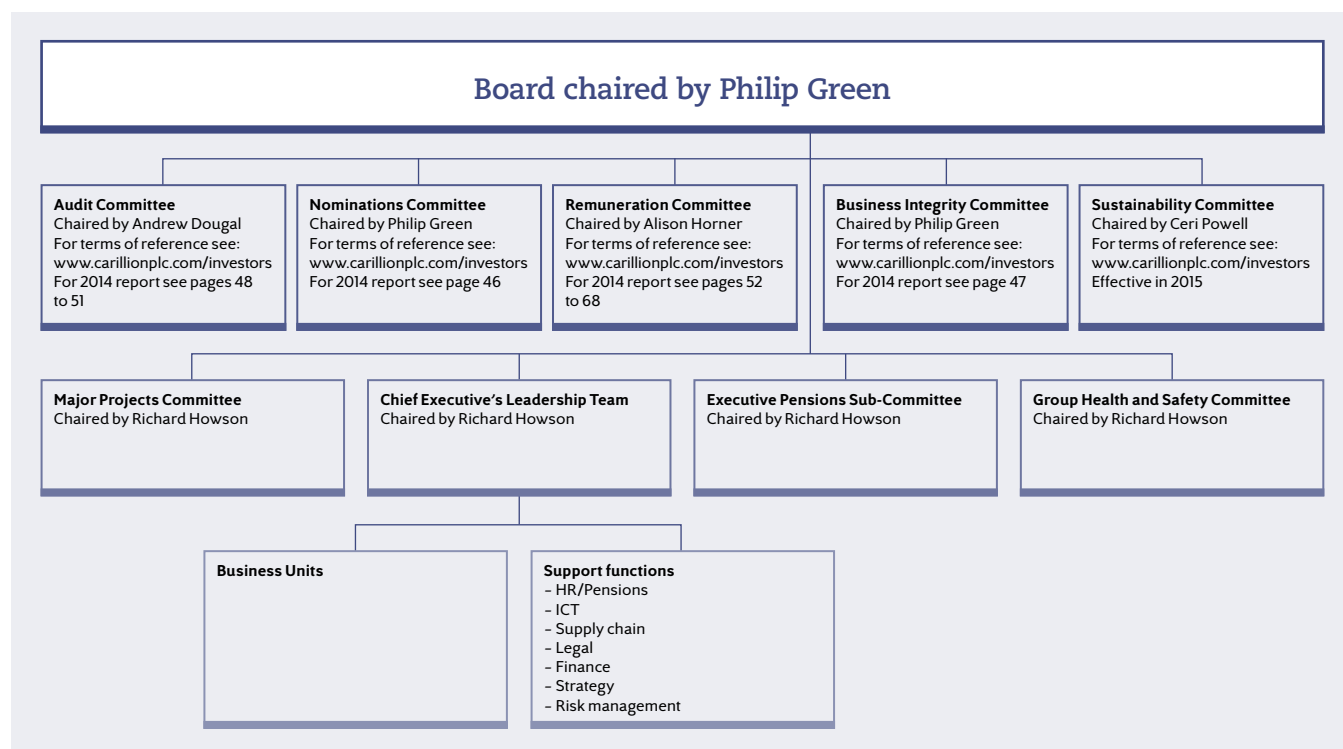
- › Executive Vice President for Exploration, Royal Dutch Shell
- › Member of the Advisory Board of the United Nations Sustainable Energy for All initiative, chaired by the UN Secretary General

Past roles:

- › Vice President Strategy, Royal Dutch Shell
- › Regional Vice President Exploration, Middle East, Caspian and South Asia, Royal Dutch Shell

Carillion plc's governance and management structure

Under the Board's leadership, Carillion plc has put in place a comprehensive management structure together with clearly defined policies, procedures and limits of delegated authority. Our management and governance structure is summarised in the diagram below.



However, the Board recognises that on their own policies and procedures are not enough and, in order to achieve consistently high standards of governance and service excellence, we have to ensure that our values are at the heart of everything we do. Our values are helping to shape the culture, character and beliefs of our business. For more information on our values visit www.carillionplc.com/about-us.

More than any policy document our values define the way we behave, with each other, with our customers and partners, and how we approach our challenges and opportunities on a daily basis.



Our vision

To be the trusted partner for providing services, delivering infrastructure and creating places that bring lasting benefits to our customers and the communities in which we live and work.

Our values

We care.

We respect each other and we do things safely and sustainably. It's good for our people, our business and our local communities.

We achieve together.

We value the contribution of each individual and we work together to build strong, open and trusting partnerships.

We improve.

We listen, learn and adapt our ideas and experience into better solutions and services for our customers.

We deliver.

We set ourselves stretching goals, taking pride in doing a great job and helping our customers and partners to succeed.

Corporate Governance report

Leadership

The Board

The Board as a whole continues to take ownership of effective leadership and the long-term success of the Company. The management and governance framework, which the Board has implemented to support the Company's long-term growth objectives, is set out on page 40. The diverse range of skills and leadership experience offered by the Non-Executive Directors means that they are well qualified to scrutinise performance, assess the Group's risk management and control processes, provide constructive challenge and to support the Executive Directors. Biographical details for each of the Directors together with their Board responsibilities are set out on pages 38 and 39.

The Board has ten scheduled meetings during the year; additional meetings are arranged if required. The Board committee meetings are scheduled around the regular Board meetings.

In order to facilitate increased understanding of our overseas businesses amongst Board members and to provide local employees and management with access to the Board, a board meeting is held each year at an overseas operation.

Decision making

Directors are required to attend each Board meeting and meetings of any Committee of which they are a member. In addition, other members of the senior management team and the Group's advisers may, by invitation, attend meetings to address specific agenda items. There is a formal schedule of matters reserved for the Board, which is reviewed regularly to ensure that it remains current. Matters reserved for the Board include the items summarised in the table below:

Governance	Strategy and direction	Risk management, accountability and control
- Review of governance arrangements - Appointments to and removals from the Board - Terms of reference for and membership of Board committees	- Approval of strategy and annual budgets - Authorisation of acquisition and disposal activity - Review of the internal control arrangements - Affirmation of risk management strategies	- Approval of financial statements, other updates to market and recommendations on dividends - Approval of authority levels, financial and treasury policies - Review of internal control and risk management - Approval of Health & Safety policies

In addition, The Chief Executive's Leadership Team (CELT) meets on a monthly basis. The CELT, led by Richard Howson, is responsible for strategy development, operational and financial management and the executive management of the Group's businesses. In addition to Mr Howson, the CELT comprises the Group Finance Director, the Managing Directors of the Business Units, the Group Development and Strategy Director, the Group HR Director and the Company Secretary and Director of Legal Services.

The Executive Directors and the Carillion subsidiary companies operate within clearly defined limits of authority delegated by the Board and any matters outside these limits are referred to the Board for consideration.

Arrangements in relation to Directors' indemnification and the management of conflicts are provided in the Directors' Report on page 70.

Division of responsibilities

A clear division of responsibilities is important for the effective working of the Board and to ensure that no one individual has unfettered power of decision. The Chairman and Group Chief Executive work together to provide effective and complementary stewardship. The roles of the Chairman, Group Chief Executive and Senior Independent Non-Executive Director are clearly defined as summarised below.

Chairman

- Responsible for the composition and capability of the Board
- Responsible for the effective leadership and governance of the Board
- Ensures Board and Committee meetings are used effectively by focusing on key areas and promoting a culture of openness and healthy debate
- Maintains regular contact with the Group Chief Executive providing advice, counsel and support to the Group Chief Executive as and when appropriate
- Works with the Group Chief Executive and Company Secretary to establish the Board's 12-month rolling agenda
- Leads assessment of the effectiveness of the Board and each Director.

Group Chief Executive

- Responsible for providing effective leadership to the Company
- Identification and analysis of strategic options for growth in shareholder value
- Implementation of operating plans and budgets required to deliver the agreed strategy
- Works closely with the Group Finance Director to ensure that the Group has in place appropriate capital structure, risk management and internal control processes
- Works closely with the Group Finance Director to ensure that the Group maintains effective relationships and communications with investors
- Responsible for delivery of ongoing operational performance against targets and continuous improvement in performance on safety and sustainability.

Senior Independent Non-Executive Director

- Available as the alternative point of contact for shareholders where communication through the Executive Directors or the Chairman may not be appropriate
- Act as a sounding board for the Chairman and alternate Board contact for other Directors where appropriate
- Would chair Board meetings in the absence of the Chairman
- Leads assessment of the effectiveness of the Chairman.

The Company Secretary acts as the Secretary to the Board and each of its Committees. The Chairman maintains contact with the Senior Independent Non-Executive Director and the Company Secretary in relation to Board and governance matters. In addition, the Chairman holds meetings with the Non-Executive Directors without the Executive Directors present at least once a year. The Senior Independent Non-Executive Director also holds meetings with the Non-Executive Directors without the Chairman present at least once a year.

Corporate Governance report

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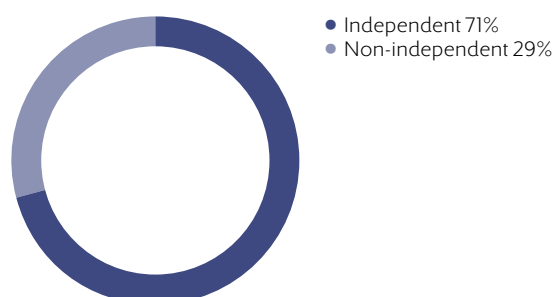
Effectiveness

Board composition

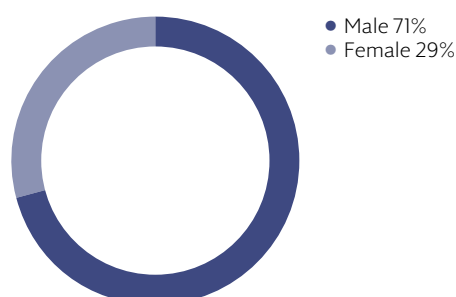
The Board and its Committees continue to benefit from an appropriate balance of expertise, experience, independence and knowledge of the Company and its business sectors. At 31 December 2014, the Board comprised two Executive and five Non-Executive Directors.

Ceri Powell, who joined the Board in 2014, is the Executive Vice President of Exploration at Royal Dutch Shell, a customer of, and supplier to, the Group. However, Dr Powell has not been and is not expected to be involved with any commercial dealings between the Group and Royal Dutch Shell. Consequently, the Board confirms that the Chairman and each of the Non-Executive Directors are considered to be independent of management under the guidelines set out in the UK Corporate Governance Code.

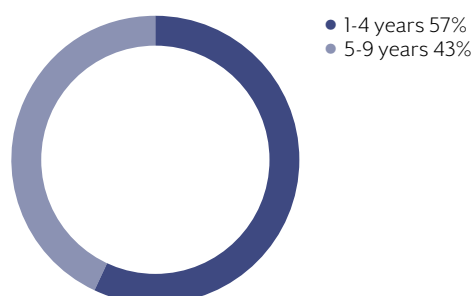
71 per cent of Directors are independent



29 per cent of Directors are female



57 per cent of Non-Executive Directors have been in role for less than four years



Appointments to the Board are managed by the Nominations Committee (see page 46 for the Nominations Committee's 2014 report). In line with our succession planning, during 2014 there were a number of changes to the composition of the Board. Philip Rogerson, the Chairman since May 2005, stood down following the 2014 AGM. Vanda Murray who had served on the Board since 2005 and was Chairman of the Remuneration Committee also retired from the Board in 2014. Philip Green, who had been Senior Independent Non-Executive Director and Chairman designate became Chairman. Alison Horner became the Chairman of the Remuneration Committee and Steve Mogford was appointed as the Senior Independent Non-Executive Director. In addition, and as noted above, Ceri Powell was appointed as an Independent Non-Executive Director of the Company. Changes to the Board since 1 January 2014 are summarised in the table below:

Director	Position	Date of appointment	Date of resignation
Ceri Powell	Non-Executive Director	2 April	N/A
Vanda Murray	Non-Executive Director	N/A	7 May
Philip Rogerson	Non-Executive Chairman	N/A	7 May

Commitment

All Directors are made aware at the time of appointment of the time commitment required to discharge their Board and Committee responsibilities effectively. There is a formal job specification in place for the Chairman. The terms and conditions of appointment for the Executive and Non-Executive Directors will be available at the 2015 AGM and can, at other times, be inspected at the Company's registered office, Carillion House, 84 Salop Street, Wolverhampton, WV3 0SR.

Recognising that external appointments can broaden experience and knowledge and so be of benefit to the Company, Executive Directors are permitted, at the discretion of the Board, to accept a limited number of such appointments and retain the fees received for such appointments. In addition to his role as Group Finance Director, Richard Adam was appointed as a Non-Executive Director of Countrywide Plc in 2014. This appointment was discussed and agreed with the Chairman prior to its acceptance by Richard Adam. Richard Howson does not hold any external appointments.

The Board is aware of current external commitments for all of the Non-Executive Directors who are also required to discuss any additions to these with the Chairman prior to their acceptance of any further external appointments. Changes to the external commitments of the Non-Executive Directors during 2014 are summarised in the table below.

Director	2014 changes to external commitments
Andrew Dougal	None
Philip Green	Stood down as Chairman and a Director of Clarkson plc on 9 May. Appointed a Director of Saga plc on 29 May
Alison Horner	None
Steve Mogford	None
Ceri Powell	None

In addition, Andrew Dougal was appointed a Non-Executive Director of Victrex plc with effect from 1 March 2015.

All Directors were able to allocate sufficient time to their Board responsibilities during 2014 and this is expected to be the case in 2015.

Board meeting attendance

The number of scheduled Board meetings attended by each Director together with the number of Board meetings that they were eligible to attend during 2014 and 2013 is summarised in the table below:

Member	2014			2013		
	Attendance	Eligibility	Percentage	Attendance	Eligibility	Percentage
Richard Adam	10	10	100	10	10	100
Andrew Dougal	10	10	100	10	10	100
Philip Green	10	10	100	10	10	100
Alison Horner	9	10	90	1	1	100
Richard Howson	10	10	100	10	10	100
Steve Mogford	10	10	100	10	10	100
Ceri Powell*	8	8	100	N/A	N/A	N/A
Philip Rogerson**	4	4	100	10	10	100
Vanda Murray**	4	4	100	10	10	100

* Ceri Powell was appointed to the Board on 2 April 2014.

** Philip Rogerson and Vanda Murray retired as Directors on 7 May 2014.

This year's overseas meeting was held in Doha, Qatar and provided Board members with an opportunity to visit some of our contracts in this country and learn more about our Middle East and North Africa strategy from the local leadership team.

Key areas of activity considered at Board meetings during 2014 are summarised in the table below:

Area of activity	Frequency	Agenda item
Review of financial and operational performance	1	Group Chief Executive's report on safety and operational performance, work winning, human resources and market development.
	1	Group Finance Director's report on financial performance, liquidity, investor relations, share price performance and supply chain
	1	Reports from Major Projects Committee
	1	Reports on sustainability practice and performance
	2	Review and approval of latest forecasts and budgets
Leadership, governance and strategy	2	Review and approval of the Group's three-year business plan
	2	Presentations on Group and business unit strategy
	2	Review and approval of acquisition and disposal activity
	2	Review of delegated authorities
	2	Review of policies such as sustainability, ethics and business integrity
	2	Appointment of new Director and succession planning
	2	Consideration of reports from the Board Committees
	2	Evaluation of the Board and its Committees
	1	Review of any conflicts of interest
Accountability, control and risk management	2	Review of 2014 half year report and 2013 Annual Report and Accounts. Approval of final dividend for 2013 and half year dividend for 2014.
	2	Review of trading updates issued to the market
	2	Consideration of reports from the Chairman of the Audit Committee on internal control and risk management.
	2	Consideration of risk management procedures and key risks and uncertainties facing the Group
Relations with shareholders	2	Consideration of matters relating to the AGM
	2	Consideration of feedback from investors received following release of our results or during routine meetings with Board members.

1 Standing agenda item for all Board meetings.

2 Item tabled on a periodic basis or as and when necessary.

Board Committees

To ensure compliance with regulatory requirements, the Board delegates certain matters to its Committees, which are required to consider these in accordance with their terms of reference. Occasionally, where it may be more expedient to do so, the Board may delegate certain of its powers to a sub-committee on an ad-hoc basis. During 2014, certain matters relating to a potential transaction were considered by a sub-committee of the Board. The terms of reference for each Board Committee are available on the Group's website (www.carillionplc.com/investors) and summarised in the table below.

Committee	Summary of terms of reference	Minimum number of meetings	Committee report for 2014
Audit Chaired by: Andrew Dougal	- Reviews and reports to the Board on the Group's financial reporting to investors, internal controls and risk management processes - Makes recommendations to the Board on the appointment or reappointment of the auditor and monitors the effectiveness and independence of the external auditor - Directs and reviews the work undertaken by the external and internal audit functions.	4	See pages 48 to 51
Remuneration Chaired by: Alison Horner	Reviews and advises the Board on remuneration arrangements for the Chairman, the Executive Directors and their direct reports.	3	See pages 52 to 68
Nominations Chaired by: Philip Green	- Makes recommendations on appointments to the Board and its Committees - Reviews the Group's succession arrangements and overall Board composition to ensure the balance of skills and experience remains appropriate.	1	See page 46
Business Integrity Chaired by: Philip Green	- Reviews and oversees the development and implementation of the Group's Ethics and Business Integrity Policy - Monitors the Group's compliance with relevant legislation such as the Bribery Act 2010 and the Competition Act - Monitors the Group's communication and training programmes on ethics and business integrity.	2	See page 47
Sustainability Committee Chaired by: Ceri Powell	- Reviews and approves policies, targets and performance in relation to key sustainability initiatives - Reviews and approves the annual Sustainability Report prior to publication - Monitors legislation and/or regulations that might affect the Group or its stakeholders and other matters which could impact corporate reputation and the management of any such matters - Engage with key internal and external stakeholders on key sustainability themes.	4 meetings scheduled in 2015	Not applicable

Induction and development

Directors are provided with a comprehensive information pack on joining the Company and are advised of their legal and other duties and obligations as a director of a listed company. In addition, all new Directors receive induction on their appointment covering such matters as the operation and activities of the Group, the role of the Board and the Company's corporate governance procedures. Directors are also briefed by the Company's external advisers, where appropriate, on changes to legislation or regulation or market practice as well as receiving briefings from business units throughout the year.

Corporate Governance report

continued

As part of her induction to the Group, Ceri Powell received or undertook the following activities:

- › A briefing on the responsibilities of a director of a public listed company
- › A briefing on Carillion's culture, strategy, policies and processes
- › Briefings from senior management and operational leads
- › Briefings from external advisers such as the corporate brokers
- › Site visits to major projects.

“Carillion’s comprehensive induction programme enabled me to understand quickly the corporate culture, operational and reporting structure and the governance environment. The programme also reinforced my understanding of the role and responsibilities of a Non-Executive Director of a public company which was very helpful as this is my first such appointment.”

Ceri Powell

The Directors are also encouraged to update their skills and knowledge regularly, including in relation to environmental, sustainability and governance matters, and a procedure has been established whereby the Company Secretary is notified by Directors of their requirements in this respect. In pursuit of best practice, the Board receives presentations on governance and regulatory matters. The potential requirement for any specific training in the light of new statutory or governance regulations is kept under regular review.

Information and support

The Board is provided with regular and timely information on the financial performance of businesses within the Group, and of the Group as a whole, together with reports on trading matters, markets, Health & Safety, sustainability and other relevant issues.

The Company Secretary is the Secretary to the Board and its Committees. Prior to each Board or Committee meeting, the Company Secretary ensures that the relevant papers are made available to all Directors five working days in advance of the meeting. Since late 2010, the Board has used a secure electronic portal to receive Board papers. The portal provides information in a timely and secure manner, enabling the Directors to receive Board papers quickly and to access them via tablet computers, wherever they may be.

All Directors have access to the Company Secretary, who is responsible to the Board for ensuring that agreed procedures and applicable rules and regulations are observed. The Board approves the appointment and removal of the Company Secretary.

Any Director may, in furtherance of his duties, take independent professional advice when necessary, at the expense of the Company.

Board and Committee performance evaluation

The Board undertakes a formal review of its effectiveness and that of its Committees on an annual basis, with the evaluation being conducted by an external facilitator every three years. The 2014 performance evaluation was conducted by Linstock Limited, an independent corporate advisory firm.

Progress against key priorities identified during the 2013 review

Priority	Update
Managing the Chairman and Non-Executive Director rotation	Chairman and Non-Executive Director succession was successfully achieved with Philip Green appointed as the new Chairman and other changes to the Board and its Committees concluded in line with succession plans.
Supporting senior management	Non-Executive Directors have continued to provide effective support to the Executive Directors and other management as appropriate.
Addressing specific business challenges	The Board has continued to work collaboratively in addressing the challenges and opportunities associated with the Group's operations. Key developments during 2014 are covered in the Strategic report on pages 6 to 26.

For the 2014 evaluation, Linstock initially engaged with the Chairman and the Company Secretary to set the context for the evaluation and subsequently reviewed and reported on the performance of the Carillion Board and Committees during the year. Customised assessments, based on anonymous responses to an online survey, were undertaken for the Board as a whole and each of its Committees. Topics addressed included Board composition, effectiveness of Board and Committee meetings, Committee structure and performance, strategy, succession, performance monitoring, leadership and culture, remuneration, relations with shareholders and accountability.

The performance of the Chairman and each Director was also reviewed as part of this evaluation process with the anonymity of respondents ensuring an open and frank exchange of views. The Senior Independent Non-Executive Director led the evaluation of the Chairman's effectiveness. At the December 2014 Board meeting, the Directors reviewed the results of the evaluation, which confirmed that the Board, each of its Committees and the Directors continue to be highly effective. Some of the key strengths highlighted by the 2014 evaluation included the following: the organisation of the Board and Board business is of a high quality; there are excellent relationships between Directors; the Group's on-boarding for new Non-Executive Directors was rated highly as was the Board's focus on strategy.

The key priorities for the Board in 2015 were identified as follows:

- › Senior management development and succession
- › Senior Independent Non-Executive Director succession
- › Maintaining clarity of financial performance towards attainment of objectives
- › Long-term strategy
- › Strategy development and delivery
- › Understanding the potential for change in the UK political environment
- › Continued development of the Non-Executive Directors' understanding of the business
- › Opportunities for growth
- › Management of the Group's pension liabilities.

The Board intends to continue to comply with the UK Corporate Governance Code guidance that the evaluation should be externally facilitated at least every three years.

Re-election of Directors

In accordance with the UK Corporate Governance Code, all of the Directors will submit themselves for re-election at the Annual General Meeting to be held on 6 May 2015. All of the Directors proposed for re-election have been subject to formal performance evaluation and continue to be effective members of the Board. The Chairman has confirmed that each of the Directors remains committed to the role and to the time required for Board and, where applicable, Committee meetings and any other duties required of them.

Steve Mogford, who joined the Board in September 2006, will have served nine years on the Board in September 2015 and will be retiring from the Board in 2015 in order to ensure ongoing compliance with the Code's requirements on independence of Non-Executive Directors.

Accountability

The Board remains committed to ensuring that its communications with shareholders continue to present a fair, balanced and understandable assessment of the Company and its prospects. Both the Audit Committee and the Board received drafts of the Annual Report and the Accounts to facilitate review and to provide an opportunity for challenge and discussion.

The Board is responsible for determining the nature and extent of the significant risks it is willing to take in achieving its strategic objectives. Principal risks and uncertainties associated with the Group's business are summarised on page 21 of the Strategic report. The Board has an Audit Committee which monitors and reports on the Group's risk management systems. The Audit Committee also considers how the Board should apply corporate reporting and internal control principles and is responsible for maintaining an appropriate relationship with the Company's auditor, KPMG LLP. The 2014 report of the Audit Committee is set out on pages 48 to 51.

Remuneration

Details relating to the Company's policy on remuneration together with the level and components of remuneration available to the Company's Directors are provided in the Remuneration Committee's report on pages 52 to 68.

Dialogue with shareholders

The Board is committed to ensuring that we continue to engage effectively with our shareholders to facilitate a mutual understanding of objectives. Our Group Corporate Affairs Director, who reports to the Group Finance Director, is responsible for managing our investor relations programme. The Executive Directors and the Director of Group Corporate Affairs meet regularly with representatives of major shareholders in order to foster the mutual understanding of objectives.

Where appropriate, meetings and requests for information are also facilitated with other shareholders and prospective shareholders. Appropriate governance around disclosure of information is maintained throughout our interaction with shareholders. The details of these meetings are reported to the Board and, in addition, the Board also receives formal investor feedback provided through the Group's corporate brokers following the release of our half year and full year results. The Chairman and Senior Independent Non-Executive Director are available for meetings with representatives of major shareholders as required.

During 2014, we maintained an extensive investor relations programme. In addition to the release of our half-year and full-year results, we released four updates on trading. We held some 200 meetings with institutional investors of which around 83 were attended by at least one Executive Director. The Chairman, Senior Independent Non-Executive Director and Company Secretary have also met with major shareholders and fund managers to discuss governance and other matters. We intend to undertake a similar programme during 2015.

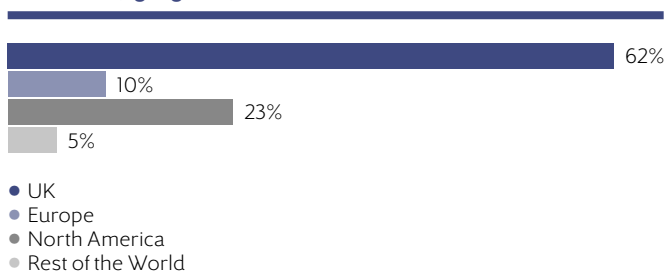
Constructive use of the Annual General Meeting (AGM)

The Board uses the AGM to communicate with investors and encourages their participation. Shareholders are invited to attend the AGM each year and to ask questions. The Chairmen of the Audit, Business Integrity, Nominations, Remuneration and Sustainability Committees are present at that meeting to answer questions on the work of the Committees.

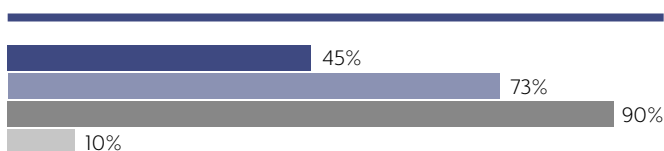
Investors by type



Investors by geography



Investor concentration



Percentage of issued share capital held by:

- Top 10 investors
- Top 30 investors
- Top 100 investors
- Other investors

During the year under review, the AGM was held in May 2014 with each member of the Board in attendance to answer questions. Notice of the AGM and related papers were sent out more than 20 working days before the meeting. Separate resolutions were tabled on all substantively separate issues. The Group's 2013 Remuneration Report was approved by 95.6 per cent of the votes cast, its 2013 Remuneration Policy was approved by 96 per cent of the votes cast and its 2013 Annual Report and Accounts were approved by 99.8 per cent of votes cast.

The Company complies fully with the provisions of the UK Corporate Governance Code (September 2012) in respect of the notice, content of agenda and conduct of its Annual General Meetings. The Chairmen of all the Board Committees will be present at the Annual General Meeting on 6 May 2015 to respond to shareholders' questions.

Philip Green
Chairman
4 March 2015

Report of the Nominations Committee

Dear Shareholder

I am pleased to present my first report as Chairman of the Nominations Committee. Following the succession related changes to the leadership of the Board discussed below and my appointment as Chairman of the Company, I was delighted to be appointed Chairman of the Nominations Committee in succession to Philip Rogerson, who retired from the Board in May 2014. Vanda Murray also retired from the Board and the Committee in May 2014 and I would like to thank both Philip and Vanda for their contribution to the Committee's work over the years.

In addition, Ceri Powell, who joined the Board as a Non-Executive Director in April 2014, was also appointed to the Committee at that time. We welcome Ceri and the experience and skills that she brings to the Board.

This report provides a summary of the Committee's work during 2014. I will be available to answer any questions about the work of the Committee at the AGM on 6 May 2015.

Membership and attendance at meetings held during the year ended 31 December 2014

Member	Appointed/ (retired)	Meeting attendance 2014		Meeting attendance 2013	
		Attended	Eligible to attend	Attended	Eligible to attend
Philip Green (Chairman from 08.05.14)	01.06.11	3	3	3	3
Philip Rogerson (Chairman until 07.05.14)	01.10.04/ (07.05.14)	2	2	2	3
Andrew Dougal	03.10.11	3	3	3	3
Alison Horner	01.12.13	2	3	1	1
Richard Howson	10.12.09	3	3	3	3
Steve Mogford	05.09.06	2	3	3	3
Vanda Murray	01.06.05/ (07.05.14)	2	2	3	3
Ceri Powell	02.04.14	1	1	N/A	N/A

The Committee reviews the structure, size, composition, balance of skills, knowledge and experience of the Board and makes recommendations to the Board with regard to any changes that are deemed desirable. The Committee also reviews succession planning to ensure that processes and plans are in place with regard to both Board and senior appointments. The Committee continues to be chaired by the Chairman of the Company and its membership includes the independent Non-Executive Directors plus the Group Chief Executive. The Group Human Resources Director attends certain meetings of the Committee by invitation. The Committee's terms of reference are available at www.carillionplc.com/investors or on request from the Company Secretary.

The appointment of a Director is a matter for resolution by the Board as a whole, taking advice from the Nominations Committee.

Implementation of Board succession

The Board's succession plans worked well in 2014. Our Chairman from May 2005, Philip Rogerson stood down in 2014. Vanda Murray who joined the Board in 2005 and was Chairman of the Remuneration Committee also retired from the Board in 2014. These changes enabled the Board to refresh the leadership of three of its four existing Committees. In addition to my appointment as Chairman of the Nominations Committee, I was also appointed as Chairman of the Business Integrity Committee and Alison Horner, who was appointed to the Board in December 2013, assumed chairmanship of the Remuneration Committee. These changes were largely planned during 2013 and implemented during 2014. In addition, the Committee led the process that culminated in the appointment of Ceri Powell to the Board in April 2014.

Appointment of Non-Executive Director

In relation to the appointment to the Board of Ceri Powell, Executive Vice President for Exploration of Royal Dutch Shell, the Nominations Committee used the services of executive recruitment consultants, The Lygon Group. The Lygon Group has no connections to the Company other than the provision of services in relation to searches for new Non-Executive Directors. The Lygon Group has adopted the 'Voluntary Code of Conduct for Executive Search Firms' which, inter alia, is designed to improve gender balance on Boards.

The Nominations Committee evaluated the balance of skills, experience, independence and knowledge on the Board and, based on this assessment, prepared a description of the key skills and expertise required. Details of potential candidates were provided by the consultants and initially reviewed by a sub-committee of the Nominations Committee. Meetings with selected candidates were then held with the Directors. Subsequently, the Nominations Committee met to recommend Dr Powell's appointment, which was then proposed to the Board for approval.

Non-Executive Directors are appointed for specified terms and subject to annual re-election. Written terms and conditions in relation to the appointment of all Non-Executive Directors will be available at the 2015 AGM and can be inspected at the Company's registered office, Carillion House, 84 Salop Street, Wolverhampton, WV3 0SR. Fees payable to Non-Executive Directors are discussed in the Remuneration report on pages 52 to 68.

Board diversity

The Nominations Committee is responsible for reviewing the composition of the Board to ensure that it continues to represent the right balance of skills, knowledge and experience, independence and diversity to support the future delivery of the Group's strategy. The Committee recognises the importance of gender diversity throughout the Group.

Currently, two of the seven Board members are female. While the Committee will continue to follow a policy of ensuring that the best people are appointed for the relevant roles, the benefits of greater diversity are recognised and will continue to be taken into account when considering any particular appointment.

Annual evaluation

As part of the overall Board evaluation process, the Committee reviewed its performance for 2014 and this confirmed that it continues to be highly effective. Future priorities highlighted by this evaluation included executive succession and assessment of leadership and organisational ability and the skills, experience and competencies required of the next Senior Independent Non-Executive Director.



Philip Green
Chairman
4 March 2015

Report of the Business Integrity Committee

Dear Shareholder

I am pleased to present the Business Integrity Committee's report for the year ended 31 December 2014.

High standards of ethics and business integrity are essential to achieving consistently high standards of corporate governance and service excellence. The Board has therefore implemented a formal ethics and business integrity policy to ensure that the Group conducts its business to the highest ethical standards.

Our ethics and business integrity policy sets out the Group's approach to a number of compliance or ethical issues and the standards and behaviours that all Carillion employees are expected to meet wherever in the world we operate. This policy provides guidance in relation to areas such as bribery, fraud and corruption, gifts and hospitality, insider trading, conflicts of interest, ethical procurement, competition law, money laundering, human rights and compliance with general laws and regulations. For further details on the Group's Business Integrity Policy see www.carillionplc.com.

The implementation of our ethics and business integrity policy is overseen by the Business Integrity Committee, and its effectiveness is reviewed annually by the Board.

Membership and attendance at meetings held during the year ended 31 December 2014

Member	Appointed/ (retired)	Meeting attendance 2014		Meeting attendance 2013	
		Attended	Eligible to attend	Attended	Eligible to attend
Philip Green (Chairman from 08.05.14)	01.06.11	2	2	2	3
Philip Rogerson (Chairman until 07.05.14)	01.10.04/ (07.05.14)	1	1	2	3
Andrew Dougal	03.10.11	2	2	3	3
Alison Horner	01.12.13	2	2	1	1
Steve Mogford	05.09.06	1	2	3	3
Vanda Murray	01.06.05/ (07.05.14)	1	1	3	3
Ceri Powell	02.04.14	1	1	N/A	N/A

The changes to the Committee's composition summarised above resulted from the succession related changes to the Board discussed on page 42. In addition, the Group Chief Executive and the Group Compliance Officer are invited to attend the Committee's meetings. The main activities undertaken by the Committee during 2014 are summarised below.

Our values

To create a culture in which high standards of ethics and integrity are natural and instinctive, we promote, encourage and reward behaviours that reflect our core values. We aim to ensure that our values, which are described on page 40, are at the heart of everything we do so that they define how we behave towards our colleagues, our customers, our partners and our suppliers, and how we approach every challenge and opportunity.

Ethics and Compliance Office

Following the introduction of the Bribery Act 2010, we established an Ethics and Compliance Office in 2010. This Office reviews and monitors compliance and aims to ensure that the Group's policies and procedures aimed at maintaining high ethical standards remain effective. The Ethics and Compliance Office reports to the Business Integrity Committee on key global compliance risks and functional activity.

Investing in Integrity

In order to benchmark the Group's policies and practices in relation to ethics and integrity, the Committee applied for the Institute of Business Ethics' (IBE) Charter Mark for Investing in Integrity. Investing in Integrity (Iil) is a not-for-profit company owned by the IBE and the Chartered Institute of Securities and Investment. Iil is an independent registered charity which promotes high standards of business practice

based on ethical values. Our application for this Charter Mark involved a detailed review by Iil of our formal policies and procedures in relation to ethics and integrity. Iil also tested the application of our policies and procedures by interviewing a wide range of employees from across the Group. Following the completion of their assessment, we were delighted when the IBE's Investing in Integrity Board decided to award Carillion plc its Charter Mark, Investing in Integrity, in August 2014. The award covers all of the Group's businesses worldwide and we are one of the largest companies to have obtained the Charter Mark so far by achieving an overall score of 80 per cent, which is well above the pass mark of 70 per cent. This exercise also helped highlight areas for further improvement which the Committee intends to keep under review as part of its ongoing work.

Integration of John Laing Integrated Services (JLIS)

The Group acquired JLIS, a UK-based provider of facilities management services with around 1,100 employees, during the fourth quarter of 2013. As part of its integration into the Group and, in addition to making the online training modules available to all JLIS employees, 115 senior managers were provided with face-to-face compliance training on Ethics, Business Integrity and Competition laws. Senior managers were then tasked to ensure that the key messages from their training continued to be communicated to all employees on a regular basis.

Risk assessment across UK

Following a number of high-profile compliance failures experienced by UK companies, the Committee instigated a risk assessment to ensure that the Group's UK businesses were not exposed to similar compliance risks. The results from this assessment did not identify any significant issues. However, we have sought to learn from the failures of other companies and we have reinforced our procedures accordingly.

Training

The Ethics and Compliance Office continued to oversee the delivery of the Group's regular compliance training programme during 2014. The Group provides employees with face-to-face and online training, dependent upon role and grade, to ensure that employees are aware of any new developments in Group policy and changes to laws and regulations. This programme includes training in competition law, ethics, integrity and bribery and corruption. During 2014, some 140 employees received face-to-face compliance training. This ongoing refresher training is mandatory for all senior employees who are also required to complete an online assessment at least once every three years.

Key priorities for 2015

During 2015, the Committee will continue to monitor the delivery of training under the Group's ongoing programme for all senior employees and new joiners (including those joining as part of the recent acquisition of the Rokstad Power Corporation) and ensure that its content remains relevant and up to date. The Committee will also continue to monitor external legal and regulatory developments and ensure these are implemented across the Group on a timely basis. In addition, in the light of changes introduced under the Bribery Act 2010, we plan to implement ongoing monitoring programmes aimed at joint venture partners and supply chain members.

Annual evaluation

As part of the overall Board evaluation process, the Committee reviewed its performance for 2014 which confirmed that it continues to be highly effective. Future priorities highlighted by this evaluation include a review of the Group's business ethics and integrity policies against external benchmarks.



Philip Green
Chairman
4 March 2015

Report of the Audit Committee

Dear Shareholder

I am pleased to present the report of the Audit Committee for the financial year ended 31 December 2014. During 2014, the Committee has continued to review and report to the Board on the Group's financial reporting, internal control and risk management processes and the performance, independence and effectiveness of the auditor, KPMG LLP. This report describes the Committee's major areas of focus since my last report in March 2014.

During 2014, there were a number of changes to the composition of the Committee resulting from changes in Board membership. In April, I was very pleased to welcome Ceri Powell to the Committee. Ceri brings with her a huge amount of international operational experience, which complements the skills and experience offered by the existing members of the Committee. In May, Philip Green stepped down from the Committee following his appointment as Chairman of the Board, as did Vanda Murray following her retirement from the Board. I would like to thank both Philip and Vanda for their valuable contributions over the years.

I am a member of the Institute of Chartered Accountants of Scotland and previously served as Group Finance Director with a FTSE 100 business. In addition, I continue to chair one other plc audit committee, I am a member of two others and a member of the Council and the Oversight Board of the Institute of Chartered Accountants of Scotland. This provides the Board with the confidence that the Committee continues to meet the UK Corporate Governance Code's requirement in relation to recent and relevant financial experience.

The assurance framework required by the Audit Committee is provided by complementary contributions from management reports, internal and external audit reports and from risk management reports.

I continue to hold regular meetings with both the Company's external and internal auditors, Richard Adam, the Group Finance Director and Robin Herzberg, the Group Head of Risk, in which key issues relevant to the Committee's work are discussed. In addition, I and my colleagues on the Committee visit contract operations in both the support services and construction areas of the business in order to maintain a more detailed understanding of the Group's businesses, which together with the reports we receive, facilitate the ongoing effective operation of the Committee.

In order to ensure ongoing compliance with regulatory developments, the Committee's terms of reference are reviewed annually. In 2014, the Committee's terms of reference were updated to reflect new requirements being introduced under The UK Corporate Governance Code (September 2014), which becomes effective for accounting periods beginning after 1 October 2014. The main changes have resulted in an extension of the Committee's responsibilities in relation to the assessment of the appropriateness of the adoption of the going concern basis by the Company, the need to undertake a robust assessment of the principal risks facing the Company, the requirement to provide a prospects or viability statement for the Company and a requirement to monitor the Company's risk management and internal control systems and review their effectiveness, on, all of which it reports to the Board accordingly.

I believe that the Committee is well placed to deal with these additional requirements for the financial year beginning on 1 January 2015. The updated terms of reference can be viewed at www.carillionplc.com or a copy obtained on request from the Company Secretary.

Membership and attendance at meetings held during the year ended 31 December 2014

Member	Appointed/ (retired)	Meeting attendance 2014		Meeting attendance 2013	
		Attended	Eligible to attend	Attended	Eligible to attend
Andrew Dougal (Chairman)	03.10.11	4	4	4	4
Philip Green	01.06.11/ (07.05.14)	1	1	4	4
Alison Horner	01.12.13	4	4	1	1
Steve Mogford	05.09.06	3	4	3	4
Vanda Murray	01.06.05/ (07.05.14)	1	1	4	4
Ceri Powell	02.04.14	3	3	N/A	N/A

To ensure compliance with the requirements of the UK Corporate Governance Code, Committee membership is limited to Independent Non-Executive Directors of the Company. We also have in attendance at meetings, by invitation of the Committee, the Chairman, Executive Directors, the Group Financial Controller, representatives of both the external auditors (KPMG LLP) and the internal auditors (Deloitte LLP) and the Group Head of Risk. The Committee also meets privately with both the external and internal auditors.

The Committee is authorised by the Board to seek any information necessary to fulfil its duties, call any member of staff to be questioned at a meeting of the Committee, as and when required, and obtain independent legal, accounting or other professional advice, at the Company's expense, which might be necessary for the fulfilment of its duties.

Main activities of the Audit Committee in relation to the year ended 31 December 2014

As summarised above, the Committee met on four occasions in 2014. The table below summarises the agenda items covered at the Committee's meetings held during 2014.

	Feb	June	August	Dec
Financial reporting and significant financial judgements				
Full-year results and associated announcements	●			
Half-year results and associated announcements			●	
Going concern report	●		●	
External audit				
Review and consideration of the Audit Memorandum	●		●	
Board representation letter	●		●	
Evaluation of audit function	●			
Auditor re-appointment recommendation to the Board	●			
Fees for non-statutory audit activities	●			
Audit plan		●		
Year end audit plan update				●
Committee meeting with auditor	●	●	●	●
Internal audit				
Audit report	●		●	●
Evaluation of audit function				●
Audit plan				●
Peer review plan				●
Committee meeting with internal audit	●		●	●
Other				
Annual review of terms of reference				●
Annual evaluation of the Committee				●
Compliance with the UK Corporate Governance Code and the Financial Conduct Authority's Listing Rules and Disclosure and Transparency Rules	●		●	

In addition to the above, at its meeting in February 2015, the Committee reviewed the Group's financial statements and other relevant disclosures relating to this 2014 Annual Report and Accounts.

Financial reporting and significant judgements

The Committee is responsible for reviewing whether suitable accounting policies have been adopted and whether management has made appropriate estimates and judgements in the preparation of the financial statements. The Committee also keeps under review the impact of any actual or expected changes to accounting standards applicable to the Group and provides general oversight in relation to the financial policies of the Group.

The Group reported revenue of £4,071.9 million (2013: £4,080.9 million) and an underlying profit before tax of £172.9 million (2013: £174.7 million) for the year ended 31 December 2014. In August, the Committee reviewed the Group's half-year results and discussed these with the external auditor prior to their release. In February 2015, the Committee reviewed the Group's 2014 Annual Report and Accounts to ensure compliance with statutory and other regulatory requirements and discussed any significant financial reporting issues or areas of judgement with the external auditor. In respect of the financial statements for the year ended 31 December 2014, the significant issues reviewed and how these issues were addressed are summarised below:

Revenue and margin recognition

Given the nature of the Group's activities, revenue and margin recognition continues to be a key area of judgement for management. Note 32 on page 114 of the financial statements describes the estimation techniques used by management to determine the amount of revenue and costs to be recognised in relation to construction and services contracts. A significant proportion of the Committee's time is spent reviewing contract judgements given the Company's extensive portfolio of contracts. During 2014, the Committee reviewed, through discussions with management and the external auditor, the positions and judgements taken by management on a number of material contracts across the Group. On the basis of these discussions, the Committee concluded that the positions and judgements taken in relation to the contracts reviewed were reasonable. The Committee has also continued to monitor the management of cash flows and working capital as these are key areas of importance in relation to the Group's financial performance.

Valuation of goodwill

At 31 December 2014, the Group had £1,519.1 million (2013: £1,449.7 million) of goodwill, being the largest single item included in its balance sheet. Goodwill (note 11 on page 94 of the financial statements) describes the estimation techniques used by management to assess whether there has been an impairment to the carrying value of goodwill and other intangible assets. The Committee considered and critically reviewed the assumptions used in management's impairment calculations and considered the views of the external auditor on this issue. This included a review of the sensitivity analysis undertaken by management and the external auditor. On the basis of this review, the Committee agreed with management that no impairment to goodwill was necessary.

Adoption of the going concern basis

Prior to the publication of both the half and the full-year results for the Group, the Committee undertook a detailed assessment of the appropriateness of the adoption by the Group of the going concern basis in the preparation of its financial statements. Information considered to support the ongoing adoption of the going concern basis and the Committee's conclusion supporting this is set out in the Performance and financial review on page 36.

External audit

The Committee is responsible for reviewing the scope and results of the Group's external audit process and its effectiveness. During 2014, the Committee continued to monitor the independence and objectivity of the external auditors to ensure that the services provided continued to represent a healthy balance between objectivity and value for money. In addition, in the interests of efficiency and effectiveness, the Committee also ensured that activities undertaken by the internal and external audit functions complemented each other.

External audit process

During 2014, KPMG LLP (KPMG) acted as the Company's auditor and provided certain non-audit services to the Group. KPMG Audit Plc resigned as auditor on 13 March 2014 pursuant to section 516 of the Companies Act 2006. On 13 May 2014 the Directors appointed KPMG as auditor of the Company to fill the casual vacancy under section 485(3) of the Companies Act 2006. KPMG has indicated its willingness to continue in office and a resolution to reappoint KPMG as auditor will be proposed at the 2015 Annual General Meeting (AGM).

Following the publication of our 2013 results, Peter Meehan became the new Group Audit Partner in succession to Darren Turner. This ensured compliance with KPMG's and the profession's ethical standards on independence. Before completely relinquishing his responsibilities in relation to the Group's audit, Mr Turner attended the Company's AGM in May 2014. Mr Meehan and members of his team attended each of the Committee's meetings during 2014. As Chairman of the Committee, I also maintain contact with the Group Audit Partner.

The scope of the Group's 2014 audit was discussed and approved by the Committee in June 2014. Proposed audit fees for 2014 were also reviewed by the Committee prior to their recommendation to the Board for approval. KPMG are expected to report to the Committee on any material issues identified in relation to the Group's reported performance or any significant breakdown in controls identified during the audit process. The 2014 audit plan was completed in line with the scope agreed by the Committee with no significant issues being highlighted for the Committee's attention.

External auditor effectiveness

In February 2015, the Committee undertook its annual review of the external auditor's effectiveness. This review was based on feedback received from the Committee members and the Executive Directors. This review confirmed that KPMG continued to be highly effective in its role as external auditor to the Group with an overall approval rating of 4.9 out of 5.0. The Group's finance function also obtains feedback from the operating units and holds a two-way feedback session, which is designed to highlight the key strengths of the current process and potential areas for future improvement. This session confirmed that the audit continues to be undertaken in an efficient manner. In addition, the Committee received and discussed with the Group Audit Partner the findings from the Financial Reporting Council's Audit Quality Review team's review of KPMG's work in relation to the financial year ended 31 December 2013. The review team's findings supported the Committee's view that KPMG continues to be effective in its role as auditor to the Group. Accordingly, the Audit Committee recommended to the Board the re-appointment of KPMG as auditor and for this to be put to shareholders at the 2015 AGM.

Auditor independence and non-audit services

During 2014, KPMG continued to provide certain non-audit services to the Group. The Committee maintains under review the level and scope of non-audit work awarded to KPMG to ensure that any services provided are within the constraints of the Audit Practices Board's Ethical Standards on Auditing and that the level of fees attached to these services is not sufficiently material such that it could be perceived to impact the auditor's independence and objectivity.

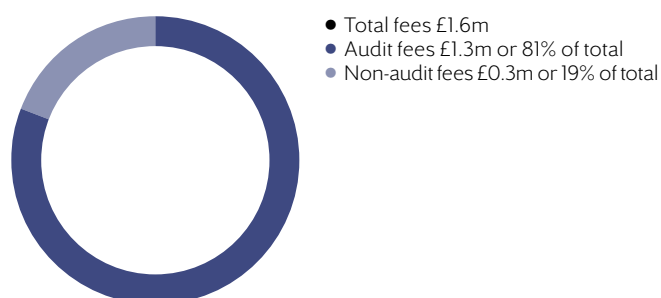
Non-audit engagements awarded to KPMG continue to be subject to strict controls agreed by the Audit Committee. In summary, the Group Finance Director is required to give prior approval of non-audit work carried out by KPMG and its associates in excess of a predetermined threshold. In addition, any such work incurring fees in excess of £250,000 is discussed with me prior to its commencement. These measures are designed to ensure that other potential providers of the services required have been adequately considered.

Non-audit services provided during 2014 related to tax advisory and compliance work towards the provision of regulatory reports in relation to a potential transaction. Details of audit and non-audit fees paid to KPMG can be found in note 3 on page 89.

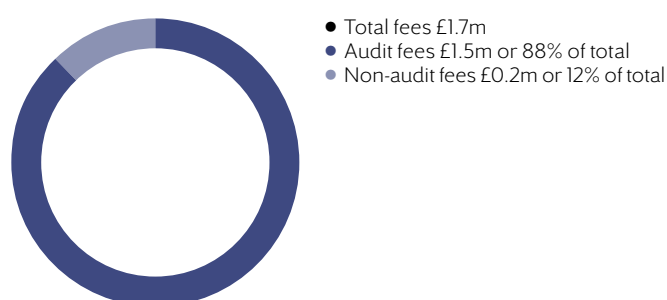
Report of the Audit Committee

continued

Non-audit fees 2014



Non-audit fees 2013



KPMG also has in place strict requirements on rotation with the lead audit partner required to rotate off the account after five years and other senior team members required to rotate after 10 years on the audit. In addition, KPMG also provides the Committee with information on the safeguards it has in place to maintain its independence and objectivity in relation to the provision of non-audit services to the Group.

Furthermore, at each of its meetings, the Committee holds discussions with the auditor, without management being present. Based on these safeguards the Committee remains confident of the independence and objectivity of KPMG in their reporting on the audit of the Group.

External audit tendering

KPMG was appointed as the Company's auditor at its inception in 1999. The Committee has continued to monitor the independence and objectivity of the auditor and the effectiveness of the audit process through a range of measures discussed on page 49.

The Committee has also kept under review the regulatory position in relation to the tendering of the external audit and rotation of the audit firm during 2014. The UK Corporate Governance Code requires that FTSE 350 companies should put the external audit contract out to tender at least every 10 years or provide an explanation of why it is considered not appropriate to do so. The transitional arrangements associated with this requirement allow companies to align the timing of the tender with the cycle for the rotation of the engagement partner. Furthermore, under an order issued by the UK's Competition and Markets Authority, a tender is required by the year ending 31 December 2020. To achieve compliance with these requirements, after taking into account the suggested 'non-binding' transition arrangements under the UK Corporate Governance Code, the Group will tender its audit by the year ending 31 December 2019. Also, under European Union legislation, again after taking into account the associated transition arrangements, the Group will rotate its audit to a new audit firm by the year ending 31 December 2023.

The Audit Committee understands the value associated with a formal tender process and is committed to ensuring compliance with the above statutory and regulatory requirements. The Committee intends to keep under review the exact timing of a future audit tender, but will comply with the timings noted above.

Internal audit

The Group's internal audit function is currently outsourced to Deloitte LLP. The Committee is responsible for reviewing the role and effectiveness of the internal audit function by monitoring the results of its work and the responses of management to its recommendations. In the interests of increased efficiency and effectiveness, the Committee also ensures that the work undertaken by the internal audit function complements the scope agreed for the external audit.

The Committee reviewed and approved the 2014 internal audit plan at its meeting in December 2013 and continued to monitor progress against this plan during the year. Results and management actions arising from the reviews undertaken in 2014 were discussed in detail at each of the Committee's meetings. The Head of Internal Audit attended all of the Committee's meetings during 2014 and held discussions with the Committee in the absence of Executive management. In December 2014, the Committee undertook an evaluation of the effectiveness of the internal audit function with reference to robustness of audits, quality of delivery and quality of people and service. Based on an approval score of 4.8 out of 5.0 it is satisfied with the effectiveness of the internal audit function.

Risk management and internal control

The Board is ultimately responsible for the Group's system of internal control. This responsibility includes clearly determining the control environment and reviewing annually the effectiveness of the internal control system. The Board is also responsible for (i) determining the nature and extent of the significant risks it is willing to take in achieving its strategic objectives and, in this regard, the Board maintains risk management and internal control systems and (ii) determining that the Group's systems for risk management and internal control are appropriate and operating effectively. As part of its terms of reference, the Committee is responsible for reviewing the Company's internal control and risk management systems on behalf of the Board.

Risk management

Management is responsible for the identification and evaluation of significant risks applicable to its areas of business together with the design, operation and monitoring of suitable internal controls. The Group Head of Risk, Robin Herzberg, is responsible for co-ordinating the reporting of strategic risk issues across the Group, and for oversight of risk management and training.

Risk management is embedded into the Group's operational activities with risk registers maintained for each project, business unit and the Group as a whole. Internal and external risks arising from a variety of sources, including control breakdowns, disruption to information systems, competition, corporate social responsibility, natural catastrophes and regulatory requirements are monitored on a continuous basis. Each business unit has a formal risk co-ordinator each of whom participates in a quarterly risk forum chaired by the Group Head of Risk. Based on the output generated at these forums, the Group Head of Risk prepares a summary of the key risks and associated mitigations, which is submitted to the Board on a six-monthly basis. The Group's risk management procedures are reviewed by its Internal Audit function on a periodic basis. Key risks and uncertainties together with the associated mitigating controls relating to the Group's business are summarised on page 21 of the Strategic report.

To mitigate further the risks associated with significant new projects, the Group Head of Risk is also responsible for carrying out an independent appraisal of all projects before submission to the Major Projects Committee (see page 51). This appraisal ensures that the differentiating factors of the Group's offer have been properly identified, thus maximising the opportunities available; it also involves ensuring that all inherent and residual risks associated with the project have been properly identified and considered.

Internal control and assurance processes

In order to protect the Company's assets, the interests of its stakeholders and provide mitigation against the risks and uncertainties relating to its business, the Company maintains a comprehensive set of policies, procedures and controls, including financial, operational and compliance controls. This section of the report summarises the key elements of the Group's internal control framework, although it should be noted that the controls summarised below are designed to manage rather than eliminate risk and as such they provide reasonable but not absolute assurance against any material misstatement or loss.

The Group's financial and operating activities are conducted in compliance with the procedures, policies and limits set by the Board. Management has also implemented procedures to ensure timely and accurate reporting of business performance by business units. Regular performance review meetings are held in which senior managers' report to the Executive Directors on business performance against targets, risk and internal control matters. The results of these meetings are presented to the Board.

The Major Projects Committee, a committee of the Board, acts as the sanctioning body for major commitments and transactions including capital expenditure, major contracts and company and business acquisitions and disposals. This Committee has delegated authority up to specified levels of risk as determined by a risk assessment matrix, beyond which Board approval is required.

Practical guidance for all staff is maintained in Group policy and procedure documents regarding the authorisation levels for commitments, contract selectivity and bidding, the provision of guarantees and management accounting as well as for reporting and resolving suspected fraudulent activities.

Employees are encouraged to raise genuine concerns about malpractice at the earliest possible stage and a confidential Whistleblowing hotline provided by an independent third party is available. A monthly report on issues raised on the Whistleblowing hotline and subsequent investigations is compiled by the Whistleblowing and Fraud Committee and forwarded to the Board. The Board has a policy to prosecute individuals found to have defrauded the Company or its subsidiaries. To minimise the occurrence of fraud, learning points for management are identified and action plans implemented.

The Executive Directors report to the Board on material changes in the business and the external environment that affect significant risks. The Group Finance Director provides the Board with regular financial information, which includes key performance indicators and a summary of risk. These key performance indicators are listed in the Strategic report on pages 7 to 9. Where areas for improvement are identified, the Board considers the recommendations made by both the Executive Directors and the Committee.

Internal audit carries out audits to assess the adequacy and effectiveness of internal controls over the key risks faced by the business and reports its findings to management, the Executive Directors and the Committee. Recommendations to improve the system of control made by internal audit are followed up on a regular basis.

Management has also implemented a system of 'peer reviews', under which the performance of individual contracts is reviewed by experienced teams from other projects across the business. Summaries of the peer review reports are provided to, and reviewed by, the Committee.

The Group has also implemented a process of Control Risk Self-Assessment where Directors and senior managers are required to detail and certify controls in operation to ensure the control environment in their business areas is appropriate. They also confirm annually, in writing, that risk management processes and appropriate controls are in place and are operating effectively.

Change of outsourced services provider

During 2014, the Group changed its outsourced provider of payroll, accounting and information technology services. The Committee monitored this transition with reference to updates from management and the internal and external audit functions. The Committee is satisfied that the transition has been effectively managed with all of the service lines now transitioned across to the new provider.

Annual evaluation of Committee performance

As part of the overall Board evaluation process the Committee reviewed its performance for 2014. This evaluation considered areas such as the Committee's processes and support, its time management and composition, its effectiveness in reviewing the work undertaken by internal and external audit and its effectiveness in reviewing internal control systems, the quality of reporting and management of risk, and confirmed that the Committee continues to be highly effective in undertaking its responsibilities. Future priorities highlighted by this evaluation included assessing the quality of the Carillion system of internal peer assurance.

Confirmation of compliance with Turnbull Guidance

During the year, the Audit Committee monitored and reviewed the effectiveness of the Group's internal control systems, including its risk management procedures noted and discussed in this report, and reported thereon to the Board. Based on the Committee's report, the Board confirms that there is an ongoing process for identifying, evaluating and managing the significant risks (both financial and non-financial and including Corporate Social Responsibility risks) faced by the Group (including joint ventures and overseas businesses). The process has been in place for the year under review and up to the date of approval of the Annual Report and Accounts and is regularly reviewed by the Board.



Andrew Dougal
Chairman of the Audit Committee
4 March 2015

Remuneration report

Remuneration Committee Chairman's Letter

Dear Shareholder,

On behalf of the Board, I am pleased to present our Directors' Remuneration report for 2014, which sets out the amounts earned in respect of the year ended 31 December 2014 under the Remuneration Policy for the Directors of Carillion that was approved by shareholders at the Company's 2014 AGM.

The report complies with the Large and Medium-Sized Companies and Groups (Accounts and Reports) Regulations 2008, the 2012 UK Corporate Governance Code ('the Code') and the Financial Conduct Authority Listing Rules. This report is presented in two sections: the Annual Report on Remuneration and the Directors' Remuneration Policy. The Annual Report on Remuneration provides details of the amounts earned in respect of the year ended 31 December 2014 and how the Directors' Remuneration Policy will operate for the year commencing 1 January 2015. This is subject to an advisory vote at the 2015 Annual General Meeting. The second section sets out the Company's Directors' Remuneration Policy, which was approved by shareholders at the Annual General Meeting on 7 May 2014, from which date it took binding effect.

2014 incentive out-turns

Throughout the year, the Remuneration Committee continued to apply the Remuneration Policy prudently, with a clear alignment to the interests of shareholders. In this regard, the Remuneration Committee feels strongly that rewards should be linked to both Group and personal performance.

To encourage behaviours that facilitate profitable growth and the future development of the business, 50 per cent of the 2014 annual bonus opportunity was based on Earnings Per Share ('EPS') performance, 25 per cent was based on personal targets and 25 per cent was based on individual 'stretch' targets (individual strategic objectives that required an outstanding level of performance to be achieved). As described in the business review section of this Annual Report, the trading conditions within Carillion's target markets continued to remain challenging and consequently no bonus payments are to be made in relation to the EPS target. However, as set out on pages 56 and 57 both Executive Directors made good progress against their personal and individual 'stretch' targets for 2014 and consequently an annual bonus of 44 per cent of base salary was earned by Richard Howson and 45 per cent of base salary was earned by Richard Adam for the year ended 31 December 2014. 50 per cent of the bonus earned is awarded in cash and 50 per cent is awarded in shares, which are deferred for a three-year period before vesting.

Awards granted to Executive Directors under the Company's Leadership Equity Awards Plan (LEAP) in 2012 were based on growth in earnings per share and on an average annual cash flow conversion rate target to take account of the importance of the delivery of cash-backed profits. Due to challenging economic conditions in Carillion's industry sectors, over the three-year performance period to 31 December 2014, the Group's annual average growth in EPS was -6.8 per cent and the Group's average annual cash flow conversion rate was 79 per cent. Therefore no long-term incentive awards vested under the LEAP in respect of the year ending 31 December 2014.

Proposed changes in executive remuneration for 2015

The Remuneration Committee has continued to monitor the Executive Remuneration Policy to take account of evolving market practice, whilst also seeking to ensure that a stable framework is maintained to avoid making unnecessary and frequent changes to the structure of pay. Accordingly, the fundamental structure of the package and the overall quantum of the incentives have not changed.

After consultation with, and good support from our major shareholders, the Remuneration Committee has decided to increase Richard Howson's base salary by 9 per cent to £610,400 with effect from 1 January 2015 to reflect his contribution to the business and his performance in his current role. Subject to both the continued strong performance of the business and his personal performance over the period to December 2015 it is intended that a further increase of 8 per cent (taking salary to £660,000) will apply from 1 January 2016. The Remuneration Committee took a number of factors into account when determining the changes to Richard Howson's base salary, as explained below.

- ▶ In line with best practice, the Directors' Remuneration Policy is that increases in salary for Executive Directors will not normally exceed the range of increases awarded to other employees in the group with the exception of the specific circumstances listed in the binding policy. The exceptions include situations where an Executive Director has been promoted and the increase takes account of the individual's development or performance in role.
- ▶ In line with our Remuneration Policy, when Richard Howson was appointed as Chief Executive on 1 January 2012, having previously served as our Chief Operating Officer, his base salary was set at £560,000, which was deliberately positioned at the lower end of the market competitive range to reflect his promotion into the role. This is also significantly lower than the base salary of £632,000 paid to his predecessor, John McDonough. Richard Howson has now been Chief Executive for over three years and the Remuneration Committee believes that his strong performance during this period should be acknowledged by setting his base pay at an appropriate level.

- Richard Howson's leadership has been a major factor in enabling Carillion to respond successfully to the effects of the recession and prolonged economic downturn for our industry. Under Richard's leadership, we have reshaped our business to align it with our target markets. Carillion has emerged from the downturn with a strong, high-quality order book and a substantial pipeline of contract opportunities and is now well positioned for 2015, and to continue making progress over the medium term. Despite the challenging economic environment, Carillion's dividend payments have continued to move forward and have grown at a compound annual growth rate of four per cent over the past five years. Furthermore, Carillion's shareholder return since Richard Howson's appointment in January 2012 has matched the FTSE All-Share Index.
- The responsible approach adopted by the Remuneration Committee, together with the phasing of the proposed increase over two years in 2015 and 2016, means that Richard Howson will receive only a salary equivalent to his predecessor after having been in role for five years. The second increase is not guaranteed. The decision to implement this is contingent on a continued improvement in corporate performance and of Richard Howson personally. The intention is for the Remuneration Committee to consider this holistically by looking at a range of factors to ensure that Carillion's and Richard Howson's performance justifies the increase. This includes considering progress against the business strategy and key objectives over the period since 31 December 2014. The Remuneration Committee intends to disclose the factors considered in the Directors' Remuneration report in due course if the second increase is made.
- Moving the Chief Executive's base salary to £660,000 over two years, would mean it is positioned broadly in line with the mid-point of the 'market competitive range'. The benchmark reference points considered by the Remuneration Committee included a pan-sectoral analysis of all companies in the FTSE All-Share Index taking account of each company's financial size (by both market capitalisation and revenue), internationality and the complexity of the business. As a further reference point, an analysis of base salaries in Carillion's industry comparator group were also considered. These benchmark reference points were considered appropriate as they take into account industry trends, Carillion's size and the fact that it is a significantly more complex business than many FTSE 250 companies.

The Remuneration Committee does not consider base salary benchmarks in isolation. The proposed changes to Richard Howson's base salary have been considered in the context of Carillion's Remuneration Policy, his experience and the contribution he has made to the business over the past three years, the performance of the business and prevailing market conditions. The risks posed by uncompetitive executive remuneration packages were also considered, recognising the importance of ensuring that salaries reflect individual performance, skills, experience and the scope of the executive's responsibilities in recruiting and retaining the talent necessary to deliver our business strategy.

There are no changes proposed to the annual bonus or to long-term incentive opportunities other than to introduce malus and clawback provisions in recognition of the changes in the 2014 edition of the Corporate Governance Code. These provisions include the addition of a two year clawback period in relation to cash bonuses and the alignment of the existing malus arrangements to the conditions under which clawback will operate for both the deferred bonus (deferred for three years) and for LEAP. In addition, we have introduced an additional holding period to the LEAP for our Executive Directors which will require them to hold their shares for a further period of two years after the end of the three year performance period. This is a further commitment to our key remuneration principle of 'alignment with shareholders' interests'. During this holding period, malus will continue to apply.

The bonus structure for 2015 will mirror that of 2014.

Other than the new holding period referred to above, the LEAP structure for 2015 is also unchanged. Two-thirds of the LEAP award (up to 100 per cent of salary for Executive Directors) will continue to be subject to EPS and cash flow conversion performance targets, as set out on pages 58 and 59, and one-third (up to 50 per cent of salary for Executive Directors) is subject to strategic performance metrics that are aligned to Carillion's long-term strategy. For 2015, the strategic targets will be based on delivering measurable cost-saving and efficiencies through our sustainability agenda and strategic growth measured through the achievement of new, profitable secured and probable orders.

We remain committed to a responsible approach in respect of executive pay. The Remuneration Committee will continue to engage with and seek to incorporate the views of shareholders in any major changes to the Directors' Remuneration Policy.



Alison Horner
Chairman of the Remuneration Committee
4 March 2015

Remuneration report

continued

Annual Report on Remuneration

Remuneration philosophy and linking executive remuneration with strategy

Carillion's Remuneration Policy is to provide the Executive Directors with appropriate incentives to encourage enhanced performance in a manner consistent with the Group's strategy and to reward them in a fair and responsible manner for their individual contributions to the success of the Group.

The remuneration package has been based on the following key principles.

Key focus	Remuneration Policy and link to strategy
To invest in our people and capabilities	Our Remuneration Policy is designed to reward all employees fairly according to their role, experience and performance and with due regard to actual and expected market conditions and the financial performance of the Group.
Alignment with interests of shareholders	A substantial proportion of the package for the Executive Directors is paid in the Company's shares to ensure that the interests of Executives are aligned with shareholders. This is further supported by shareholding guidelines. To create alignment with shareholders by ensuring that a meaningful portion of each Executive Director's personal wealth is linked to share price performance, each Executive Director is required to hold the net number of shares acquired through the LEAP and the deferred bonus plan until the value of their total shareholding is equal to their annual salary.
Pay for performance and delivery of our business vision	Our strategic focus is to deliver sustainable, profitable growth. A substantial proportion of Executive Director remuneration is variable and linked to the Group's performance, in particular, to the delivery of our business vision and our strategy (see the Strategic report on pages 6 to 26) and to the performance of the individual. To encourage behaviours which facilitate profitable growth and the future development of the business, our short-term performance is assessed against both earnings per share performance and the delivery of specific individual strategic, financial and non-financial objectives. Our long-term performance is measured by assessing the growth in earnings per share, cash flow conversion and key strategic objectives. Together, these metrics are a key measure of success in delivering shareholder value.
Be a recognised leader in Health & Safety and sustainability	To ensure that remuneration arrangements support our sustainability agenda, the quality of the Group's performance in terms of business results and leadership is considered, including achieving high standards in respect of Carillion's Health & Safety, environmental and social performance targets. This is further supported by the inclusion of strategic objectives in the LEAP since 2014, which include specific and quantifiable sustainability metrics.

Single figure of remuneration for each Director

The remuneration of the Directors of Carillion plc for the year ended 31 December 2014 and the previous year is set out in the tables below. This information has been audited.

Director	Salary/fees ^(a)	Benefits ^(b)	Bonus ^(c)	Long-term incentives ^(d)	Pension ^(e)	Total remuneration
Year ended 31 December 2014, £'000						
Executive						
Richard Howson	560	20	246	-	198	1,024
Richard Adam	450	21	203	-	144	818
Total for Executive Directors	1,010	41	449	-	342	1,842
Non-Executive						
Philip Rogerson	68	-	-	-	-	68
Philip Green	147	-	-	-	-	147
Andrew Dougal	60	-	-	-	-	60
Steve Mogford	57	-	-	-	-	57
Vanda Murray	21	-	-	-	-	21
Alison Horner	61	-	-	-	-	61
Ceri Powell	37	-	-	-	-	37
Total for Non-Executive Directors	451	-	-	-	-	451
Total	1,461	41	449	-	342	2,293

Director	Salary/fees ^(a)	Benefits ^(b)	Bonus ^(c)	Long-term incentives ^(d)	Pension ^(e)	Total remuneration
Year ended 31 December 2013, £'000						
Executive						
Richard Howson	560	73	203	-	198	1,034
Richard Adam	450	21	191	-	175	837
Total for Executive Directors	1,010	94	394	-	373	1,871
Non-Executive						
Philip Rogerson	193	-	-	-	-	193
Philip Green	60	-	-	-	-	60
Andrew Dougal	60	-	-	-	-	60
Steve Mogford	50	-	-	-	-	50
Ceri Powell	-	-	-	-	-	-
Alison Horner	-	-	-	-	-	-
Vanda Murray	60	-	-	-	-	60
Total for Non-Executive Directors	423	-	-	-	-	423
Total	1,433	94	394	-	373	2,294

The information in the single-figure table on page 54 derived from the following:

(a) Salary and fees	The amount of salary/fees received in the year. For Phillip Rogerson, Vanda Murray and Ceri Powell the amounts for 2014 are pro-rata. The amount shown for Alison Horner includes payment in respect of December 2013. For Philip Green the amount shown reflects an increase from May to reflect his appointment as Chairman.
(b) Benefits	This is the taxable value of benefits received in the year. This includes a car/car allowance, fuel benefit and private medical care.
(c) Bonus	Bonus is the cash value of the bonus earned in respect of the year including the value of deferred shares, which must be held for a minimum three-year period. A description of performance against objectives, which applied for the financial year, is provided on pages 56 and 57.
(d) Long-term incentives	Long-term incentives represents the value of performance-related incentives vesting in the financial year. LEAP awards granted to Executive Directors prior to 2012 were based on growth in earnings per share against RPI. For the year ended 31 December 2014, LEAP awards in respect of the performance period commencing 1 January 2012 and ending 31 December 2014, lapsed in full. LEAP awards granted to Executive Directors from 2012 were based on growth in earnings per share and average annual cash flow conversion targets as discussed on pages 57 to 59.
(e) Pension	The pension figure represents the cash value of pension contributions received by the Executive Directors. This includes the Company's contributions to the defined contribution pension plan and any salary supplement in lieu of a Company pension contribution and the allowance paid for salary in excess of the internal cap on pensionable salary.

Individual elements of remuneration

Base salary and fees

Base salaries for individual Directors are reviewed annually by the Remuneration Committee and are set with reference to individual performance, experience and responsibilities within the Group as well as with reference to similar roles in comparable companies. As reported in the Company's previous Directors' Remuneration report, there were no salary increases for Executive Directors in 2014. This information has been audited.

In line with best practice, the Directors' Remuneration Policy, approved by shareholders at the 2014 AGM, is that increases in salary for Executive Directors will not normally exceed the range of increases awarded to other employees in the Group with the exception of the specific circumstances listed in the binding policy. The exceptions include situations where an Executive Director has been promoted and the increase takes account of the individual's development or performance in role (e.g. the salary of a newly appointed Executive Director is increased to align it with the market competitive range over time).

In recognition of this policy and as explained in detail in the Chairman's letter, the Remuneration Committee has decided to increase Richard Howson's base salary by 9 per cent to £610,400 with effect from 1 January 2015 to reflect his contribution to the business and his experience in his current role.

Richard Adam will receive an increase of 2 per cent effective from 1 April 2015, which is in line with the range of increases awarded to other employees in the Group.

The base salaries for 2014 and 2015 are as set out below:

	2014 base salary	2015 base salary	Increase
Richard Adam	£450,000	£460,000 ⁽¹⁾	2%
Richard Howson	£560,000	£610,400	9%

(1) The increase in Richard Adam's base salary is payable from 1 April 2015.

Subject to the continued strong performance of the business and Richard Howson's personal performance over the period to December 2015, it is intended that a further increase of 8 per cent (taking his salary to £660,000) will apply from 1 January 2016. The second increase is not guaranteed. The decision to implement the second increase will be contingent on the continued improvement in corporate performance and of Richard Howson personally.

Richard Adam retained the fees of £12,249 and £30,885 paid in 2014 as a Non-Executive Director of Wincanton plc and Countrywide PLC respectively. Mr Adam stood down as a Director of Wincanton plc in September 2014.

Remuneration report

continued

The Remuneration Policy for Non-Executive Directors, other than the Chairman, is determined by the Board. Fees reflect the responsibilities and duties placed upon Non-Executive Directors, whilst also having regard to market practice. The Non-Executive Directors do not participate in any of the Group's share incentive plans, nor do they receive any benefits or pension contributions.

Non-Executive Director fees	2014	2015
Basic fee	£50,000	£50,000
Additional fee for		
– Chairmanship of the Remuneration Committee	£10,200	£10,200
– Chairmanship of the Audit Committee	£10,200	£10,200
– Senior Independent Non-Executive Director	£10,200	£10,200

On appointment as Chairman, Philip Green received a fee of £193,000 pro-rata from 7 May 2014. He does not receive any additional fee for committee memberships.

2014 Annual Bonus

To encourage behaviours that facilitate profitable growth and the future development of the business, for 2014, the annual bonus was based on the following performance targets. This information has been audited.

Executive Director	Financial performance	Personal performance
Richard Howson and Richard Adam	50 per cent of salary based on achievement and out performance of EPS target	25 per cent of salary based on personal objectives 25 per cent of salary based on individual 'stretch' targets The personal objectives and individual 'stretch' targets of the Executive Directors were agreed by the Remuneration Committee at the start of the 2014 financial year and assessed in February 2015 to establish the extent to which they had been met.

Performance against targets

Financial performance (up to 50 per cent of salary)	Target EPS of 35.5 pence was not achieved and therefore no bonus was awarded for financial performance.
Personal objectives (up to 25 per cent of salary)	For 2014, these objectives were as follows: Richard Howson Lead progress against the Group's Health & Safety and sustainability targets and deliver continued improvement in performance. Retain and develop talent pools across the Group and ensure that effective succession arrangements are in place for key executive positions. Lead progress against the delivery of the Group's work-winning targets and achieve continued improvement in the Group's customer satisfaction metrics. Manage delivery against key initiatives to be progressed as part of the Group's ongoing strategic development. Following its review in February 2015, the Committee concluded that Richard Howson's performance in 2014 warranted the award of 22.5 per cent of salary in respect of this element. Richard Adam Manage the delivery of the Group's performance against budgeted targets in relation to net borrowings and underlying profit before tax. Lead delivery of progress against the Group's targets for savings from its supply chain initiatives. Manage the Group's central costs in support of the Group's overall profit targets. Lead the Group's Investor Relations programme and ensure the Group's performance and other developments are effectively communicated to its debt and equity investors. Following its review in February 2015, the Committee concluded that Richard Adam's performance in 2014 warranted the award of 22.5 per cent of salary in respect of this element.

**Individual 'stretch' targets
(up to 25 per cent of salary)**

For 2014, these objectives were as follows:

Richard Howson

Continue to develop and where appropriate strengthen the Chief Executive Leadership Team to ensure that it is well placed to deliver the Group's strategic targets.

Analyse, develop and mobilise, in line with the agreed plan, enhancement to Carillion's 'Cyber Security' processes and systems.

Continue to focus on identification and implementation of new initiatives to support the future strategic development of the Group.

Following its review in February 2015, the Committee concluded that Richard Howson's performance in 2014 warranted the award of 21.5 per cent of salary in respect of this element.

Richard Adam

Deliver a significant improvement in the Group's working capital performance during 2014.

Secure the successful transition of the Group's Business Process Outsourcing arrangements to its new provider during 2014.

Group-wide cost reduction and margin improvement plans to support the Group's profit and margin targets.

Following its review in February 2014, the Committee concluded that Richard Adam's performance in 2014 warranted the award of 22.5 per cent of salary in respect of this element.

Annual bonus payments to Executive Directors also have the following additional restrictions applied.

- 50 per cent of any bonus earned is deferred into shares in the Company for a period of three years under the deferred bonus plan.
- A malus provision is operated that gives the Remuneration Committee the right to reduce any deferred bonus awards which have not yet vested in relation to circumstances of corporate failure, which may have occurred at any time before malus is operated.
- Each Executive Director is required to hold the net number of shares acquired through the deferred bonus plan and LEAP until the value of their total shareholding is equal to their annual salary.

For 2014, the values of each Executive Directors' annual bonus paid in cash and deferred into shares were as follows:

	Cash payment	Deferred into shares	Total annual bonus shown in column (c) of total remuneration table on page 54 in respect of 2014
Richard Adam	£101,250	£101,250	£202,500
Richard Howson	£123,200	£123,200	£246,400

Summary of 2015 bonus operation

The Remuneration Committee is not making any changes to the annual bonus policy and structure for 2015. The bonus arrangements for 2015 will mirror those of the 2014 scheme and the maximum annual bonus opportunity remains at 100 per cent of base salary. The Remuneration Committee considers that the actual annual bonus targets are commercially sensitive as they provide our competitors with insight into our business plans, expectations and our strategic actions and should therefore remain confidential to the Company. However, the Remuneration Committee will continue to disclose how bonuses paid relate to performance against targets on a retrospective basis.

Value earned from long-term incentive awards**The Leadership Equity Award Plan (LEAP)**

For the LEAP awards granted to Executive Directors in 2012 and 2013, 100 per cent of salary was based on growth in earnings per share and 50 per cent of salary was based on average annual cash flow conversion targets as shown below. This information has been audited.

	Vesting (% of maximum for Executive Directors)	100% of salary based on EPS growth	50% of salary based on annual average cash flow conversion
Threshold	17%	6% pa	95%
Target	50%	9% pa	100%
Maximum	100%	12% pa	110%

Growth in EPS is measured based on underlying basic earnings per share as disclosed in the Annual Report and Accounts. This is calculated before intangible amortisation, non-recurring operating items, non-operating items, and fair value movements in derivative financial instruments (and post any impairment of goodwill or intangibles).

The average annual cash flow conversion is calculated as the underlying cash flow from operations divided by the underlying profit from operations as reported in the Annual Report and Accounts. Annual cash flow conversion over the three-year performance period is averaged to provide a focus on the sustainable delivery of cash-backed profits.

Remuneration report

continued

Performance against targets

	Performance achieved in three-year performance period to 31 December 2014	% of 2012 award due to vest in April 2015
EPS growth	(7%)	nil% of salary
Annual average cash flow conversion	79%	nil% of salary
Total vesting		nil% of salary

Long-term incentives awarded during the financial year

The design of the LEAP approved at the AGM in 2014 includes financial and quantifiable stretching strategic objectives.

The table below outlines awards made under the LEAP to Executive Directors in 2014. This information has been audited.

		Award basis	Number of shares	Face value of the award	Vesting at threshold	Performance period
7 May 2014	Richard Adam	150% of base salary	185,644	£675,001	25% of base salary	1 January 2014 to 31 December 2016
7 May 2014	Richard Howson	150% of base salary	231,023	£840,001	25% of base salary	1 January 2014 to 31 December 2016

* The face value is based on the issue price at the date of grant of £3.636.

The performance conditions for these LEAP awards are as follows:

Two-thirds of the 2014 LEAP award is subject to EPS and cash flow conversion targets, as set out in the table below:

	Vesting (% of maximum for Executive Directors)	50% of salary based on EPS growth	50% of salary based on annual average cash flow conversion
Threshold	17%	6% pa	95%
Target	50%	9% pa	100%
Maximum	100%	12% pa	110%

One-third of the 2014 LEAP award is subject to strategic performance metrics that are aligned to the Company's sustainability agenda and drive shareholder value. For 2014, this is based on three quantifiable and stretching strategic measures that apply equally:

- › delivery of sustainability through measurable cost-saving and efficiencies that will provide contributions to the Company's profit of £25 million, £30 million and £32 million in 2014, 2015 and 2016 respectively;
- › delivery of employee engagement in sustainability measured through a target of 25 per cent of Carillion's employees undertaking community work in Company time by the end of 2016; and
- › strategic growth measured through the achievement of secured and probable, profitable new orders over the performance period with a book-to-bill ratio of more than one.

Vesting under each strategic element will be based on an audited assessment of performance that will be provided to the Remuneration Committee.

In addition, the Remuneration Committee must be satisfied that the vesting reflects the underlying performance of Carillion and retains the flexibility to adjust the vesting amount to ensure it remains appropriate. It is often not possible to assess this formulaically and any adjustment will depend on the nature, timing and materiality of any contributory factors.

In order to maintain transparency, the Remuneration Committee will disclose how the Company has performed against each of the strategic metrics at the end of the performance period and will disclose any adjustments made to ensure that vesting appropriately reflects the underlying performance of the business.

A malus provision is operated that gives the Remuneration Committee the right to reduce any LEAP awards that have not yet vested in relation to circumstances of corporate failure, which may have occurred at any time before malus is operated.

Each Executive Director is required to hold the net number of shares acquired through the deferred bonus plan and LEAP until the value of their total shareholding is equal to their annual salary.

Long-term incentive awards for 2015

The LEAP design for 2015 is unchanged, other than the introduction of an additional holding period for our Executive Directors which will require them to hold onto their shares for a further period of two years after the end of the three year performance period.

No changes are proposed to the maximum LEAP opportunity for 2015 and this will therefore remain at 150 per cent of salary annually and the proportion of the award vesting for threshold performance remains at 25 per cent of salary.

Two-thirds of the LEAP award (up to 100 per cent of salary for Executive Directors) will continue to be subject to EPS and cash flow conversion performance targets, as set out above, and one-third (up to 50 per cent of salary for Executive Directors) will be based on two quantifiable and stretching strategic measures that will apply equally:

- ▶ delivery of sustainability through measurable cost-saving and efficiencies that will provide contributions to the Company's profit of £96 million over the performance period; and
- ▶ strategic growth measured through the achievement of secured and probable, profitable new orders over the performance period with a book-to-bill ratio of more than one.

Total pension entitlements (including defined benefit schemes)

Pensionable salary is limited by an internal cap. The Carillion cap commenced at the level of £110,000 for the tax year 2006-07 and rose in line with the published increases in HMRC's Life Time Allowance to the current level of £132,700 which has applied since 2010-11. Future increases are at the discretion of the Remuneration Committee. Salary supplements are paid in respect of salary over the internal cap.

Executive Directors receive pension contributions and supplements up to 40 per cent of salary. Executive Directors who participate in the Company's defined contribution plan are required to pay 10 per cent of the earnings cap.

Richard Howson is also a deferred member of a defined benefit scheme. The defined benefit scheme was closed to future accrual in April 2009 and Executive Directors who were members of this scheme became deferred pensioners. Their deferred benefits are based on pensionable salary and service at the date of closure. Richard Howson is a deferred member of this scheme and details of the pension accrued to him are included below.

	Accrued pension at 31 December 2014/(2013)	Change in accrued pension over 2014/(2013) net of inflation	Normal retirement date
Richard Howson	£27,557 (£27,407)	Nil (Nil)	3 August 2033

1. The pension data set out above is based on CPI (rather than RPI) to revalue deferred benefits from 1 January 2011 in line with advice received from the legal advisers to the trustee of the scheme.
2. The accrued pension allows for inflation from the member's date of cessation to future accrual to the current date, consistent with the approach taken in prior years. The benefit the member will receive on retirement will be based on statutory revaluations which may differ.
3. Figures are calculated in line with the requirements effective from 1 October 2013.
4. Prior year figures are shown in brackets.

As the defined benefit scheme is closed, early retirement benefits (not on the grounds of ill health) are available from age 55 reduced for early payment. In the event of ill health early retirement the accrued benefits may be paid at any age with or without a reduction for early payment at the discretion of the pension scheme trustees.

Death-in-service benefits are provided as part of membership of these plans.

Payments to past Directors

There were no payments made to past Directors during the period in respect to services provided to the Company as a Director.

Payments for loss of office

There were no payments for loss of office during the period.

Shareholding guidelines and total shareholdings of Directors

To provide alignment with shareholders' interests and to promote share ownership, each Executive Director is required to hold the net number of shares acquired through the LEAP and, with effect from 1 January 2014, the deferred bonus plan until the value of their total shareholding is equal to their annual salary. The extent to which each Executive Director has met the shareholding guideline is shown in the table below. This information has been audited.

					Unvested		Total as at 31 December 2014
Shareholding guidelines	Current shareholdings (% of salary)	Type	Owned outright	Subject to performance conditions	Not subject to performance conditions		
Executive Directors							
Richard Adam	100 per cent of salary	119,274 93%*	Shares	119,274	N/A	N/A	119,274
			LEAP award	N/A	664,985	N/A	664,985
			DBP shares	N/A	N/A	25,204	25,204
Richard Howson	100 per cent of salary	121,789 71%*	Shares	121,789	N/A	N/A	121,789
			LEAP award	N/A	827,537	N/A	827,537
			DBP shares	N/A	N/A	26,752	26,752
Non-Executive Directors							
Philip Green	N/A	N/A	Shares	10,000	N/A	N/A	10,000
Andrew Dougal	N/A	N/A	Shares	5,000	N/A	N/A	5,000
Alison Horner	N/A	N/A	Shares	Nil	N/A	N/A	Nil
Steve Mogford	N/A	N/A	Shares	Nil	N/A	N/A	Nil
Ceri Powell	N/A	N/A	Shares	Nil	N/A	N/A	Nil

* The current shareholdings as a percentage of salary are calculated using the closing Carillion plc share price on 3 March 2015 of 357.6 pence and 2015 base salaries as set out on page 55.

Remuneration report

continued

Outstanding Directors' share awards

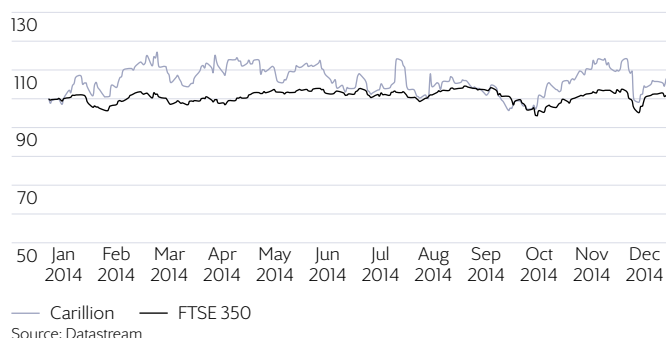
The awards held by Executive Directors of the Company under LEAP as at 31 December 2014 are shown below.

	As at 1 January 2014 Number	LEAP awards granted during the year Number	Awards vesting during the year Number	Awards/options lapsing during the year Number	As at 31 December 2014 Number	Date of award	Mid-market share price on date of award Pence
Richard Adam							
LEAP 2011 (maximum)	159,209	-	-	159,209	Nil	08.04.11	384.4
LEAP 2012 (maximum)	234,864	-	-	-	234,864	05.04.12	287.4
LEAP 2013 (maximum)	244,477	-	-	-	244,477	04.04.13	270.1
LEAP 2014 (maximum)	-	185,644	-	-	185,644	07.05.14	363.6
Richard Howson							
LEAP 2011 (maximum)	150,234	-	-	150,234	Nil	08.04.11	384.4
LEAP 2012 (maximum)	292,276	-	-	-	292,276	05.04.12	287.4
LEAP 2013 (maximum)	304,238	-	-	-	304,238	04.04.13	270.1
LEAP 2014 (maximum)	-	231,023	-	-	231,023	07.05.14	363.6

Performance graph and table

The following graph shows the Total Shareholder Return (TSR) of Carillion plc compared with the TSR of the FTSE 350 Index. The FTSE 350 was chosen as the comparator group in order to illustrate the Company's TSR performance against a broad equity market index of the UK's leading companies. TSR is not used as a performance measure for any benefits provided to Executive Directors.

TSR performance 1 January 2014 to 31 December 2014 Rebased to 100



TSR performance 1 January 2009 to 31 December 2014 Rebased to 100

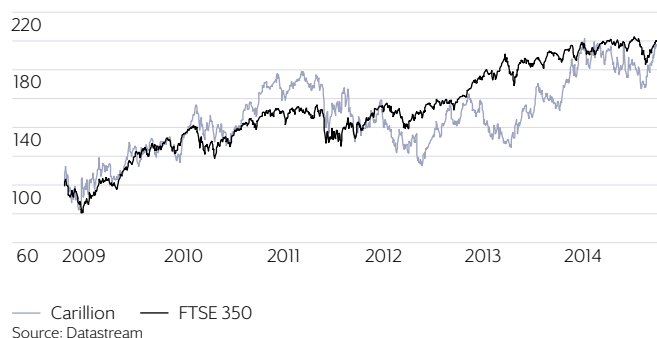


Table of historic Chief Executive data

Year	Chief Executive	Chief Executive single figure of remuneration (£'000)	Annual bonus payout against maximum opportunity (%)	LEAP vesting rates against maximum opportunity (%)
2014	Richard Howson	1,024	44%	Nil
2013	Richard Howson	1,034	36%	Nil
2012	Richard Howson	791	Nil	Nil
2011	John McDonough	1,719	100%	21%
2010	John McDonough	1,512	24%	53%
2009	John McDonough	1,666	54%	85%

Percentage change in remuneration of Director undertaking the role of Chief Executive

The table below sets out in relation to salary, taxable benefits and annual bonus the increase in pay for Richard Howson compared to all UK employees and the top 100 management roles between 2013 and 2014. The latter population provides a comparison that is based on a consistent set of employees and is a fair representation of our worldwide employee base who are eligible to earn an annual bonus and receive benefits that are broadly consistent with those provided to the Chief Executive.

	Chief Executive			Top 100 globally			All UK employees		
	2013 £'000	2014 £'000	Change %	2013 £'000	2014 £'000	Change %	2013 £'000	2014 £'000	Change %
Salary	560	560	-	124	132	6	28	29	3
Taxable benefits	73	21	(71)	-	-	-	-	-	-
Annual bonus	203	246	21	16	24	46	2	3	46

Relative importance of spend on pay

The following table sets out the percentage change in dividends and expenditure on pay for the whole of Carillion.

	2014 £m	2013 £m	Change
Dividends	76.4**	75.2*	2%
Overall expenditure on pay	777.7	751.0	4%

* Dividends payable in respect of the year ended 31 December 2013.

** Dividends payable in respect of the year ended 31 December 2014.

Remuneration Committee meetings, members and advisers

The Remuneration Committee is responsible for:

- setting the framework and policy for remuneration of the Executive Directors;
- determining the remuneration packages for the Executive Directors and the Chairman;
- monitoring the level and structure of remuneration for senior management and approving bonus payments; and
- noting any major changes in employee benefit structures throughout the Group and ensuring that Executive Director remuneration practice is consistent with any such changes.

The Remuneration Committee consists exclusively of independent Non-Executive Directors Alison Horner, Steve Mogford, Ceri Powell and Andrew Dougal. Its terms of reference can be found on the Company's website, www.carillionplc.com. The Remuneration Committee determines the policy for remuneration of key members of the senior management team. Details of the Committee's meetings and attendance by Committee members during 2014 are set out in the table below.

Member	Appointed/(retired)	Meeting attendance 2014		Meeting attendance 2013	
		Attended	Eligible to attend	Attended	Eligible to attend
Vanda Murray (Chairman from 05.05.11)	01.06.05/ (07.05.14)	2	2	3	3
Alison Horner (Chairman from 07.05.14)	01.12.13	4	4	1	1
Andrew Dougal	03.10.11	4	4	3	3
Philip Green	01.06.11/ (07.05.14)	2	2	3	3
Steve Mogford	05.09.06	3	4	3	3
Ceri Powell	02.04.14	1	2	N/A	N/A

The changes to the Committee's composition summarised above resulted from the succession related changes to the Board discussed on pages 42 and 46. The Remuneration Committee is assisted in its work by Janet Dawson, Group HR Director, Philip Green, Chairman, and Richard Howson, Group Chief Executive. The Group Chief Executive is consulted on the remuneration of those who report directly to him and also of other senior executives. No Executive Director or employee is present or takes part in discussions in respect of matters relating directly to their own remuneration.

Additionally, the Remuneration Committee uses Deloitte LLP to provide salary survey and benchmarking information and external and internal contextual information and analysis as required. The Remuneration Committee took into account the Remuneration Consultants Group's Code of Conduct when reviewing the ongoing appointment of Deloitte as adviser to the Remuneration Committee. Deloitte's fees for providing such advice are charged on a time basis and amounted to £29,520 for the year ended 31 December 2014 (2013: £20,025). The Remuneration Committee assesses from time to time whether this appointment remains appropriate or should be put out to tender. The Remuneration Committee undertook such an assessment during the year and remains satisfied with Deloitte's appointment as advisers to the Remuneration Committee. Deloitte, which was appointed by the Remuneration Committee in 2005, also provides certain specialist consultancy services and internal audit resource, but otherwise has no other connections with the Group. The Remuneration Committee is satisfied that the remuneration advice provided by Deloitte is objective and independent.

The Remuneration Committee adopts the principles of good governance as set out in the UK Corporate Governance Code and complies with the Listing Rules of the Financial Conduct Authority and Schedule 8 of The Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008 (as amended in 2013). It met four times during the year.

Statement of voting at 2014 Annual General Meeting

Resolution text	Votes for	% for	Votes against	% against	Votes discretionary	% discretionary	Total votes cast	Votes withheld* (abstentions)
Approval of Remuneration report	233,244,915	96%	10,353,158	4%	329,624	-	243,927,697	12,406,297

* A vote withheld is not a vote in law and, as such, is not counted in the calculation of the proportion of votes 'For' and 'Against'.

Remuneration report

continued

Directors' Remuneration Policy

This part of the report sets out the Company's Directors' Remuneration Policy which was approved by shareholders at the 2014 Annual General Meeting and which took binding effect from the date of that meeting.

Element	Purpose and link to strategy	Operation
Base salary	Core element of fixed remuneration that provides the basis to recruit and retain the talent necessary to deliver the business strategy. Reflects individual skills, experience and the scope of the executive's responsibility. Takes into account an individual's performance.	Usually reviewed annually (but may be reviewed more frequently) with any changes typically effective from 1 April. The decision is influenced by a range of factors including, but not limited to: › role, experience and performance; › average change in broader workforce salary; › total organisational salary budgets; and › group profitability and prevailing market conditions. External benchmark data against companies of a similar size and complexity are also considered.
Benefits	To provide market-competitive benefits at a level needed to attract and retain the talent necessary to deliver the business strategy.	Base salary is supplemented with a range of benefits based on the role and individual's circumstances. These benefits include, but are not limited to, company car or car allowance, fuel benefit and healthcare arrangements. Other benefits may be provided based on individual circumstances, such as, but not limited to: housing or relocation allowances, travel allowance or other expatriate benefits.
Retirement benefits	To provide market-competitive retirement benefits at a level needed to attract and retain the talent necessary to deliver the business strategy.	The Company may make payments into an occupational pension (up to the limit of pensionable pay) and/or a salary supplement. The Company operates a defined contribution plan for this purpose. For salary in excess of pensionable pay, an allowance (set as a percentage of excess pensionable pay) may be paid. Where contributions exceed HMRC limits for a tax free pension accrual, Executive Directors have the choice of receiving excess contributions as a salary supplement (subject to tax and national insurance contributions). In circumstances where there are historical contractual commitments, benefits in part may be provided through membership of the defined benefit pension schemes operated by the Group but now closed. Deferred benefits from these schemes are based on pensionable salary and service at the date of closure. Death-in-service benefits are provided as part of membership of the defined contribution plans based on contractual entitlement and on a life-cover-only basis of membership if applicable. Bonus and other benefits received by Executive Directors do not count towards pensionable pay.

Opportunity

To avoid setting expectations of Executive Directors and other employees, no maximum base salary has been set under the Remuneration Policy.

Increases in salary will not normally exceed the range of increases awarded to other employees in the Group. However, larger increases may be awarded in certain circumstances including, but not limited to:

- › increases in scope or responsibility; or
- › a new Executive Director's salary is adjusted to align it with the market competitive range;
- › where an Executive Director has fallen below market positioning; or
- › other exceptional circumstances.

Such increases may be implemented over a time period deemed appropriate by the Remuneration Committee.

Whilst the Remuneration Committee has not set an absolute maximum on the level of benefits Executive Directors may receive, the value of benefits is set at a level which the Remuneration Committee considers to be appropriately positioned taking into account relevant market levels based on the nature and location of the role and individual circumstances.

Pensionable pay is limited by an internal cap. The Carillion cap commenced at the level of £110,000 for the tax year 2006-07 and rose in line with the published increases in HMRC's Life Time Allowance to the current level of £132,700 which has applied since 2010-11. Future increases are at the discretion of the Remuneration Committee.

Executive Directors receive a contribution of up to 40 per cent of basic salary paid as a contribution to a pension plan or a taxable allowance, as appropriate, to their individual circumstances.

Performance metrics

N/A

N/A

N/A

Remuneration report

continued

Element	Purpose and link to strategy	Operation
Annual performance bonus and deferred bonus plan	Drive and reward the achievement of annual financial and/or strategic business targets and/or delivery of personal objectives relevant to Carillion's long-term strategic objectives. Provide alignment with shareholders' interests. Compulsory deferral of a proportion of bonus earned, paid in the Company's shares, supports the creation of long-term sustainable value, promotes share ownership and also provides a retention element.	Awards based on annual performance against key financial and/or strategic targets and/or the delivery of personal objectives. Payments are determined by the Remuneration Committee after the year end, based on performance against targets set annually. The Remuneration Committee may adjust the bonus pay-out either up or down should the formulaic outcome be considered not to reflect underlying business performance. The circumstances where such a change might be made are set out under the explanation of chosen targets and how performance is measured below. 50 per cent of any bonus earned is paid in cash and 50 per cent is awarded in shares, which vest after three years (subject to a de minimus threshold of £10,000). Deferred share awards may be released early on a change of control (or other relevant event) or in 'good leaver' circumstances (as shown on page 67). The Remuneration Committee has the right to reduce any deferred bonus awards that have not yet vested in relation to circumstances of corporate failure, which may have occurred at any time before reduction is operated (ie a malus provision). The Remuneration Committee may increase the number of shares subject to a deferred share award to reflect dividends that would have been paid over the deferral period on shares that vest, or make a cash payment equal to the value of those additional shares ('Dividend Equivalents').
Long Term Incentive – Carillion plc Leadership Equity Award Plan (LEAP)	Drive and reward the achievement of longer-term objectives aligned closely to shareholders' interests. Retain key executives over a long-term measurement period. Provide alignment with shareholders' interests. Supports retention and promotes share ownership.	The Remuneration Committee intends to make future long-term incentive awards under the LEAP. Annual awards of conditional shares, restricted stock or nil cost options (or similar cash equivalent) under the LEAP can be made with vesting dependent on the achievement of performance conditions, normally over a three-year performance period. Targets, whilst stretching, do not encourage inappropriate business risks to be taken. The Remuneration Committee has the right to reduce any LEAP awards that have not yet vested in relation to circumstances of corporate failure, which may have occurred at any time before the reduction is operated (ie a malus provision). Awards under the LEAP may vest early on a change of control (or other relevant event) subject to satisfaction of the performance conditions and pro-rating for time, although the Remuneration Committee has discretion to increase the extent of vesting having due regard to performance over the period to vesting. As described on page 67, LEAP awards may also vest early in 'good leaver' circumstances. The Remuneration Committee may make a dividend equivalent payment ('Dividend Equivalents') to reflect dividends that would have been paid over the period to vesting on shares that vest. This payment may be in the form of additional shares or a cash payment equal to the value of those additional shares.

Opportunity

Up to 100 per cent of base salary.

Performance metrics

Targets are set annually reflecting the Group's strategy and are aligned with key financial, strategic and/or individual objectives.

Targets, whilst stretching, do not encourage inappropriate business risks to be taken.

At least 50 per cent of the bonus is assessed against key financial performance metrics of the business and the balance may be based on non-financial strategic measures and/or individual performance.

Financial metrics

There is no minimum payment at threshold performance, 50 per cent of the maximum potential for this element of the bonus will vest for on-target performance and all of the maximum potential will vest for maximum performance.

Non-financial or individual metrics

Vesting of the non-financial or individual metrics will apply on a sliding scale between 0 per cent and 100 per cent based on the Remuneration Committee's assessment of the extent to which a non-financial or individual performance metric has been met.

Under the LEAP rules the overall maximum opportunity is 200 per cent of salary in respect of a financial year.

Normal maximum award: 150 per cent of salary in respect of a financial year.

Awards will vest subject to the achievement of performance assessed over more than one financial year, normally three years against key metrics aligned to the business strategy.

Performance measures for the LEAP will be a combination of financial measures, and/or strategic performance metrics, including (but not exclusively):

- › earnings per share growth;
- › cash flow conversion; and
- › key strategic objectives.

Weightings will be as follows:

- › at least two-thirds will be based on financial metrics; and
- › no more than one-third will be based on strategic performance metrics.

Financial metrics

For the achievement of the threshold level of performance (the minimum level of performance for vesting to occur) up to one-sixth of maximum opportunity will vest under each performance measure.

For the achievement of the target level of performance up to 50 per cent of the maximum opportunity will vest under each performance measure.

For the achievement of the maximum level of performance (the highest level of performance that results in any vesting) 100 per cent of the maximum opportunity will vest.

Straight-line vesting will usually apply between these levels of performance.

Strategic metrics

Vesting under the strategic element will apply on a sliding scale between 0 per cent and 100 per cent for each measure to avoid 'cliff edge' vesting.

The Remuneration Committee must be satisfied that vesting reflects the underlying performance of the Company and retains the flexibility to adjust the vesting amount to ensure it remains appropriate to the business performance delivered.

The Remuneration Committee regularly reviews the performance conditions and targets to ensure they continue to be aligned with Carillion's business strategy.

Remuneration report

continued

Remuneration Policy for the Chairman and Non-Executive Directors

Element	Approach of the Company
Chairman fees	The remuneration of the Chairman of the Board is set by the Remuneration Committee. Fees are set at a level that reflects the skills, knowledge and experience of the individual, whilst taking into account appropriate market data. The fee is set as a fixed annual fee and may be paid wholly or partly in cash or Company shares.
Non-Executive Director fees	The Board as a whole is responsible for deciding Non-Executive Directors' fees. Fees are set taking into account several factors including the size and complexity of the business, fees paid to Non-Executive Directors of UK-listed companies of a similar size and complexity and the expected time commitment and contribution for the role. Fees are structured as a basic fee with additional fees payable for chairmanship or membership of a Committee or other additional responsibilities. The fee is set as a fixed annual fee and may be paid wholly or partly in cash or Company shares. Overall fees paid to Directors will remain within the limit set out in the Company's Articles of Association of £500,000 per annum.

Explanation of chosen performance measures and how targets are set

The annual bonus is assessed against both financial and individual targets determined by the Remuneration Committee. This incentivises Executives to focus on delivering the key financial goals of the Company as well as specific strategic objectives for each Director that are aligned to delivering the overall business strategy, and encourages behaviours that facilitate profitable growth and the future development of the business.

Long-term performance measures are chosen by the Remuneration Committee to provide a robust and transparent basis on which to measure Carillion's performance over the longer term. They are aligned with the interests of shareholders and drive business performance in line with the Group's strategy, whilst not encouraging excessive risk taking.

The Remuneration Committee considers carefully the target ranges to be attached to bonus and long-term incentive awards, taking into account a number of factors, which could include future growth expectations, the market environment and the requirement to set stretching but achievable targets.

The Committee retains the ability to adjust/or set different performance measures if events occur (such as a change in strategy, a material acquisition and/or a divestment of a Group business or a change in prevailing market conditions), which cause the Committee to determine that the measures are no longer appropriate and that amendment is required so that they achieve their original purpose.

Awards may be adjusted in the event of a variation of capital in accordance with the scheme rules.

Pay policy for other employees

The Remuneration Policy applied to the Chief Executive's Leadership Team and the most senior executives in the Group is similar to the policy for the Executive Directors in that a significant element of remuneration is dependent on Company and individual performance. The key principles of the remuneration philosophy are applied consistently across the Group below this level, taking account of seniority and local market practice.

Remuneration Policy for new appointments

In the cases of hiring/appointing a new Executive Director, the Remuneration Committee will typically align the remuneration package with the above Remuneration Policy. However, the Remuneration Committee retains the discretion to make payments or awards which are outside the Policy to facilitate the hiring of candidates of the appropriate calibre required to implement the Group's strategy, subject to the principles and limits set out below. The individual will move over time onto a remuneration package that is consistent with the Policy set out in the adjacent table.

In determining appropriate remuneration, the Remuneration Committee will take into consideration all relevant factors (including the quantum and nature of remuneration) to ensure that arrangements are in the best interests of both Carillion and its shareholders. This may, for example, include (but is not limited to) the following circumstances:

- ▶ an interim appointment is made to fill an Executive Director role on a short-term basis;
- ▶ exceptional circumstances require that the Chairman or a Non-Executive Director takes on an executive function on a short-term basis;
- ▶ an Executive Director is recruited at a time in the year when it would be inappropriate to provide a bonus or long-term incentive award for that year as there would not be sufficient time to assess performance; subject to the limit on variable remuneration set out below, the quantum in respect of the months employed during the year may be transferred to the subsequent year so that reward is provided on a fair and appropriate basis;
- ▶ the Executive received benefits at his previous employer that the Committee considers it appropriate to offer.

The Committee may also alter the performance measures, performance period and vesting period of the annual bonus or long-term incentive, subject to the rules of the scheme, if the Committee determines that the circumstances of the recruitment merit such alteration. The rationale will be clearly explained.

The Remuneration Committee may make an award in respect of hiring to 'buy-out' remuneration arrangements forfeited on leaving a previous employer. In doing so the Remuneration Committee will take account of relevant factors regarding the forfeited arrangements, which may include any performance conditions attached to awards forfeited (and the likelihood of meeting those conditions), the time over which they would have vested and the form of the awards (eg cash or shares). It will generally seek to structure buy-out awards on a comparable basis to remuneration arrangements forfeited. These payments or awards are excluded from the maximum level of variable remuneration referred to below. However, the Remuneration Committee's intention is that the value awarded would be no higher than the expected value of the forfeited arrangements. Where considered appropriate, buy-out awards will be subject to forfeiture or clawback on early departure.

Where necessary, the Company will pay appropriate relocation costs. The Remuneration Committee will seek to ensure that no more is paid than is necessary.

The maximum level of variable remuneration (excluding buy-out awards) which may be awarded to a new Executive Director is 300 per cent of base salary. Subject to this overall maximum, variable remuneration incentive awards may be granted within the first 12 months of appointment above the normal maximum annual award opportunities. The Remuneration Committee will ensure that such awards are linked to the achievement of appropriate and challenging performance measures and will be forfeited if performance or continued employment conditions are not met.

Any share awards referred to in this section will be granted as far as possible under the Company's existing share plans. If necessary, and subject to the limits referred to above, in order to facilitate the awards mentioned above, the Committee may rely on exemption 9.4.2. of the Listing Rules which allows for the grant of awards to facilitate, in exceptional circumstances, the recruitment of a Director.

Where a position is fulfilled internally, any ongoing remuneration obligations or outstanding variable pay elements shall be allowed to continue according to the original terms.

Fees payable to a newly-appointed Chairman or Non-Executive Director will be in line with the fee policy in place at the time of appointment.

Service contracts

The Board's policy for current and new Executive Directors is that service contracts are on a one-year rolling basis and have a notice period that should not exceed one year.

	Date of contract	Date of appointment	Notice from the Company	Notice from Director
Richard Howson	8 Dec 2009	8 Dec 2009	12 months	6 months
Richard Adam	11 Dec 2006	2 Apr 2007	12 months	6 months

Non-Executive Directors are not employed under contracts of service, but are generally appointed for fixed terms of three years renewable for further terms of one to three years, if both parties agree.

	Date of appointment	Unexpired term on contract at 31 December 2014
Philip Green	1 June 2011	28 months
Andrew Dougal	3 Oct 2011	33 months
Alison Horner	1 Dec 2013	23 months
Steven Mogford	5 Sep 2006	8 months
Ceri Powell	1 April 2014	27 months

Phillip Green was appointed as Chairman from 7 May 2014 for 36 months.

All Directors offer themselves for annual re-election at each AGM in accordance with the UK Corporate Governance Code. Service contracts for the Executive Directors and letters of appointment for the Non-Executive Directors are available for inspection at the registered office address of the Company.

Richard Adam's service agreement provides that in the period of 12 weeks following a change of control of the Company if there has been a change in his duties, responsibilities, status or reporting line that is materially less favourable to him, he may confirm that such a change has taken place or is proposed. Following any such confirmation by Mr Adam, his employment will terminate and he will receive a payment in lieu of notice consisting of 12 months' basic salary, car allowance (or taxable value of the company car), pension contributions and taxable value of participation in the Company's private health insurance scheme.

Richard Howson's service agreement contains a similar provision in the event of a change of control of the Company, except that his payment in lieu of notice is subject to an obligation to mitigate.

Under the terms of their engagement, the notice period to be given by the Non-Executive Directors to the Company is six months and the Company is obliged to give 12 months. Discretion is retained to terminate with or without due notice or paying any payment in lieu of notice dependent on what is considered to be in the best interests of the Company in the particular circumstances. The Committee reserves the right to make additional exit payments where such payments are made in good faith in discharge of an existing legal obligation (or by way of damages for breach of such an obligation) or by way of settlement or compromise of any claim arising in connection with the termination of a Director's office or employment.

Payments for loss of office

The policy set out below provides the framework for contracts for Executive Directors:

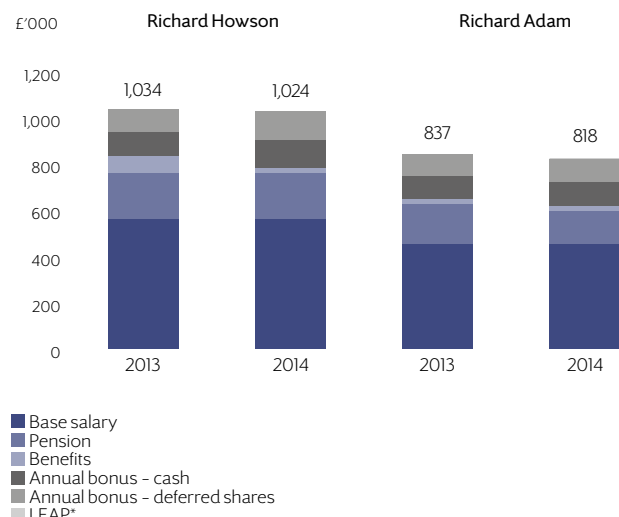
Element	Policy
Notice period on termination by employing company	12 months.
Termination payment	Severance payments in relation to the service contract are limited to no more than one year's salary plus benefits in kind (including company car or car allowance and private health insurance) and pension contributions (which may include salary supplements). Benefits provided in connection with termination of employment may also include, but are not limited to, outplacement and legal fees.
Vesting of incentives for leavers	The Remuneration Committee has the discretion to determine appropriate bonus amounts taking into consideration the circumstances in which an Executive Director leaves. Typically for 'good leavers', bonus amounts (as estimated by the Remuneration Committee) will be pro-rated for time in service to termination and will be, subject to performance, paid at the usual time. 'Good leavers' typically include leavers due to death, illness, injury, disability, redundancy, retirement with the consent of the Company or any other reason as determined by the Remuneration Committee. ▶ The vesting of share-based awards is governed by the rules of the relevant incentive plan, as approved by shareholders. ▶ Under the LEAP, the provisions for 'good leavers' provide that awards will vest at the end of the normal vesting period but the Remuneration Committee has the discretion to accelerate vesting to the date of cessation of employment. If accelerated to the date of cessation of employment vesting will take account of performance over the period to the date of cessation of employment and will be subject to pro-rating for time (although the Remuneration Committee has discretion to increase the extent of vesting having due regard to performance over the period to vesting). ▶ Under the deferred bonus plan, the provisions for 'good leavers' provide that deferred share awards will be released in full at the date of cessation of employment. ▶ In circumstances other than good leavers, awards will lapse. Were a buy-out award to be made under Listing Rule 9.4.2 then the leaver provisions would be determined at the time of the award.

Remuneration report

continued

Actual Remuneration for 2013 and 2014

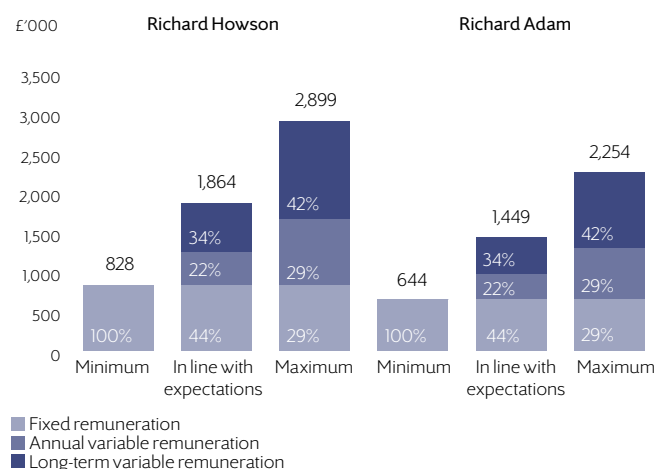
The graph below shows the actual remuneration received by Executive Directors in 2013 and 2014:



Note:
* LEAP did not vest in either year

Illustration of Remuneration Policy for 2015

This chart provides an illustration of the range of remuneration that may be received by Executive Directors in 2015 based on the assumptions noted below.



Assumptions	
Minimum performance	Fixed elements of remuneration only – base salary, benefits and pension only.
Performance in line with expectations	Total fixed pay as above, plus: Assumes 50 per cent of maximum pay-out under the annual bonus (ie 50 per cent of salary) Assumes 50 per cent of maximum pay-out under the LEAP (ie 75 per cent of salary).
Maximum performance	Total fixed pay as above, plus: Assumes 100 per cent of maximum pay-out under the annual bonus (ie 100 per cent of salary) Assumes 100 per cent of maximum pay-out under the LEAP (ie 150 per cent of salary).

Notes:
1. As required by the regulations, the scenarios do not include any share price growth assumptions or take into account any dividends that may be paid.
2. Base salary and the value of pension reflects the latest known information (ie the salary effective from 1 January 2015 for Richard Howson and 1 April 2015 for Richard Adam) and benefits have been assumed to be equivalent to those included in the single-figure of remuneration table on page 54.

Wider workforce remuneration

When determining the remuneration arrangements for Executive Directors, the Remuneration Committee takes into consideration, as a matter of course, the pay and conditions of employees throughout the Group. In particular, the Remuneration Committee is kept informed on:

- salary increase for the general employee population;
- overall spend on annual bonus; and
- participation levels in the annual bonus and share plans.

Although no consultation with employees takes place in relation to determining the Remuneration Policy for Directors, the Group has various ways of engaging with employees collectively, as teams, and on a one-to-one basis. A number of methods are common across all the Group (Employee Forum, Leadership conference calls, Team Talk, Performance Development Reviews, Job Chat, Great Debate and Chief Executive's Leadership Team Lunches) and a number are business or area specific (newsletters, consultation groups and socials). The Board receives updates and feedback on employee engagement.

Existing contractual arrangements

The Remuneration Committee reserves the right to make any remuneration payments and payments for loss of office notwithstanding that they are not in line with the Policy set out below, where the terms of the payment were agreed:

- before 27 June 2012 or
- at a time when the relevant individual was not a Director of the Company and, in the opinion of the Remuneration Committee, the payment was not in consideration for the individual becoming a Director of the Company.

For these purposes 'payments' include the Remuneration Committee satisfying awards of variable remuneration and, in relation to an award over shares, the terms of the payment are 'agreed' at the time the award is granted. For the avoidance of doubt, the Remuneration Committee's discretion includes discretion to determine, in accordance with the rules of the current LEAP, the extent to which awards under that plan may vest in the event of a change of control or in a 'good leaver' circumstance.

Shareholder engagement

The Remuneration Committee engages in regular dialogue with shareholders to discuss and take feedback on its Remuneration Policy and governance matters. In particular, the Remuneration Committee discusses any significant changes to the policy or the measures used to assess performance.

No significant amendments were made to the Remuneration Policy for 2015 and the Remuneration Committee did not therefore feel it necessary to undertake a further consultation exercise on its overall remuneration proposals. However, in the interests of ensuring ongoing and transparent dialogue with shareholders, the Remuneration Committee consulted shareholders on changes to the basic salary for Richard Howson.

The Remuneration Committee will continue to engage with and seek to incorporate the views of shareholders in any major changes to the Executive Director Remuneration Policy.

Approved by order of the Board

Alison Horner

Alison Horner
Chairman of the Remuneration Committee
4 March 2015

Report of the Directors

Background

The Directors of the Company are required to produce a Directors' report on an annual basis under the Companies Act. The Directors are also required under the Companies Act to publish a Strategic report for the Group and the Company. The Directors' Strategic report must i) contain a fair review of the Company's business and a description of the principal risks and uncertainties facing the business and ii) be a balanced and comprehensive analysis of the development and performance of Company's business during the financial year and the position of the Company's business at the end of that year, consistent with the size and complexity of its business.

This section of the Annual Report sets out the information required to be disclosed by the Company and the Group in the Directors' report. Certain matters that would otherwise be disclosed in this Directors' report have been reported elsewhere in this Annual Report and consequently this Directors' report should be read in conjunction with the Strategic report on pages 6 to 36 (which includes our 2014 Sustainability review on pages 16 to 19) and the Corporate Governance report for 2014 on pages 41 to 45, which are incorporated by reference into this Directors' report.

The Strategic Report and this Directors' Report together with other sections of this Annual Report incorporated by reference, when taken as a whole, form the Management Report as required for the purposes of Disclosure and Transparency Rule 4.1.5R. The Management Report for 2014 has been prepared and presented in accordance with and in reliance upon applicable English company law and the liabilities of the Directors in connection with this report shall be subject to the limitations and restrictions provided under such law.

Overview of the information required

A summary of the information required to be disclosed in the Directors' report together with the relevant report and page reference is set out in the table below:

Disclosure	Reported in	Page reference
Acquisitions and disposals	Directors' report	69
Amendment of Articles of Association	Directors' report	71
Annual General Meeting	Directors' report	71
Appointment of Directors	Directors' report	69
Auditors and disclosure of information	Directors' report	71
Authority to allot shares	Directors' report	70
Change of control	Directors' report	71
Community and charitable giving	Strategic report	18
Conflicts of interest	Directors' report	70
Directors	Corporate Governance report	38, 39
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Employee involvement	Strategic report	17
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Political donations	Directors' report	71
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Results and dividends	Directors' report	69
Rights and obligations attaching to shares	Directors' report	70
Risk management	Report of the Audit Committee	50
Share capital	Directors' report	70
Substantial shareholdings	Directors' report	71
Voting and restrictions on voting	Directors' report	70

Results and dividends

The consolidated income statement is set out on page 76. Profit before tax was £142.6 million (2013: £110.6 million).

A 2014 interim dividend of 5.6 pence per ordinary share (2013: 5.5 pence) was paid in November 2014. It is proposed to pay a final dividend of 12.15 pence per ordinary share (2013: 12.0 pence) on 12 June 2015 to shareholders on the register at the close of business on 15 May 2015. The payment of these 2014 interim and final dividends amounts to £76.4 million (2013: £75.2 million).

A dividend reinvestment plan (DRIP) will also be offered allowing shareholders a convenient means of reinvesting their dividends in the Company by buying further shares. If required, a DRIP application form is available from the share registrar, Equiniti (see page 127 for contact details).

The Company may by ordinary resolution from time to time declare dividends in accordance with the rights of the members, but no dividend shall exceed the amount recommended by the Board.

Carillion has a progressive dividend policy that aims to increase its dividend broadly in line with the growth in underlying earnings per share, subject to the investment needs of the business.

Acquisitions and disposals

In December 2014, Carillion plc acquired a 60 per cent interest in the trade and assets of Rokstad Power Corporation ('Rokstad'), which is based in British Columbia, Canada and which provides a full range of transmission and distribution power line services, including specialist live-line operations. Rokstad will significantly enhance Carillion's skills and prospects for growth in servicing the rapidly expanding electric power transmission and distribution market. Further details of this acquisition can be found on page 35.

In 2014, the Company continued its policy of recycling equity investments in Public and Private Partnership projects, namely selling investments in mature projects (those that have passed from construction into the operational phase) and reinvesting the proceeds in new projects. In 2014, we sold equity investments in four projects for cash proceeds of approximately £37 million, which represented an average discount rate of some seven per cent and generated a pre-tax profit of £13.9 million.

Post balance sheet events

There have been no material events since the balance sheet date of 31 December 2014 and the date of this report.

Appointment of Directors

There are currently seven Directors on the Board of Carillion plc. Unless otherwise determined by ordinary resolution of the Company, the Directors shall not be less than four nor more than 16 in number.

Shareholders may by ordinary resolution elect any person who is willing to act to be a Director, either to fill a vacancy or as an addition to the existing Board. The Company may also by special resolution remove any Director before the expiration of his or her period of office and may by ordinary resolution appoint another person who is willing to act to be a Director in his or her place.

The Board may appoint any person who is willing to act to be a Director, either to fill a vacancy or as an addition to the existing Board. Any Director so appointed shall retire at the next Annual General Meeting and shall then be eligible for reappointment.

In accordance with the requirements of the UK Corporate Governance Code, all Directors will offer themselves for re-election at the Annual General Meeting on 6 May 2015.

Report of the Directors

continued

The Company's Articles of Association do not have a shareholding qualification for Directors. However, the Company's Remuneration Policy requires, to provide alignment with shareholders' interests and to promote ownership, that each of the Executive Directors hold the net number of shares acquired through the Leadership Equity Award Plan and the Deferred Bonus Plan until the value of their total shareholding is equal to annual salary.

Directors

Details of the Directors of the Company are set out on pages 38 to 39 and changes in the membership of the Board are summarised on page 42 of the Corporate Governance report. Details of Directors' remuneration are provided in the Remuneration report on pages 52 to 68. The interests of the Directors and their families in the share capital of the Company are shown on page 59 of the Remuneration report which also includes information on the Company's contracts of service with its Directors on page 67.

Powers of the Directors

Subject to the Company's Articles and any directions given by the Company in general meeting by special resolution, the business of the Company is managed by the Board which may exercise all the powers of the Company, whether relating to the management of the business of the Company or not.

Directors' responsibilities

The Directors' responsibilities for the financial statements included within this Annual Report and the Directors' confirmations required under the FSA Disclosure and Transparency Rules are set out on page 72.

Conflicts of interest

The Company's Articles of Association permit the Board to consider and, if it sees fit, to authorise situations where a Director has an interest that conflicts, or may possibly conflict, with the interests of the Company. The Board has in place procedures to deal with directors' conflicts of interest arising under Section 175 of Companies Act 2006 and these procedures are considered to be effective.

Directors' indemnity

Under the Company's Articles of Association, to the extent permitted by the Companies Acts, the Company indemnifies any Director, Secretary or other officer of the Company against any liability and may purchase and maintain insurance against any such liability. The Board understands that the provision of such indemnification is in keeping with current market practice and believes that it is in the best interests of the Group to provide such indemnities in order to attract and retain high-calibre Directors and officers. The Company purchased and maintained Directors' and Officers' liability insurance throughout 2014.

Share capital

The Company has only one class of share with one vote for every share. As at March 2015, the issued share capital of the Company comprised of £215,127,314 divided into 430,254,629 ordinary shares of 50 pence each. The ISIN number of the shares is GB0007365546.

On 12 December 2014, Carillion Finance (Jersey) Limited, a wholly-owned subsidiary of the Company incorporated in Jersey, issued £170 million of convertible bonds, which are guaranteed by the Company. The bonds are a senior and unsecured obligation of Carillion Finance (Jersey) Limited and the Company and are subject to a negative pledge. These bonds carry a coupon of 2.50 per cent per annum payable semi-annually and based on the conversion price of £3.9856 will convert into 42,653,553 ordinary shares of the Company. Upon conversion of the bonds, the Company may elect to settle its obligations by way of delivery of ordinary shares, payment of a cash alternative amount or a combination of the two. Unless previously redeemed, converted or purchased and cancelled, the bonds will be redeemed at par on or around 19 December 2019.

Details of shares issued during the year and outstanding options are given in notes 23 and 25 on pages 102 and 103 to the consolidated financial statements which form part of this report. Details of the share incentives in place are provided on pages 57 to 60 of the Remuneration report.

Rights and obligations attaching to shares

The Company's shares when issued are credited as fully paid and free from all liens, equities, charges encumbrances and rights. All shares benefit from the same rights in relation to voting, dividends and any return of capital and are subject to the same restrictions as set out in the Company's Articles. Except in relation to dividends which have been declared and rights in relation to the liquidation of the Company, the shareholders have no rights to share in the profits of the Company. The Company's shares are not redeemable, however, the Company may repurchase any of the shares on or off market, subject to compliance with the Companies Act and requirements of the Listings Rules. No shareholder holds any shares that carry any special rights in relation to the control of the Company.

Authority to allot shares

As at 31 December 2014, the Company had authority to allot shares and to grant rights to subscribe for or convert any security into shares in the Company:

- (a) up to a nominal amount of £71,709,104 (such amount to be reduced by the nominal amount allotted or granted under paragraph (b) below in excess of an equivalent sum); and
- (b) comprising equity securities up to a nominal amount of £143,418,209 (such amount to be reduced by any allotments or grants made under paragraph (a) above) in connection with an offer by way of a rights issue.

Purchase of own shares

As at 31 December 2014, the Company had authority from shareholders for the purchase of 43,025,462 of its own shares. Such authority will also be sought from shareholders at the Company's Annual General Meeting on 6 May 2015. To date, this authority has never been used.

Voting and restrictions on voting

On a show of hands at a general meeting of the Company, every holder of ordinary shares present in person or by proxy and entitled to vote shall have one vote and, on a poll, every holder of ordinary shares present in person or by proxy and entitled to vote, shall have one vote for every ordinary share held.

The notice of Annual General Meeting specifies deadlines for exercising voting rights and appointing a proxy or proxies to vote in relation to resolutions to be put to the Annual General Meeting. All proxy votes are counted and the numbers for, against or withheld in relation to each resolution are announced and published on the Company's website after the meeting.

No member shall, unless the Board otherwise decides, be entitled in respect of any share held by him or her to attend or vote (either personally or by proxy) at any general meeting of the Company or upon a poll or to exercise any other right conferred by membership in relation to general meetings or polls unless all calls or other sums presently payable by him or her in respect of that share have been paid.

The Company is not aware of any agreement between the holders of its shares which may result in restrictions on voting rights.

Restrictions on transfer of shares

There are no restrictions on the transfer of ordinary shares in the Company other than in relation to certain restrictions that are imposed from time to time by laws and regulations (for example insider trading laws). In addition, pursuant to the Listing Rules of the Financial Conduct Authority, Directors and certain officers and employees of the Group require the approval of the Company to deal in ordinary shares of the Company.

The Company is not aware of any agreements between shareholders that restrict the transfer of its shares.

Substantial share interests

As at 4 March 2015, the Company had received formal notification of the following holdings of voting rights in its shares under the Disclosure and Transparency Rules of the Financial Conduct Authority:

	Nature of interest	% of issued share capital held
Letko, Brosseau and Associates Inc.	Indirect	4.0
Schroders plc	Indirect	4.6
BlackRock, Inc.	Indirect	5.0
Kiltearn Partners LLP	Indirect	4.9
Standard Life Investments (Holdings) Ltd	Indirect	5.3
	Direct	5.4
	Total	10.7

Change of control

A number of agreements take effect, alter or terminate upon a change of control of the Company following a takeover bid, such as loan agreements and share incentive plans.

Carillion's main credit facilities, including the £770 million Syndicated Multicurrency Revolving Credit Facility, contain a provision such that in the event of a change of control any lender may, within a 30-day consultation period and if it so requires, notify the Company that it wishes to cancel its commitment. Any such cancellation of commitment and the repayment of any outstanding borrowings will occur on the date falling three days after the expiry of the consultation period.

Following the occurrence of a change of control, the Company must make an offer to the holders of its private placement notes to prepay the amounts outstanding together with accrued interest. The holders of the Group's £170 million of convertible bonds have the right to require the Group to redeem each bond at its principal amount, together with accrued and unpaid interest.

Political donations

The Company and its subsidiaries made no political donations during the period under review (2013: £nil).

Amendment of Articles of Association

The Articles of Association may be amended by special resolution of the shareholders.

Disclosure of information to auditors

The Directors of Carillion plc confirm that at the date of this Report of the Directors and as far as they are individually aware, there is no relevant audit information of which the auditors are unaware and each Director has taken all reasonable steps to ascertain any relevant audit information and to establish that the Company's auditors are aware of this information.

Annual General Meeting

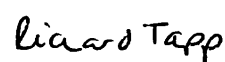
The Annual General Meeting will be held at 12 noon on 6 May 2015 at Austin Court, 80 Cambridge Street, Birmingham B1 2NP. The notice of the Annual General Meeting accompanies this Annual Report and Accounts.

Included in the AGM business is the proposal to renew the authority for the Company to purchase its own shares. As at 31 December 2014, the Company had authority from shareholders for the purchase of 43,025,462 of its own shares.

Global Greenhouse Gas (GHG) emissions data

The disclosures in respect of CO₂ emissions, as required to be reported under the Companies Act 2006 (Strategic Report and Directors' Report Regulations 2013), can be found in the Sustainability section of the Strategic report on page 19.

Approved by order of the Board.



Richard Tapp
Secretary
4 March 2015

Statement of Directors' responsibilities in respect of the Annual Report and financial statements

The Directors are responsible for preparing the Annual Report and the Group and Parent Company financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare Group and Parent Company financial statements for each financial year. Under that law they are required to prepare the Group financial statements in accordance with IFRSs as adopted by the EU and applicable law and have elected to prepare the Parent Company financial statements in accordance with UK Accounting Standards.

Under company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Group and Parent Company and of their profit or loss for that period. In preparing each of the Group and Parent Company financial statements, the Directors are required to:

- › select suitable accounting policies and then apply them consistently;
- › make judgements and estimates that are reasonable and prudent;
- › for the Group financial statements, state whether they have been prepared in accordance with IFRSs as adopted by the EU;
- › for the Parent Company financial statements, state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the Parent Company financial statements; and
- › prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Group and the Parent Company will continue in business.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Parent Company's transactions and disclose with reasonable accuracy at any time the financial position of the Parent Company and enable them to ensure that its financial statements comply with the Companies Act 2006. They have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Group and to prevent and detect fraud and other irregularities.

Under applicable law and regulations, the Directors are also responsible for preparing a Strategic report, Directors' report, Directors' Remuneration report and Corporate Governance statement that complies with that law and those regulations.

The Directors are responsible for the maintenance and integrity of the corporate and financial information included on the Company's website. Legislation in the UK governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

Responsibility statement of the Directors in respect of the annual financial report

Each of the Directors of Carillion plc, whose names and functions are set out on pages 38 and 39, confirms that to the best of his or her knowledge:

- › the financial statements, prepared in accordance with the applicable set of accounting standards and contained in this 2014 Annual Report and Accounts, give a true and fair view of the assets, liabilities, financial position and profit of the Company and the undertakings included in the consolidation taken as a whole;
- › the Strategic report, included in this 2014 Annual Report and Accounts, includes a fair review of the development and performance of the business and the position of the Company and the undertakings included in the consolidation taken as a whole, together with a description of the principal risks and uncertainties that they face; and
- › the 2014 Annual Report and Accounts, taken as a whole, are fair, balanced and understandable, and provide the information necessary for shareholders to assess the Company's performance, business model and strategy.

Approved by order of the Board



Richard Adam FCA
Group Finance Director
4 March 2015

Independent auditor's report to the members of Carillion plc only

Opinions and conclusions arising from our audit

1. Our opinion on the financial statements is unmodified

We have audited the financial statements of Carillion plc for the year ended 31 December 2014 which comprise the Group Consolidated Income Statement, the Group Consolidated and Parent Company Balance Sheets, the Group Consolidated Statement of Comprehensive Income, the Group Consolidated Changes in Equity, the Group Consolidated Cash Flow Statement and the related notes.

In our opinion:

- the financial statements give a true and fair view of the state of the Group's and of the Parent Company's affairs as at 31 December 2014 and of the Group's profit for the year then ended;
- the Group financial statements have been properly prepared in accordance with International Financial Reporting Standards as adopted by the European Union;
- the Parent Company financial statements have been properly prepared in accordance with UK Accounting Standards; and
- the financial statements have been prepared in accordance with the requirements of the Companies Act 2006 and, as regards the Group financial statements, Article 4 of the IAS Regulation.

2. Our assessment of risks of material misstatement

In arriving at our audit opinion above on the financial statements the risks of material misstatement that had the greatest effect on our audit were as follows:

Recognition of contract revenue, margin, and related receivables and liabilities (total revenue £3,493.9 million)

Refer to page 48 (Report of the Audit Committee), page 82 (note 1. Significant accounting policies – Revenue recognition) and page 114 (note 32. Accounting estimates and Judgements – Revenue recognition)

The risk – The Group recognises revenue based on the stage of completion of contracts by taking the proportion of costs incurred to the balance sheet date compared to the estimated final costs of the contract at completion and therefore relies on estimates in relation to the final out-turn of costs on each contract. Changes to these estimates could give rise to material variances in the amount of revenue and margin recognised. Cost contingencies may also be included in these estimates to take account of specific risks, or claims against the Group, arising within each contract. These contingencies are reviewed by the Group on a regular basis throughout the contract life and adjusted where appropriate. Finally, variations and claims are recognised on a contract-by-contract basis where the Group believes the rights and obligations exist given the progress of negotiations. There is therefore a high degree of judgement in: assessing the level of these contingencies; recognising variations and claims; and estimating the revenue recognised by the Group with respect to the final out-turn on contracts.

Our response – We evaluated the controls designed and implemented by the Group to monitor amounts owed on construction contracts, and in particular, the claims and variation elements across the Group to obtain evidence that on a Group basis, as well as individually, the financial statements reflect a balanced view of the risks and opportunities across the portfolio of contract positions. We attended and inspected minutes from certain meetings, forming a key part of the Group's risk process to fully challenge at a lower executive level both new tenders and contract bids, and ongoing performance on existing contracts. We then selected a sample of contracts using a variety of quantitative and qualitative factors in order to assess and challenge the most significant and more complex contract positions. In this area our audit procedures included:

- considering the financial performance of contracts against budget and historical trends to assess the historical accuracy of judgement in the recognition of claims and variations as well as the final out-turn on contracts;
- inspecting the contracts for key clauses, identifying relevant contractual mechanisms such as 'pain/gain' shares, liquidated damages and success fees and considered their impact on the completeness and existence of the amounts recognised in the financial statements;

- obtaining detailed position papers from the Group to support estimates made, challenging these estimates with senior operational, commercial and financial management and assessing whether or not these estimates showed any evidence of management bias;
- completing a number of site visits across the UK, Middle East and Canada, meeting local management and overseas auditors, physically inspecting the stage of completion of individual projects and identifying areas of complexity through observation and discussion with site personnel;
- challenging the Group's judgement in respect of forecast contract out-turn, quantum and allocation of contingencies, settlements and the recoverability of contract balances with reference to our own assessments, historical outcomes and industry norms;
- analysing correspondence and meeting minutes with customers around variations and claims, obtaining assessments of these from the Group's legal or technical experts, if applicable; and
- we also considered the adequacy of the Group's disclosures in respect of these judgements.

In our audit report for the year ended 31 December 2013 we included the timing of revenue recognition from licence arrangements as one of the risks of material misstatement that had the greatest effect on our audit. We considered this risk to be less significant in the current year.

Carrying value of goodwill (£1,519.1 million)

Refer to page 48 (Report of the Audit Committee), page 81 (note 1. Significant accounting policies – Goodwill and other intangible assets) and pages 94 to 95 (note 11. Intangible assets).

The risk – The Group's balance sheet includes goodwill, principally arising from historical acquisitions in the UK. The risk is that the aggregated book value of the goodwill exceeds its recoverable amount, and therefore this asset is impaired and should be written down in value. Due to the inherent uncertainty involved in forecasting and discounting future cash flows, which are the basis of the assessment of recoverability, this is one of the key judgemental areas for our audit.

The Group annually carries out an impairment assessment of goodwill using a value in use model which is based on the net present value of the forecast earnings of the cash generating unit. The value in use of each cash generating unit ('CGU') is calculated using certain assumptions around discount rates, growth rates and cash flow forecasts.

Given the relative size of the goodwill in the Group balance sheet, particularly in the UK Services CGU, relatively small changes in these assumptions could give rise to material changes in the assessment of the carrying value of goodwill.

Our response – Our procedures included assessing the key assumptions applied by the Group in determining the recoverable amounts of each CGU. In particular, we: considered the consistency and appropriateness of the allocation of businesses and related goodwill balances into CGUs, and the underlying assumptions in determining the cash flows and growth assumptions applied with reference to historical forecasting accuracy; challenged the assumptions used in the calculation of the discount rates used by the Group, including comparisons with external data sources and consideration of the potential risk of management bias; and performed our own sensitivity analysis, including a reasonably possible reduction in assumed growth rates and cash flows. We also assessed whether the Group's disclosures about the sensitivity of the outcome of the impairment assessment to changes in key assumptions appropriately reflected the risks inherent in the valuation of goodwill.

Independent auditor's report to the members of Carillion plc only

continued

3. Our application of materiality and an overview of the scope of our audit

The materiality for the financial statements as a whole was set at £9.0 million, determined with reference to a benchmark of Group profit before taxation, normalised to exclude the acquisition costs set out in note 4, of which it represents 5.9 per cent.

We report to the Audit Committee any corrected or uncorrected identified misstatements individually exceeding £6.75 million; the aggregate of other corrected and uncorrected identified misstatements individually exceeding £0.45 million; and other identified individual audit misstatements that warranted reporting on qualitative grounds.

Of the Group's ten reporting components, we subjected five to audits for Group reporting purposes and three to specified risk focused audit procedures. The latter were not individually financially significant enough to require an audit for Group reporting purposes, but did present specific individual risks that needed to be addressed.

The components within the scope of our work covered more than: 95 per cent of Group revenue, 95 per cent of Group profit before tax and 95 per cent of Group total assets.

For the remaining components, we performed analysis at a Group level to re-examine our assessment that there were no significant risks of material misstatement within these.

The Group audit team instructed component auditors as to the significant areas to be covered, including the relevant risks detailed above and the information to be reported back. The Group audit team approved the component materialities, which ranged from £7.0 million to £7.5 million, having regard to the mix of size and risk profile of the Group across the components. The work on three of the five audited components was performed by component auditors and the rest by the Group audit team.

The Group audit team visited four component locations in the United Kingdom, Canada, the United Arab Emirates, and Oman. Video and telephone conference meetings were also held with these component auditors and the majority of the others that were not physically visited. At these visits and meetings, the findings reported to the Group audit team were discussed in more detail, and any further work required by the Group audit team was then performed by the component.

4. Our opinion on other matters prescribed by the Companies Act 2006 is unmodified

In our opinion:

- › the part of the Directors' Remuneration report to be audited has been properly prepared in accordance with the Companies Act 2006; and
- › the information given in the Strategic report and the Directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements.

5. We have nothing to report in respect of matters on which we are required to report by exception

Under ISAs (UK and Ireland) we are required to report to you if, based on the knowledge we acquired during our audit, we have identified other information in the Annual Report that contains a material inconsistency with either that knowledge or the financial statements, a material misstatement of fact, or that is otherwise misleading.

In particular, we are required to report to you if:

- › we have identified material inconsistencies between the knowledge we acquired during our audit and the directors' statement that they consider that the annual report and financial statements taken as a whole is fair, balanced and understandable and provides the information necessary for shareholders to assess the Group's performance, business model and strategy; or
- › the Report of the Audit Committee does not appropriately address matters communicated by us to the Audit Committee.

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- › adequate accounting records have not been kept by the Parent Company, or returns adequate for our audit have not been received from branches not visited by us; or
- › the Parent Company financial statements and the part of the Directors' Remuneration report to be audited are not in agreement with the accounting records and returns; or
- › certain disclosures of directors' remuneration specified by law are not made; or
- › we have not received all the information and explanations we require for our audit.

Under the Listing Rules we are required to review:

- › the Directors' statement, set out on page 72, in relation to going concern; and
- › the part of the Corporate Governance statement on page 41 relating to the Company's compliance with the ten provisions of the 2012 UK Corporate Governance Code specified for our review.

We have nothing to report in respect of the above responsibilities.

Scope and responsibilities

As explained more fully in the Directors' responsibilities statement set out on page 72, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. A description of the scope of an audit of financial statements is provided on the Financial Reporting Council's website at www.frc.org.uk/auditscopeukprivate. This report is made solely to the Company's members as a body and is subject to important explanations and disclaimers regarding our responsibilities, published on our website at www.kpmg.com/uk/auditscopeukco2014a which are incorporated into this report as if set out in full and should be read to provide an understanding of the purpose of this report, the work we have undertaken and the basis of our opinions.



Peter Meehan (Senior Statutory Auditor)

for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
One Snow Hill Queensway
Birmingham
B4 6GH

4 March 2015

Financial statements

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Mechanical and electrical engineering maintenance is a significant part of the service that Carillion provides for the Defence Infrastructure Organisation, under the five Next Generation Estates contracts it won in 2014, which are worth around £1 billion over an initial five-year period.

Consolidated income statement

For the year ended 31 December 2014

	Note	2014 £m	2013 £m
Total revenue		4,071.9	4,080.9
Less: Share of joint ventures' revenue		(578.0)	(748.3)
Group revenue	2	3,493.9	3,332.6
Cost of sales		(3,166.4)	(2,984.6)
Gross profit		327.5	348.0
Administrative expenses		(166.4)	(268.2)
Profit on disposal of Public Private Partnership equity investments		13.9	44.6
Group operating profit	3	175.0	124.4
Analysed between:			
Group operating profit before intangible amortisation and non-recurring operating items		191.8	187.8
Intangible amortisation ⁽¹⁾		(16.8)	(19.2)
Non-recurring operating items ⁽²⁾	4	-	(44.2)
Share of results of joint ventures	2	25.1	26.5
Analysed between:			
Operating profit		34.2	41.0
Net financial expense		(6.4)	(10.1)
Taxation		(2.7)	(4.4)
Profit from operations		200.1	150.9
Analysed between:			
Profit from operations before intangible amortisation and non-recurring operating items		216.9	214.3
Intangible amortisation ⁽¹⁾		(16.8)	(19.2)
Non-recurring operating items ⁽²⁾	4	-	(44.2)
Non-operating items	4	(9.9)	(0.7)
Net financial expense	5	(47.6)	(39.6)
Analysed between:			
Financial income		2.3	7.7
Financial expense		(46.3)	(47.3)
Fair value movements in derivative financial instruments		(3.6)	-
Profit before taxation		142.6	110.6
Analysed between:			
Profit before taxation, intangible amortisation, non-recurring operating items, non-operating items and fair value movements in derivative financial instruments		172.9	174.7
Intangible amortisation ⁽¹⁾		(16.8)	(19.2)
Non-recurring operating items ⁽²⁾	4	-	(44.2)
Non-operating items	4	(9.9)	(0.7)
Fair value movements in derivative financial instruments	5	(3.6)	-
Taxation	7	(15.1)	(4.3)
Profit for the year		127.5	106.3
Profit attributable to:			
Equity holders of the parent		120.7	100.2
Non-controlling interests		6.8	6.1
Profit for the year		127.5	106.3
Earnings per share	8		
Basic		28.0p	23.3p
Diluted		25.4p	23.2p

(1) Arising from business combinations.

(2) This includes integration and rationalisation costs and Eaga Partnership Trusts related charges (see note 4).

Consolidated statement of comprehensive income

For the year ended 31 December 2014

	2014		2013	
	£m	£m	£m	£m
Profit for the year		127.5		106.3
Items that will not be reclassified subsequently to profit or loss:				
Remeasurement of net defined benefit liability	(171.6)		(42.4)	
Taxation relating to items that will not be reclassified	34.4		(1.3)	
	(137.2)		(43.7)	
Items that may be reclassified subsequently to profit or loss:				
Gain on hedge of net investment in foreign operations	0.1		3.3	
Currency translation differences on foreign operations	2.6		(15.5)	
Movement in fair value of cash flow hedging derivatives	8.2		(6.1)	
Reclassification of effective portion of cash flow hedging derivatives to profit	(10.8)		3.1	
Increase in fair value of available-for-sale assets	0.1		-	
Reclassification of fair value movements on disposal of available-for-sale assets	-		(15.6)	
Taxation relating to items that may be reclassified	(1.6)		1.9	
Share of recycled cash flow hedges within joint ventures (net of taxation)	1.5		18.3	
Share of change in fair value of effective cash flow hedges within joint ventures (net of taxation)	(2.9)		(2.1)	
	(2.8)		(12.7)	
Other comprehensive expense for the year		(140.0)		(56.4)
Total comprehensive (expense)/income for the year		(12.5)		49.9
Attributable to:				
Equity holders of the parent		(18.9)		44.2
Non-controlling interests		6.4		5.7
		(12.5)		49.9

Consolidated statement of changes in equity

For the year ended 31 December 2014

	Share capital £m	Share premium £m	Translation reserve £m	Hedging reserve £m	Fair value reserve £m	Merger reserve £m	Retained earnings £m	Equity shareholders' funds £m	Non-controlling interests £m	Total equity £m
At 1 January 2014	215.1	21.2	(36.4)	(5.6)	0.2	414.6	358.1	967.2	16.4	983.6
Comprehensive income										
Profit for the year	-	-	-	-	-	-	120.7	120.7	6.8	127.5
Other comprehensive income										
Net gain on hedge of net investment in foreign operations	-	-	0.1	-	-	-	-	0.1	-	0.1
Currency translation differences on foreign operations	-	-	3.0	-	-	-	-	3.0	(0.4)	2.6
Movement in fair value of cash flow hedging derivatives	-	-	-	8.2	-	-	-	8.2	-	8.2
Reclassification of effective portion of cash flow hedging derivatives to profit	-	-	-	(10.8)	-	-	-	(10.8)	-	(10.8)
Increase in fair value of available-for-sale assets	-	-	-	-	0.1	-	-	0.1	-	0.1
Remeasurement of net defined benefit liability	-	-	-	-	-	-	(171.6)	(171.6)	-	(171.6)
Taxation	-	-	-	(1.6)	-	-	34.4	32.8	-	32.8
Share of recycled cash flow hedges within joint ventures (net of taxation)	-	-	-	1.5	-	-	-	1.5	-	1.5
Share of change in fair value of effective cash flow hedges within joint ventures (net of taxation)	-	-	-	(2.9)	-	-	-	(2.9)	-	(2.9)
Transfer between reserves (see note 24)	-	-	-	-	-	(13.7)	13.7	-	-	-
Total comprehensive income/(expense)	-	-	3.1	(5.6)	0.1	(13.7)	(2.8)	(18.9)	6.4	(12.5)
Transactions with owners										
Contributions by and distributions to owners										
Acquisition of own shares	-	-	-	-	-	-	(0.5)	(0.5)	-	(0.5)
Acquisition of non-controlling interests	-	-	-	-	-	-	-	-	(3.1)	(3.1)
Non-controlling interests arising from business combinations	-	-	-	-	-	-	-	-	3.2	3.2
Equity-settled transactions (net of taxation)	-	-	-	-	-	-	0.5	0.5	-	0.5
Dividends paid	-	-	-	-	-	-	(75.7)	(75.7)	(1.0)	(76.7)
Transfer between reserves (see note 24)	-	-	-	-	-	-	0.1	0.1	(0.1)	-
Total transactions with owners	-	-	-	-	-	-	(75.6)	(75.6)	(1.0)	(76.6)
At 31 December 2014	215.1	21.2	(33.3)	(11.2)	0.3	400.9	279.7	872.7	21.8	894.5
At 1 January 2013	215.1	21.2	(23.8)	(21.5)	15.8	433.2	358.9	998.9	11.8	1,010.7
Comprehensive income										
Profit for the year	-	-	-	-	-	-	100.2	100.2	6.1	106.3
Other comprehensive income										
Net gain on hedge of net investment in foreign operations	-	-	3.3	-	-	-	-	3.3	-	3.3
Currency translation differences on foreign operations	-	-	(15.1)	-	-	-	-	(15.1)	(0.4)	(15.5)
Movement in fair value of cash flow hedging derivatives	-	-	-	(6.1)	-	-	-	(6.1)	-	(6.1)
Reclassification of effective portion of cash flow hedging derivatives to profit	-	-	-	3.1	-	-	-	3.1	-	3.1
Reclassification of fair value movements on disposal of available-for-sale assets	-	-	-	-	(15.6)	-	-	(15.6)	-	(15.6)
Remeasurement of net defined benefit liability	-	-	-	-	-	-	(42.4)	(42.4)	-	(42.4)
Taxation	-	-	(0.8)	2.7	-	-	(1.3)	0.6	-	0.6
Share of recycled cash flow hedges within joint ventures (net of taxation)	-	-	-	18.3	-	-	-	18.3	-	18.3
Share of change in fair value of effective cash flow hedges within joint ventures (net of taxation)	-	-	-	(2.1)	-	-	-	(2.1)	-	(2.1)
Transfer between reserves (see note 24)	-	-	-	-	-	(18.6)	18.6	-	-	-
Total comprehensive income/(expense)	-	-	(12.6)	15.9	(15.6)	(18.6)	75.1	44.2	5.7	49.9
Transactions with owners										
Contributions by and distributions to owners										
Acquisition of own shares	-	-	-	-	-	-	(2.2)	(2.2)	-	(2.2)
Equity-settled transactions (net of taxation)	-	-	-	-	-	-	1.2	1.2	-	1.2
Cash settlement of vested equity-settled transactions	-	-	-	-	-	-	(0.3)	(0.3)	-	(0.3)
Dividends paid	-	-	-	-	-	-	(74.6)	(74.6)	(1.1)	(75.7)
Total transactions with owners	-	-	-	-	-	-	(75.9)	(75.9)	(1.1)	(77.0)
At 31 December 2013	215.1	21.2	(36.4)	(5.6)	0.2	414.6	358.1	967.2	16.4	983.6

Consolidated balance sheet

As at 31 December 2014

	Note	2014 £m	2013 £m
Non-current assets			
Property, plant and equipment	10	140.9	128.2
Intangible assets	11	1,610.8	1,552.8
Retirement benefit assets	31	6.1	3.8
Investments in joint ventures	12	130.6	152.0
Other investments	13	9.3	7.3
Deferred tax assets	14	142.6	112.6
Total non-current assets		2,040.3	1,956.7
Current assets			
Inventories	15	50.1	48.6
Trade and other receivables	17	1,325.4	1,212.3
Cash and cash equivalents	18	472.0	413.7
Derivative financial instruments	27	–	2.2
Current asset investments	19	1.9	2.4
Income tax receivable		0.7	4.0
Total current assets		1,850.1	1,683.2
Total assets		3,890.4	3,639.9
Current liabilities			
Borrowing	20	(35.3)	(22.5)
Derivative financial instruments	27	(22.6)	(13.2)
Trade and other payables	21	(1,727.1)	(1,588.5)
Provisions	22	(8.6)	(32.7)
Income tax payable		(8.3)	(4.7)
Total current liabilities		(1,801.9)	(1,661.6)
Non-current liabilities			
Borrowing	20	(614.0)	(606.4)
Other payables	21	(48.7)	–
Retirement benefit liabilities	31	(515.8)	(373.9)
Deferred tax liabilities	14	(11.3)	(10.2)
Provisions	22	(4.2)	(4.2)
Total non-current liabilities		(1,194.0)	(994.7)
Total liabilities		(2,995.9)	(2,656.3)
Net assets		894.5	983.6
Equity			
Share capital	23	215.1	215.1
Share premium	24	21.2	21.2
Translation reserve	24	(33.3)	(36.4)
Hedging reserve	24	(11.2)	(5.6)
Fair value reserve	24	0.3	0.2
Merger reserve	24	400.9	414.6
Retained earnings	24	279.7	358.1
Equity attributable to shareholders of the parent		872.7	967.2
Non-controlling interests		21.8	16.4
Total equity		894.5	983.6

The financial statements were approved by the Board of Directors on 4 March 2015 and were signed on its behalf by:



Richard Adam FCA
Group Finance Director
4 March 2015

Consolidated cash flow statement

For the year ended 31 December 2014

	Note	2014 £m	2013 £m
Cash flows from operating activities			
Group operating profit		175.0	124.4
Depreciation and amortisation		44.8	44.3
Loss on disposal of property, plant and equipment		0.3	2.3
Profit on disposal of Public Private Partnership equity investments		(13.9)	(44.6)
Other non-cash movements		(1.7)	(6.1)
Non-recurring operating items		–	44.2
Operating profit before changes in working capital		204.5	164.5
Increase in inventories		(1.4)	(1.1)
Increase in trade and other receivables		(40.1)	(123.8)
Increase/(decrease) in trade and other payables		50.5	(40.6)
Cash generated from/(used in) operations before pension deficit recovery payments and rationalisation costs		213.5	(1.0)
Deficit recovery payments to pension schemes		(46.0)	(39.2)
Rationalisation costs		(11.5)	(22.0)
Cash generated from/(used in) operations		156.0	(62.2)
Financial income received		2.9	11.1
Financial expense paid		(29.6)	(30.9)
Acquisition-related costs		(1.2)	(1.0)
Taxation (payments)/receipts		(4.3)	4.6
Net cash flows from operating activities		123.8	(78.4)
Cash flows from investing activities			
Disposal of property, plant and equipment		6.4	0.9
Disposal of joint ventures and other investments	30	36.0	143.7
Dividends received from joint ventures		9.1	18.2
Loan advance repayments received from joint ventures		15.9	2.9
Disposal and closure of businesses	30	–	(0.3)
Decrease in current asset investments		0.5	0.1
Acquisition of subsidiaries, net of cash and cash equivalents acquired	30	(26.3)	(20.3)
Acquisition of non-controlling interests		(3.1)	–
Acquisition of intangible assets		(3.0)	(6.5)
Acquisition of property, plant and equipment		(25.8)	(21.6)
Acquisition of equity in and loan advances to joint ventures		(7.7)	(6.1)
Acquisition of other non-current asset investments		(1.2)	(3.8)
Net cash flows from investing activities		0.8	107.2
Cash flows from financing activities			
Draw down/(repayment) of bank and other loans		14.7	(171.0)
Repayment of finance lease liabilities		(9.2)	(16.7)
Acquisition of own shares		(0.5)	(2.2)
Payment to employees in settlement of share options		–	(0.3)
Dividends paid to equity holders of the parent		(75.7)	(74.6)
Dividends paid to non-controlling interests		(1.0)	(1.1)
Net cash flows from financing activities		(71.7)	(265.9)
Increase/(decrease) in net cash and cash equivalents		52.9	(237.1)
Net cash and cash equivalents at 1 January		410.4	652.2
Effect of exchange rate fluctuations on net cash and cash equivalents		2.5	(4.7)
Net cash and cash equivalents at 31 December	18	465.8	410.4

Notes to the consolidated financial statements

1. Significant accounting policies

Carillion plc (the 'Company') is a company domiciled and incorporated in the United Kingdom (UK). The consolidated financial statements of the Company for the year ended 31 December 2014 comprise the Company and its subsidiaries (together referred to as the 'Group') and the Group's interest in joint ventures.

The consolidated financial statements were authorised for issuance on 4 March 2015.

Statement of compliance

The Group's financial statements have been approved by the Directors and prepared in accordance with International Financial Reporting Standards as adopted by the European Union (EU). The Company has elected to prepare its financial statements in accordance with UK GAAP. These are presented on pages 117 to 122.

Basis of preparation

The following accounting policies have been applied consistently in dealing with items which are considered material in relation to the Group's financial statements.

The financial statements are prepared on a going concern basis based on the assessment made by the Directors as described in the Performance and financial review on page 36.

The financial statements are presented in pounds sterling. They are prepared on the historical cost basis except that the following assets and liabilities are stated at their fair value: derivative financial instruments, pension scheme assets and liabilities and financial instruments classified as available-for-sale.

The following principal standards and interpretations have been adopted in 2014 as they are mandatory for the year ended 31 December 2014:

- ▶ International Financial Reporting Standard (IFRS) 10 'Consolidated financial statements'
- ▶ International Financial Reporting Standard (IFRS) 11 'Joint arrangements'
- ▶ International Financial Reporting Standard (IFRS) 12 'Disclosure of interests in other entities'

The adoption of the above standards has had no impact on profit, earnings per share or net assets.

The following standards and interpretations, which are not yet effective and not yet endorsed by the EU and have not been early adopted by the Group, will be adopted in future accounting periods:

- ▶ International Financial Reporting Standard (IFRS) 15 'Revenue from Contracts with Customers' (effective 1 January 2017)
- ▶ International Financial Reporting Standard (IFRS) 9 'Financial instruments' (effective 1 January 2018).

None of the standards above are expected to have a material impact on the Group.

Basis of consolidation

(a) Subsidiaries

The consolidated financial statements comprise the financial statements of the Company and subsidiaries controlled by the Company drawn up to 31 December 2014. Control exists when the Group has power over an entity, is exposed or has rights to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are included in the consolidated financial statements from the date that control transfers to the Group until the date that control ceases. The financial statements for the majority of subsidiaries used in the preparation of the consolidated financial statements are prepared for the same reporting year as the Company except for CarillionAmey (Housing Prime) Limited which has a 31 March year end. Its results are included in the Group accounts based on additional financial statements for the 12 months to 31 December 2014.

The purchase method is used to account for the acquisition of subsidiaries.

(b) Joint arrangements

The Group undertakes a number of business activities through joint arrangements. Joint arrangements exist when two or more parties have joint control. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require the unanimous consent of the parties sharing control. The Group's joint arrangements are of two types:

Joint operations

Joint operations are joint arrangements in which the parties with joint control have rights to the assets and obligations for the liabilities relating to the arrangement. The activities of a joint operation are primarily designed for the provision of output to the parties to the arrangement, indicating that:

- ▶ the parties have the rights to substantially all the economic benefits of the assets of the arrangement; and
- ▶ all liabilities are satisfied by the joint participants through their purchases of that output. This indicates that, in substance, the joint participants have an obligation for the liabilities of the arrangement.

The financial statements of the Group include its share of the assets in joint operations, together with its share of the liabilities, revenues and expenses arising jointly or otherwise from those operations and its revenue derived from the sale of its share of output from the joint operation. All such amounts are measured in accordance with the terms of each arrangement, which are usually in proportion to the Group's interest in the joint operation.

Joint ventures

Joint ventures are joint arrangements in which the parties with joint control of the arrangement have rights to the net assets of the arrangement. A separate vehicle, not the parties, will have the rights to the assets and obligations to the liabilities, relating to the arrangement. More than an insignificant share of output from a joint venture is sold to third parties which indicates that the joint venture is not dependent on the parties to the arrangement for funding and that the parties to the arrangement have no obligation for the liabilities of the arrangement.

Joint ventures are accounted for using the equity method. Under the equity method the joint venture is recorded initially at cost to the Group, including the value of any goodwill on acquisition. In subsequent periods, the carrying amount of the joint venture is adjusted to reflect the Group's share of its post-acquisition profit or loss and other comprehensive income. After application of the equity method, including recognising the Group's share of the joint ventures' results, the value of the investment will be assessed for impairment if there is objective evidence that an impairment of the investment may have occurred. Where the Group's investment in a joint venture is nil after having applied equity accounting principles (and the Group has no legal or constructive obligation to make further payments, nor has made payments on behalf of the joint venture), dividends received from the joint venture will be recognised in the Group's result as a Share of results of joint ventures.

(c) Non-controlling interests

Non-controlling interests are measured at their proportionate share of the acquiree's identifiable net assets at the acquisition date.

Goodwill and other intangible assets

In respect of acquisitions made prior to 1 January 2004, goodwill is included on the basis of its deemed cost, which represents the amount recorded under previous Generally Accepted Accounting Practice. Goodwill arising on acquisitions that have occurred since 1 January 2004 represents the difference between the fair value of the cost of acquisition and the fair value of the identifiable assets, liabilities and contingent liabilities of an acquired entity. For acquisitions completed before 1 January 2010, attributable costs of the acquisition formed part of goodwill. For acquisitions completed after 1 January 2010, attributable costs of the acquisition are expensed in the income statement in the period incurred.

Notes to the consolidated financial statements

continued

1. Significant accounting policies (continued)

Positive goodwill is recognised as an asset in the consolidated balance sheet and is subject to an annual impairment review. Goodwill arising on the acquisition of subsidiaries is recognised separately as an intangible asset in the consolidated balance sheet. Goodwill arising on the acquisition of joint ventures is included within the carrying value of the investment. Negative goodwill is recognised in the income statement immediately.

Other intangible assets are stated at cost less accumulated amortisation and impairment losses. Amortisation is based on the useful economic lives of the assets concerned, which are reassessed annually, and are principally as follows:

Computer software and licences

- › straight-line over three to ten years.

Customer contracts and lists

- › Mowlem – consumption of economic benefits over 35 years
- › Alfred McAlpine – consumption of economic benefits over 12 years
- › Carillion Energy Services – consumption of economic benefits over four years
- › John Laing Integrated Services – consumption of economic benefits over 25 years.

For the purposes of impairment testing, goodwill is allocated to each of the Group's cash-generating units expected to benefit from the synergies of the combination. Cash-generating units to which goodwill has been allocated are tested for impairment annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than the carrying amount of the unit, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to other assets of the unit pro-rata on the basis of the carrying amount of each asset in the unit. An impairment loss recognised for goodwill is not reversed in a subsequent period.

Impairment

Assets that have an indefinite useful life are not subject to amortisation and are tested for impairment at each balance sheet date. Assets subject to depreciation and amortisation are reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised in the income statement based on the amount by which the carrying amount exceeds the recoverable amount. The recoverable amount is the higher of fair value less costs to sell and value in use.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Other non-current asset investments

Other non-current asset investments are classified as available-for-sale financial assets and are recognised at fair value. Changes in fair value in the year are recognised directly in the statement of comprehensive income. Dividend income from investments is recognised in the income statement when the right to receive payment is established.

Construction contracts

When the outcome of a construction contract can be estimated reliably, contract revenue and costs are recognised by reference to the degree of completion of each contract, as measured by the proportion of total costs at the balance sheet date to the estimated total cost of the contract.

Insurance claims, incentive payments, and variations arising from construction contracts are included in revenue where it is probable that they will be recovered and are capable of being reliably measured.

When the outcome of a construction contract cannot be estimated reliably, contract revenue is recognised to the extent of contract costs incurred where it is probable those costs will be recoverable.

The principal estimation technique used by the Group in attributing profit on contracts to a particular period is the preparation of forecasts on a contract by contract basis. These focus on revenues and costs to complete and enable an assessment to be made of the final out-turn of each contract. Consistent contract review procedures are in place in respect of contract forecasting.

When it is probable that total contract costs will exceed total contract revenue, the expected loss is recognised immediately. Contract costs are recognised as expenses in the period in which they are incurred.

Where costs incurred plus recognised profits less recognised losses exceed progress billings, the balance is shown as due from customers on construction contracts within trade and other receivables. Where progress billings exceed costs incurred plus recognised profits less recognised losses, the balance is shown as due to customers on construction contracts within trade and other payables.

Pre-contract costs

Pre-contract costs are expensed as incurred until the Group is appointed preferred bidder or formal notification of the intention to appoint is received. Provided the contract is expected to generate sufficient net cash inflows to enable recovery and the award of the contract is probable, pre-contract costs incurred post the appointment as preferred bidder are included in amounts owed by customers on construction contracts.

Where pre-contract bid costs are reimbursed at financial close, the proceeds are initially applied against the asset included in amounts owed by customers on construction contracts. Any excess recoveries are carried forward as deferred income and released to profit over the period of the contract.

Revenue recognition

Revenue represents the fair value of consideration receivable, excluding sales-related taxation, for services supplied to external customers. It also includes the Group's proportion of work carried out under joint operations during the year. Revenue from the Group's principal business streams is recognised on the following basis:

- › Revenue from service contracts is recognised by reference to services performed to date as a percentage of total services to be performed
- › Revenue from construction contracts is recognised in accordance with the Group's accounting policy on construction contracts
- › Revenue from the delivery of carbon-saving measures to utility companies and other related activities is recognised at the date of sale, except if services are to be provided over future periods, where the income is deferred and recognised over the relevant service period
- › Revenue from the installation of energy-efficiency measures such as central heating and other renewable technologies is recognised by reference to the number of energy efficiency measures installed
- › Revenue from the sale of a licence is recognised immediately where an agreement is, in substance, an outright sale. For an outright sale to have occurred, the Group must have signed a non-cancellable contract, have provided the licensee with the rights to freely exploit its contractual rights, have no significant ongoing delivery obligations to perform and have received a fee which is not expected to be subject to a material adjustment based on future activity. Where there is an element of contingent revenue to such an agreement, an assessment of the estimated fair value of this future revenue is considered. If this fair value is minimal then the risks and rewards of the agreement are considered to have been transferred in full and therefore the determinable sale income is recognised as revenue immediately, with any contingent revenue recognised as it is earned. Should the contingent revenue be assessed as significant, the sale income is recognised as revenue over a period consistent with the life of the technology or other appropriate measure.

1. Significant accounting policies (continued)

Underlying performance measures

The Group presents underlying performance measures in order to provide greater transparency of the fundamental financial performance of the Group. Consequently, underlying performance measures exclude items that management view as not being part of usual operating activities. Items that are excluded from underlying performance measures are intangible amortisation arising from business combinations, non-recurring operating items, non-operating items and fair value movements in derivative financial instruments. Non-recurring operating items typically include costs associated with business restructuring and integration, together with Eaga Partnership Trusts related charges. Non-operating items typically include costs associated with the acquisition and disposal of businesses. Fair value movements in derivative financial instruments relate to the option component of convertible bonds and are excluded from underlying performance measures as they are movements derived from market factors largely outside of the operational control of the Group.

Property, plant and equipment

Depreciation is based on historical cost less the estimated residual value, and the estimated economic life of the assets concerned. Freehold land is not depreciated. Property, plant and equipment is depreciated in equal annual instalments over the period of their estimated economic lives, which are principally as follows:

Freehold buildings	40-50 years
Leasehold improvements	Period of lease
Plant, machinery and vehicles	Three-10 years

Assets held under finance leases are depreciated over the shorter of the term of the lease or the expected useful life of the assets.

Leasing

Operating lease rental charges are charged to the income statement on a straight-line basis over the life of each lease.

Assets held under finance leases are included in property, plant and equipment at the lower of fair value at the date of acquisition or present value of the minimum lease payments. The capital element of outstanding finance leases is included in financial liabilities. The finance cost element of rentals is charged to the income statement at a constant periodic rate of charge on the outstanding obligations.

Inventories

Inventories comprise raw materials and where applicable, direct labour costs and those overheads that have been incurred in bringing the inventories to their location and condition at balance sheet date. Inventories are valued at the lower of cost and net realisable value. Cost is calculated using either the weighted average method or the first-in, first-out method.

Provision is made for obsolete, slow moving or defective items where appropriate.

Current asset investments

Current asset investments include cash balances held on deposit for periods greater than three months and certain restricted cash balances.

These balances have been excluded from cash and cash equivalents in the Group's balance sheet and cash flow statement.

Taxation

Income tax comprises current and deferred tax. Income tax is recognised in the income statement except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity.

Current tax is the expected tax payable on taxable income for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years.

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of the assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. Deferred tax assets are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Foreign currencies

In individual entities, transactions denominated in foreign currencies are translated into the appropriate functional currency and recorded using the exchange rate prevailing at the date of the transaction.

On consolidation, the balance sheets of overseas entities are translated into sterling at the rates of exchange ruling at the balance sheet date. Income statements and cash flows of overseas entities are translated into sterling at rates approximating to the foreign exchange rates at the date of the transaction. Gains or losses arising from the consolidation of overseas entities are recognised in the translation reserve.

Net investment hedging of overseas operations is achieved through borrowings denominated in the relevant foreign currencies. Gains and losses arising from the effective portion of the hedges are recognised in equity and ineffective portions are recognised immediately in the income statement.

Employee benefits

(a) Retirement benefit obligations

For defined contribution pension schemes operated by the Group, amounts payable are charged to the income statement as they fall due.

For defined benefit pension schemes, the IAS 19 cost of providing benefits is calculated annually by independent actuaries using the projected unit credit method. The charge to the income statement reflects the current service cost of such obligations, and where applicable, past service costs, and is included within administrative expenses.

The net interest expense in the income statement is calculated by applying a discount rate to the net defined benefit obligation. Certain costs associated with the administration of the Group's defined benefit pension schemes are included within administrative expenses.

The retirement benefit obligation recognised in the balance sheet represents the excess of the present value of scheme liabilities over the fair value of scheme assets. When the calculation results in an asset to the Group, the amount recognised is limited on certain schemes where the Group does not have an unconditional right to the refund of any surplus which may exist.

Experience differences arising from remeasurements in the year are recognised in the statement of comprehensive income.

The Group's contributions to the scheme are paid in accordance with the scheme rules and the recommendations of the actuary.

(b) Other post-retirement benefit obligations

Certain Group companies provide post-retirement healthcare benefits to their employees. The expected costs of providing these benefits are accrued over the period of employment and are calculated by independent actuaries based on the present value of the expected liability.

(c) Share-based payments

Members of the Group's senior management team are entitled to participate in the Leadership Equity Award Plan (LEAP) and UK employees are able to participate in the Sharesave scheme. Under the terms of the Group's bonus arrangements, Executive Directors and certain senior employees receive a proportion of their bonus in shares, which are deferred for a period of up to three years.

The fair value of the LEAP, Sharesave and deferred bonus arrangements at the date of grant are estimated using the Black-Scholes pricing model. The fair value determined at grant date is expensed on a straight-line basis over the vesting period, based on an estimate of the number of shares that will eventually vest and taking into account service and non-market conditions.

Notes to the consolidated financial statements

continued

1. Significant accounting policies (continued)

The Group also operates a Share Incentive Plan (SIP) under which qualifying Carillion Energy Services partners may receive free shares. The fair value of the free shares are recognised as an expense in the income statement over the vesting period of the shares.

Borrowing costs

Borrowing costs are capitalised where the Group constructs qualifying assets. All other borrowing costs are expensed to the income statement as incurred.

Borrowing costs incurred by entities relating to the construction of assets in Public Private Partnership projects are capitalised until the relevant assets are brought into operational use.

Borrowing costs are charged to the income statement using the effective interest method.

Share capital

The ordinary share capital of the Company is recorded at the proceeds received, net of directly attributable incremental issue costs.

Consideration paid for shares in the Company held by the Employee Share Ownership Plan (ESOP) Trust are deducted from the retained earnings reserve. Where such shares subsequently vest in the employees under the terms of the Group's share option schemes or are sold, any consideration received is included in the retained earnings reserve.

Provisions

A provision is recognised in the balance sheet when the Group has a present legal or constructive obligation as a result of a past event, and where it is probable that an outflow will be required to settle the obligation.

Provisions for restructuring are recognised when the Group has an approved restructuring plan that has either commenced or been announced publicly. Future operating costs are not provided for.

Financial instruments

Financial instruments are recognised when the Group becomes a party to the contractual provisions of the instrument. The principal financial assets and liabilities of the Group are as follows:

(a) Other non-current investments

Other non-current investments relate to unquoted equity interests that are not designated on initial recognition as at fair value through the income statement. Instead, they are recognised at fair value with movements in fair value recognised in the fair value reserve.

(b) Trade receivables

Trade receivables are initially recognised at fair value and then are stated at amortised cost.

(c) Cash and cash equivalents

Cash and cash equivalents are carried in the balance sheet at amortised cost. For the purposes of the cash flow statement, cash and cash equivalents comprise cash at bank and in hand, including bank deposits with original maturities of three months or less.

Bank overdrafts are also included as they are an integral part of the Group's cash management.

(d) Current asset investments

Current asset investments are carried in the balance sheet at amortised cost.

(e) Trade payables

Trade payables are initially recognised at fair value and then are stated at amortised cost.

(f) Bank and other borrowings

Interest-bearing bank loans and overdrafts and other loans are recognised initially at amortised cost less attributable transaction costs. All borrowings are subsequently stated at amortised cost with the difference between initial net proceeds and redemption value recognised in the income statement over the period to redemption.

(g) Derivative financial instruments

Derivatives are initially recognised at fair value on the date the contract is entered into and subsequently remeasured in future periods at their fair value. The method of recognising the resulting change in fair value is dependent on whether the derivative is designated as a hedging instrument.

A number of the Group's PPP joint ventures have entered into interest rate derivatives as a means of hedging interest rate risk. The effective part of the change in fair value of these derivatives is recognised directly in equity. Any ineffective portion is recognised immediately in the income statement. Amounts accumulated in equity are recycled to the income statement in the periods when the hedged items will affect profit or loss. The fair value of interest rate swaps is the estimated amount that the Group would receive or pay to terminate the swap at the balance sheet date.

The Group also enters into forward contracts in order to hedge against small and infrequent transactional foreign currency exposures. In cases where these derivative instruments are significant, hedge accounting is applied as described above. Where hedge accounting is not applied, movements in fair value are recognised in the income statement. Fair values are based on quoted market prices at the balance sheet date.

In accordance with IAS 32 'Financial Instruments: Presentation', the Group's convertible bonds with a cash settlement option are assessed as being a hybrid financial instrument, comprising an embedded derivative component (representing the option) and a debt component. At inception, the fair value of the embedded derivative component is determined using a Black-Scholes or similar bespoke model. The fair value attributed to the debt component is the difference between the proceeds of the issue and the fair value attributed to the embedded derivative component. Subsequently, the fair value of the embedded derivative component is remeasured each year, with the movement recognised within the net financial expense in the income statement as a non-underlying item. In relation to the debt component, interest is charged to the income statement based on applying a market interest rate at the date of issue for a similar bond without the conversion option and is included in financial expenses in the income statement. The difference between the interest charge above and the coupon interest paid is added to the carrying amount of the debt component.

(h) Deferred and contingent consideration

Deferred consideration arises when settlement of all or any part of the cost of a business combination is deferred to a future period. Contingent consideration arises when all or any part of the cost of a business combination is dependent upon the occurrence of future events or performance.

Deferred and contingent consideration due in more than one year is stated at fair value at the date of acquisition, which is determined by discounting management's assessment of the amount due to its present value at that date.

Interest in relation to deferred and contingent consideration is imputed on the fair value of consideration and included in the income statement within financial expenses. Any subsequent changes in deferred and contingent consideration within the remeasurement period will be reflected within the goodwill calculation. Any changes to deferred and contingent consideration outside of the remeasurement period is recognised in the income statement within non-operating items.

Net borrowing

Net borrowing comprises cash and cash equivalents together with bank overdrafts and loans, finance leases and other loans.

2. Segmental reporting

Segment information is presented in respect of the Group's strategic operating segments. The operating segment reporting format reflects the differing economic characteristics and nature of the services provided by the Group and is the basis on which strategic operating decisions are made by the Group Chief Executive, who is the Group's chief operating decision maker.

Inter-segment pricing is determined on an arm's length basis. Segment results include items directly attributable to a segment as well as those that can be allocated on a reasonable basis, except finance items and income tax.

Operating segments

The Group is comprised of the following main operating segments:

Support services

In this segment we report the results, including licensing, of our facilities management, facilities services, energy services, road maintenance, rail services, utilities services and consultancy businesses in the UK, Canada and the Middle East.

Public Private Partnership projects

In this segment we report the equity returns on our investing activities in Public Private Partnership projects for Government buildings and infrastructure, mainly in the defence, health, education, transport and secure accommodation sectors.

Middle East construction services

In this segment we report the results of our building and civil engineering activities in the Middle East and North Africa.

Construction services (excluding the Middle East)

In this segment we report the results of our UK building, civil engineering and developments businesses and our construction activities in Canada.

Segmental revenue and profit

	2014		2013	
	Revenue £m	Operating profit before intangible amortisation and non-recurring operating items £m	Revenue £m	Operating profit before intangible amortisation and non-recurring operating items £m
Support services				
Group	2,099.7	113.5	2,029.4	92.8
Share of joint ventures	224.2	22.4	271.5	25.2
	2,323.9	135.9	2,300.9	118.0
Inter-segment	88.2	-	85.0	-
Total	2,412.1	135.9	2,385.9	118.0
Public Private Partnership projects				
Group	1.5	24.1	2.3	46.0
Share of joint ventures	161.0	10.4	234.6	12.4
	162.5	34.5	236.9	58.4
Inter-segment	-	-	-	-
Total	162.5	34.5	236.9	58.4
Middle East construction services				
Group	323.4	24.3	250.3	15.4
Share of joint ventures	177.3	0.8	233.2	3.8
	500.7	25.1	483.5	19.2
Inter-segment	-	-	-	-
Total	500.7	25.1	483.5	19.2
Construction services (excluding the Middle East)				
Group	1,069.3	40.9	1,050.6	44.8
Share of joint ventures	15.5	0.6	9.0	(0.4)
	1,084.8	41.5	1,059.6	44.4
Inter-segment	14.5	-	2.1	-
Total	1,099.3	41.5	1,061.7	44.4
Group eliminations and unallocated items	(102.7)	(11.0)	(87.1)	(11.2)
Consolidated				
Group	3,493.9	191.8	3,332.6	187.8
Share of joint ventures	578.0	34.2	748.3	41.0
Total	4,071.9	226.0	4,080.9	228.8

Notes to the consolidated financial statements

continued

2. Segmental reporting (continued)

Reconciliation of operating segment results to reported results

	2014 £m	2013 £m
Group and share of joint ventures' operating profit before intangible amortisation and non-recurring operating items	226.0	228.8
Underlying net financial expense		
- Group	(44.0)	(39.6)
- Share of joint ventures	(6.4)	(10.1)
Share of joint ventures' taxation	(2.7)	(4.4)
Underlying profit before taxation	172.9	174.7
Intangible amortisation arising from business combinations	(16.8)	(19.2)
Non-recurring operating items	-	(44.2)
Non-operating items	(9.9)	(0.7)
Fair value movements in derivative financial instruments	(3.6)	-
Profit before taxation	142.6	110.6
Taxation	(15.1)	(4.3)
Profit for the year	127.5	106.3

Intangible amortisation and non-recurring operating items arise in the following segments:

	2014		2013	
	Intangible amortisation £m	Non-recurring operating items £m	Intangible amortisation £m	Non-recurring operating items £m
Support services	(15.0)	-	(17.1)	(44.2)
Construction services (excluding the Middle East)	(1.8)	-	(2.1)	-
Total	(16.8)	-	(19.2)	(44.2)

Depreciation, amortisation and capital expenditure arise in the following segments:

	2014		2013	
	Depreciation and amortisation £m	Capital expenditure £m	Depreciation and amortisation £m	Capital expenditure £m
Support services	(24.8)	(13.1)	(27.7)	(28.2)
Middle East construction services	(1.8)	(2.2)	(2.0)	(1.3)
Construction services (excluding the Middle East)	(2.7)	(0.7)	(2.7)	(1.4)
Unallocated Group items	(15.5)	(28.8)	(11.9)	(12.9)
Total	(44.8)	(44.8)	(44.3)	(43.8)

2. Segmental reporting (continued)

Segmental net assets

	2014			2013		
	Operating assets £m	Operating liabilities £m	Net operating assets/ (liabilities) £m	Operating assets £m	Operating liabilities £m	Net operating assets/ (liabilities) £m
Support services						
Intangible assets ⁽¹⁾	1,328.3	–	1,328.3	1,270.7	–	1,270.7
Operating assets	689.1	–	689.1	642.6	–	642.6
Investments	13.3	–	13.3	11.8	–	11.8
Total operating assets	2,030.7	–	2,030.7	1,925.1	–	1,925.1
Total operating liabilities	–	(631.3)	(631.3)	–	(651.7)	(651.7)
Net operating assets/(liabilities)	2,030.7	(631.3)	1,399.4	1,925.1	(651.7)	1,273.4
Public Private Partnership projects						
Operating assets	2.4	–	2.4	2.6	–	2.6
Investments	20.5	–	20.5	36.0	–	36.0
Total operating assets	22.9	–	22.9	38.6	–	38.6
Total operating liabilities	–	(1.6)	(1.6)	–	(12.8)	(12.8)
Net operating assets/(liabilities)	22.9	(1.6)	21.3	38.6	(12.8)	25.8
Middle East construction services						
Operating assets	321.9	–	321.9	275.8	–	275.8
Investments	82.0	–	82.0	76.2	–	76.2
Total operating assets	403.9	–	403.9	352.0	–	352.0
Total operating liabilities	–	(287.1)	(287.1)	–	(256.8)	(256.8)
Net operating assets/(liabilities)	403.9	(287.1)	116.8	352.0	(256.8)	95.2
Construction services (excluding the Middle East)						
Intangible assets ⁽¹⁾	255.8	–	255.8	258.4	–	258.4
Operating assets	427.3	–	427.3	406.8	–	406.8
Investments	24.1	–	24.1	35.3	–	35.3
Total operating assets	707.2	–	707.2	700.5	–	700.5
Total operating liabilities	–	(626.9)	(626.9)	–	(652.8)	(652.8)
Net operating assets/(liabilities)	707.2	(626.9)	80.3	700.5	(652.8)	47.7
Consolidated before Group items						
Intangible assets ⁽¹⁾	1,584.1	–	1,584.1	1,529.1	–	1,529.1
Operating assets	1,440.7	–	1,440.7	1,327.8	–	1,327.8
Investments	139.9	–	139.9	159.3	–	159.3
Total operating assets	3,164.7	–	3,164.7	3,016.2	–	3,016.2
Total operating liabilities	–	(1,546.9)	(1,546.9)	–	(1,574.1)	(1,574.1)
Net operating assets/(liabilities) before Group items	3,164.7	(1,546.9)	1,617.8	3,016.2	(1,574.1)	1,442.1
Group items						
Deferred tax assets/(liabilities)	142.6	(11.3)	131.3	112.6	(10.2)	102.4
Net cash/(borrowing)	472.0	(649.3)	(177.3)	413.7	(628.9)	(215.2)
Retirement benefits (gross of taxation)	6.1	(515.8)	(509.7)	3.8	(373.9)	(370.1)
Income tax	0.7	(8.3)	(7.6)	4.0	(4.7)	(0.7)
Other	104.3	(264.3)	(160.0)	89.6	(64.5)	25.1
Net assets/(liabilities)	3,890.4	(2,995.9)	894.5	3,639.9	(2,656.3)	983.6

(1) Arising from business combinations.

Notes to the consolidated financial statements

continued

2. Segmental reporting (continued)

Geographic information – by origin

	2014 £m	2013 £m
United Kingdom		
Total revenue from external customers	2,941.1	2,844.9
Less: share of joint ventures' revenue	(308.9)	(376.7)
Group revenue from external customers	2,632.2	2,468.2
Non-current assets	1,590.6	1,586.0
Middle East and North Africa		
Total revenue from external customers	575.5	531.6
Less: share of joint ventures' revenue	(196.4)	(250.9)
Group revenue from external customers	379.1	280.7
Non-current assets	86.5	80.5
Canada		
Total revenue from external customers	542.6	671.1
Less: share of joint ventures' revenue	(72.7)	(120.7)
Group revenue from external customers	469.9	550.4
Non-current assets	205.2	166.5
Rest of the World		
Total revenue from external customers	12.7	33.3
Less: share of joint ventures' revenue	–	–
Group revenue from external customers	12.7	33.3
Non-current assets	–	–
Consolidated		
Total revenue from external customers	4,071.9	4,080.9
Less: share of joint ventures' revenue	(578.0)	(748.3)
Group revenue from external customers	3,493.9	3,332.6
Non-current assets		
Total of geographic analysis above	1,882.3	1,833.0
Retirement benefit assets	6.1	3.8
Other investments	9.3	7.3
Deferred tax assets	142.6	112.6
Total non-current assets	2,040.3	1,956.7

Revenue from the Group's major customer, the UK Government, is shown below:

	2014 £m	2013 £m
Support services	826.3	842.5
Public Private Partnership projects	89.8	121.3
Construction services (excluding the Middle East)	646.9	706.4
	1,563.0	1,670.2

3. Group operating profit

	2014 £m	2013 £m
Group operating profit has been arrived at after charging/(crediting):		
Depreciation of property, plant and equipment	24.5	21.5
Amortisation of intangible assets	20.3	22.8
Impairment of trade receivables	0.3	0.2
Loss on disposal of property, plant and equipment	0.3	2.3
Operating lease charges	41.5	41.3
Foreign exchange (gains)/losses	(0.6)	0.6
Loss/(gain) on derivative financial assets and liabilities held for trading	2.8	(1.8)
Auditors' remuneration:		
Fees payable to the Company's auditor for:		
- the audit of the Company's annual accounts	0.3	0.3
- the audit of the Company's subsidiaries	0.7	0.9
- the audit of the Group's pension schemes	0.1	0.1
- the Group's share of the audit of joint ventures	0.2	0.2
Total audit fees	1.3	1.5
- taxation services	0.2	0.2
- other assurance services	0.1	-
Total non-audit fees	0.3	0.2
	1.6	1.7

Auditors' remuneration for statutory audit services and non-audit services in 2013 relate solely to amounts paid to KPMG Audit Plc. Auditors' remuneration in 2014 relate solely to amounts paid to KPMG LLP.

4. Non-recurring operating and non-operating items

Non-recurring operating items

There were no non-recurring operating items in 2014. In 2013 non-recurring operating items of £44.2 million primarily included costs associated with the rationalisation of the energy services business of £42.9 million, Eaga Partnership Trusts related charges of £1.1 million and the costs of integrating John Laing Integrated Services (JLIS) of £0.5 million. An income tax credit of £9.2 million relating to these costs was included within taxation in the income statement.

Non-operating items

Non-operating items of £9.9 million relate to adviser costs incurred in relation to the aborted merger discussion with Balfour Beatty plc and the acquisition of the Rokstad Power Corporation. An income tax credit of £1.8 million relating to these costs is included within taxation in the income statement. Non-operating costs in 2013 of £0.7 million related to adviser costs incurred on the acquisition of JLIS, on which there was no associated income tax.

Notes to the consolidated financial statements

continued

5. Financial income and expense

	2014 £m	2013 £m
Financial income		
Bank interest receivable	0.9	0.6
Other interest receivable	1.4	7.1
	2.3	7.7
Financial expense		
Interest payable on bank loans and overdrafts	(11.4)	(9.5)
Other interest payable and similar charges	(19.1)	(22.7)
Net interest expense on defined benefit pension obligations	(15.8)	(15.1)
Underlying financial expense	(46.3)	(47.3)
Fair value movements in the derivative component of convertible bonds	(3.6)	-
Total financial expense	(49.9)	(47.3)
Net financial expense	(47.6)	(39.6)

Other interest payable and similar charges include Private Placement financing interest of £14.3 million (2013: £14.3 million), finance lease charges of £1.1 million (2013: £1.2 million) and the discount unwind associated with onerous lease provisions of £0.7 million (2013: £1.4 million). No borrowing costs have been capitalised in either of the above years.

In relation to the fair value movements in the derivative component of convertible bonds, a deferred tax credit of £0.7 million is included within taxation in the income statement.

6. Payroll costs and employee numbers

	2014 £m	2013 £m
Wages and salaries	688.0	657.6
Social security costs	59.6	57.8
Pension costs	29.7	34.4
Equity-settled transactions (Group funded charges)	0.4	0.1
Equity-settled transactions (Eaga Partnership Trusts related charges)	-	1.1
	777.7	751.0

Pension costs represent amounts in respect of the Group's UK and overseas schemes as described in note 31 and includes a charge of £18.7 million (2013: £23.2 million) in respect of defined contribution schemes.

Detailed information concerning Directors' remuneration, including their pension benefits and long-term incentive arrangements, is set out in the Remuneration report on pages 52 to 68.

The average number of employees during each year, including Directors, was:

	2014 Number	2013 Number
Support services	17,099	16,057
Public Private Partnership projects	24	24
Middle East construction services	7,798	6,614
Construction services (excluding the Middle East)	2,551	2,708
Corporate centre	386	512
	27,858	25,915
UK	17,237	16,149
Overseas	10,621	9,766
	27,858	25,915

In addition to the above there are 11,031 staff (2013: 12,909) employed within the Group's joint ventures located in the Middle East.

7. Income tax

Recognised in the income statement

	2014 £m	2013 £m
Current tax (credit)/expense		
Current year		
– UK	4.7	(5.5)
– Overseas	7.2	4.5
Adjustments for prior years		
– UK	(1.6)	3.4
– Overseas	0.3	0.6
Total current tax	10.6	3.0
Deferred tax (credit)/expense		
Origination and reversal of temporary differences	0.3	5.4
Change of rate	–	4.0
Adjustments for prior years	4.2	(8.1)
Total deferred tax	4.5	1.3
Total income tax expense in the income statement	15.1	4.3

Reconciliation of effective tax rate

	2014 £m	2013 £m
Profit before tax	142.6	110.6
Tax of joint ventures	2.7	4.4
	145.3	115.0
Income tax at UK standard corporation tax rate of 21.5% (2013: 23.25%)	31.2	26.7
Permanent differences	–	(0.1)
Unrelieved trade losses	0.7	1.3
Capital items not taxable/not deductible	(1.2)	(15.0)
Effect of utilisation of brought-forward tax losses	(0.9)	(2.1)
Effect of tax rates in foreign jurisdictions	(3.0)	(3.1)
Change in rate	–	4.0
Over provided in prior years	0.7	(4.1)
Deferred taxation relating to prior year losses	(9.7)	1.1
Total tax (including tax of joint ventures)	17.8	8.7
Tax of joint ventures	(2.7)	(4.4)
Group income tax expense	15.1	4.3

Over provided in prior years of £0.7 million in 2014 includes a £2.2 million credit (2013: £0.1 million credit) arising from a review of the nature of tax positions in certain joint ventures.

Tax (asset)/liability recognised either in the statement of changes in other comprehensive income or directly in equity

	2014 £m	2013 £m
Deferred tax on actuarial losses on defined benefit pension schemes	(34.4)	1.3
Deferred tax on cash flow hedging derivatives	1.6	(2.7)
Current tax on foreign exchange translation adjustments	–	0.8
Tax recognised in statement of comprehensive income	(32.8)	(0.6)
Tax directly recognised in equity:		
– Deferred tax on equity-settled transactions	0.1	–
Total tax recognised in equity	(32.7)	(0.6)

Deferred tax on actuarial losses on defined benefit pension schemes in 2013 of £1.3 million includes a £10.8 million reduction to the deferred tax asset recognised in relation to defined benefit pension schemes following the change in tax rate to 20 per cent, which was substantively enacted on 2 July 2013.

Notes to the consolidated financial statements

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8. Earnings per share

(a) Basic earnings per share

The calculation of earnings per share for the year ended 31 December 2014 is based on the profit attributable to equity holders of the parent of £120.7 million (2013: £100.2 million) and a weighted average number of ordinary shares in issue of 430.2 million (2013: 430.1 million), calculated as follows:

In millions of shares	2014	2013
Issued ordinary shares at 1 January	430.3	430.3
Effect of own shares held by Employee Share Ownership Plan and Qualifying Employee Share Ownership Trust (see note 24)	(0.1)	(0.2)
Weighted average number of ordinary shares at 31 December	430.2	430.1

(b) Underlying performance

A reconciliation of profit before taxation and basic earnings per share, as reported in the income statement, to underlying profit before taxation and earnings per share is set out below. The adjustments made in arriving at the underlying performance measures are made to illustrate the impact of the amortisation of intangible assets arising from business combinations, non-recurring operating items, non-operating items and fair value movements in derivative financial instruments.

	2014		2013	
	Profit before tax £m	Tax £m	Profit before tax £m	Tax £m
Profit before taxation				
Profit before taxation as reported in the income statement	142.6	15.1	110.6	4.3
Amortisation of intangible assets arising from business combinations	16.8	3.4	19.2	5.9
Non-recurring operating items	–	–	44.2	9.2
Non-operating items	9.9	1.8	0.7	–
Fair value movements in derivative financial instruments	3.6	0.7	–	–
Underlying profit before taxation	172.9	21.0	174.7	19.4
Underlying taxation	(21.0)	–	(19.4)	–
Underlying profit attributable to non-controlling interests	(6.8)	–	(6.1)	–
Underlying profit attributable to shareholders	145.1	–	149.2	–

	2014 Pence per share	2013 Pence per share
Earnings per share		
Basic earnings per share as reported in the income statement	28.0	23.3
Amortisation of intangible assets arising from business combinations	3.1	3.1
Non-recurring operating items	–	8.1
Non-operating items	1.9	0.2
Fair value movements in derivative financial instruments	0.7	–
Underlying basic earnings per share	33.7	34.7

Underlying diluted earnings per share (post-tax basis)	30.6	34.5
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(c) Diluted earnings per share

The calculation of diluted earnings per share is based on profit as shown in note 8(a) and (b) and a weighted average number of ordinary shares outstanding calculated as follows:

In millions of shares	2014	2013
Weighted average number of ordinary shares (see note 8 (a) above)	430.2	430.1
Effect of potential number of shares that could be issued on conversion of convertible bonds	42.7	–
Effect of share options in issue	1.9	1.8
Weighted average number of ordinary shares (diluted) at 31 December	474.8	431.9

9. Dividends

The following dividends were paid by the Company:

	2014		2013	
	£m	Pence per share	£m	Pence per share
Previous year final dividend	51.6	12.00	51.0	11.85
Current year interim dividend	24.1	5.60	23.6	5.50
Total	75.7	17.60	74.6	17.35

The following dividends were proposed by the Company:

	2014		2013	
	£m	Pence per share	£m	Pence per share
Interim	24.1	5.60	23.6	5.50
Final	52.3	12.15	51.6	12.00
Total	76.4	17.75	75.2	17.50

The final dividend for 2014 of 12.15 pence per share was approved by the Board on 4 March 2015 and, subject to approval by shareholders at the Annual General Meeting, will be paid on 12 June 2015 to shareholders on the register on 15 May 2015.

10. Property, plant and equipment

	Land and buildings £m	Plant, equipment and vehicles £m	Total £m
Cost			
At 1 January 2014	35.6	117.6	153.2
Acquisition of Rokstad Power Corporation	0.2	7.0	7.2
Additions	4.1	34.2	38.3
Disposals	(0.8)	(21.9)	(22.7)
Effect of movements in foreign exchange rates	(0.1)	(1.9)	(2.0)
At 31 December 2014	39.0	135.0	174.0
Depreciation and impairment losses			
At 1 January 2014	7.0	18.0	25.0
Depreciation charge for the year	2.4	22.1	24.5
Disposals	(0.3)	(15.7)	(16.0)
Effect of movements in foreign exchange rates	0.2	(0.6)	(0.4)
At 31 December 2014	9.3	23.8	33.1
Net book value			
At 1 January 2014	28.6	99.6	128.2
At 31 December 2014	29.7	111.2	140.9
Included in the net book value of plant, equipment and vehicles is £22.8 million (2013: £41.4 million) in respect of assets held under finance leases and hire purchase contracts. The leased equipment secures lease obligations as disclosed in note 20.			
	Land and buildings £m	Plant, equipment and vehicles £m	Total £m
Cost			
At 1 January 2013	36.8	109.7	146.5
Acquisition of John Laing Integrated Services	-	0.4	0.4
Additions	2.5	31.4	33.9
Disposals	(1.1)	(16.3)	(17.4)
Effect of movements in foreign exchange rates	(2.6)	(7.6)	(10.2)
At 31 December 2013	35.6	117.6	153.2
Depreciation and impairment losses			
At 1 January 2013	5.1	15.6	20.7
Depreciation charge for the year	3.5	18.0	21.5
Disposals	(0.5)	(11.3)	(11.8)
Effect of movements in foreign exchange rates	(1.1)	(4.3)	(5.4)
At 31 December 2013	7.0	18.0	25.0
Net book value			
At 1 January 2013	31.7	94.1	125.8
At 31 December 2013	28.6	99.6	128.2

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11. Intangible assets

	Goodwill £m	Customer contracts and lists £m	Total arising from business combinations £m	Computer software and licences £m	Total £m
Cost					
At 1 January 2014	1,449.7	298.2	1,747.9	43.1	1,791.0
Acquisitions (see note 30)	70.1	2.4	72.5	0.1	72.6
Additions	–	–	–	6.4	6.4
Effect of movements in foreign exchange rates	(0.7)	(0.1)	(0.8)	–	(0.8)
At 31 December 2014	1,519.1	300.5	1,819.6	49.6	1,869.2
Amortisation and impairment losses					
At 1 January 2014	–	218.8	218.8	19.4	238.2
Amortisation for the year	–	16.8	16.8	3.5	20.3
Effect of movements in foreign exchange rates	–	(0.1)	(0.1)	–	(0.1)
At 31 December 2014	–	235.5	235.5	22.9	258.4
Net book value					
At 1 January 2014	1,449.7	79.4	1,529.1	23.7	1,552.8
At 31 December 2014	1,519.1	65.0	1,584.1	26.7	1,610.8

Goodwill acquired of £70.1 million relates to the provisional goodwill recognised on the acquisition of Rokstad Power Corporation and represents the estimated present value of future income streams expected from the business. The provisional goodwill on this acquisition has been allocated to the Canada services cash-generating unit. Due to the proximity of this acquisition to the year end, it has not been possible to identify the amount of goodwill attributable to other intangible assets. Following the expected finalisation of the completion accounts process in the first half of 2015, quantification of goodwill and other intangible assets arising from this acquisition will be completed.

Customer contracts and lists acquired of £2.4 million arose on the acquisition of CarillionAmey (Housing Prime) Limited as disclosed in note 30.

Included in the net book value of computer software and licences is £3.6 million (2013: £5.0 million) in respect of assets held under finance leases. The leased assets secure lease obligations as disclosed in note 20.

	Goodwill £m	Customer contracts and lists £m	Total arising from business combinations £m	Computer software and licences £m	Total £m
Cost					
At 1 January 2013	1,447.6	271.0	1,718.6	34.4	1,753.0
Acquisition of John Laing Integrated Services	4.3	27.2	31.5	–	31.5
Additions	–	–	–	9.9	9.9
Disposals	–	–	–	(0.8)	(0.8)
Effect of movements in foreign exchange rates	(2.2)	–	(2.2)	(0.4)	(2.6)
At 31 December 2013	1,449.7	298.2	1,747.9	43.1	1,791.0
Amortisation and impairment losses					
At 1 January 2013	–	199.6	199.6	16.8	216.4
Amortisation for the year	–	19.2	19.2	3.6	22.8
Disposals	–	–	–	(0.8)	(0.8)
Effect of movements in foreign exchange rates	–	–	–	(0.2)	(0.2)
At 31 December 2013	–	218.8	218.8	19.4	238.2
Net book value					
At 1 January 2013	1,447.6	71.4	1,519.0	17.6	1,536.6
At 31 December 2013	1,449.7	79.4	1,529.1	23.7	1,552.8

11. Intangible assets (continued)

Impairment tests for cash-generating units containing goodwill

The following units have significant amounts of goodwill:

	2014 £m	2013 £m
Construction services (excluding the Middle East) segment		
UK construction	233.0	233.0
Canada construction	9.8	10.1
	242.8	243.1
Support services segment		
UK services	1,191.2	1,191.2
Canada services	85.1	15.4
	1,276.3	1,206.6
Total goodwill	1,519.1	1,449.7

Each year, and whenever events or a change in the economic environment indicates a risk of impairment, the Group reviews the value of goodwill balances allocated to its cash-generating units (CGU). In the absence of any identified impairment risks, tests are performed based on internal valuations of each CGU.

Management consider Support services, Public Private Partnership projects, Middle East construction services and Construction services (excluding the Middle East) as distinct reporting segments. Goodwill has been allocated to the applicable CGUs, within the Construction services (excluding the Middle East) and Support services reporting segments detailed above. CGUs have been identified within our reporting segments as those businesses that generate cash inflows largely independently of other businesses within the Group, and which are subject to independent management.

Rokstad Power Corporation, a business based in British Columbia, Canada, has been integrated into the Group's Support services reporting segment and consequently the provisional goodwill recognised on this acquisition has been allocated to the Canada services CGU.

The recoverable amounts of the CGUs are determined from value-in-use calculations. The value-in-use in 2014 was determined on a similar basis to 2013. The key assumptions for the value-in-use calculations are those regarding the discount rates, growth rates and expected changes to revenue and direct costs during the period. These assumptions were reviewed in 2014 in the light of the challenging economic environment. The impact of macro-economic factors on the financial stability of our customers, partners and suppliers will be mitigated by continuing to apply rigorous selectivity criteria in relation to their financial stability, the security of project funding and contractual terms and conditions.

Discount rates have been estimated based on pre-tax rates that reflect current market assessments of the time value of money and the risks specific to the CGUs. Whilst the Group has four CGUs, the risks and rewards associated with Construction services (excluding the Middle East) are consistent, and therefore one discount rate has been applied to each CGU. Similarly the risks and rewards encountered in the Support services CGUs are consistent and therefore one discount rate has been applied to each CGU. In determining the pre-tax discount rate, management has derived a Weighted Average Cost of Capital (WACC) using the capital asset pricing model to determine the cost of equity and then weighting the overall cost of capital for the Group by equity and debt, after adjusting for taxation. The rate used to discount the forecast cash flows for the CGUs in the Construction services (excluding the Middle East) segment was 11.0 per cent (2013: 10.0 per cent) and for the CGUs in the Support services segment was 9.7 per cent (2013: 8.8 per cent).

The cash flows used to determine the value-in-use calculations are based upon the latest three-year forecasts approved by management, which are based upon secured and probable orders and the Group's overall strategic direction. The cash flows are extrapolated from year four, with a terminal value using a growth rate of 2.5 per cent. This growth rate does not exceed the long-term industry average and reflects the synergies from previous acquisitions.

Management has undertaken sensitivity analysis on a number of key assumptions in the value-in-use calculations. Sensitivity analysis on the discount rate shows that the discount rate would have to increase to a minimum of 17.3 per cent for Construction services (excluding the Middle East) and to a minimum of 13.6 per cent for Support services before an impairment was triggered in any CGU. Sensitivity analysis was applied to the cash flows used to determine the value-in-use by reducing the approved three-year forecasts for the UK Construction CGU and UK services CGU by 20 per cent, together with an assumption of no growth in cash flows from year four onwards. On the basis of the sensitivity analysis undertaken in relation to cash flows, management concluded that there is a more than adequate amount of headroom in the value-in-use calculations before an impairment would be triggered. Overall, as at 31 December 2014, based on internal valuations, management has concluded that the recoverable value of the Group's CGUs exceeded their carrying amount.

Amortisation charge

The amortisation profile relating to intangible assets arising from business combinations is shown below:

Acquisition	Original cost £m	Amortisation period	Amortisation profile
Mowlem	119.0	2006-2041	79 per cent complete by 2016
Alfred McAlpine	125.4	2008-2019	92 per cent complete in 2014
Carillion Energy Services	29.4	2011-2014	Amortisation complete in 2014
John Laing Integrated Services	27.2	2013-2041	74 per cent complete by 2023

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12. Investments in joint ventures

	Investments £m	Goodwill £m	Total £m
Cost			
At 1 January 2014	91.6	2.1	93.7
Equity investments	2.9	–	2.9
Disposals	(11.5)	(2.1)	(13.6)
Net loans repaid	(11.1)	–	(11.1)
Effect of movements in foreign exchange rates	(1.0)	–	(1.0)
At 31 December 2014	70.9	–	70.9
Share of post-acquisition results			
At 1 January 2014	58.3	–	58.3
Share of results for the year after taxation	25.1	–	25.1
Share of change in fair value of cash flow hedges (net of taxation)	(2.9)	–	(2.9)
Disposals	(16.1)	–	(16.1)
Distributions received	(9.1)	–	(9.1)
Effect of movements in foreign exchange rates	4.4	–	4.4
At 31 December 2014	59.7	–	59.7
Net book value			
At 1 January 2014	149.9	2.1	152.0
At 31 December 2014	130.6	–	130.6

Equity investments of £2.9 million relate to the acquisition in cash of an interest in a joint venture involved in land development in the UK.

The disposal of goodwill of £2.1 million relates to CarillionAmey (Housing Prime) Limited, which has been accounted for as a deemed step acquisition following a change in control as disclosed in note 30.

During the year, the Group disposed of a number of equity investments in joint ventures engaged in Public Private Partnership (PPP) activities as disclosed in note 30.

	Investments £m	Goodwill £m	Total £m
Cost			
At 1 January 2013	133.2	2.1	135.3
Equity investments	0.6	–	0.6
Disposals	(41.7)	–	(41.7)
Net loans advanced	2.6	–	2.6
Effect of movements in foreign exchange rates	(3.1)	–	(3.1)
At 31 December 2013	91.6	2.1	93.7
Share of post-acquisition results			
At 1 January 2013	41.1	–	41.1
Share of results for the year after taxation	26.5	–	26.5
Share of change in fair value of cash flow hedges (net of taxation)	(2.1)	–	(2.1)
Disposals	13.1	–	13.1
Distributions received	(18.2)	–	(18.2)
Effect of movements in foreign exchange rates	(2.1)	–	(2.1)
At 31 December 2013	58.3	–	58.3
Net book value			
At 1 January 2013	174.3	2.1	176.4
At 31 December 2013	149.9	2.1	152.0

Equity investments of £0.6 million relate to the acquisition in cash of interests in a number of joint ventures engaged in land development in Canada. During the year, the Group disposed of a number of equity investments in joint ventures engaged in land development in Canada and joint ventures engaged in PPP activities as disclosed in note 30.

12. Investments in joint ventures (continued)

	2014			2013		
	PPP projects £m	Other £m	Total £m	PPP projects £m	Other £m	Total £m
Non-current assets	762.2	62.4	824.6	507.7	108.2	615.9
Cash	50.6	29.3	79.9	45.4	34.5	79.9
Other current assets	15.6	279.6	295.2	8.3	255.3	263.6
Share of gross assets	828.4	371.3	1,199.7	561.4	398.0	959.4
Current borrowing	(5.3)	(15.1)	(20.4)	(4.3)	(0.2)	(4.5)
Current liabilities	(38.6)	(242.3)	(280.9)	(13.2)	(204.1)	(217.3)
Non-current borrowing	(726.5)	(6.1)	(732.6)	(445.9)	(28.3)	(474.2)
Non-current liabilities	(39.2)	-	(39.2)	(71.4)	(52.5)	(123.9)
Provisions	-	-	-	(2.9)	-	(2.9)
Share of gross liabilities	(809.6)	(263.5)	(1,073.1)	(537.7)	(285.1)	(822.8)
Share of net assets excluding derivatives	18.8	107.8	126.6	23.7	112.9	136.6
Financial instrument derivatives	(3.6)	-	(3.6)	(2.2)	-	(2.2)
Share of net assets	15.2	107.8	123.0	21.5	112.9	134.4
Loan advances	7.6	-	7.6	8.6	9.0	17.6
Total investment in joint ventures	22.8	107.8	130.6	30.1	121.9	152.0

There are no material joint ventures included in the above that require separate disclosure.

The Group's share of total comprehensive income in relation to joint ventures in 2014 of £28.5 million (2013: £21.3 million) comprises the Group's share of results for the year after taxation of £25.1 million (2013: £26.5 million) and the Group's share of other comprehensive income of £3.4 million (2013: £5.2 million expense).

Financial instrument derivatives within PPP projects relate to interest rate swaps entered into by the joint ventures concerned as a means of hedging interest rate risk and are stated net of deferred tax. In accordance with International Accounting Standard 39 'Financial instruments: Recognition and measurement', these derivatives are accounted for as cash flow hedges with the effective portion of movements in fair value each year recognised in the hedging reserve and recycled on disposal.

13. Other investments

	£m
Fair value	
At 1 January 2014	21.1
Additions	1.2
Fair value of equity interests retained on partial disposals	0.7
Increase in fair value	0.1
At 31 December 2014	23.1

Impairment losses

At 1 January and 31 December 2014	13.8
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Net book value

At 1 January 2014	7.3
At 31 December 2014	9.3

Additions in 2014 of £1.2 million relate to cash paid in respect of a long-term stakeholder loan to the Green Deal Finance Company Limited. The fair value of equity interests retained on partial disposals of £0.7 million arises on the partial disposal of equity interests in three PPP projects, which were previously accounted for as investments in joint ventures. The equity interests retained at the date of disposal have been recognised at fair value.

	£m
Fair value	
At 1 January 2013	75.3
Additions	3.8
Disposals	(58.3)
Fair value of equity interests retained on partial disposals	0.3
At 31 December 2013	21.1

Impairment losses

At 1 January and 31 December 2013	13.8
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Net book value

At 1 January 2013	61.5
At 31 December 2013	7.3

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13. Other investments (continued)

Additions in 2013 of £3.8 million include cash paid of £3.3 million in respect of a long-term stakeholder loan to the Green Deal Finance Company Limited and £0.5 million in respect of PPP subordinated debt in unquoted entities. Disposals of £58.3 million relate predominately to the disposal of the Group's 12.5 per cent holding in Aspire Defence Holdings Limited, a PPP unquoted entity. The fair value of equity interests retained on partial disposals arises on the partial disposal of equity interests in five PPP projects, which were previously accounted for as investments in joint ventures. The equity interests retained at the date of disposal have been recognised at fair value.

14. Deferred tax assets and liabilities

Recognised deferred tax assets and liabilities

Deferred tax assets and liabilities are attributable to temporary differences relating to the following:

	Assets		Liabilities		Net	
	2014 £m	2013 £m	2014 £m	2013 £m	2014 £m	2013 £m
Property, plant and equipment	9.4	19.6	–	–	9.4	19.6
Intangible assets	–	–	(12.9)	(15.8)	(12.9)	(15.8)
Liability for National Insurance on future Eaga Partnership						
Trusts' distributions	0.8	0.9	–	–	0.8	0.9
Employee benefits	103.5	75.0	–	–	103.5	75.0
Working capital	–	–	(6.0)	(4.3)	(6.0)	(4.3)
Tax value of carry forward losses recognised	36.5	27.0	–	–	36.5	27.0
Tax assets/(liabilities)	150.2	122.5	(18.9)	(20.1)	131.3	102.4
Set off of tax	(7.6)	(9.9)	7.6	9.9	–	–
Net tax assets/(liabilities)	142.6	112.6	(11.3)	(10.2)	131.3	102.4

Unrecognised deferred tax assets

Deferred tax assets have not been recognised in respect of the following items:

	2014 £m	2013 £m
Tax losses	19.2	33.0

The tax losses do not expire under current tax legislation. Deferred tax assets have not been recognised in respect of these losses due to the lack of certainty concerning the quantum and timing of future years' taxable profits of the companies concerned.

Following the introduction of the foreign profits exemption with effect from 1 July 2009, no deferred tax liability is required to be recognised in relation to taxable temporary differences arising on unremitted earnings from overseas businesses.

Movements in temporary differences during the year are as follows:

	Balance 1 January 2014 £m	Acquisitions £m	Recognised in income £m	Recognised in equity £m	Balance 31 December 2014 £m
Property, plant and equipment	19.6	–	(10.2)	–	9.4
Intangible assets	(15.8)	(0.5)	3.4	–	(12.9)
Liability for National Insurance on future Eaga Partnership					
Trusts' distributions	0.9	–	(0.1)	–	0.8
Employee benefits	75.0	–	(5.9)	34.4	103.5
Working capital	(4.3)	1.2	(1.3)	(1.6)	(6.0)
Equity-settled transactions	–	–	0.1	(0.1)	–
Tax value of carry forward losses recognised	27.0	–	9.5	–	36.5
	102.4	0.7	(4.5)	32.7	131.3

	Balance 1 January 2013 £m	On acquisition of John Laing Integrated Services £m	Recognised in income £m	Recognised in equity £m	Balance 31 December 2013 £m
Property, plant and equipment	13.8	0.1	5.7	–	19.6
Intangible assets	(16.3)	(5.4)	5.9	–	(15.8)
Liability for National Insurance on future Eaga Partnership					
Trusts' distributions	4.2	–	(3.3)	–	0.9
Employee benefits	81.1	0.1	(4.9)	(1.3)	75.0
Working capital	2.6	–	(9.6)	2.7	(4.3)
Tax value of carry forward losses recognised	22.1	–	4.9	–	27.0
	107.5	(5.2)	(1.3)	1.4	102.4

15. Inventories

	2014 £m	2013 £m
Raw materials and consumables	26.4	22.4
Work in progress	23.7	26.2
	50.1	48.6

Development work in progress of £18.3 million (2013: £22.0 million) is expected to be recovered after more than 12 months.

16. Construction contracts

Contracts in progress at the balance sheet date:

	2014 £m	2013 £m
Due from customers for contract work	437.7	386.0
Due to customers for contract work	(83.4)	(101.1)

The aggregate amount of costs incurred plus recognised profits (less recognised losses) for all contracts in progress at the balance sheet date was £5,227.0 million (2013: £4,527.6 million). Advances received from customers relating to contracts in progress amounted to £83.2 million (2013: £99.0 million).

The amount of construction contract revenue recognised as revenue in the year amounted to £1,392.7 million (2013: £1,300.9 million).

17. Trade and other receivables

	2014 £m	2013 £m
Trade receivables	242.1	219.7
Amounts owed by customers on construction contracts	437.7	386.0
Other receivables and prepayments	511.4	482.3
Amounts owed by joint ventures	128.7	108.8
Amounts owed under joint operations	5.5	15.5
	1,325.4	1,212.3

At 31 December 2014, retentions of £84.3 million (2013: £61.2 million) relating to construction contracts and other amounts recoverable after more than one year of £55.6 million (2013: £75.9 million) are included above as they are recoverable within the normal operating cycle of the Group.

18. Cash and cash equivalents and net borrowing

Cash and cash equivalents and net borrowing comprise:

	2014 £m	2013 £m
Cash and cash equivalents	472.0	413.7
Bank overdrafts	(6.2)	(3.3)
Net cash and cash equivalents	465.8	410.4
Bank loans	(145.8)	(292.3)
Finance lease obligations	(26.1)	(29.5)
Other loans	(471.2)	(303.8)
Net borrowing	(177.3)	(215.2)

Reconciliation of net cash flow to movement in net borrowing:

	2014 £m	2013 £m
Increase/(decrease) in net cash and cash equivalents	52.9	(237.1)
Net cash and cash equivalents in subsidiaries acquired	6.6	(4.1)
(Draw down)/repayment of bank and other loans	(14.7)	171.0
Payment of finance lease liabilities	9.2	16.7
Change in net borrowing resulting from cash flows	54.0	(53.5)
Net (borrowing)/cash in subsidiaries acquired	(17.5)	4.1
Derivative financial instrument component of convertible bond at date of issue	13.4	-
Finance lease additions	(4.6)	(14.0)
Currency translation differences	(7.4)	4.0
Change in net borrowing	37.9	(59.4)
Net borrowing at 1 January	(215.2)	(155.8)
Net borrowing at 31 December	(177.3)	(215.2)

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19. Current asset investments

	2014 £m	2013 £m
Current asset investments	1.9	2.4

Current asset investments include cash balances held on deposit for periods greater than three months and certain restricted cash balances, which are held at floating interest rates linked to the UK Bank Base Rate.

20. Borrowing

This note provides information about the contractual terms of the Group's interest-bearing loans and borrowings. For more information about the Group's exposure to interest rate and foreign currency risk, see note 27.

	2014 £m	2013 £m
Current liabilities		
Bank overdrafts	6.2	3.3
Bank loans	22.2	9.6
Finance lease obligations	6.9	9.5
Other loans	–	0.1
	35.3	22.5
Non-current liabilities		
Bank loans	123.6	282.7
Finance lease obligations	19.2	20.0
Other loans	471.2	303.7
	614.0	606.4
Total borrowing	649.3	628.9

Non-current other loans in 2014 of £471.2 million include private placement financing of £314.5 million at fixed rates of interest and the debt component of convertible bonds amounting to £156.7 million. The contractual terms of the private placement financing are disclosed below:

Currency	Currency amount	Sterling amount £m	Interest rate %	Maturity date
US\$	25.0	16.0	3.85	November 2017
£ Sterling	49.0	49.0	4.38	September 2018
£ Sterling	17.5	17.5	3.62	August 2019
US\$	80.0	51.3	4.29	November 2019
£ Sterling	51.0	51.0	5.10	September 2021
£ Sterling	17.5	17.5	4.19	August 2022
US\$	140.0	89.8	4.86	November 2022
US\$	35.0	22.4	5.01	November 2024
		314.5		

In relation to the US dollar denominated private placement financing, the Group has entered into cross-currency derivative instruments that correspond to the profile of the principal and interest repayments.

In December 2014, the Group issued £170 million of unsecured convertible bonds maturing by December 2019 with a coupon of 2.5 per cent payable semi-annually in arrears. The initial conversion price has been set at 398.56 pence and upon conversion Carillion may elect to settle its obligations by way of delivery of ordinary shares, payment of a cash alternative amount or a combination of the two. At inception, the proceeds from the convertible bond comprised a derivative liability component of £13.4 million and a debt component of £156.6 million. The embedded derivative component represents the fair value of the embedded option to convert the bond into ordinary shares of the Company or to settle in cash and is calculated using a Black Scholes or similar bespoke model. The fair value of the debt component is calculated as the difference between the proceeds from the issue and the fair value of the embedded derivative component. The debt component at 31 December 2014 amounted to £156.7 million and included £0.1 million of interest accretion.

Bank loans and overdrafts are largely unsecured and bear interest at floating rates linked to London Interbank Offered Rate, the Canadian Dealer Offered Rate or the Emirates Interbank Offered Rate. Within bank loans are loans amounting to £8.0 million (2013: £8.9 million) which are secured on the assets to which they relate. Finance lease obligations are secured on the assets to which they relate.

Finance lease liabilities

Finance lease liabilities are payable as follows:

	Minimum lease payments 2014 £m	Interest 2014 £m	Principal 2014 £m	Minimum lease payments 2013 £m	Interest 2013 £m	Principal 2013 £m
Less than one year	7.9	(1.0)	6.9	10.5	(1.0)	9.5
Between one and five years	18.2	(1.5)	16.7	18.4	(1.5)	16.9
More than five years	2.5	–	2.5	3.2	(0.1)	3.1
	28.6	(2.5)	26.1	32.1	(2.6)	29.5

Under the terms of the lease agreements, no contingent rents are payable.

21. Trade and other payables

	2014 £m	2013 £m
Current liabilities		
Trade payables	611.6	541.9
Amounts owed to customers on construction contracts	83.4	101.1
Other tax and social security costs	56.3	60.7
Amounts owed to joint ventures	37.2	48.8
Amounts owed under joint operations	7.7	1.9
Other creditors	509.5	404.6
Accruals and deferred income	413.9	421.0
Deferred consideration payable	7.5	8.5
	1,727.1	1,588.5

Within trade and other payables are £23.6 million (2013: £2.9 million) of liabilities due in more than one year but are payable within the normal operating cycle of the Group. All other trade and other payables are due within one year.

	2014 £m	2013 £m
Non-current liabilities		
Contingent consideration payable	48.7	-

Deferred and contingent consideration payable within current and non-current liabilities in 2014 relates to the acquisition of Rokstad Power Corporation as disclosed in note 30. The expected maturity profile of this liability is disclosed in note 27.

22. Provisions

	Rationalisation £m	Onerous leases £m	EPT NI £m	Onerous contracts £m	Total £m
At 1 January 2014	11.0	7.8	4.2	13.9	36.9
Discount unwind	-	0.7	-	-	0.7
Provisions utilised	(9.8)	(2.2)	(0.2)	(12.6)	(24.8)
At 31 December 2014	1.2	6.3	4.0	1.3	12.8
Disclosed within:					
Current liabilities	1.2	2.1	4.0	1.3	8.6
Non-current liabilities	-	4.2	-	-	4.2
	1.2	6.3	4.0	1.3	12.8

The rationalisation provision at 1 January 2014 primarily relates to the restructuring of the energy services business in 2013. The Eaga Partnership Trust (EPT) NI provision at 1 January 2014 related to the provision which was recognised on the acquisition of Carillion Energy Services (CES) in 2011 in connection with future distributions to employees from the EPT which crystallises a National Insurance cost to the Company.

The onerous lease provision relates to a number of onerous leases from acquisitions, disposals and restructuring programmes undertaken by the Group. The provision is expected to be fully utilised over the next two years. The onerous contracts provision relates to onerous contractual obligations entered into by CES prior to the acquisition by Carillion in 2011 and are no longer continuing.

	Rationalisation £m	Onerous leases £m	EPT NI £m	Onerous contracts £m	Total £m
At 1 January 2013	1.2	16.6	18.4	-	36.2
Provisions created	25.9	1.0	-	13.9	40.8
Reclassification	(0.4)	0.4	-	-	-
Unused provisions	-	(5.2)	(14.2)	-	(19.4)
Discount unwind	-	1.4	-	-	1.4
Provisions utilised	(15.7)	(6.4)	-	-	(22.1)
At 31 December 2013	11.0	7.8	4.2	13.9	36.9
Disclosed within:					
Current liabilities	11.0	3.6	4.2	13.9	32.7
Non-current liabilities	-	4.2	-	-	4.2
	11.0	7.8	4.2	13.9	36.9

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23. Share capital

	2014		2013	
	Number million	£m	Number million	£m
Issued and fully paid				
At 1 January and 31 December	430.3	215.1	430.3	215.1

The Company has one class of ordinary share which carries no right to fixed income.

In December 2014, the Group issued £170 million of unsecured convertible bonds. The bonds mature by December 2019, and upon conversion, Carillion may elect to settle its obligations by way of delivery of ordinary shares, payment of a cash alternative or a combination of the two. The initial conversion price has been set at 398.56 pence and upon conversion could lead to the issue of up to 42.7 million new shares, representing 9.9 per cent of the current issued share capital.

24. Reserves

Share premium reserve

The share premium reserve contains the premium in excess of par value arising on the issue of share capital, net of issue expenses.

Translation reserve

The translation reserve comprises all foreign exchange differences arising from the translation of the financial statements of foreign operations as well as from the translation of liabilities that hedge the Group's net investment in foreign operations. The translation reserve also includes any related current taxation.

Hedging reserve

The hedging reserve comprises the effective portion of the cumulative net change in fair value of cash flow hedging instruments related to hedged transactions that have not yet occurred, together with any related deferred taxation.

Fair value reserve

The fair value reserve includes the cumulative net change in the fair value of available-for-sale investments until the investment is derecognised, together with any related deferred taxation.

Merger reserve

The merger reserve initially arose on the demerger from Tarmac plc on 29 July 1999. The reserve increased on the acquisition of Mowlem on 23 February 2006, Alfred McAlpine on 12 February 2008 and Carillion Energy Services on 21 April 2011, whereby the consideration included the issue of Carillion plc shares. The premium on the shares issued in relation to these acquisitions has been credited to the merger reserve rather than the share premium account in accordance with the Companies Act 2006. The £13.7 million (2013: £18.6million) transfer to the retained earnings reserve during the year represents the amounts realised following the amortisation of intangible assets recognised on the Mowlem, Alfred McAlpine and Carillion Energy Services acquisitions.

Retained earnings

Retained earnings include the reserve for the Company's own shares which comprises of the cost of the Company's shares held by the Carillion Employee Share Ownership Plan (ESOP). The shares held by the ESOP may subsequently be awarded to employees under the Group's share incentive schemes. The movements in the reserve for own shares included within retained earnings are as follows:

	2014 £m	2013 £m
At 1 January	–	–
Share options exercised (transfer to retained earnings)	0.5	1.4
Acquisition of own shares	(0.5)	(1.4)
At 31 December	–	–

At 31 December 2014, the ESOP held 7 (2013: 7) of the Company's shares and had a market value of £24 (2013: £23). During the year the Company acquired 118,578 of its own shares for £0.5 million to meet the plan's commitments. The ESOP has elected to waive all dividends except for a total payment of 1 pence at the time each dividend is paid.

The Company has also established a Qualifying Employee Share Ownership Trust (QUEST). At 31 December 2014 the total number of shares held by the QUEST amounted to 84,593 (2013: 84,593) and had a market value of £0.3 million (2013: £0.4 million). The QUEST has elected to waive all dividends in excess of 0.01 pence per share.

In addition to the credit transferred from the merger reserve of £13.7 million noted above, a credit of £0.1 million has been transferred from non-controlling interests following the buy-out of certain non-controlling interests during the year.

25. Share-based payments

The Group has established a share option programme that entitles key management personnel and senior employees to shares in the Company. Full details of share option schemes can be found in the Remuneration report on pages 52 to 68. In addition, under the terms of the Group's bonus arrangements, senior employees and Executive Directors receive a proportion of their bonus in shares, which vest a year after the award in respect of senior employees and three years after the award in respect of Executive Directors.

The terms and conditions of option schemes within the scope of IFRS 2 are as follows, whereby all options are settled by physical delivery of shares:

Grant date	Number of instruments	Vesting conditions	Contractual life of options	Exercise price
LEAP option grant at 5 April 2012	937,208	Three years of service, increase in EPS of a minimum of 6% and operating cash conversion of a minimum of 95% over a rolling period	3 years	Nil
LEAP option grant at 4 April 2013	963,337	Three years of service, increase in EPS of a minimum of 6% and operating cash conversion of a minimum of 95% over a rolling period	3 years	Nil
LEAP option grant at 7 May 2014	900,449	Three years of service, increase in EPS of a minimum of 6% and operating cash conversion of a minimum of 95% over a rolling period	3 years	Nil
Deferred bonus scheme	185,253	Three years of service for Executive Directors and one year's service for senior employees	1-3 years	Nil
Total share options	2,986,247			

The number and weighted average exercise prices of all of the Group's share options is as follows:

	Weighted average exercise price 2014	Number of options 2014	Weighted average exercise price 2013	Number of options 2013
At 1 January	-	2,718,393	4.1p	3,139,814
Lapsed during the year	-	(699,270)	-	-
Forfeited during the year	-	(16,871)	-	(906,304)
Exercised during the year	-	(118,578)	15.4p	(831,882)
Granted during the year	-	1,102,573	-	1,316,765
At 31 December	-	2,986,247	-	2,718,393
Exercisable at the end of the year	-	-	-	-

There were no share options exercisable at the end of 2014. The weighted average share price during the year was 342.0 pence. The fair value of services received in return for share options granted is measured using a Black-Scholes model and the following assumptions:

	2014 LEAP	2013 LEAP
Fair value of share options and assumptions		
Fair value at grant date	310.0p	230.6p
Share price at grant date	363.6p	276.1p
Exercise price	Nil	Nil
Expected volatility	11.64%	12.16%
Option life	3 years	3 years
Expected dividend yield	5.59%	6.00%
Risk-free interest rate (based on national government bonds)	0.64%	0.32%

The expected volatility is based on the historic volatility (calculated based on the weighted average remaining life of the share options), adjusted for any expected changes to future volatility due to publicly available information.

Employee expenses

	2014 £m	2013 £m
Equity-settled share options and deferred bonus shares granted in:		
2013	0.1	0.1
2014	0.3	-
Total expense recognised as employee costs	0.4	0.1

The expected life of the options is taken to be the full vesting period, as historical exercise patterns have shown this to be appropriate. The estimate of the number of shares that will eventually vest ignores the possibility that market conditions will or will not be achieved given that these market conditions are already included in the fair value of the options.

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26. Guarantees and contingent liabilities

	2014 £m	2013 £m
Guarantees in respect of borrowing in Construction services (excluding the Middle East) joint ventures	2.3	3.1
Guarantees in relation to deferred equity payments in PPP special purpose entities	117.6	98.1
Guarantees in respect of letters of credit issued by banks in relation to performance on contracts for PPP customers	35.0	38.8

Guarantees and counter indemnities have, in the normal course of business, been given to financial institutions in respect of the provision of performance and other bonds and to certain defined benefit pension schemes in respect of deficit recovery payments. The Group treats guarantees and counter indemnities of this nature as contingent liabilities until such time as it becomes probable that the Group will be required to make a payment under the terms of the arrangement.

Claims under contracts and other agreements, including joint arrangements, are outstanding in the normal course of business. The Group, in the normal course of its activities, is the subject of certain legal proceedings. The resolution of these proceedings is regarded as unlikely to succeed or to have a material effect on the Group's financial position.

There are no liabilities of joint ventures for which the Group is contingently liable.

27. Financial instruments

Categories of financial instruments

	Loans and receivables £m	Financial liabilities at amortised cost £m	Available for sale £m	Derivatives at fair value through profit or loss £m	Derivatives used for hedging £m	Total £m
31 December 2014						
Financial assets						
Non-current asset investments	-	-	9.3	-	-	9.3
Cash and cash equivalents	472.0	-	-	-	-	472.0
Current asset investments	1.9	-	-	-	-	1.9
Trade receivables	242.1	-	-	-	-	242.1
Total	716.0	-	9.3	-	-	725.3
Financial liabilities						
Bank overdrafts	-	(6.2)	-	-	-	(6.2)
Bank loans	-	(145.8)	-	-	-	(145.8)
Finance lease obligations	-	(26.1)	-	-	-	(26.1)
Other loans	-	(471.2)	-	-	-	(471.2)
Trade payables	-	(611.6)	-	-	-	(611.6)
Deferred and contingent consideration	-	(56.2)	-	-	-	(56.2)
Derivative financial instruments	-	-	-	(17.6)	(5.0)	(22.6)
Total	-	(1,317.1)	-	(17.6)	(5.0)	(1,339.7)
31 December 2013						
Financial assets						
Non-current asset investments	-	-	7.3	-	-	7.3
Cash and cash equivalents	413.7	-	-	-	-	413.7
Current asset investments	2.4	-	-	-	-	2.4
Trade receivables	219.7	-	-	-	-	219.7
Derivative financial instruments	-	-	-	2.2	-	2.2
Total	635.8	-	7.3	2.2	-	645.3
Financial liabilities						
Bank overdrafts	-	(3.3)	-	-	-	(3.3)
Bank loans	-	(292.3)	-	-	-	(292.3)
Finance lease obligations	-	(29.5)	-	-	-	(29.5)
Other loans	-	(303.8)	-	-	-	(303.8)
Trade payables	-	(541.9)	-	-	-	(541.9)
Deferred consideration	-	(8.5)	-	-	-	(8.5)
Derivative financial instruments	-	-	-	-	(13.2)	(13.2)
Total	-	(1,179.3)	-	-	(13.2)	(1,192.5)

27. Financial instruments (continued)

Financial risk management

Financial risk management is an integral part of the way the Group is managed. In the course of its business, the Group is exposed primarily to foreign exchange risk, interest rate risk, liquidity risk and credit risk. The overall aim of the Group's financial risk management policies are to minimise potential adverse effects on financial performance and net assets. There has been no change to the Group's exposure to financial risk or the manner in which these risks are managed and measured.

The Group's treasury department manages the principal financial risks within policies and operating parameters approved by the Board of Directors. Treasury is not a profit centre and does not enter into speculative transactions.

Foreign currency risk

The Group operates in a number of overseas regions, primarily the Middle East and Canada. In order to protect the Group's balance sheet from the impact of foreign exchange rate volatility, the Group's policy is that foreign currency denominated net assets that exceed £10 million equivalent are hedged, as a minimum, to at least 60 per cent of the net asset value. Net investment hedging of overseas operations is achieved through borrowing denominated in the relevant foreign currencies, or where this is not practicable, in a currency which the relevant currency closely follows.

The Group has US\$280 million of private placement finance at fixed interest rates from a number of United States of America based investors in order to provide greater flexibility in relation to the maturity profile of Group borrowing. The Group has entered into a number of financial derivative contracts to hedge the exposure to foreign exchange rate volatility in relation to the associated capital and interest payments.

Group policy is to recognise gains and losses from the effective portions of hedges in equity and to recognise ineffective portions immediately in the income statement.

Profits arising within overseas operations are not hedged unless a distribution is planned. Such distributions are then treated as currency transactions and hedged accordingly.

The Group has relatively small and infrequent transactional foreign currency exposures. Any individual exposures that are significant are hedged using forward contracts or other appropriate risk management techniques.

Further details concerning the risks associated with the overseas regions in which the Group operates can be found in the Performance and financial review on page 35.

Foreign currency exposure

The carrying amount of the Group's borrowing denominated in foreign currency is as follows:

	2014 £m	2013 £m
United States of America dollar	(195.6)	(184.0)
Canadian dollar	(95.2)	(80.5)
United Arab Emirates dirham	(7.9)	(7.4)
Other	(2.8)	(3.0)
	(301.5)	(274.9)

Of the total foreign currency borrowing of £301.5 million (2013: £274.9 million), the amount of borrowing used for hedging overseas currency net asset amounts to £78.3 million (2013: £78.4 million). The foreign exchange gain of £0.1 million (2013: £3.3 million gain) on translation of the borrowing into sterling has been recognised in the translation reserve as these hedging loans are effective hedges. Exposure to United States of America dollar denominated private placement borrowing included above amounting to £179.5 million (2013: £168.7 million) is hedged by cross-currency derivative instruments as disclosed on page 107.

The Group does not have a significant amount of foreign currency exposure in respect of financial assets.

Each movement of five per cent in exchange rates against sterling would have changed reported profit before tax and equity as follows:

	Five per cent increase		Five per cent decrease	
	Profit £m	Equity £m	Profit £m	Equity £m
United States of America dollar	-	0.8	-	(0.8)
Canadian dollar	-	(5.7)	-	6.2
Euro	-	2.0	-	(2.3)
United Arab Emirates dirham	(0.2)	(3.4)	0.2	3.8
Oman rials	(0.6)	(3.0)	0.7	3.4
Other	(0.1)	(1.2)	0.1	1.3

Interest rate risk

The Group's interest-bearing debt is predominantly drawn from committed bank facilities to fund acquisitions and ongoing working capital requirements. Foreign currency denominated borrowings have been drawn under the facilities to hedge net assets of overseas operations. Such borrowing is subject to floating rates of interest linked to London Interbank Offered Rate, the Canadian Dealer Offered Rate or the Emirates Interbank Offered Rate. In addition, the Group has secured additional finance of £314.5 million from private placements and £170 million from the issue of convertible bonds at fixed rates of interest, as disclosed in note 20. The principal purpose of raising this finance at fixed interest rates is to ensure that a proportion of the Group's borrowing was not subject to floating rates of interest which may increase. This has been supplemented by a fixed rate interest swap, which swaps the floating rate to a fixed rate on £38 million of the Group's principal bank facilities. In addition, a number of the Group's Public Private Partnership joint ventures have entered into interest rate swaps.

A one percentage point rise in interest rates in respect of US dollar denominated borrowings would increase the annual net interest charge by approximately £0.2 million, in respect of Canadian dollar denominated borrowings an increase of £0.5 million, in respect of sterling denominated borrowings an increase of £2.3 million, and in respect of United Arab Emirates dirham denominated borrowings an increase of £0.1 million.

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27. Financial instruments (continued)

Liquidity risk

The Group's policy on liquidity risk is to ensure that sufficient borrowing facilities are available to fund ongoing operations without the need to carry significant net debt over the medium term. The Group's principal borrowing facilities are provided by a group of core relationship banks in the form of a syndicated loan facility and bilateral facilities supplemented by private placement financing, convertible bonds and short-term overdraft facilities. The quantum of committed borrowing facilities available to the Group is reviewed regularly and is designed to exceed forecast peak gross debt levels. The average net borrowing during 2014 was £450.7 million (2013: £490.6 million).

Maturity of financial liabilities

The remaining contractual maturity profile of the Group's liabilities, which includes estimated future interest payments, is as follows:

	Trade payables £m	Deferred and contingent consideration £m	Bank overdrafts £m	Bank loans £m	Other loans £m	Finance leases £m	Total £m
31 December 2014							
Less than one year	(611.6)	(7.5)	(6.2)	(25.0)	(18.7)	(7.9)	(676.9)
Between one and two years	-	(9.6)	-	(4.7)	(18.7)	(7.4)	(40.4)
Between two and three years	-	(2.8)	-	(3.2)	(34.6)	(6.3)	(46.9)
Between three and four years	-	-	-	(120.9)	(66.5)	(3.8)	(191.2)
Between four and five years	-	-	-	-	(254.1)	(0.7)	(254.8)
More than five years	-	(43.2)	-	-	(205.5)	(2.5)	(251.2)
	(611.6)	(63.1)	(6.2)	(153.8)	(598.1)	(28.6)	(1,461.4)
31 December 2013							
Less than one year	(541.9)	(8.5)	(3.3)	(13.2)	(14.1)	(10.5)	(591.5)
Between one and two years	-	-	-	(8.3)	(13.9)	(7.4)	(29.6)
Between two and three years	-	-	-	(5.7)	(13.9)	(4.2)	(23.8)
Between three and four years	-	-	-	(5.7)	(28.9)	(3.2)	(37.8)
Between four and five years	-	-	-	(277.4)	(12.8)	(3.6)	(293.8)
More than five years	-	-	-	-	(323.1)	(3.2)	(326.3)
	(541.9)	(8.5)	(3.3)	(310.3)	(406.7)	(32.1)	(1,302.8)

The remaining contractual maturity profile of the Group's derivative financial liabilities is shown below. The Group's derivative financial liabilities relate to cross-currency derivatives to hedge principal and interest repayments associated with US dollar private placement financing.

The maturity profile is based on the undiscounted gross payable and receivable amounts under the contracts.

	2014			2013		
	Payable £m	Receivable £m	Net receivable £m	Payable £m	Receivable £m	Net payable £m
Less than one year	(8.3)	8.3	-	(8.3)	7.8	(0.5)
Between one and two years	(8.3)	8.3	-	(8.3)	7.8	(0.5)
Between two and three years	(23.9)	24.3	0.4	(8.3)	7.8	(0.5)
Between three and four years	(7.7)	7.7	-	(23.9)	22.9	(1.0)
Between four and five years	(57.7)	59.0	1.3	(7.7)	7.2	(0.5)
More than five years	(128.1)	130.9	2.8	(185.8)	178.4	(7.4)
	(234.0)	238.5	4.5	(242.3)	231.9	(10.4)

Borrowing facilities

The Group has the following undrawn committed borrowing facilities available at the year end in respect of which all conditions precedent had been met:

	2014 £m	2013 £m
Expiring within one year	7.1	7.5
Expiring between two and five years	714.9	543.0
	722.0	550.5

Credit risk

Credit risk arises on financial instruments such as trade receivables, short-term bank deposits and foreign currency hedging contracts. Policies and procedures exist to ensure that customers have an appropriate credit history. Short-term bank deposits and foreign currency hedging transactions are executed only with highly credit-rated authorised counterparties based on ratings issued by the major rating agencies. Counterparty exposure positions are monitored regularly so that credit exposures to any one counterparty are approved at main Board level or within predetermined limits. The maximum exposure to credit risk is represented by the carrying value of each financial asset.

The maximum exposure to credit risk for receivables at the 31 December by geographic region was:

	2014 £m	2013 £m
United Kingdom	153.0	155.6
Middle East	35.3	33.0
Canada	53.7	29.6
Rest of the World	0.1	1.5
	242.1	219.7

27. Financial instruments (continued)

The maximum exposure to credit risk for receivables at the 31 December by segment was:

	2014 £m	2013 £m
Support services	168.7	156.8
Public Private Partnership projects	0.3	0.3
Middle East construction services	35.3	33.0
Construction services (excluding the Middle East)	37.8	29.6
	242.1	219.7

The Group's most significant debtor, Direct Line Group, accounts for £4.9 million of the receivables carrying amount at 31 December 2014 (2013: Capital Hospital Services Ltd £9.1 million).

Trade receivables included in the balance sheet are net of an impairment provision which has been estimated by management following a review of individual receivable accounts and is based on prior experience and known factors at the balance sheet date. Receivables are written off against the impairment provision when management considers that the debt is no longer recoverable. The ageing of trade receivables is as follows:

	2014		2013	
	Net trade receivables £m	Impairment £m	Net trade receivables £m	Impairment £m
Not past due	152.9	–	122.4	–
Past due less than three months	67.2	0.2	54.3	0.2
Past due between three and six months	6.4	0.3	24.1	0.4
Past due between six and 12 months	7.5	0.2	11.5	0.8
Past due more than 12 months	8.1	6.1	7.4	6.5
	242.1	6.8	219.7	7.9

The movement in the impairment provision is as follows:

	2014 £m	2013 £m
At 1 January	7.9	10.3
Provision acquired	–	0.1
Provision created	0.3	0.2
Provision utilised	(1.4)	(2.7)
At 31 December	6.8	7.9

Whilst uncertainty surrounding counterparty risk has increased due to the prevailing economic climate, on balance the Group believes that debtors will meet their payment obligations in respect of the amount of trade receivables recognised in the balance sheet that are past due and unprovided as at 31 December 2014.

Overall, the Group considers that it is not exposed to a significant amount of credit risk.

Derivative financial instruments

	2014		2013	
	Assets £m	Liabilities £m	Assets £m	Liabilities £m
Forward foreign currency contracts – at fair value through the income statement	–	(0.6)	2.2	–
Derivative component of convertible bond – at fair value through the income statement	–	(17.0)	–	–
Forward foreign currency contracts – cash flow hedging instruments	–	(0.8)	–	–
Fixed rate interest derivatives – cash flow hedging instruments	–	(1.7)	–	(2.5)
Cross-currency derivatives – cash flow hedging instruments	–	(2.5)	–	(10.7)
	–	(22.6)	2.2	(13.2)

A £2.8 million loss (2013: £1.8 million gain) has been recognised in administrative expenses in the income statement in respect of the movement in the fair value of forward foreign currency contracts at fair value through the income statement and a £3.6 million loss has been recognised in financial expenses in the income statement in respect of the movement in the fair value of the derivative component of the convertible bond from the date of issue. A £8.2 million gain (2013: £6.1 million loss) has been recognised in the hedging reserve in relation to forward foreign currency contracts, fixed rate interest derivatives and the cross-currency derivatives which are effective cash flow hedges.

In addition to the above, a number of the Group's Public Private Partnership (PPP) joint ventures have entered into interest rate derivatives as a means of hedging interest rate risk. Interest bearing debts and the associated interest rate derivatives within these PPP joint ventures are without recourse to the Group. The life of these hedge arrangements track PPP contract terms and hedge future movements across a range up until February 2040. The fair value of these derivatives is based on quoted prices in active markets, with the movement in fair value each year recognised in the share of change in fair value of effective cash flow hedges within joint ventures in the statement of comprehensive income. At 31 December 2014 the Group's share of the total net fair value liability of interest rate derivatives in PPP joint ventures amounted to £14.4 million (2013: £67.4 million) of which £3.7 million (2013: £2.8 million) (and the related deferred tax asset of £0.8 million (2013: £0.7 million)) has been recognised in the hedging reserve in 2014.

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27. Financial instruments (continued)

Fair values

Financial instruments carried at fair value in the balance sheet are non-quoted equity shareholdings within non-current asset investments, derivative financial instruments and contingent consideration payable in respect of the acquisition of the Rokstad Power Corporation as disclosed in note 30. The fair value of non-current asset investments and contingent consideration payable is determined based on a level 3 valuation method, using valuation techniques that include inputs that are not based on market data. The fair value of non-current asset investments is calculated by discounting expected future cash flows using asset specific discount rates, with the movement in fair value each year recognised in the increase in fair value of available-for-sale assets in the statement of comprehensive income. The fair value of contingent consideration payable is calculated by discounting the maximum contractual cash flows that could be paid under the terms of the sale and purchase agreement using a risk adjusted discount rate.

The movement in the fair value of financial instruments derived using a level 3 valuation method is shown below:

	Contingent consideration £m	Non-current asset investments £m
At 1 January 2014	–	7.3
Additions	(48.7)	1.2
Fair value of equity interests retained on partial disposal	–	0.7
Recognised in the statement of comprehensive income	–	0.1
At 31 December 2014	(48.7)	9.3

The fair value of non-current asset investments is most sensitive to movements in the discount rate used. A one percentage point increase in the discount rate would reduce the fair value by £0.4 million. In respect of contingent consideration, a one percentage point increase in the discount rate would reduce the fair value of the liability by £1.9 million.

The fair value of derivative financial instruments is based on a level 2 valuation method, using inputs from quoted prices in active markets. There are no material differences between the fair value and the carrying value of the Group's principal financial instruments.

Capital risk management

The Group's objectives when managing capital are to safeguard its ability to continue as a going concern in order to provide returns for shareholders and other stakeholders and to maintain an optimal debt and equity structure.

In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, return capital to shareholders, issue new shares or sell assets to reduce debt. Where the Group makes significant acquisitions, these are financed with a combination of debt and equity in order to maintain a balanced capital structure. In order to have greater flexibility over the maturity profile of debt, the Group has secured £314.5 million of private placement financing with maturity dates between 2017 and 2024 and £170 million of convertible bonds that mature in 2019. The Group has a policy of progressively increasing dividends paid to shareholders broadly in line with underlying earnings per share growth, after taking account of the investment needs of the business. No changes were made to the objectives, policies or processes during the years ended 31 December 2014 and 31 December 2013.

	2014 £m	2013 £m
Total borrowing	643.1	625.6
Less: net cash and cash equivalents (note 18)	(465.8)	(410.4)
Net borrowing	177.3	215.2
Total equity	894.5	983.6
Total capital	1,071.8	1,198.8

28. Financial and capital commitments

	2014 £m	2013 £m
Commitments for equity and subordinated debt investments in PPP special purpose entities	117.6	95.4

Non-cancellable operating lease rentals are payable as follows:

	2014 £m		2013 £m	
	Property £m	Other £m	Property £m	Other £m
Within one year	14.6	22.7	13.1	20.9
Between one and five years	25.8	37.1	32.1	33.0
Over five years	12.8	0.2	19.0	1.1
	53.2	60.0	64.2	55.0

The Group leases properties and vehicles for operational purposes. Property leases vary considerably in length up to a maximum period of 99 years. Vehicle leases typically run for a period of four years. None of the leases include contingent rentals.

29. Related parties

The Group has related party relationships with its key management personnel and joint ventures.

Transactions with key management personnel

The Group's key management personnel are the Executive and Non-Executive Directors as identified in the Remuneration report on page 54.

In addition to their salaries, the Group also provides non-cash benefits to Executive Directors, and contributes to a post-employment defined benefit plan or a defined contribution plan on their behalf. Executive Directors also participate in the Group's share option programme.

	2014 £m	2013 £m
Short-term employee benefits	2.3	2.3
Post-employment benefits	0.1	0.1
Share-based payments	0.3	0.1
	2.7	2.5

The number of key management personnel included in the above analysis is nine (2013: seven).

Transactions with joint ventures

The table below summarises the principal receivable and payable balances, together with sales to the Group's joint ventures, which are in the normal course of business and on commercial terms:

	2014			2013		
	Sales £m	Receivables £m	Payables £m	Sales £m	Receivables £m	Payables £m
PPP joint ventures						
CSS (FSCC) Partnership (Canada)	11.6	0.9	-	23.9	1.2	-
The Hospital Company (Southmead) Ltd	26.3	9.2	-	95.3	16.6	(10.7)
COE (CAMH) Limited Partnership (Canada)	1.3	0.1	-	1.6	0.7	-
Inspiredspaces Wolverhampton Ltd	23.1	8.6	(0.4)	68.7	8.6	(4.3)
Holdfast Training Services Ltd	-	-	-	43.8	-	-
Inspiredspaces Durham Ltd	18.1	10.6	(1.5)	28.8	6.0	-
Inspiredspaces Rochdale Ltd	10.8	1.9	(0.2)	19.2	0.2	(0.2)
Inspiredspaces Nottingham Ltd	13.1	4.5	(0.4)	12.9	2.7	(4.0)
Healthcare Infrastructure Partners (NOH) Partnership (Canada)	50.3	21.3	-	76.4	13.9	-
Inspiredspaces STAG Ltd	4.7	2.5	-	1.6	1.5	(0.1)
Eastbury Park Ltd	-	-	-	0.2	-	-
Inspiredspaces Wolverhampton (Projectco1) Ltd	-	-	-	0.3	0.6	-
Inspiredspaces Tameside Ltd	16.4	4.8	(1.1)	4.3	1.3	(2.0)
Inspiredspaces Rochdale (Projectco2) Ltd	5.3	-	-	21.6	0.5	(1.2)
The Healthcare Infrastructure Company of Canada (ROH) Inc.	5.7	0.4	-	6.2	0.4	-
Inspiredspaces Nottingham (Projectco2) Ltd	0.9	-	-	11.8	0.3	-
LCED (Sault) Limited Partnership (Canada)	3.3	-	-	3.5	0.3	-
Integrated Accommodation Services Ltd	-	-	-	6.3	18.4	-
Inspiredspaces Tameside (Projectco1) Ltd	-	-	-	-	0.1	-
Inspiredspaces Rochdale (Projectco1) Ltd	-	-	-	0.7	-	-
Inspiredspaces STAG (Projectco2) Ltd	-	0.8	-	1.1	-	-
The Hospital Company (Liverpool) Ltd	34.4	12.9	-	26.9	0.4	(4.5)
Yorkshire Transformation Holdings Ltd	-	-	-	3.6	-	-
Inspiredspaces Wolverhampton (Projectco2) Ltd	23.2	4.5	-	-	-	-
Other	0.1	0.6	-	0.2	-	-
	248.6	83.6	(3.6)	458.9	73.7	(27.0)
Other joint ventures						
Vanmed Construction Company (Canada)	0.2	0.9	-	3.8	1.2	-
CarillionAmey Ltd	11.3	4.8	(1.5)	10.0	3.7	(0.2)
CarillionAmey (Housing Prime) Ltd	0.7	-	-	7.6	0.1	-
Carillion Richardson Worcester	0.2	1.0	-	-	-	-
Al Futtaim Carillion LLC (UAE)	4.2	10.8	(24.9)	4.0	6.6	(6.0)
Carillion Richardson Partnership	-	18.2	-	-	18.1	-
Carillion Richardson Partnership Thanet Phase 2 Ltd	-	-	(2.5)	-	-	(5.1)
Carillion Eltel JV Ltd	2.7	1.0	-	1.9	-	-
Carillion Breathe Ltd	2.9	-	-	-	-	-
Siglion	6.2	2.5	(4.5)	-	-	-
Other	-	5.9	(0.2)	-	5.4	(10.5)
	277.0	128.7	(37.2)	486.2	108.8	(48.8)

Notes to the consolidated financial statements

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30. Acquisitions and disposals

Acquisitions in 2014

On 24 December 2014, the Group completed the acquisition of a 60 per cent equity shareholding in Rokstad Power Corporation (Rokstad). Rokstad is a Canadian powerlines and transmission business operating primarily in British Columbia and Alberta and provides the Group with access to markets with strong growth opportunities and where the Group can utilise its expertise. The total cash consideration for this acquisition of around £31 million is dependent on the financial performance of Rokstad. The consideration is payable in instalments over the period to July 2017, with £11.1 million paid on completion, which is included in the cash flow statement within acquisition of subsidiaries, net of cash and cash equivalents acquired. Approximately £7.5 million is expected to be paid in 2015. The remaining instalments to be paid in 2016 and 2017, which are dependent on financial performance, will be capped at a combined total of £12 million. Under the acquisition agreement, Carillion has also committed to acquire the remaining 40 per cent interest in Rokstad after five years at a multiple of 4.5 times Rokstad's 2019 earnings before interest, tax, depreciation and amortisation, capped at a maximum additional consideration of £42 million. The fair value of the deferred and contingent consideration payable, including the amount to acquire the remaining 40 per cent, is included within liabilities in the balance sheet and is derived from inputs that are not observable in the market. Consequently, the fair value has been determined using the maximum contractual cash flows that could be paid under the terms of the sale and purchase agreement using a risk adjusted discount rate of 3.4 per cent.

Due to the proximity of the acquisition of Rokstad to the year end, a provisional assessment has been made of the fair value of the net liabilities acquired of £2.8 million. This is after a fair value adjustment to goodwill on the Rokstad acquisition balance sheet of £5.7 million, which under International Financial Reporting Standards is reclassified at the same value as goodwill on Carillion's balance sheet, and provisional fair value adjustments totalling £5.1 million. On the basis of this assessment the provisional goodwill arising on the acquisition amounts to £70.1 million. These provisional assessments are expected to become final in the first half of 2015 following the finalisation of the completion accounts process.

On 1 July 2014, following a change to the shareholder agreement, the Group obtained control of CarillionAmey (Housing Prime) Limited, an entity that was previously subject to joint control. The principal change made to the shareholder agreement was the ability of the Group to appoint the Chairman of the Board with a casting vote on key operational decisions. As a result, the Group has control over the entity and has therefore accounted for this change as a deemed step acquisition. No consideration has been paid and there has been no change to the Group's 67 per cent equity interest in the entity. The acquisition date fair value of the Group's equity interest already held in CarillionAmey (Housing Prime) Limited amounted to £8.4 million. No gain or loss was recognised as a result of remeasuring to fair value the equity interest already held. An intangible asset of £2.4 million, representing customer contracts, has been recognised on this deemed acquisition. No goodwill has been recognised. Non-controlling interests at the acquisition date amounted to £3.2 million representing the proportionate interest in the net assets of the entity at the acquisition date.

The above acquisitions are individually immaterial and therefore the disclosures below are prepared on an aggregated basis:

	Provisional recognised values £m
Property, plant and equipment	7.2
Intangible assets	2.5
Deferred tax assets	1.2
Trade and other receivables	78.6
Net cash and cash equivalents	(6.6)
Borrowing	(10.9)
Trade and other payables	(61.8)
Income tax	(0.9)
Deferred tax liabilities	(0.5)
Net identifiable assets	8.8
Goodwill recognised on acquisition	70.1
Total consideration	78.9

Based on a provisional assessment of the recognised values of assets and liabilities, goodwill arising on the acquisition of Rokstad amounted to £70.1 million. The goodwill recognised represents the benefits of cost savings expected to arise from the elimination of duplication, the potential for cross-selling opportunities within the enlarged Group and access to markets that have significant growth prospects.

The fair value of the consideration for the above acquisitions is analysed below:

	£m
Cash paid	11.1
Deferred consideration	7.5
Contingent consideration	48.7
Deemed consideration for previously held interest	8.4
Non-controlling interest acquired	3.2
Total fair value of consideration	78.9

Cash flows associated with the acquisition of subsidiaries included in the cash flow statement are analysed below:

	2014 £m	2013 £m
Cash paid	(11.1)	–
Net cash and cash equivalents acquired	(6.6)	–
Cash paid and net cash and cash equivalents acquired in respect of acquisitions in prior years (see page 111)	(8.6)	(20.3)
Net cash outflow on acquisition of subsidiaries	(26.3)	(20.3)

In respect of acquired receivables, the gross contractual amounts receivable are £82.2 million.

Total acquisition costs incurred in relation to contracts and due diligence procedures for merger and acquisition activities in the year of £9.9 million have been included in non-operating items in the income statement (see note 4).

30. Acquisitions and disposals (continued)

Acquisitions in the year have not had a material impact on revenue or profit of the Group since the date of acquisition. If the acquisitions had occurred on 1 January 2014, total revenue would have been £4,207.0 million and profit before tax would have been £146.3 million for the year ended 31 December 2014.

Acquisitions in 2013

On 18 October 2013, the Group acquired the entire share capital of John Laing Integrated Services (JLIS) for a cash consideration of £17.5 million. The consideration paid is shown in the cash flow statement within acquisition of subsidiaries, net of the cash acquired, after deducting cash on the acquisition balance sheet, amount to £4.1 million. The goodwill and intangible assets arising on acquisition amounted to £4.3 million and £27.2 million respectively. The acquisition complements the Group's existing support services activities in the UK local government, education, police, health, rail and library sectors. Due to the immaterial nature of this acquisition, the full disclosures required under International Financial Reporting Standard 3 'Business combinations' have not been presented.

During 2013, the Group paid the second instalment relating to the acquisition of the Bouchier Group, which completed in 2012, amounting to £6.9 million. In January 2014, the Group paid the final instalment amounting to £8.6 million. The total consideration paid in respect of this acquisition was £20.4 million compared to the provisional estimate made in 2012 of £23.8 million.

Disposals in 2014

In 2014, the Group disposed of equity interests in four Public Private Partnership projects. The disposals generated a cash consideration of £37.0 million, which together with disposal costs paid of £1.0 million, is included in the cash flow statement within disposal of joint venture and other investments, and an operating profit of £13.9 million which is included in Group operating profit within the Public Private Partnership projects segment.

Disposals in 2013

In 2013, the Group disposed of equity interests in a number of Public Private Partnership projects. The disposals generated a cash consideration of £151.2 million (of which £6.4 million was received on exchange of contracts in 2012), which together with disposal costs paid of £1.1 million is included in the cash flow statement within disposal of joint venture and other investments, and an operating profit of £44.6 million which is included in the Group operating profit within the Public Private Partnership Projects segment.

During 2013, the Group made cash payments of £0.3 million in relation to the disposal of businesses that occurred in prior years.

31. Retirement benefit obligations

The Carillion Group operates 15 defined benefit pension schemes for eligible employees, of which 13 are in the UK, one is in Canada and one is in the Republic of Ireland. In addition, the Group provides other post-retirement benefits under four separate arrangements in Canada.

The defined benefit schemes are administered by Trustee Boards which largely comprise independent Trustees together with Company and employee representatives. The assets of the schemes are held separately from the Company's assets and are managed by the Trustee Boards. Pension scheme valuations are carried out by independent actuaries to determine pension costs for pension funding every three years and bi-annually to calculate the IAS 19 deficit included in the financial statements. Eight of the 15 defined benefit schemes within the Group are closed to future accrual, with payments into these schemes made in line with deficit recovery plans, which have been agreed with pension scheme trustees.

The different scheme characteristics can be summarised below:

	2014			2013		
	Assets £m	Obligations £m	Total £m	Assets £m	Obligations £m	Total £m
Schemes closed to future accrual	1,775.6	(2,194.5)	(418.9)	1,646.1	(1,943.9)	(297.8)
Open schemes	544.8	(625.0)	(80.2)	490.1	(553.4)	(63.3)
Unfunded schemes ⁽¹⁾	-	(10.6)	(10.6)	-	(9.0)	(9.0)
Total	2,320.4	(2,830.1)	(509.7)	2,136.2	(2,506.3)	(370.1)

(1) Unfunded schemes relate to other post-retirement benefits under four separate arrangements in Canada.

The Group also operates defined contribution schemes for employees. The total cost charged to the income statement of £18.7 million (2013: £23.2 million) represents contributions payable to the schemes by the Group at rates specified by the scheme rules.

IAS 19 disclosures

The weighted average of the principal assumptions used by the independent qualified actuaries in providing the IAS 19 position were:

	2014		2013	
	UK	Canada	UK	Canada
Rate of increase in salaries	3.55%	N/A	3.90%	N/A
Rate of increase in pensions	2.95%	2.00%	3.30%	2.25%
Inflation rate - (Retail Price Index)	3.05%	2.00%	3.40%	2.25%
Inflation rate - (Consumer Price Index)	2.00%	N/A	2.35%	N/A
Discount rate	3.70%	3.85%	4.60%	4.60%

The valuation of defined benefit pension scheme liabilities is most sensitive to changes in the discount, inflation and mortality rates. A 0.1 per cent reduction in the discount rate would increase scheme liabilities by approximately £48 million, whilst a 0.1 per cent increase in the inflation rate would increase scheme liabilities by approximately £41 million. An increase of one year to the mortality rate would increase scheme liabilities by approximately £76 million, although this has been mitigated in part through the purchase of a longevity swap.

The overall weighted average duration of scheme liabilities as at 31 December 2014 is approximately 18 years. Over the next five years benefits of £530 million are expected to be paid and benefits of £613 million are expected to be paid over the subsequent five-year period.

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31. Retirement benefit obligations (continued)

The market values of the schemes' assets, which are not intended to be realised in the short term, may be subject to significant change before they are realised. The present values of the schemes' liabilities are calculated by reference to the investment return on Grade AA corporate bonds. The assumptions used do not necessarily represent the investment return that may be achieved.

The average life expectancies at 65 for males aged 45-65 for all schemes are shown below:

	Life expectancies (years)
Retired member (currently 65 years)	22.5
Non-retired member (currently 45 years)	25.0

Expense recognised in the income statement

	2014 £m	2013 £m
Charge to operating profit		
Current service cost relating to defined benefit schemes	(5.9)	(6.0)
Administrative expenses relating to defined benefit schemes	(5.1)	(5.2)
Defined contribution schemes	(18.7)	(23.2)
Total	(29.7)	(34.4)
Financial expense		
Net interest expense on defined benefit obligation	(15.5)	(15.1)
Net interest expense on minimum funding requirement	(0.3)	-
Net interest expense recognised as a financial expense	(15.8)	(15.1)

Amounts recognised in the statement of comprehensive income are as follows:

	2014 £m	2013 £m
Return on scheme assets (excluding amounts included in net financial expense)	129.6	79.6
Actuarial gains/(losses) arising from changes in demographic assumptions	21.3	(12.3)
Actuarial losses arising from changes in financial assumptions	(278.3)	(111.1)
Actuarial losses arising from experience adjustments	(40.6)	(2.0)
Movement in minimum funding requirement	(3.6)	3.4
Remeasurement of the net defined benefit liability	(171.6)	(42.4)

The amount included in the balance sheet in respect of defined benefit schemes is as follows:

	2014 £m	2013 £m
Present value of defined benefit obligation	(2,818.8)	(2,498.9)
Fair value of scheme assets	2,320.4	2,136.2
Minimum funding requirement	(11.3)	(7.4)
Net pension liability	(509.7)	(370.1)
Schemes in surplus (within non-current assets)	6.1	3.8
Schemes in deficit (within non-current liabilities)	(515.8)	(373.9)
	(509.7)	(370.1)
Related deferred tax asset	103.5	75.0
Net pension liability after tax	(406.2)	(295.1)

Reconciliation of net defined benefit obligation

	2014 £m	2013 £m
Defined benefit obligation at 1 January	(370.1)	(351.0)
Acquisition of John Laing Integrated Services	-	(0.3)
Defined benefit costs included in the income statement	(26.8)	(26.3)
Remeasurements included in other comprehensive income	(171.6)	(42.4)
Contributions from the employer	58.5	48.9
Effect of movements on exchange rates	0.3	1.0
Defined benefit obligation at 31 December	(509.7)	(370.1)

31. Retirement benefit obligations (continued)

	2014 £m	2013 £m
Changes in defined benefit obligation		
Obligation at 1 January	(2,498.9)	(2,352.5)
Acquisition of John Laing Integrated Services	–	(3.6)
Current service cost	(5.9)	(6.0)
Interest cost	(112.5)	(105.4)
Contributions from scheme members	(0.6)	(0.8)
Remeasurements:		
Actuarial gains/(losses) arising from changes in demographic assumptions	21.3	(12.3)
Actuarial losses arising from changes in financial assumptions	(278.3)	(111.1)
Actuarial losses arising from experience adjustments	(40.6)	(2.0)
Benefits paid	96.0	92.5
Effect of movements in foreign exchange rates	0.7	2.3
Obligation at 31 December	(2,818.8)	(2,498.9)

The defined benefit obligation analysed by participant status is shown below:

	2014		2013	
	Number of members	Defined benefit obligation £m	Number of members	Defined benefit obligation £m
Active	787	(157.1)	942	(165.9)
Deferred	15,140	(1,342.7)	16,764	(1,343.6)
Pensioners	12,223	(1,319.0)	11,079	(989.4)
	28,150	(2,818.8)	28,785	(2,498.9)

	2014 £m	2013 £m
Changes in the fair value of scheme assets		
Fair value at 1 January	2,136.2	2,012.3
Acquisition of John Laing Integrated Services	–	3.3
Interest income	97.0	90.3
Remeasurements:		
Return on scheme assets (excluding amounts included in net financial expense)	129.6	79.6
Administrative expenses paid from plan assets	(5.1)	(5.2)
Contributions from the employer	58.5	48.9
Contributions from scheme members	0.6	0.8
Benefits paid	(96.0)	(92.5)
Effect of movements in foreign exchange rates	(0.4)	(1.3)
Fair value at 31 December	2,320.4	2,136.2

The major categories and fair values of scheme assets as at 31 December 2014 are as follows:

	2014 £m	2013 £m
31 December 2014		
Equities	1,035.9	1,030.8
Corporate bonds	596.6	604.4
Government bonds	517.0	378.5
Real estate	128.4	78.5
Cash and cash equivalents	40.1	40.8
Other	2.4	3.2
Market value of scheme assets	2,320.4	2,136.2
Present value of funded scheme obligation	(2,808.2)	(2,489.9)
Present value of unfunded scheme obligation	(10.6)	(9.0)
Minimum funding requirement	(11.3)	(7.4)
Total deficit	(509.7)	(370.1)
Related deferred tax asset	103.5	75.0
Net pension liability	(406.2)	(295.1)

The actual return on plan assets (net of administration costs) was £221.5 million (2013: £164.7 million).

In 2014, the triennial actuarial valuations as at 31 December 2011 and 31 December 2013 for five of the Group's schemes were concluded with the Trustees and a revised deficit recovery plan agreed. This included the three largest schemes in the Group, namely the Carillion Staff, Mowlem Staff and Alfred McAlpine Staff schemes. It was agreed with the Trustees that the actuarial valuation due as at 31 December 2014 be brought forward to 31 December 2013. The total assets at the date of the 31 December 2013 actuarial valuation for all five schemes amounted to £1.8 billion, which represented a funding level of 76 per cent. The next actuarial valuation for these schemes is due as at 31 December 2016. In addition, the triennial actuarial valuation as at 31 March 2013 of the Carillion Group of the Electricity Supply Pension Scheme was agreed with the Trustees. The assets in the scheme at the date of the valuation amounted to £67.4 million, which represented a funding level of 69 per cent. The next actuarial valuation of the scheme is due as at 31 March 2016. The Group expects to make payments totalling £51.8 million to defined benefit schemes during the next financial year.

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31. Retirement benefit obligations (continued)

During 2013, a longevity swap was entered into by five of the Group's defined benefit schemes which insures the Group against the financial risk of pensioners in payment living longer than currently expected. The swap covers around 9,000 pensioners with a combined liability of some £1 billion, which represents around 35 per cent of the total liabilities in respect of the Group's defined benefit schemes. The swap was entered into in December 2013 and in accordance with the amendment to IAS 19 'Retirement benefits' has been recognised as part of scheme assets. At 31 December 2014, the fair value of the longevity swap calculated in accordance with IFRS 13 'Fair value measurement' was a £1.6 million liability (2013: £nil), with the movement in fair value recognised in the consolidated statement of comprehensive income within remeasurement of net defined benefit liability.

32. Accounting estimates and judgements

Management has discussed with the Audit Committee the development, selection and disclosure of the Group's critical accounting policies and estimates and the application of these policies and estimates.

The key assumptions concerning the future and other key sources of estimation uncertainty at the balance sheet date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are discussed below:

Revenue recognition

In determining the revenue and costs to be recognised each year for work done on construction contracts, estimates are made in relation to the final out-turn on each contract. On major construction contracts, it is assessed, based on past experience, that their outcome cannot be estimated reliably during the early stages of the contract, but that costs incurred will be recoverable. Once the outcome can be estimated reliably the estimates of final out-turn on each contract may include cost contingencies to take account of the specific risks within each contract that have been identified during the early stages of the contract. The cost contingencies are reviewed on a regular basis throughout the contract life and are adjusted where appropriate. However, the nature of the risks on contracts are such that they often cannot be resolved until the end of the project and therefore may not reverse until the end of the project. Management continually reviews the estimated final out-turn on contracts and makes adjustments where necessary.

Intangible assets

In determining the fair value of identifiable assets, liabilities and contingent liabilities of businesses acquired, judgement is required in relation to final out-turn on contracts, discount rates and expected future cash flows and profitability.

Determining whether intangible assets are impaired requires an estimation of the future cash flows expected to arise from the cash-generating unit to which the intangible assets are attached. Note 11 provides details of the carrying value of intangible assets.

Retirement benefits

In determining the valuation of defined benefit pension scheme assets and liabilities, a number of key assumptions, which are largely dependent on factors outside the control of the Group, have been made in relation to:

- Expected return on plan assets
- Inflation rate
- Mortality
- Discount rate
- Salary and pension increases.

Details of the assumptions used, together with sensitivity analysis on the discount rate, inflation rate and mortality rate are included in note 31.

Deferred tax

In determining the quantum of deferred tax assets to be recognised, judgement is required in assessing the extent to which it is probable that future taxable profit will arise in the companies concerned. Management use forecasts of future taxable profits and make assumptions on growth rates for each entity at each year end in assessing the recoverability of assets recognised.

33. Off-balance sheet arrangements

The Group is party to a number of contractual arrangements for the purposes of the Group's principal activities that are not required to be included on the Group balance sheet. The principal off-balance sheet arrangements that the Group are party to are as follows:

- Operating leases (see note 28)
- Pledged assets securing finance lease liabilities (see note 20)
- Contingent liabilities in respect of guarantees for deferred equity payments and performance contracts in PPP special purpose entities (see note 26)
- Capital commitments for capital expenditure and equity and subordinated debt in PPP special purpose entities (see note 28)
- Outsourcing contracts.

In respect of outsourcing contracts, the Group has entered into various arrangements to outsource the provision of certain back-office functions with a third-party provider. These arrangements are on commercial terms and any penalty or termination clauses associated with these arrangements would not have material impact on the financial position of the Group.

34. Principal subsidiaries, joint ventures and joint operations

A list of significant investments in subsidiaries, joint ventures and joint operations, including the name, country of incorporation and proportion of ownership interest is given below.

Except where shown, all subsidiary undertakings and joint ventures are incorporated in Great Britain and operate in the UK. All holdings are of ordinary shares and except where shown, all subsidiary undertakings are 100 per cent owned (with equivalent voting rights) and joint ventures and joint operations are 50 per cent owned. Shares of those undertakings marked with an asterisk are directly owned by Carillion plc.

Principal subsidiary undertakings

Carillion (AMBS) Ltd
Carillion (Aspire Services) Holdings No 2 Ltd
Carillion Alawi LLC (Oman) 49%
Carillion Canada Inc (Canada)
Carillion CR Limited
Carillion Construction Ltd*
Carillion Energy Services Ltd*
Carillion Fleet Management Ltd*
Carillion Private Finance Ltd*
Carillion Services Ltd*
Sovereign Hospital Services Ltd
The Bouchier Group (Canada) 49%
Carillion Integrated Services Ltd
Rokstad Power Corporation (Canada) 60%
Carillion (Maple Oak) Ltd
CarillionAmey (Housing Prime) Ltd 67%

Principal joint ventures and investments

Public Private Partnership joint ventures

Aberdeen Roads Holdings Ltd 33.3%
COE (CAMH) Limited Partnership (Canada)
CSS (FSCC) Partnership (Canada)
HIP (NOH) Limited Partnership (Canada) 40%
Inspiredspaces Wolverhampton (Holdings 2) Ltd 80%
Road Management Services (A13) Holdings Ltd 25%
The Healthcare Infrastructure Company of Canada (ROH) Inc (Canada)
The Hospital Company (Liverpool) Holdings Ltd
The Hospital Company (Southmead) Holdings Ltd
UK Highways A55 (Holdings) Ltd

Other Public Private Partnership investments

Inspiredspaces Durham (Holdings 1) Ltd 8%
Inspiredspaces Rochdale (Holdings 1) Ltd 8%
Inspiredspaces Rochdale (Holdings 2) Ltd 8%
Inspiredspaces STaG (Holdings 1) Ltd 4.4%
Inspiredspaces STaG (Holdings 2) Ltd 4.4%
Inspiredspaces Nottingham (Holdings 1) Ltd 8%
Inspiredspaces Nottingham (Holdings 2) Ltd 8%
Inspiredspaces Tameside (Holdings 1) Ltd 8%
Inspiredspaces Tameside (Holdings 2) Ltd 8%
Inspiredspaces Wolverhampton (Holdings 1) Ltd 8%

Other joint ventures

Al Futtaim Carillion LLC (UAE) 49%
CarillionAmey Ltd 50.1%
Carillion Richardson Partnership
Emrill Services LLC (UAE)* 33%

Joint operations

Name, proportion of interest held and address of principal place of business:

Carillion-Telent Joint Venture 60%

Hayward Road, Warwick, England

A complete list of Group subsidiary undertakings will be annexed to the Company's annual return to the Registrar of Companies.

Nature of business

Facilities management
Facilities management
Building and civil engineering
Construction and infrastructure services
Holding company for property development
Construction and infrastructure services
Renewable energy support services
Supply and maintenance of vehicles
Holding company for PPP project companies
Facilities management
Facilities management in the healthcare sector
Road maintenance, infrastructure services and facilities management
Facilities management
Powerlines and transmission
Property development
Facilities management

Associated project

Aberdeen Western Peripheral Route
Centre for Addiction and Mental Health, Toronto
Forensic Services and Coroners' Complex, Toronto
New Oakville Hospital, Halton
Wolverhampton Schools Phase 2
A13, Thames Gateway
Royal Ottawa Hospital, Ottawa
Royal Liverpool University Hospital
Southmead Hospital, Bristol
A55, North Wales

Durham Schools
Rochdale Schools Phase 1
Rochdale Schools Phase 2
South Tyneside and Gateshead Schools Phase 1
South Tyneside and Gateshead Schools Phase 2
Nottingham Schools Phase 1
Nottingham Schools Phase 2
Tameside Schools Phase 1
Tameside Schools Phase 2
Wolverhampton Schools Phase 1

Nature of business

Building and civil engineering
Facilities management
Property development
Facilities management

Notes to the consolidated financial statements

continued

34. Principal subsidiaries, joint ventures and joint operations (continued)

The Group has a 49 per cent equity shareholding in Carillion Alawi LLC, a company that operates in Oman. This subsidiary is fully consolidated in the Group financial statements without any allocation to non-controlling interests on the basis of contractual arrangements that do not entitle other investors to any interests in the profit or net assets of the entity.

The Group has a 49 per cent equity shareholding in the Bouchier Group, a company that operates in Canada. This subsidiary is consolidated in the Group financial statements on the basis of contractual arrangements which give the Group powers as a shareholder to exert control over the Board, together with options to acquire the remaining 51 per cent of the equity by 2022.

The table below shows selected financial data in respect of the Bouchier Group, in which there are non-controlling interests that are material to the Group.

	2014 £m	2013 £m
Summary comprehensive income information		
Revenue	79.9	70.4
Profit for the financial year	8.6	10.6
Other financial information		
Profit for the financial year allocated to non-controlling interests	4.4	5.4
Other comprehensive expense allocated to non-controlling interests	(0.4)	(0.4)
Summary financial position information		
Non-current assets	18.3	20.4
Current assets	29.3	20.2
Total assets	47.6	40.6
Non-current liabilities	(4.7)	(6.0)
Current liabilities	(9.1)	(8.8)
Net assets	33.8	25.8
Equity shareholders' funds	16.6	12.6
Non-controlling interests	17.2	13.2
Total equity	33.8	25.8
Summary cash flow information		
Net cash flows from operating activities	9.9	7.2
Net cash flows from investing activities	(2.3)	(2.2)
Net cash flows from financing activities	(2.5)	(3.7)
Increase in cash and cash equivalents	5.1	1.3

The Group holds a 80 per cent equity shareholding in Inspiredspaces Wolverhampton (Holdings 2) Limited and a 50.1 per cent equity shareholding in CarillionAmey Limited. Both of these entities are equity accounted as joint ventures in the Group financial statements on the basis of contractual arrangements that specify that key operating decisions are made jointly, with no shareholder having overall control.

Company balance sheet

As at 31 December 2014

	Note	2014 £m	2013 £m
Fixed assets			
Investments in subsidiary undertakings and joint ventures	3	1,889.4	1,566.1
Current assets			
Debtors	4	725.4	930.1
Cash at bank and in hand		12.1	14.6
		737.5	944.7
Creditors: amounts falling due within one year			
Borrowing	5	(8.0)	(11.3)
Other creditors		(996.7)	(711.6)
		(1,004.7)	(722.9)
Net current (liabilities)/assets		(267.2)	221.8
Total assets less current liabilities		1,622.2	1,787.9
Creditors: amounts falling due after more than one year			
Borrowing	6	(435.0)	(579.7)
Net assets		1,187.2	1,208.2
Financed by:			
Capital and reserves			
Issued share capital	7	215.1	215.1
Share premium	8	21.2	21.2
Merger reserve	8	618.7	618.7
Hedging reserve	8	(10.6)	(8.0)
Other reserve	8	9.3	9.2
Profit and loss account	8	333.5	352.0
Equity shareholders' funds	9	1,187.2	1,208.2

The financial statements were approved by the Board of Directors on 4 March 2015 and were signed on its behalf by:



Richard Adam FCA
Group Finance Director
4 March 2015

Notes to the Company financial statements

1. Significant accounting policies

The following accounting policies have been applied consistently in dealing with items which are considered material in relation to the Company's financial statements.

Basis of preparation

The financial statements are presented in pounds sterling. They are prepared on the historical cost basis, except for derivative financial instruments which are stated at fair value, and in accordance with applicable UK accounting standards and law.

With effect from 1 January 2015, the Company will prepare its financial statements in accordance with Financial Reporting Standard (FRS) 101 'Reduced Disclosure Framework', subject to shareholder approval at the 2015 Annual General Meeting. The application of FRS 101 is not expected to have a significant impact on the Company.

Taxation

Deferred tax assets or liabilities arise from timing differences between the recognition of gains and losses in the financial statements and their recognition in the tax computation that have arisen but not reversed by the balance sheet date, except as otherwise required by FRS 19 'Deferred tax'. Liabilities are calculated on a non-discounted full provision basis. Assets are calculated on the same basis, but are recognised only to the extent that it is probable that they will be recovered.

Fixed asset investments

In the Company's financial statements, investments in subsidiary undertakings and joint ventures are stated at cost, less provision for any impairment.

Leasing

The Company enters into finance lease arrangements on behalf of subsidiary companies. As permitted by SSAP 21 'Accounting for leases and hire purchase contracts', the assets relating to the finance leases are included in the financial statements of the subsidiaries concerned. The capital element of outstanding finance leases is included within borrowings. The finance charge element of rentals is charged to the profit and loss account at a constant periodic rate of charge on the outstanding obligations.

Own shares

Consideration paid for shares in the Company held by the Employee Share Ownership Plan (ESOP) Trust are deducted from the profit and loss account reserve. Where such shares subsequently vest in the employees under the terms of the Company's share option schemes or are sold, any consideration received is included in the profit and loss account reserve.

Foreign currencies

Transactions denominated in foreign currencies are translated into sterling and recorded using the exchange rate prevailing at the date of the transaction.

Financial instruments

The Company's principal financial assets and liabilities are cash at bank and in hand and borrowings. Cash at bank and in hand is carried in the balance sheet at amortised cost. Borrowings are recognised initially at fair value less attributable transaction costs and subsequently at amortised cost. In addition, the Company enters into forward contracts in order to hedge against small and infrequent transactional foreign currency exposures. In cases where these derivative instruments are significant, hedge accounting is applied. Where hedge accounting is not applied, movements in fair value during the year are recognised in the profit and loss account. Fair values are based on quoted market prices at the balance sheet date. The Company has taken the exemption within FRS 29 'Financial Instruments: Disclosure' and does not present all of the required disclosures as they are included in the consolidated financial statements of which the Company is the parent.

Share-based payments

Members of the Group's senior management team are entitled to participate in the Leadership Equity Award Plan (LEAP), and UK employees are able to participate in the Sharesave scheme. Under the terms of the Group's bonus arrangements, Executive Directors and certain senior employees receive a proportion of their bonus in shares, which are deferred for a period of up to three years.

The fair value of the shares for the LEAP, Sharesave and deferred bonus arrangements at the date of grant are estimated using the Black-Scholes pricing model. The fair value determined at grant date is expensed on a straight-line basis over the period in which any performance conditions are fulfilled, ending on the date on which the relevant employees become fully entitled to the award (vesting date).

Where the Company grants options over its own shares to the employees of its subsidiaries, it recognises in its individual financial statements an increase in the cost of investment in its subsidiaries equivalent to the equity-settled share-based payment charge recognised in its consolidated financial statements, with the corresponding credit being recognised directly in equity. Amounts recharged to the subsidiary are recognised as a reduction in the cost of the investment in the subsidiary. If the amount recharged exceeds the increase in the cost of investment the excess is recognised as a dividend to the extent that it reflects post-acquisition profits of the subsidiary.

The Company also operates a Share Incentive Plan (SIP) under which qualifying Carillion Energy Services partners may receive free shares. The fair value of the free shares are recognised as a dividend to the extent that it reflects post-acquisition profits of the subsidiary.

To the extent that share-based payment costs incurred by the Company are funded by the Eaga Partnership Trusts (EPT) through the waiver of its entitlement to Carillion plc dividends, the associated charges are treated in accordance with the Company's accounting policies.

Financial guarantee contracts

Where the Company enters into financial guarantee contracts to guarantee the indebtedness of subsidiary companies, the Company considers these to be insurance arrangements and accounts for them as such. In this respect, the Company treats the guarantee contract as a contingent liability until such time as it becomes probable that the Company will be required to make a payment under the guarantee.

Retirement benefit obligations

Pension costs are recognised in the financial statements in accordance with the requirements of FRS 17 'Retirement benefits'. Employees of the Company participate in the Carillion 'Staff' and 'B' schemes which provide pensions on a defined benefit basis. The assets and liabilities of these schemes relating to the Company cannot be readily ascertained on a reasonable and consistent basis as the schemes are operated for the benefit of the Carillion Group as a whole. Consequently, the Company accounts for these schemes as if they were defined contribution schemes. Details of the Group's pension schemes are disclosed in note 31 of the consolidated financial statements.

Cash flow statement

A cash flow statement has not been presented as permitted by FRS 1 (revised) 'Cash flow statements'.

2. Profit for the year and dividends

As permitted by the Companies Act 2006, the Company has elected not to present its own profit and loss account for the year. Carillion plc reported a profit for the financial year ended 31 December 2014 of £57.5 million (2013: £24.7 million).

Fees paid to KPMG LLP and its associates for non-audit services to the Company itself are not disclosed in the individual accounts of Carillion plc because the Company's consolidated accounts are required to disclose such fees on a consolidated basis.

A final dividend, declared in the previous year, of 12.00 pence (2013: 11.85 pence) per share was paid during the year, amounting to £51.6 million (2013: £51.0 million).

An interim dividend of 5.6 pence (2013: 5.5 pence) per share was paid during the year, amounting to £24.1 million (2013: £23.6 million).

A final dividend of 12.15 pence (2013: 12.0 pence) per share, amounting to £52.3 million (2013: £51.6 million), was approved by the Board on 4 March 2015 and, subject to approval by shareholders at the Annual General Meeting, will be paid on 12 June 2015 to shareholders on the register on 15 May 2015.

3. Investments

	Subsidiary undertakings £m	Joint ventures £m	Total £m
Cost			
At 1 January 2014	1,576.5	0.2	1,576.7
Additions	323.2	–	323.2
Share options granted to employees of subsidiaries	0.1	–	0.1
At 31 December 2014	1,899.8	0.2	1,900.0
Impairment losses			
At 1 January 2014 and at 31 December 2014	10.6	–	10.6
Net book value			
At 31 December 2014	1,889.2	0.2	1,889.4
At 31 December 2013	1,565.9	0.2	1,566.1

Additions to subsidiary undertakings in the year of £323.2 million relates to a debt for equity swap undertaken with certain subsidiaries following a Group internal reorganisation.

The principal subsidiary undertakings and joint ventures of the Company are shown on page 115.

4. Debtors

	2014 £m	2013 £m
Amounts falling due within one year		
Amounts owed by Group undertakings	711.7	914.4
Other debtors and prepayments	0.9	0.7
Amounts owed by joint ventures	0.7	0.7
Derivative financial instruments	–	2.2
Income tax	12.1	12.1
	725.4	930.1

5. Creditors: amounts falling due within one year

	2014 £m	2013 £m
Bank overdrafts	0.1	3.9
Bank loans	7.9	7.4
Borrowing	8.0	11.3
Amounts owed to Group undertakings	969.0	680.3
Amounts owed to joint ventures	5.9	4.7
Amounts owed to joint arrangements	10.0	10.0
Other tax and social security costs	–	0.2
Derivative financial instruments	5.6	13.2
Accruals and deferred income	6.2	3.2
	1,004.7	722.9

All bank overdrafts and loans are unsecured.

Notes to the Company financial statements

continued

6. Creditors: amounts falling due after more than one year

	2014 £m	2013 £m
Bank loans	120.5	276.0
Other loans	314.5	303.7
	435.0	579.7

All bank and other loans are unsecured.

7. Share capital

Issued and fully paid

	2014		2013	
	Number million	£m	Number million	£m
At 1 January and 31 December	430.3	215.1	430.3	215.1

8. Reserves

	Share premium account £m	Merger reserve £m	Hedging reserves £m	Other reserves £m	Profit and loss account £m	Total £m
At 1 January 2014	21.2	618.7	(8.0)	9.2	352.0	993.1
Profit for the year	-	-	-	-	57.5	57.5
Fair value movement on cash flow hedging derivatives	-	-	8.2	-	-	8.2
Reclassification of effective portion of cash flow hedging derivatives to profit	-	-	(10.8)	-	-	(10.8)
Acquisition of own shares	-	-	-	-	(0.5)	(0.5)
Equity-settled transactions (net of tax)	-	-	-	0.1	0.2	0.3
Dividends paid to shareholders	-	-	-	-	(75.7)	(75.7)
At 31 December 2014	21.2	618.7	(10.6)	9.3	333.5	972.1

The profit and loss account reserve includes the reserve for the Company's own shares which comprises of the cost of the Company's shares held by the Carillion Employee Share Ownership Plan (ESOP). The shares held by the ESOP may subsequently be awarded to employees under the Group's share incentive schemes. The movements in the reserve for own shares included within the profit and loss account reserve are as follows:

	2014 £m	2013 £m
At 1 January	-	-
Share options exercised (transfer to retained earnings)	0.5	1.4
Acquisition of own shares	(0.5)	(1.4)
At 31 December	-	-

At 31 December 2014, the ESOP held 7 (2013: 7) of the Company's shares and had a market value of £24 (2013: £23). During the year the Company acquired 118,578 of its own shares for £0.5 million to meet the plan's commitments. The ESOP has elected to waive all dividends except for a total payment of 1 pence at the time each dividend is paid.

In addition to the ESOP, the Company has also established a Qualifying Employee Share Ownership Trust (QUEST). At 31 December 2014, the total number of shares held by the QUEST amounted to 84,593 (2013: 84,593) and had a market value of £0.3 million (2013: £0.4 million). The QUEST has elected to waive all dividends in excess of 0.01 pence per share.

9. Reconciliation of movement in shareholders' funds

	2014 £m	2013 £m
Profit for the year	57.5	24.7
Equity-settled transactions (net of tax)	0.3	0.1
Fair value movement on cash flow hedging derivatives	8.2	(6.1)
Reclassification of effective portion of cash flow hedging derivatives to profit	(10.8)	3.1
Acquisition of own shares	(0.5)	(1.4)
Dividends paid to shareholders	(75.7)	(74.6)
Net reduction to shareholders' funds	(21.0)	(54.2)
Shareholders' funds at 1 January	1,208.2	1,262.4
Shareholders' funds at 31 December	1,187.2	1,208.2

10. Other guarantees and contingent liabilities

	2014 £m	2013 £m
Guarantees in respect of borrowings of subsidiaries	203.9	23.1
Guarantees in respect of interest payments in Construction services (excluding the Middle East) joint ventures	2.3	3.1
Guarantees in respect of deferred equity payments in PPP special purpose entities	117.6	98.1
Guarantees in respect of letters of credit issued by banks in relation to performance contracts for PPP customers	35.0	38.8

The Company has issued performance guarantees in respect of its subsidiaries, joint ventures and joint arrangements in the normal course of business. During the year the Company has guaranteed the obligations in relation to £170 million of convertible bonds issued by Carillion Finance (Jersey) Limited, a wholly owned subsidiary.

Guarantees and counter indemnities have, in the normal course of business, been given to financial institutions in respect of the provisions of performance and other contract-related bonds and to certain defined benefit pensions in respect of deficit recovery payments. The Company considers such guarantees and counter indemnities to be insurance arrangements and accounts for them as such. The Company treats guarantees and counter indemnities of this nature as contingent liabilities until such time as it becomes probable that the Company will be required to make a payment under the terms of the arrangement.

11. Pension arrangements

As the Carillion Staff and 'B' defined benefit schemes are run for the Carillion Group as a whole, the Company is unable to identify its share of the schemes' assets and liabilities on a consistent and reasonable basis. Hence, as permitted by FRS 17, the schemes are accounted for by the Company separately as if the schemes were defined contribution schemes. Details of the Group's pension schemes are disclosed in note 31 to the consolidated financial statements.

12. Share-based payments

The Group has established a share option programme that entitles key management personnel and senior employees to shares in the Company. Details of the Group's share option programme are disclosed in note 25 to the consolidated financial statements and in the Remuneration Report on pages 52 to 68.

13. Financial instruments

Details of the Company's principal financial instruments are discussed under accounting policies. The numerical financial instrument disclosures are set out below:

Derivative financial instruments

	2014		2013	
	Assets £m	Liabilities £m	Assets £m	Liabilities £m
Forward foreign currency contracts – at fair value through profit and loss	-	(0.6)	2.2	-
Forward foreign currency contracts – cash flow hedging instruments	-	(0.8)	-	-
Fixed-rate interest derivatives – cash flow hedging instruments	-	(1.7)	-	(2.5)
Cross-currency derivatives – cash flow hedging instruments	-	(2.5)	-	(10.7)
	-	(5.6)	2.2	(13.2)

The cross-currency derivatives hedge the exposure to foreign exchange rate volatility in relation to the capital and interest payments on United States of America dollar denominated private placement and financing. The fixed interest rate derivatives hedge the exposure to interest rate movements on borrowings with floating rates of interest.

The carrying amount of the Company's borrowing denominated in foreign currency is as follows:

	2014 £m	2013 £m
United States of America dollars	(195.6)	(184.0)
Canadian dollars	(54.4)	(56.4)
United Arab Emirates dirhams	(7.9)	(7.4)
Other	-	(0.5)
	(257.9)	(248.3)

Of the total foreign currency borrowing of £257.9 million (2013: £248.3 million) the amount of borrowing used for hedging currency net asset of overseas operations of the Group amounts of £78.3 million (2013: £78.4 million). The foreign exchange gain of £0.1 million (2013: £3.3 million gain) on translation of the borrowing into sterling has been recognised in the profit and loss account of the Company.

Notes to the Company financial statements

continued

13. Financial instruments (continued)

Maturity of financial liabilities

The maturity profile of the Company's borrowing, which includes estimated future interest payments, is as follows:

	Bank overdrafts £m	Bank loans £m	Other loans £m	Total £m
31 December 2014				
Between one and two years	–	(2.6)	(14.4)	(17.0)
Between two and three years	–	(2.0)	(30.4)	(32.4)
Between three and four years	–	(120.8)	(62.3)	(183.1)
Between four and five years	–	–	(80.0)	(80.0)
More than five years	–	–	(205.5)	(205.5)
More than one year	–	(125.4)	(392.6)	(518.0)
Less than one year	(0.1)	(10.5)	(14.4)	(25.0)
	(0.1)	(135.9)	(407.0)	(543.0)
31 December 2013				
Between one and two years	–	(5.7)	(13.9)	(19.6)
Between two and three years	–	(5.7)	(13.9)	(19.6)
Between three and four years	–	(5.7)	(28.4)	(34.1)
Between four and five years	–	(277.4)	(11.7)	(289.1)
More than five years	–	–	(324.7)	(324.7)
More than one year	–	(294.5)	(392.6)	(687.1)
Less than one year	(3.9)	(13.1)	(13.9)	(30.9)
	(3.9)	(307.6)	(406.5)	(718.0)

Borrowing facilities

The Company had the following undrawn committed borrowing facilities available at the year end in respect of which all conditions precedent had been met:

	2014 £m	2013 £m
Expiring within one year	7.1	7.5
Expiring between two and five years	714.9	543.0
	722.0	550.5

14. Related party transactions

In accordance with Financial Reporting Standard 8 'Related party transactions' the Company has taken the exemption to not disclose transactions with other wholly owned subsidiaries within the Carillion Group.

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Five-year review

Group income statement		2014 £m	2013 £m	2012 £m	2011 £m	2010 £m
Total revenue		4,071.9	4,080.9	4,402.8	5,051.2	5,139.0
Analysed between:						
Support services		2,323.9	2,300.9	2,359.7	2,345.2	2,108.6
Public Private Partnership projects		162.5	236.9	287.7	309.8	311.9
Middle East construction services		500.7	483.5	473.6	548.9	493.0
Construction services (excluding the Middle East)		1,084.8	1,059.6	1,281.8	1,847.3	2,225.5
Underlying Group and joint ventures' operating profit before intangible amortisation arising from business combinations, non-recurring operating items and joint ventures' net financial expense and taxation		226.0	228.8	245.6	245.4	226.2
Analysed between:						
Support services		135.9	118.0	120.9	119.0	108.7
Public Private Partnership projects		34.5	58.4	33.8	31.4	40.2
Middle East construction services		25.1	19.2	29.0	49.1	47.5
Construction services (excluding the Middle East)		41.5	44.4	72.4	57.9	41.2
Group eliminations and unallocated items		(11.0)	(11.2)	(10.5)	(12.0)	(11.4)
Share of joint ventures' net financial expense		(6.4)	(10.1)	(16.0)	(18.8)	(13.9)
Share of joint ventures' taxation		(2.7)	(4.4)	(1.7)	(3.5)	(4.7)
Underlying profit from operations before intangible amortisation arising from business combinations and non-recurring operating items		216.9	214.3	227.9	223.1	207.6
Underlying Group net financial expense		(44.0)	(39.6)	(27.9)	(18.6)	(20.2)
Underlying profit before tax		172.9	174.7	200.0	204.5	187.4
Intangible amortisation arising from business combinations		(16.8)	(19.2)	(31.4)	(31.0)	(27.6)
Non-recurring operating items		-	(44.2)	(2.6)	(42.8)	(9.4)
Non-operating items		(9.9)	(0.7)	(1.2)	(6.9)	-
Fair value movements in derivative financial instruments		(3.6)	-	-	-	-
Profit before taxation		142.6	110.6	164.8	123.8	150.4
Taxation		(15.1)	(4.3)	(9.9)	-	(10.6)
Profit for the year		127.5	106.3	154.9	123.8	139.8
Group financial statistics						
Underlying operating profit margin						
Support services	Percentage	5.8	5.1	5.1	5.1	5.2
Middle East construction services	Percentage	5.0	4.0	6.1	8.9	9.6
Construction services (excluding the Middle East)	Percentage	3.8	4.2	5.6	3.1	1.9
Underlying operating profit margin						
Total Group before share of joint ventures' net financial expense and taxation	Percentage	5.6	5.6	5.6	4.9	4.4
Underlying profit from operations margin						
Total Group	Percentage	5.3	5.3	5.2	4.4	4.0

Group balance sheet	2014 £m	2013 £m	2012 £m	2011 £m	2010 £m
Property, plant and equipment	140.9	128.2	125.8	134.2	157.2
Intangible assets	1,610.8	1,552.8	1,536.6	1,547.6	1,221.2
Investments	139.9	159.3	237.9	210.9	176.7
	1,891.6	1,840.3	1,900.3	1,892.7	1,555.1
Inventories, receivables and payables	(351.6)	(327.6)	(456.7)	(607.4)	(613.8)
Net retirement benefit liability (net of deferred tax)	(406.2)	(295.1)	(269.9)	(229.3)	(182.1)
Other net liabilities	(62.0)	(18.8)	(7.2)	(22.8)	(14.2)
Net operating assets	1,071.8	1,198.8	1,166.5	1,033.2	745.0
Net (borrowing)/cash	(177.3)	(215.2)	(155.8)	(50.7)	120.2
Net assets	894.5	983.6	1,010.7	982.5	865.2

Group cash flow statement

Underlying Group operating profit	191.8	187.8	193.6	174.4	161.1
Depreciation and other non-cash items	26.6	21.3	26.9	36.4	36.1
Working capital	31.1	(66.4)	(136.2)	5.1	16.2
Dividends received from joint ventures	9.1	18.2	13.6	39.6	48.1
Underlying cash flow from operations	258.6	160.9	97.9	255.5	261.5
Deficit pension contributions	(46.0)	(39.2)	(30.2)	(36.2)	(35.2)
Rationalisation costs	(11.5)	(22.0)	(28.6)	(34.4)	(15.6)
Interest, tax and dividends	(107.7)	(90.9)	(87.2)	(77.1)	(65.9)
Net capital (expenditure)/income	(22.4)	(27.2)	(15.6)	4.6	(15.3)
Acquisitions and disposals	(34.5)	(28.6)	(32.6)	(276.6)	(28.6)
Other	1.4	(12.4)	(8.8)	(6.7)	(5.6)
Change in net liquidity	37.9	(59.4)	(105.1)	(170.9)	95.3
Net (borrowing)/cash at 1 January	(215.2)	(155.8)	(50.7)	120.2	24.9
Net (borrowing)/cash at 31 December	(177.3)	(215.2)	(155.8)	(50.7)	120.2

Group financial statistics**Earnings per share**

Underlying earnings per share	Pence	33.7	34.7	40.4	42.3	40.4
Basic earnings per share	Pence	28.0	23.3	34.6	28.6	33.6

Dividends

Proposed full-year dividend per share	Pence	17.75	17.50	17.25	16.90	15.50
Underlying proposed dividend cover	Times	1.9	2.0	2.3	2.5	2.6
Basic proposed dividend cover	Times	1.6	1.3	2.0	1.7	2.2

Board of Directors and Advisers

Non-Executive Directors

Philip Green (Chairman) ^{(3) (4) (5)}

Steve Mogford (Senior Independent Non-Executive Director) ^{(1) (2) (3) (4) (5)}

Andrew Dougal ^{(1) (2) (3) (4) (5)}

Alison Horner ^{(1) (2) (3) (4) (5)}

Ceri Powell ^{(1) (2) (3) (4) (5)}

Executive Directors

Richard Howson (Group Chief Executive) ^{(3) (5)}

Richard Adam (Group Finance Director)

(1) Member of the Audit Committee

(2) Member of the Remuneration Committee

(3) Member of the Nominations Committee

(4) Member of the Business Integrity Committee

(5) Member of the Sustainability Committee

Secretary and Registered Office

Richard Tapp

Carillion House

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United Kingdom

T +44 (0) 1902 422 431

www.carillionplc.com

Auditor

KPMG LLP

One Snowhill

Snow Hill Queensway

Birmingham

B4 6GH

Banker

National Westminster Bank plc

16 South Parade

Nottingham

NG1 2JX

Joint Brokers

Morgan Stanley

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Canary Wharf

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Stifel Nicolaus Europe Ltd

150 Cheapside

London

EC2V 6ET

Financial Adviser

Lazard

50 Stratton Street

London

W1J 8LL

Legal Adviser

Slaughter and May

One Bunhill Row

London

EC1Y 8YY

Share Registrar

Equiniti

Aspect House

Lancing

West Sussex

BN99 6DA

Shareholder information

Dividends

Dividends are normally paid twice a year. The proposed final dividend in respect of the year to 31 December 2014 will be payable on 12 June 2015 to those shareholders on the register on 15 May 2015.

A dividend reinvestment plan (DRIP) will also be offered.

For those shareholders who prefer not to participate in the DRIP, arrangements can be made to pay your dividends automatically into your bank or building society account. This service has a number of benefits:

- there is no chance of the dividend cheque going missing in the post
- the dividend payment is received more quickly as the cash is paid directly into your account on the payment date without the need to wait for the cheque to clear; and
- you will help Carillion to improve its efficiency by reducing printing and cheque clearing costs.

If you wish to register for this service please call Equiniti on the number detailed below to request a dividend mandate form.

Results

Half year to 30 June 2015: announced August 2015.

Full year to 31 December 2015: announced March 2016.

Shareholder enquiries

Equiniti maintain the share register of the Company. If you have any queries concerning your shareholding, or if any of your details change, please contact Equiniti:

Equiniti
Aspect House
Lancing
West Sussex
BN99 6DA

Telephone 0871 384 2522⁽¹⁾

Textphone for shareholders with hearing difficulties 0871 384 2255
Non-UK callers should dial +44(0) 121 415 7047.

Lines are open 8.30am to 5.30pm, Monday to Friday.

⁽¹⁾ Calls to this number cost eight pence per minute plus network extras.

Share dealing service

Carillion offers its UK shareholders, Shareview Dealing, a telephone and internet share dealing service operated by Equiniti. For telephone

purchases and sales call 0845 603 7037 between 8.30am and 4.30pm, Monday to Friday, or log on to www.shareview.co.uk/dealing. For the sale of shares, you will need your shareholder reference number as shown on your share certificate.

Multiple accounts on the shareholder register

If you have received two or more sets of the documents concerning the Annual General Meeting this means that there is more than one account in your name on the shareholder register, perhaps because either your name or your address appear on each account in a slightly different way. If you think this might be the case and would like to combine your accounts, please contact Equiniti.

Shareview (electronic communications)

www.shareview.co.uk is a service offered by Equiniti that enables you to check your holdings in many UK companies and helps you to organise your investments electronically. You can also notify Equiniti of a change of address or a change to dividend mandate instructions. You can register for this portfolio service which is easy to use, secure and free as long as you have access to the internet by logging on to www.shareview.co.uk and following a simple registration process.

Electronic proxy appointments

For the AGM to be held on 6 May 2015, you may, if you wish, register the appointment of a proxy electronically by logging on to the website www.sharevote.co.uk.

You will need your voting reference numbers (the three eight-digit numbers shown on your form of proxy). Alternatively, if you have registered for a Shareview portfolio, log on to your portfolio at www.shareview.co.uk and click on the link 'vote' under your Carillion plc details, then follow the on-screen directions.

Please note that any electronic communication that is found to contain a computer virus will not be accepted.

ShareGift

Small parcels of shares, which may be uneconomic to sell on their own, can be donated to ShareGift – the share donation charity (Registered Charity number 1052686). ShareGift transfers these holdings into their name, aggregates them, and uses the proceeds to support a wide range of UK registered charities based on donor suggestion. They can also accept larger donations of shares.

If you would like further details about ShareGift, please visit www.sharegift.org, email help@sharegift.org or telephone them on 020 7930 3737.

If you receive an unsolicited investment approach you should:

- confirm the correct names of the person calling and the organisation they represent;
- check that they are an authorised firm with the Financial Conduct Authority (FCA) by calling 0800 111 6768 or by visiting www.fca.org.uk/register and contact the firm using the details on the register;
- report the matter to the FCA by calling 0800 111 6768 or by visiting www.fca.org.uk/consumers;
- if the calls persist, hang up.

Please be aware that fraudsters will often use the name of a legitimate organisation or organisations, sometimes in combination with others so that the organisation may sound familiar to you. They may have also created a scam website, so simply checking that an organisation appears to have a presence on the web is not a guarantee that you are dealing with a legitimate organisation.

If you deal with an unauthorised firm, you will not be eligible to receive payment under the Financial Services Compensation Scheme. If you have already paid money to share fraudsters, you should contact Action Fraud on 0300 123 2040.

Warning to shareholders – boiler room scam

Carillion is aware that shareholders have received unsolicited telephone calls from fraudulent organisations offering to buy Carillion plc shares at a substantial premium to the prevailing market price. These calls are usually from overseas organisations targeting UK shareholders. These operations are commonly known as 'boiler room scams' and the 'brokers' who call shareholders can be extremely persuasive and persistent.

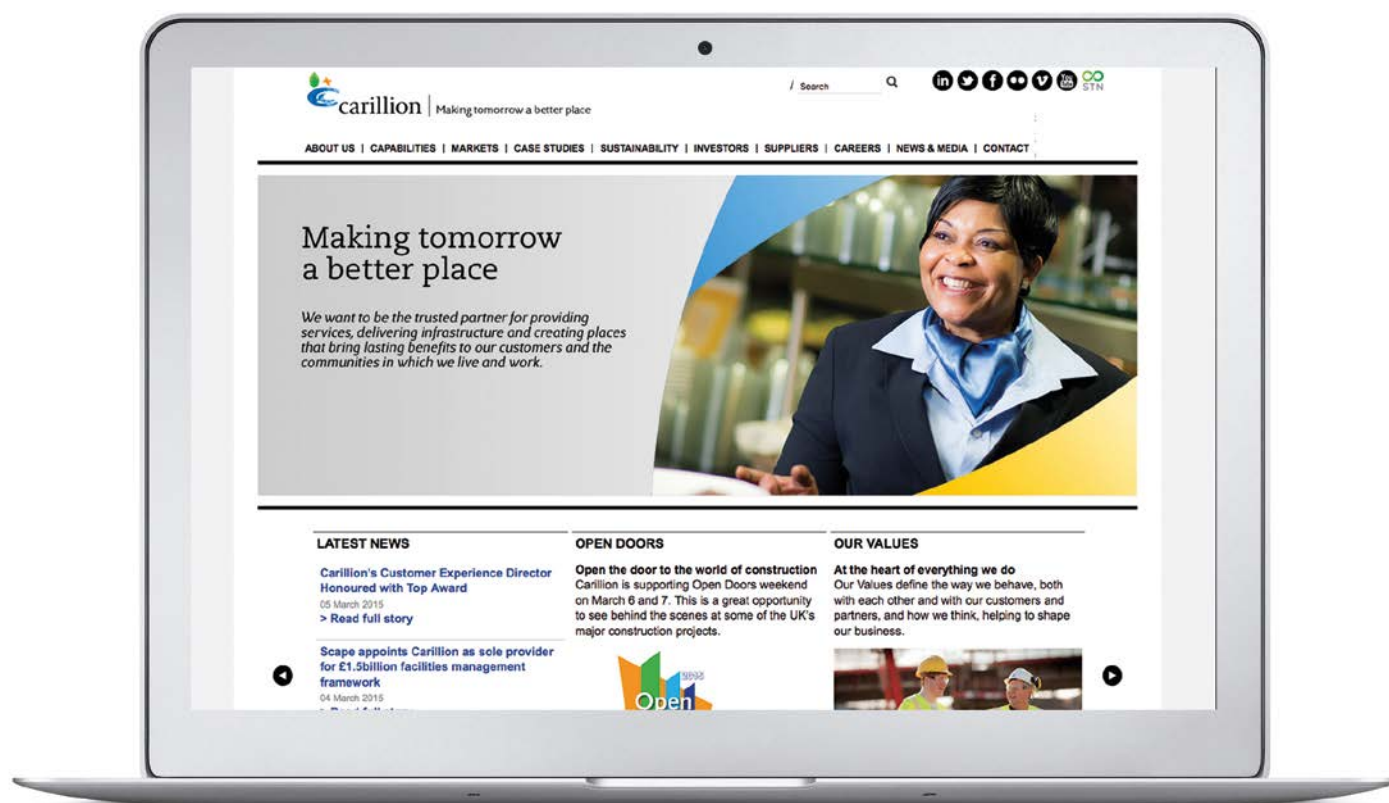
Boiler room scams usually come out of the blue, with most fraudsters cold-calling investors after taking their details from publicly available shareholder lists, but the high-pressure sales tactics can also come by other means such as email or post. The scam is designed to sound attractive, but typically at some point in the process the perpetrator usually asks for money in advance of concluding the main transaction, for example by way of a pre-payment or vendor bond. The transaction is never concluded, and the shareholder loses the money.

Carillion online

Carillion's comprehensive website gives you fast, direct access to a wide range of Company information

- › Downloadable Annual Report and Accounts
- › Latest investor news and press releases
- › Our capabilities
- › Our markets
- › Sustainability
- › News and media

To find out more go to www.carillionplc.com



-  LinkedIn - Search 'Carillion'
-  Twitter - @Carillionplc
-  Facebook - Search 'Carillion'
-  Flickr - flickr.com/photos/carillionplc/
-  YouTube - youtube.com/user/CarillionplcLatest



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